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The European Bathroom & Kitchen Product Markets

- 2021 Edition -



United
Kingdom

BRG
BUILDING SOLUTIONS

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Overview

BRG Building Solutions is a specialised market research consultancy serving the global building technologies industry. Combining unparalleled industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our core expertise lies in our coverage of the bathroom, kitchen, HVAC, and other building products/technologies. Throughout a history spanning over 40 years, we have assisted industry players in identifying and realising growth opportunities through a combination of regular market monitoring and ad-hoc consultancy services.

BRG's unique Enterprise Database is at the centre of our offering. This is a comprehensive tool and very detailed source of historic, current and forecast market trends and market share data (by holding and brand) on a country comparable basis. The database provides an essential tool to our clients as a platform to support their strategic decision making.

BRG Building Solutions is a genuinely global company, staffed with individuals from varied backgrounds and nationalities, working collaboratively from four offices across four countries. Combining a high level of industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our market coverage is also global, reflecting the nature of the industries we serve. Currently, 66 individual markets are covered annually in detail across the following key geographical regions (and number of countries):

- Africa (3)
- Australasia (2)
- East & Southeast Asia (6)
- Central America (4)
- Central Asia (1)
- Europe (31)
- South Asia (1)
- Middle East (7)
- North America (3)
- South America (5)
- Sub-Saharan Africa (3)

BRG has its own in-house dedicated modelling and forecasting unit. In cooperation with clients, we have since extended our offering to include market sizing for countries outside the traditional geographic reach of our main research

programme, via global market models

Product Coverage

Since the 1980s, BRG's Bathroom & Kitchen programme has provided industry players with insightful analysis and evidence-based information. In addition to detailed data on trends, values, end use, technical segmentations, market shares and distribution, our programme also includes perceptive text commentary, enabling our clients to easily identify and understand market characteristics and the latest industry developments.

BRG's programme has evolved steadily in terms of both geographic scope and product coverage and continues to do so each year. Each country report follows a uniform structure, to ensure that the data can be readily compared across regions and countries.

The product coverage has also expanded to cover virtually all bathroom, sanitary and kitchen related products, used in both residential and non-residential buildings, including:

Baths and Shower Trays

- Baths: cast iron, steel and synthetic
- Hydromassage baths
- Shower Trays: ceramic, steel/ cast iron and synthetic
- Shower systems (NAM): shower modules, integrated tub showers

Sanitary Ware

- WCs: wall hung, floor standing 1-piece and squat
- Washbasins: hand washbasins and countertops
- Other CSW: bidets, kitchen sinks, pedestals, shower trays, urinals and cisterns
- Plastic Cisterns: concealed and exposed.

Taps and Mixers ('Faucets'), both sanitary and kitchen:

- By application: basin/sink, bath, bidet, shower, kitchen sinks
- By type: pillar, two head, one head, thermostatic, self-closing, electronic
- By type (Americas): 4in centre set, 8in widespread, electronic, hand spray, pressure, single handle/one-head, self-closing, thermostatic, three handle.

Shower Wall

- Bath screens, conventional shower cubicles, hydrotherapy cubicles, bath & shower surrounds (NAM)

Bathroom Furniture

- Base units, mirror / mirror cabinets and separate cabinets.

Bathroom Accessories

- Soap holders and dispensers
- Towel holders, towel rings and towel bars
- Toilet paper holders and toilet brushes
- Towel and bathrobe hooks
- Toothbrush holders and tumblers
- Shelves, wastepaper bins, shower storage units and tissue holders.

Shower Accessories

- Shower heads, flexible hoses, shower supports, shower panels and shower pipes.

Kitchen Sinks

- Cast Iron, ceramic, enamelled steel, stainless steel and synthetic.

Definitions

Please note that all volumes given in the report refer to the number of units sold, where not indicated otherwise. In-depth product definitions are included in a separate document and available upon request.

All prices, both manufacturer and retail, exclude value-added-tax (VAT) and installation costs.

Methodology

The methodology behind the data remains true to our origins in that the industry participates in the research process, in many cases by providing BRG Building Solutions with annualised volume sales by product category per country and contacts for detailed expert interviews in all countries covered.

Our approach follows a multi-pronged strategy, gathering data inputs and information from many different sources. A further USP of BRG is the fact that we live and breathe the markets in which we specialise (bathroom, kitchen, plumbing & HVAC) and are in constant contact with manufacturers, distributors and other key influencers all of the time during our repeat annual research programme. The markets are built via a bottom-up approach. Extensive primary and secondary research complement the picture and provide all necessary insight for many

additional segmentations shown in the reports, like e.g. price segmentations, technical and end-use segmentations.

The reports are constantly evolving and refined based on industry feedback, and always reflect the latest developments in the industries.

All research is conducted in-house with a team of around 30 individuals who speak 20 different languages between them. As a result, we can transfer that knowledge and experience into services designed to assist stakeholders in understanding the opportunities available to them, at a fraction of that charged by the larger and less nimble global consultancies. BRG operates a policy of direct management of the team required to conduct the regular research work and avoids subcontracting its market studies to outside agencies.

The analysis has grown in complexity as the number of drivers affecting the markets grows, like e.g. economic uncertainty, construction cycles, new technologies, legislation. As a result, BRG Building Solutions considers all drivers through a holistic approach, recognising that products, end use segments and countries are all inter-linked.

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UNITED KINGDOM

BACKGROUND

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Geography and Demographics

The United Kingdom (UK), officially the United Kingdom of Great Britain and Northern Ireland, is a sovereign island in Western Europe. The UK has a total land area of 243,610 km² and is comprised of four countries – England, Wales, Scotland and Northern Ireland. Located in the north-western part of Europe, the UK has only one land border, shared with the Republic of Ireland; the country is otherwise surrounded by ocean borders, with the Atlantic Ocean to the west and north, the North Sea to the east and the English Channel to the south.

The most recent estimate of the UK's residential population was listed at 66,796,800 inhabitants in June 2019, displaying an increase of 1.1% on the previous year (Office of National Statistics, ONS). Around 84% of the UK's residents live in England; of the remaining population, 8% live in Scotland, 5% in Wales and 3% in Northern Ireland. The most densely populated areas of England are the major cities and the metropolitan areas of London and the South East, South and West Yorkshire, Greater Manchester and Merseyside, the West Midlands, and the conurbations on the rivers Tyne, Wear and Tees. London has the highest population density with 400 people per square kilometre, and the South West the lowest (210 people per square kilometre).

Since 23 June 2016, when the UK voted to leave the European Union (EU), commonly known as 'Brexit', which caused a dip in the UK economy, the economy has somewhat stabilised with the value of the GBP still not regaining its pre-Brexit high, and seeing import and raw material costs increase. The UK officially left the EU on the 31 January 2020 and had an 11-month transition period with securing a trade deal, with the EU remaining the number one priority. October 2020 saw the UK make its first major trade deal, with Japan, as an independent trading nation. Given the COVID-19 pandemic, there were delays and obstacles in getting a trade deal finalised, with the UK and EU agreeing to a last-minute free trade agreement (FTA) in December 2020, removing tariffs and quotas on goods. Coupled with January being the first month since Brexit and the imposition of new COVID lockdown restrictions, exports of good to the EU saw the biggest monthly decline in British trade for more than 20 years; however, with it being the early stages of this new trade deal, this trend is not expected to continue. Despite lockdown measures currently still implemented, restrictions are slowly being lifted and with UK citizens getting the vaccine, the economic recovery outlook for 2021 seems bright.

Macroeconomic Overview

The UK is the second-largest economy in Europe, after Germany. Services, particularly banking, insurance and business services, account for by far the largest proportion of the nation's GDP, while industry continues to decline in importance. Facing increasing public deficits and debt levels, in 2010 the government initiated a five-year austerity programme which aimed to lower London's budget deficit to nearly 1% by 2015. The UK economy is widely considered to have been in

recovery since mid-2013, with slow, sustained increases in new construction and consumer spending recorded, while the Bank of England (BoE) implemented an asset purchase programme of over US\$500 billion up to 2014, to reduce the UK's high deficit.

The UK economy since the EU referendum in 2016 has continued to wane and recovery has been slow and uneven; however, it has been gradually recovering. COVID-19 has taken no prisoners across the globe, causing a strong contraction in GDP for the UK in 2020 of -9.8%. The strong spikes in cases and three national lockdowns did not aid the economic recovery, as well as unemployment seeing a strong increase also. A rebound in economy growth was seen in Q3 due to social travel and business restrictions being eased; however, towards the latter stages of the year, the UK was blighted by new and more transmissible variants of the virus, with restrictions slowly getting tighter before a third national lockdown was seen very early in 2021. The UK economy had been hit hard by the pandemic due to the fact the UK relies heavily on its service sector, which accounted for over 70% of GDP in 2019, and includes some of the industries that are most vulnerable to lockdown measures.

Residential Construction

New Housing

Construction output grew strongly from 2014 to 2015 but waned slightly in 2016. The positive trend for both apartments and houses was changed dramatically in 2020, with a strong contraction on both parts, courtesy of the COVID-19 pandemic. Funding for both private and public funding took a strong hit as well as construction starts/completions in general, as although the government allowed for construction to continue to operate, several sites closed to assess health risks to workers. This was the case for a few months with some sites reopening but with social distancing measures being implemented, subsequently leading to reduced productivity. Construction for both family houses and apartments is expected to pick back up strongly in 2021, following a healthy end to 2020 with construction recovering well in Q3 and Q4.

Housing RMI

The UK bathroom sector's core product areas are fully mature and, as a result, RMI plays the most significant role in driving the market. Private consumption in 2020 proved to be markedly down, with the global pandemic causing this negative impact, subsequently leading to a negative performance of the RMI segment. With the first national lockdown being implemented consumers could not make purchases even if they wanted to but, for the most part, the ongoing uncertainty and reduced economic activity caused by the outbreak of COVID-19 was detrimental enough to see a decline across most markets in the RMI segment.

Manufacturers of all bathroom products did report a surge in private home renovations of bathroom products from June onwards as consumers could not

travel, which left most with more disposable income and time to inspect what needed improving in the home, fixing or simply wanting to upgrade. This trend was encouraged with the UK government incentivising spending through slashing bank rates, which typically reduces the cost of borrowing, incentivising an expansion in household spending. However, this upturn was far from enough to offset the negative impact caused by COVID-19 as unemployment and depressed incomes were much evident throughout the course of the year. Another contributing factor to this negative performance is that UK citizens' salaries were growing slower than inflation in 2020, which will always have a negative bearing on the RMI segment. The public sector – which was already under financial pressure – saw a strong contraction, with the funding being further exacerbated. Although, the UK government has indicated it is determined to improve remediation works, with an upturn expected from 2021. No subsidies have been put in place specifically, although in a response to improving the safety of high-rise buildings after the Grenfell tragedy, the government has announced it will provide £1 billion in 2020 to 2021 to support the remediation of unsafe non-ACM cladding systems on residential buildings 18 metres and over in both the private and social housing sectors.

Non-Residential Construction

Since the beginning of the UK's return to economic growth in 2013, the recovery of the non-housing construction and renovation segment has been much patchier than the gains seen in new housing construction and housing RMI. This is largely due to the disparity between the public and commercial sectors, as the performance of the latter has proved much stronger than the former in recent years.

Non-residential construction in 2020 proved to be notably down with construction coming to a halt for some time during the first national lockdown, as well as several investments into this area of the market being put on hold. Renovation proved to be markedly down also, with the only sector to see an increase being the health sector. Projects such as the new Vaccines Manufacturing and Innovation Centre (VMIC) were seen as critical by the government and a number of hospitals saw improvements in renovation of old products and installations, particularly those pertaining around hygiene. There is concern that, given the sharp rise in public debt, whether there will be much in the pipeline beyond the current financial year for this area to grow, given the government's plans to build 40 major hospitals by 2030. Nonetheless, non-residential construction is expected to return, recover and grow from 2021 onwards.

II.2 Key Figures

UK - DEMOGRAPHICS AND HOUSEHOLDS

Value	Year
Segmentation	Category
Demographics	Population (% Rural)
	Population (% Urban)
	Population ('000)
Households	Average Size (Persons h/h)
	Total ('000)
Persons per Household (% of Total)	1
	2
	3
	4
	5+

Source: BRG based on Country Statistics.

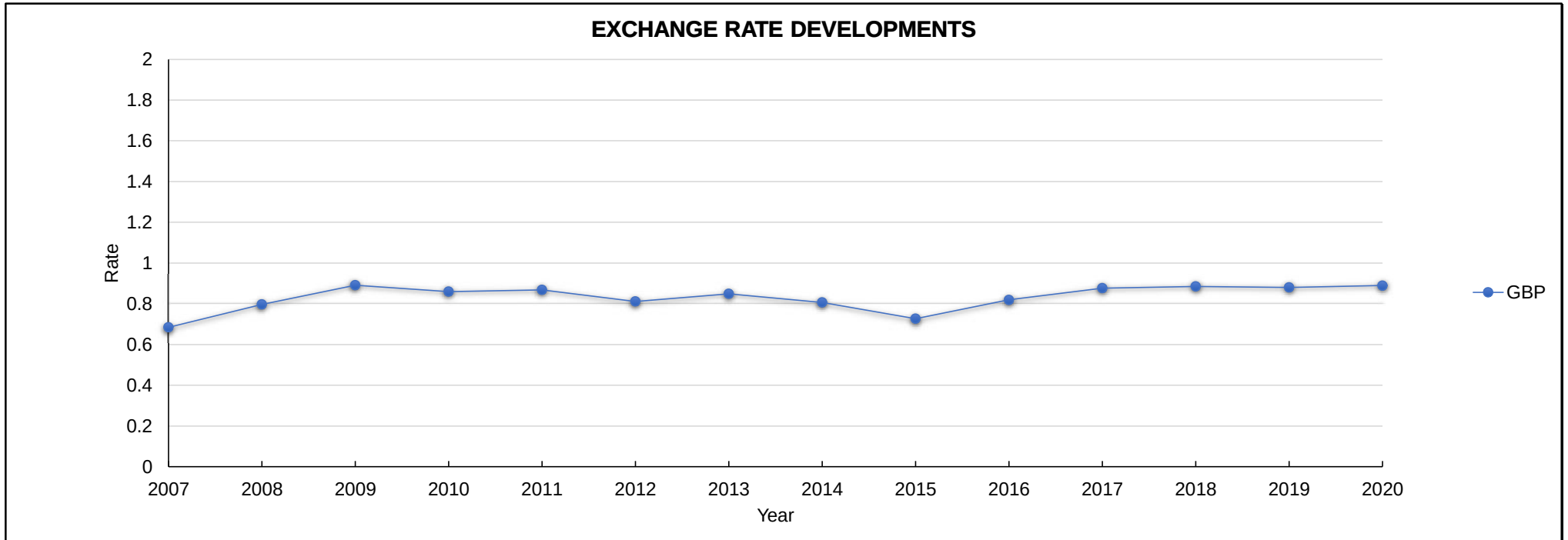
II.3 Macroeconomic Trends and Forecasts

UK - MACROECONOMIC KEY INDICATORS

Value	Year																				
Category	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Consumer Price Index (% change)	2.13	2.72	2.12	3.88	2.12	3.38	4.63	2.63	2.07	0.91	0.06	1.21	3.03	2.28	1.42	0.54	2.05	1.85	2.00	2.00	2.00
GDP (% change)	2.96	2.69	2.36	- 0.28	- 4.11	2.07	1.28	1.43	2.19	2.86	2.36	1.72	1.74	1.25	1.43	- 9.92	5.34	5.07	2.00	1.76	1.55
Government Balance (% of GDP)	- 3.13	- 2.76	- 2.64	- 5.13	- 10.04	- 9.23	- 7.48	- 7.61	- 5.50	- 5.53	- 4.54	- 3.28	- 2.42	- 2.23	- 2.31	- 13.43	- 11.77	- 6.23	- 4.02	- 3.39	- 3.30
Household Saving Rate (% of Disposable Income)	2.77	2.40	3.52	2.93	6.37	6.46	4.48	4.54	3.75	3.62	4.55	1.62	- 0.91	2.77	2.67	2.57	0.00	0.00	0.00	0.00	
Private Consumption (% change)	2.48	1.61	2.35	- 0.38	- 2.73	1.15	- 0.10	1.72	2.63	2.34	3.01	3.40	1.13	1.43	1.10	- 10.92	0.00	0.00	0.00	0.00	0.00
Unemployment Rate (%)	4.83	5.43	5.35	5.73	7.63	7.90	8.10	7.98	7.58	6.20	5.38	4.88	4.43	4.08	3.83	4.50	6.05	6.14	5.17	4.63	4.35

Source : IMF and OECD. N.B. Household Saving Rate and Private Consumption not Available for all Forecast Years.

II.4 Historical and Current Exchange Rates
UK - EXCHANGE RATES : HISTORICAL AND CURRENT



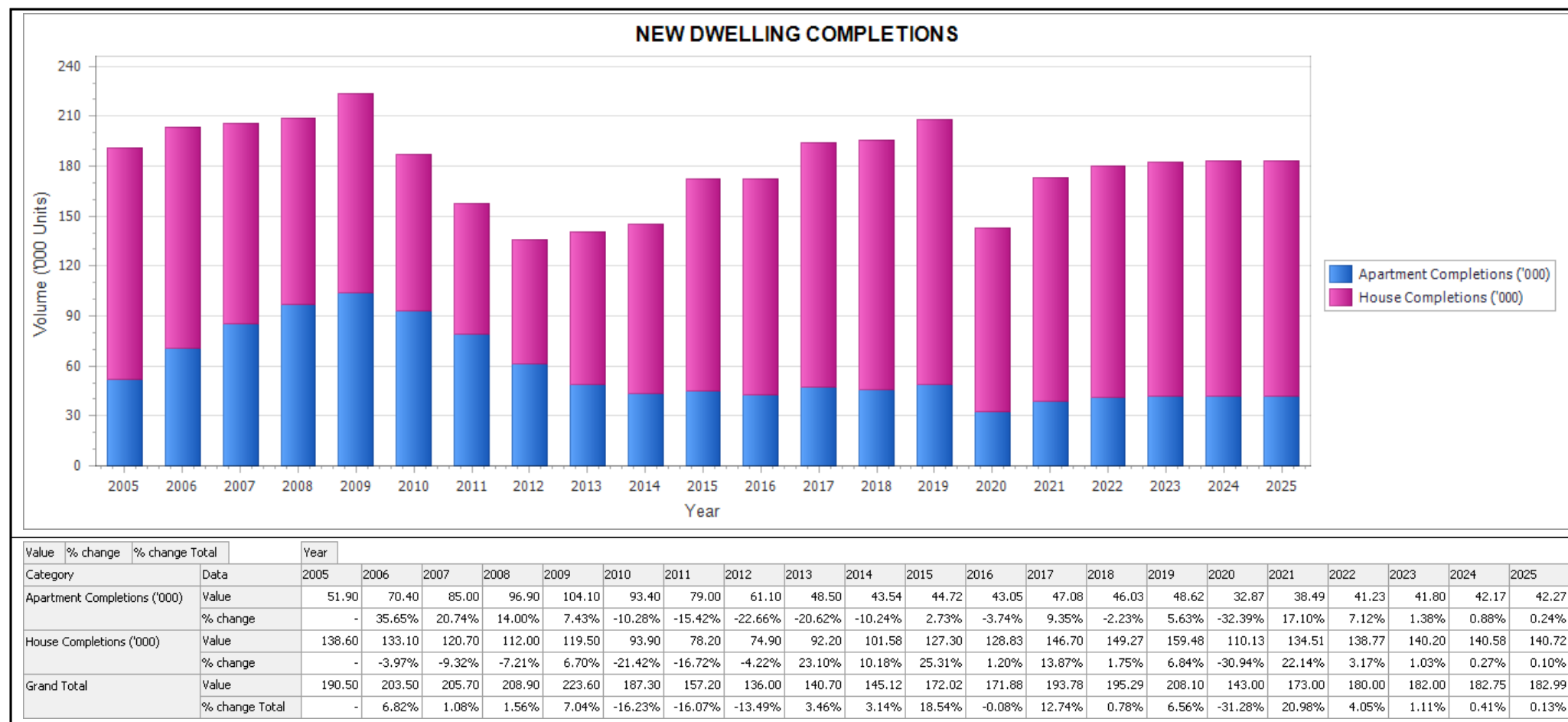
Local Currency	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020
EUR / GBP	0.68	0.80	0.89	0.86	0.87	0.81	0.85	0.81	0.73	0.82	0.88	0.88	0.88	0.89
% change		16.29%	11.97%	-3.55%	0.93%	-6.53%	4.66%	-5.03%	-9.92%	12.78%	7.02%	0.94%	-0.55%	1.06%

Source: OANDA

The British Pounds (GBP) is the Currency of the United Kingdom. The Exchange Rates Shown are the EUR to the GBP.

II.5 New Dwelling Construction

UK - NEW DWELLING COMPLETIONS ('000 UNITS)



Source: BRG based on Country Statistics.

II.6 Dwelling Stock by Type and Tenure
UK - DWELLING STOCK BY TYPE AND TENURE ('000 UNITS)

Value		Year
Segmentation	Category	2020
Dwelling Stock by Type	Apartments (%)	19.26
	Apartments ('000)	5 700.00
	Houses : Rural (%)	9.80
	Houses : Rural ('000)	2 900.00
	Houses : Urban (%)	70.95
	Houses : Urban ('000)	21 000.00
Dwelling Stock by Tenure	Primary Owned (%)	52.30
	Primary Owned ('000)	15 480.00
	Primary Rented : Private (%)	22.30
	Primary Rented : Private ('000)	6 600.00
	Primary Rented : Public (%)	18.58
	Primary Rented : Public ('000)	5 500.00
	Secondary (%)	4.81
	Secondary ('000)	1 425.00
	Vacant (%)	2.01
	Vacant ('000)	595.00

Source: BRG based on Country Statistics.

UNITED KINGDOM

DISTRIBUTION

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Overview

The distribution of bathroom products in the UK remains dominated by wholesalers, as the majority of installers and other professionals still tend to favour this channel. The DIY and specialist retailer segments (e.g. showrooms and retailers such as SCREWFIX) also play an important role in the market, on the consumer side in particular. Distribution on the bathroom market, however, has seen significant shifts in recent years due to the strong growth in the UK's e-commerce market, with both installers and consumers increasingly purchasing through the internet channel. The COVID-19 pandemic caused quite a change in distribution of bathroom products with a much bigger push towards digital given national lockdowns made face-to-face meetings impossible for a time. Wholesalers and bathroom specialist retailers were forced to close for the majority of 2020 whereas DIY retailers were able to remain open for the most part and trade as normal. The biggest winners were the pure online retailers as stores remained closed and consumers were able to obtain better quality products at a lower price.

Wholesale Level

Within the UK there are 640 builders' merchants and supply companies, which employ over 123,000 people in the building materials industry. Please note that these are figures from members within the Builders Merchants Federation (BMF) organisation. BMF's 340 merchant members operate in over 5,000 branches across the UK. There are four central players present in the market – TRAVIS PERKINS, WOLSELEY, the GRAFTON GROUP and SAINT GOBAIN – which between them maintain a strong position on the UK trade channel.

Distribution activity in 2020 proved to be markedly down, with both WOLSELEY and TRAVIS PERKINS experiencing a decline as they were forced to close amidst the national lockdown, before slowly opening some stores from May 2020. Both of the merchants experienced a separation of some sort with TRAVIS PERKINS recommencing the demerging of WICKES, which was put on hold due to COVID-19 and looks set to be completed in 2021. WOLSELEY on the other hand was sold by its former parent company FERGUSON PLC in January 2021 to Clayton, Dubilier & Rice, a private equity company. At the other end of the scale, independent merchants were not as greatly impacted as the national merchants due to being much smaller, agile and easier for them to implement ideas to trade safely. Albeit still a smaller proportion of the market, they continued to gain some share in 2020. Buying groups have become increasingly important to the smaller market players in enabling them to have the buying power to match the larger competitors on price. More recently there has been increasing competition among rival buying groups for membership (sometimes multiple); as such, the National Merchant Buying Society (NMBS) acts as a centralised clearing service for all the major buying groups, which includes buying groups such as FORTIS and IPG. Many independent merchants, however, still change buying groups annually to get the best deals from leading suppliers. This has given the smaller merchants a much stronger presence,

since buying groups in the UK currently have over 1,000 members with over 3,500 branches. The importance of this sector, although marginally decreasing in size, is still very strong; manufacturers are very careful with distribution strategies to not undercut the merchants/wholesalers, and maintain a good relationship with them, as this sector is currently by the wholesale level.

Retail Level

DIY Retailers

Within the UK, there is a distinct separation between different forms of retailers. The retail market largely consists of general retailers (such as department stores), specialist retailers (i.e. electric retailers) and DIY retailers. In the UK, unlike countries such as the USA, general retailers do not compete with DIY retailers and/or merchants, with the only important exceptions to this being electrical wholesalers and companies such as ARGOS. However, in all these cases, products are limited to water heating goods, such as instantaneous electric showers. As such, the only real competitors merchants face are in bathroom products, DIY superstores and specialist boutiques.

The origins of the DIY superstore trade, as of most modern forms of retailing in the UK, lie in the abolition of resale price maintenance which became law in 1964. In the DIY sector, the first impact was to spawn large chains of paint and wallpaper shops (some run by the paint manufacturers). After the rise of a number of firms, the merchants sensed an opportunity, with companies such as MEYER and GRAHAM opening their own stores, but all ended up disposing of them, with RIDGEONS being the last to do so, selling OCTOPUS DIY to GREAT MILLS in 2000. The number of stores developed rapidly during the 1970s, as did the average sizes as the stores moved to the edge of towns. The growth has been accompanied by a very rapid process of concentration.

In early 2016, UK DIY retailer HOMEBASE was acquired by the Australian company WESFARMERS, with WESFARMERS announcing plans to transform HOMEBASE into the BUNNINGS brands over the next five years. WESFARMERS presently has numerous BUNNINGS stores across Australia and New Zealand, and the acquisition of the UK and Ireland's 265 HOMEBASE stores makes BUNNINGS the second-largest home improvement retailer in the UK and Ireland, behind KINGFISHER's B&Q. HOMEBASE was previously owned by the HOME RETAIL GROUP, which was acquired by SAINSBURYS in September 2016. The poor performance of HOMEBASE and store closures saw WESFARMERS lose some share and sales slumped considerably. The rebranding of HOMEBASE to BUNNING stores proved to be unpopular as consumers were scared off by the lack of brand familiarity. The disastrous tenure came to an end in 2018 as HOMEBASE was sold to HILCO CAPITAL for a mere £1.

DIY sales overall performed quite well in 2020 with homeowners across the UK doing a number of home improvements whilst being in lockdown. B&Q adopted SCREWFIX'S Click & Collect model which thrived throughout the year in 2020,

resulting in SCREWFIX increasing its total annual sales more than three times since 2012. B&Q remained partly limited in its development when compared to SCREWFIX, as the former had some of its stores closed in varying parts of the UK in accordance with local lockdown restrictions. Growth for SCREWFIX was largest in the last two months of 2020, largely driven by e-commerce sales which more than doubled during this period, even with stores remaining open at the time.

The future of DIY retailing, however, is likely to undergo significant changes. In addition to the growing threat of internet commerce, consumers are increasingly opting for contractors over DIY, which is pushing the distribution flow in favour of merchants and, to some extent, specialist retailers. Some long-term forecasts for the DIY sectors suggest that rapid decline may occur in line with the general decline of high street retail.

Specialist/Other Retailers

A large proportion of the UK bathroom and kitchen products are distributed through specialist retailers. These can range from small local showrooms and stores to larger national multi stores such as CP HART, DALE BATHROOMS, BATHSTORE and MAGNET.

Small specialist showrooms suffered more than larger merchants and DIY stores at the start of the global recession, since many lacked the finance and positive cash flow to sustain the downturn in sales volume. Some showrooms, however, strengthened their position by focusing on luxury products in branches in the wealthier areas such as in central London and other areas in the southeast of England.

Bathroom retailer BETTER BATHROOMS fell into administration in March 2019 as 325 jobs were lost along with their 13 stores and two trade counters being closed and trading ceased. The fierce competition from opposing retailers as well as their demand not meeting their supply of cheap products subsequently led to them suffering from severe cash flow difficulties and an extended period of soft trading which forced them into administration. Shortly after they were acquired by THE BUY IT DIRECT GROUP, UK's leading online appliance retailer, which turned the business around for the remainder of 2019, adopting a fully online model for the business, operating from a central distribution hub. July 2019 saw retailer BATHSTORES also go into administration due to ongoing difficulties trading courtesy of a slowdown in housing transactions and ongoing consumer uncertainty. Similar to BETTER BATHROOMS, BATHSTORES was also rescued from administration by HOMEBASE. SOAK was spun out from plumbing and heating supplier FERGUSON in March 2019 and was seeking a rescuer to avoid the company from collapsing. In March 2020, SOAK went into administration after a sudden drop in turnover and failure to find a buyer.

Ultimately, 2019 was not the best of years for retailers and this trend was further exacerbated in 2020 amidst the coronavirus pandemic, as all showrooms were forced to close due to the national lockdown. All bathroom showrooms in England

remained closed for most of the year with some offering zoom/teams calls for consumers to view products in showrooms or 1 on 1 appointments only, whilst showrooms in Wales and Scotland remained open (per the third lockdown). This virtual viewing of course does not give the same effect as in person which consequently impacted sales, particularly those of luxury or trendy bathroom products.

Internet Retailers

The UK is the one of the biggest e-commerce markets in the world. Pure internet businesses do not have physical stores, and thus have no overhead costs, nor the necessity to hold stock on their balance sheets. They are able, therefore, to take their margin without ever having physical possession of the product sold; these players are often able to undercut traditional wholesalers and retailers in terms of price, and have quickly gained share through this financial and logistical advantage. The Internet has also become an important source of information for consumers, who will often use online shops to learn about the products that best suit their needs and benchmark product prices against traditional retailers. The internet channel has rapidly taken substantial share on the UK bathroom market, particularly for lightweight products such as taps and mixers, which can be ordered online and shipped cheaply. The growing strength of the internet channel is also emphasised by the fact that certain online retailers are highlighting their status as the main online bathroom distributors – for instance, VICTORIA PLUM's rebrand as VICTORIAPLUM.COM.

The emergence of this market has resulted in existing retailers (e.g. PLUMB CENTER and SCREWFIX) releasing their own online purchasing services and web shops (operating alongside their physical branches), thus creating a multi-channel distribution method. Although these multichannel retailers do not have the same financial advantages as pure internet retailers (e.g. AMAZON), as they still pay overhead costs, they have been able to increase their sales by reaching a wider number of consumers, and simultaneously curb overhead costs by closing unprofitable stores where necessary without losing customers. Many players in the UK bathroom distribution segments are increasingly adopting multichannel approaches, leading to an increased distortion between distribution methods on the bathroom market.

Online proved to be a strong focus in the marketplace in 2020 for a number of things from obtaining information on products to a large number of sales through the likes of VICTORIA PLUM and VICTORIAN PLUMBING. Online sales proved to be the strongest performing out of all distribution channels with VICTORIAN PLUMBING leading the way with a record-breaking year. Online sales benefited hugely from the national lockdown with homeowners having more disposable income, more time to do DIY work at home and with the majority of wholesalers and showrooms remaining closed for the majority of the year, online was the go-to distribution channel. Mainly products at the lower end of the market have seen strong uptake from these online sales with some from the middle benefiting also with some well-known brands opting to going online with their products.

French online DIY retailer MANO MANO which entered the UK in 2016 saw sales triple in 2020, but still remain a long way behind DIY market leader B&Q; however, in being a pure online retailer for DIY, they benefited hugely from the closures of showrooms and physical DIY stores.

Growth is not expected to be as robust in 2021, as it was in 2020 as most homeowners would have carried out the necessary work on their homes, making the necessary purchases and, with lockdown restrictions expected to continue easing, consumers will spend money elsewhere. Nonetheless, the internet channel is expected to continue growing rapidly over the forecast period, largely at the expense of DIY outlets and independent merchants. As a result, certain manufacturers have launched their own partnerships with internet distributors, in order to take advantage of this growing channel. This has also aided players as it allows them to retain some control over brand and product perception, and in making sure consumers do not purchase products that are improperly installed through unregulated third-party internet retailers.

III.2 Summary of Leading Distributors

UK - SUMMARY OF LEADING DISTRIBUTORS

Holding	Trading Name	Distributor Type	General Product Orientation Profile	Turnover		Home Market Coverage		Specific Product Orientation (all figures are in %)													Buying Group Affiliation
				Year End	GBP (Million)	No. of Depots	Geographical Coverage	Specialist						Specialist					Other		
								Total	Heat	Bath	Plumbing	Vent/ Aircon	Tiles	Total	Building Materials	Timber	Insulation	Roof	Other	Specify	
AMAZON UK SERVICES UK LTD	AMAZON.COM, INC.	Online Retailer	Mixed Retailer	31/12/19	2959.2	0	International	45.0%	9.0%	9.0%	9.0%	9.0%	9.0%	45.0%	9.0%	9.0%	9.0%	9.0%	10.0%	Paint, Kitchen, Spares, Tools	
BEGGS & PARTNERS	BEGGS & PARTNERS	Specialist Merchant	Heating and Sanitary/Plumbing	-	-	5	Northern Ireland	75.0%	25.0%	25.0%	25.0%	-	-	-	-	-	-	-	25.0%	Kitchen	NMBS, CBA
BRADFORD & SONS	BRADFORDS BUILDING SUPPLIES	Mixed Merchant	Mixed Merchant	30/12/20	156.0	49	South West England	75.0%	-	-	-	-	-	90.0%	40.0%	35.0%	-	-	15.0%	Paint, Kitchen	UNIMER, NMBS, CBA, AHED
CARVER WOLVERHAMPTON	CARVER WOLVERHAMPTON LTD	Mixed Merchant	Mixed Merchant	31/12/19	40.6	1	Midlands	90.0%	15.0%	20.0%	-	-	5.0%	60.0%	30.0%	20.0%	-	-	10.0%	Paint, Kitchen	NMBS, UNIMER, AHED, CEMCO
ROPER RHODES	ROPER RHODES	Independent	Independent	31/07/19	59.4	1	South West England	100.0%	-	100.0%	-	-	-	-	-	-	-	-	-		
CROSSLING	CROSSLING	Specialist Merchant	Heating and Sanitary/Plumbing	31/12/19	47.8	16	Northern England	75.0%	25.0%	25.0%	25.0%	-	-	-	-	-	-	-	25.0%	Engineering products (17%), tools(8%)	UNIMER, NMBS, AHED
ELLIOTT BROTHERS	ELLIOTT BROTHERS BUILDERS MERCHANTS	Mixed Merchant	Mixed Merchant	31/12/19	75.5	12	South	0.0%	-	-	-	-	-	50.0%	-	-	-	-	20.0%	Paint, Kitchen	UNIMER, NMBS, CBA
FERGUSON PLC	WOLSELEY UK	Mixed Merchant	Mixed Merchant	31/07/19	1654.9	1321	National	49.0%	-	-	-	-	-	28.0%	-	-	-	-	21.0%	Commercial and Spares	
GRAFTON GROUP	GRAFTON GROUP	Specialist Merchant	Heating and Sanitary/Plumbing	31/12/19	173.4	227	National	0.0%	-	-	-	-	-	-	-	-	-	-	10.0%	Kitchen	NMBS, UNIMER, AHED
J SAINSBURY PLC	HOME RETAIL GROUP	DIY Retailer	DIY Assortment	29/02/20	136.0	342	National	0.0%	-	-	-	-	-	-	-	-	-	-	XX	Kitchen	
J.T. DOVE	J.T. DOVE LTD	Mixed Merchant	Mixed Merchant	31/12/19	65.5	18	North	75.0%	-	-	-	-	-	90.0%	30.0%	45.0%	10.0%	-	5.0%	Kitchen	UNIMER, NMBS, NBG
MKM BUILDING SUPPLIES	MKM BUILDING SUPPLIES LTD	Mixed Merchant	Mixed Merchant	30/09/19	457.7	41	North East / Eastern England	65.0%	-	-	-	-	-	70.0%	45.0%	20.0%	-	-	5.0%	Kitchen	UNIMER, CBA, NMBS, AHED
NATIONAL MERCHANT BUYING SOCIETY	NATIONAL MERCHANT BUYING SOCIETY LTD	Buying Group	Mixed Merchant	-	-	1400	National	0.0%	-	-	-	-	-	-	-	-	-	-	-		
KINGFISHER PLC	KINGFISHER PLC	DIY Retailer, Specialist Merchant	DIY Assortment	31/01/20	11549.0	745	National	0.0%	-	-	-	-	-	-	-	-	-	-	-	Kitchen	
SAINT-GOBAIN	SAINT-GOBAIN CONSTRUCTION PRODUCTS UK LTD	Mixed Merchant	Mixed Merchant	31/12/18	778.1	3993	National	7.0%	-	-	-	-	-	7.0%	6.5%	0.5%	-	-	-		UNIMER, NMBS
RAWLE GAMMON & BAKER	RAWLE GAMMON & BAKER LTD	Mixed Merchant	Mixed Merchant	31/03/20	70.7	20	South West	64.0%	-	-	-	-	-	64.0%	45.0%	19.0%	-	-	-		UNIMER, NMBS, CBA, AHED, WBM
RIDGEONS	RIDGEONS LTD	Mixed Merchant	Mixed Merchant	31/12/18	172.8	25	South Midlands and East Anglia	60.0%	-	-	-	-	-	60.0%	30.0%	30.0%	-	-	-		UNIMER, NMBS, CBA, AHED
ROBERT PRICE	ROBERT PRICE BUILDERS MERCHANTS LTD	Mixed Merchant	Mixed Merchant	30/09/19	39.1	14	South Wales	75.0%	-	-	-	-	-	75.0%	65.0%	10.0%	-	-	-		UNIMER, NMBS, CBA, AHED
TRAVIS PERKINS PLC	TRAVIS PERKINS	Merchant	Heating and Sanitary/Plumbing & Vent/Air Con	31/12/19	2244.0	2014	National	86.0%	9.0%	7.0%	-	-	-	70.0%	51.0%	19.0%	-	-	-		
TRAVIS PERKINS PLC	WICKES	DIY Merchant	Heating and Plumbing/Sanitary, Kitchen	28/12/19	1292.8	232	National	40.0%	9.5%	10.5%	-	11.0%	9.0%	40.0%	9.0%	12.0%	10.5%	9.5%	20.0%	Paint, Kitchen	
VICTORIAPLUM.COM	VICTORIA PLUM LTD	Online Retailer	Sanitary, Heating	28/02/20	70.9	0	National	95.0%	30.0%	60.0%	-	10.0%	-	-	-	-	-	-	5.0%	Paint	
VICTORIAN PLUMBING	VICTORIAN PLUMBING LTD	Online Retailer	Sanitary, Heating	30/09/20	210.0			95.0%	30.0%	60.0%	-	10.0%	-	-	-	-	-	-	15.0%	Paint	
WESFARMERS	BUNNINGS (UK & IE), HOMEBASE	DIY Retailer	DIY Assortment	-	-	265	National	0.0%	-	-	-	-	-	-	-	-	-	-	-	Kitchen	

Source: BRG based on company information

x = minor activity
xx = substantial activity
xxx = core activity

UNITED KINGDOM

BATHS AND SHOWER TRAYS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The UK baths market is correlated to trends in sales of ceramic sanitary ware, as both markets are traditionally driven primarily by sustained periods of GDP growth and buoyant consumer spending. The UK baths market can be considered mature and benefited strongly from the period of sustained economic growth prior to the 2008 recession. Market development has been quite stable over the years, with the trend towards showering becoming increasingly popular, a trend that is expected to give the baths market a rather static outlook over the long term.

In terms of product preference, the UK market favours synthetic baths, as a wide variety of designs are available at a range of price points. Steel baths, although more expensive, are also more durable and, therefore, are used in applications where they are likely to have a high usage, such as hotels. Steel baths are also favoured in social housing, as housing associations are typically more concerned with maintenance costs than private homeowners are, and the durability of steel baths has ensured that they are seen to offer a superior return on investment. Cast iron baths remain a small luxury market, and sales have suffered in recent years as synthetic bath manufacturers have increasingly produced fashionable alternatives at cheaper prices. Corner baths remain quite unpopular with it being a very old-fashioned product, which was popular in the 1980s and people have begun moving onto different types such as freestanding and shower baths.

The shower trays market took longer to develop in the UK than in other European countries, mostly due to the UK's slower uptake of showering technology. The market has long continued to experience constant growth, in line with the increasing installation of showers, a trend that looks set to strengthen.

After the financial crisis the market rebounded alongside the rest of the bathroom products indicating a potential maturity of the market. However, as recent as 2017, product development in manufacturers bringing larger trays into the marketplace has helped to stimulate growth, as more homeowners want larger showering spaces. Nonetheless, cyclical drivers such as macroeconomic developments and construction activity remain key in determining sales trends.

Overall, the trend towards shower trays away from bathing has continued well over the years, with more homeowners taking baths out of their properties and replacing them with showers and wet rooms. This trend has since caused the decline being seen in baths as well as the continued shrinking size of the average UK dwelling, and time constraints amongst the population which has led to a national preference for showering over bathing. The UK's aging population and the concentration of home ownership amongst older members of the population is also a key driver of the shower trays market, due to the superior accessibility they offer in comparison to baths. These factors have also influenced the rapid development of a market for low-level shower trays, which offer a similar aesthetic to a wet room and are typically made of polyconcrete, the dominant material used in the UK shower trays

market.

Recent Market Trends

The overall UK baths market contracted strongly in 2020, due to the onset of the COVID-19 outbreak from early in the year, with sales virtually ceasing for the majority of Q2. Sales to all end-use segments were markedly down due to the first national lockdown and several manufacturers having issues getting stock into the market. When restrictions eased down in the summer of 2020, the market did see a recovery on the contract side and with a number of homeowners doing bathroom renovations and upgrading their bath or replacing their baths; however, this upturn was far from enough to offset the decline experienced beforehand.

Synthetic bath trends remained consistent in 2020 with consumers still opting for a freestanding bath, wanting more luxury in the bathroom as it improves the look of it, contributing to the aesthetic appeal they seek. This continuing trend is at the expense of standard baths, which a further contraction of sales alongside corner baths, a trend that has been very apparent in the marketplace for a number of years. There was also a slight resurgence in unconventional shaped baths, which you can find commonly online and in DIY stores. Nonetheless, there also continues to be an increased number of fashionable designs being available at affordable prices. One of these products being shower baths, which continue to see an uptake as consumers can combine the bath with a shower and anything to include the latter is a bonus for them.

The negative performance of cast iron baths largely resulted from issues with getting stock in, which continues to suffer from tighter regulations around metal casting and pollution, which has since increased the cost and difficulty involved in manufacturing these products. Steel baths followed suit in experiencing a strong decline in 2020, with key players in the marketplace struggling to import products. With showrooms remaining closed for the majority of 2020, this in turn had an impact on bath type materials such as mineral cast and solid surface, where these products are sold, at the upper end of the market. Innovation was still of the essence in 2020 with bath manufacturers investing in non-slip surface treatments which you can paint onto or even put onto a shower tray, with more products being produced to be more suitable for the UK's aging population.

The pandemic did not aid an already declining market with hydromassage baths contracting sales at a greater degree in 2020. Although a number of homeowners carried out home improvements, this product continues to remain unfavourable with consumers opting for cheaper alternatives such as a regular synthetic bath.

Overall shower tray volumes were down in 2020, but to a slightly lesser degree when compared to baths, given the trend towards showering. Low-end basic polyconcrete trays remain the bulk of the market, although slimline trays have been strong and taking share over the years. This development was slowed down in 2020, however, due to showrooms having to close, where these products are mostly pushed. Nonetheless, growth in this area will resume once the market

restabilises and will become more popular in terms of design and colours. Consumers continue to want the more minimalist look and it continues to be a strong development in the marketplace. Larger rectangular shower trays continued to be a trend with more homeowners wanting bigger shower spaces, taking baths out and putting showers in, with colours being another present trend on the market. Sliding doors also tend to be the only door type used with these trays, with sliding being the most common enclosure installed in the overall market. White trays continue to dominate the marketplace; however, the market has continued to see more demand for colours with manufacturers reacting to this development and launching new ranges. Plastic shower tray sales contracted further in 2020 with more consumers opting for the more favourable polyconcrete, reflecting consumer preference for the 'wet room look' and increased uptake of inclusively designed products as the general population ages. Nonetheless, the dominance of low-level shower trays in the UK has ensured that the market has been less affected by the growing trend towards wet rooms than other European markets, as low-level trays offer a similar look and are cheaper to install in existing properties, as wet rooms require retiling and additional provisions for drainage.

Prices and Market Values

The overall MSP of the UK baths and shower trays market saw a decline, despite price increases for all products in the price segments, which was in line with falling sales volumes. Bar hydromassage baths which saw a decrease in overall MSP, with prices remaining static per price segment in an unfavourable market, as the share of economy priced models increased, the overall MSP went up. The MSPs for all other product categories saw an increase in 2020, despite some being marginal. Rising steel prices and higher importation costs were contributing factors for the price increases across the board, alongside the uncertainty with COVID-19 and shortages around the world impacting cost prices negatively.

With showrooms remaining closed for the majority of 2020, this negatively impacted sales of baths to the upper/luxury segment where these products are typically sold. This in turn prevented overall MSPs from rising at a higher rate as the share of upper/luxury products saw a decrease. Value when listed in euro also remained negative but rather due to the overall decrease in volume, rather than the exchange rate against the pound, with the pound seeing a faster recovery once the UK and EU secured a free trade deal.

New Housing

The baths and showers market previously has benefited from the recovery of the UK's private residential construction segment in recent years; however, 2020 saw a strong contraction of sales towards this end-use segment, given the decline in new build construction of family homes and apartments. Trends remained consistent in 2020, despite the overall drop off, with synthetic continuing to dominate here as it remains the preferred installed product by the house builders. Steel baths remain popular here also but particularly in the South of England, whereas synthetic is preferred in the North, a trend that continued in 2020. It is a trend that has been

apparent for some years in the UK, with architects preferring and specifying this. Private ownership continued its transition towards shower enclosures and wet rooms, which has in turn driven sales of polyconcrete shower trays, as well as the uptake of enclosures in en suites, which was still very apparent in the marketplace.

It is estimated that the ratio of shower trays to new housing completions should increase over the forecast period as the trend toward second shower rooms strengthens, while the number of baths will likely remain more static. However, the rising uptake of shower trays in this segment has been somewhat curtailed by the growth of the UK's wet room park, as UK legislation stipulates that 10 to 15% of new build homes completed annually must have provisions for accessibility. As wet rooms offer a fashionable means of meeting these requirements, they have become increasingly popular in new build in recent years, which has enabled wet room manufacturers to bring down the costs of their installations. The penetration of wet rooms is higher in the UK's new build segment than in existing properties, as installation does not require expensive retiling or modifications of an existing drainage system.

Housing RMI

The majority of bath and shower tray sales are sold into the RMI sector, comprising both replacements of old shower trays or baths and additions of second bathrooms. The RMI segment was quite negative in 2020; however, when compared to the contract side of business, it fared quite well due to a number of homeowners doing home improvements, as imposed national lockdown prevented people from travelling and instead had their focus turned to improving their homes. Consumers opted for cheap polyconcrete trays to replace their baths, further increasing the development of showering away from bathing. Demand was very apparent in the market; however, the main issue was supply as a number of local manufacturers were closed for a while and additional import of bathroom products was also hampered. The gap created by this issue with supply was somewhat balanced by players who had stocked up prior to the pandemic; however, the contraction in Q2 was too severe to recover from. Overall RMI sales are expected to recover well in 2021 with the trend towards showering continuing well over the forecast period, with more homeowners looking to invest in wet rooms as they continue to seek the sleek look.

The RMI sector was not a key source of demand for hydromassage baths in 2020, and sales in this segment declined for all hydrotherapy products. Hydromassage products are viewed as a luxury items, with the market very dependent on levels of disposable income and consumer confidence.

Non-Housing

The bulk of non-housing demand for baths and shower trays in the UK comes from hotels and other temporary accommodation facilities, such as university halls. The non-housing segment is the only segment that continues to favour baths over shower trays, as baths are usually favoured by hotels. Overall demand from the

non-housing segment strongly contracted due to the COVID-19 pandemic, with construction ceasing collectively for a large part of the year. Demand for shower trays in non-housing facilities continues to face competition from wet rooms, which are also increasingly favoured in gyms, care homes and other non-housing facilities that require provisions for accessibility. Non-housing demand is expected to return to growth from 2021 onwards; however, most non-housing buildings do not require showering facilities, thus applications for these products are very specific and limited.

The non-housing segment has become an increasingly important source of demand for hydrotherapy products in recent years, as uptake has increased in hotels, care homes, spas and other wellness facilities. This trend slowed down in 2020 in line with overall construction and renovation seeing a strong slowdown; however, it proved to still be important with the increased implementation of services for the UK's aging population. Many hydrotherapy manufacturers, therefore, are modifying their product ranges to be accessible to end users with limited mobility and shifting their marketing messages to emphasise the health benefits of their offering.

Supply Structure

The majority of the baths market is split between steel and synthetic. Steel supply is dominated by importers with narrow distribution channels and OEM to important UK players, such as TWYFORD (now part of GEBERIT). In contrast, the vast majority of synthetic baths manufacturers are domestic. There is a tendency for synthetic baths manufacturers to supply through as many channels as possible, as the comparatively lower MSP of these products makes it necessary to generate higher volume sales.

The UK cast iron baths market is supplied purely by importers, with the Spanish ROCA the market leader. RECOR from Portugal and HERITAGE BATHROOMS are the other key players. The majority of UK imports come from China, Poland and Portugal, with the remainder of the market largely fragmented. Ireland is the only significant export market for these products from the UK.

The steel baths market is also primarily supplied by importers, with TWYFORD being the only UK-based company operating in this market. KALDEWEI remains the market leader, and retains its supply contract with IDEAL STANDARD. Unlike other material types, the synthetic baths market is predominantly supplied by UK manufacturers. This is mainly because the cost of importing can often be uneconomic, owing to the comparatively cheap cost of manufacturing within the UK. TROJAN remains the market leader, whilst also providing OEM baths to other manufacturers under their desired brand name.

REVA INDUSTRIES who were a major supplier for synthetic baths to B&Q, went bust in 2017 with market leader TROJAN purchasing their tooling, to take it out of the marketplace. TWYFORD, from which sales of synthetic baths are now completely imported from sister companies within the GEBERIT GROUP, represent

another major market player. B&Q now supplies a significant number of OEM baths under their COOKE & LEWIS brand.

The major manufacturers are predominantly domestic in the plastic shower trays market since the cost of importation usually outweighs the margins to be made. Unlike the baths market, companies tend to work in very narrow distribution channels, with some aiming almost entirely at DIY firms, whilst others will only supply independent merchants via factors. In addition, it should be noted that there is a degree of OEM manufacturing, with products often being sold on to shower enclosure manufacturers, who then sell trays with their enclosures effectively under their own brand. TROJAN stopped selling plastic trays in 2019 as they saw no margins in this product and turned their focus elsewhere in the bathroom industry.

The polyconcrete shower tray market, which includes cast stone and capped acrylic products, is led by JUST TRAYS, who produce locally in Yorkshire. Other major manufacturers include principally shower manufacturers. MARLETON CROSS (MX SHOWER TRAYS) supplies shower trays on an OEM basis to a number of shower enclosure manufacturers including NOVELLINI and SELECTA. The BATHROOM BRANDS GROUP distributes most of its acrylic shower trays through its ZAMORI brand. KOHLER MIRA is largely sold through PLUMB CENTER.

Local manufacturing of hydromassage baths has been declining consistently for well over a decade, with this market being formerly led by SPA TEC who used to source their baths from other players and install their components on to them. SPA TEC have now for a number of years been only supplying jets as spare parts and a similar business change occurred with the likes of HYDRO DYNAMIC and HYDRO AIR. POWERJET WHIRLPOOL and JACUZZI occupy the highest branded volumes with over two-thirds of the market being occupied by 'Others'. The majority in 'Others' is represented by imported Chinese products with a number of unbranded players residing online and in DIY retail stores. This has been prevalent in the marketplace for a number of years with consumers opting for much cheaper products and this surge of imports has since killed the market with several local players exiting the market. The market does still consist of some specialist manufacturers and luxury bathroom product manufacturers such as DURAVIT and VILLEROY & BOCH, which offer hydromassage baths as part of a luxury bathroom suite set.

Forecasts

The overall baths and shower trays market is expected to see good recovery in 2021 and reclaim a decent chunk of the sales lost in 2020 due to COVID, with construction for both residential and non-residential returning to be a key driver for growth. Given a no deal Brexit was avoided and a free trade deal was struck between the UK and EU at the end of 2020, this should restore some confidence in consumers and prompt them to spend a bit more, with an expected recovery in the RMI segment. Another key and potentially more important factor in restoring confidence into the UK population is the vaccine rollout which has been prevalent

from December 2020, with more UK citizens getting the jab. On the other hand, with more people getting vaccinated and lockdown restrictions slowly being lifted, this could ultimately lead to more people wanting to travel rather than staying home or some homeowners could still be apprehensive about travelling and choose to delay travelling. Nonetheless, irrespective of what most of the UK population choose to do, the overall market is expected to recover well, largely driven by a recovery in new build residential and non-residential construction.

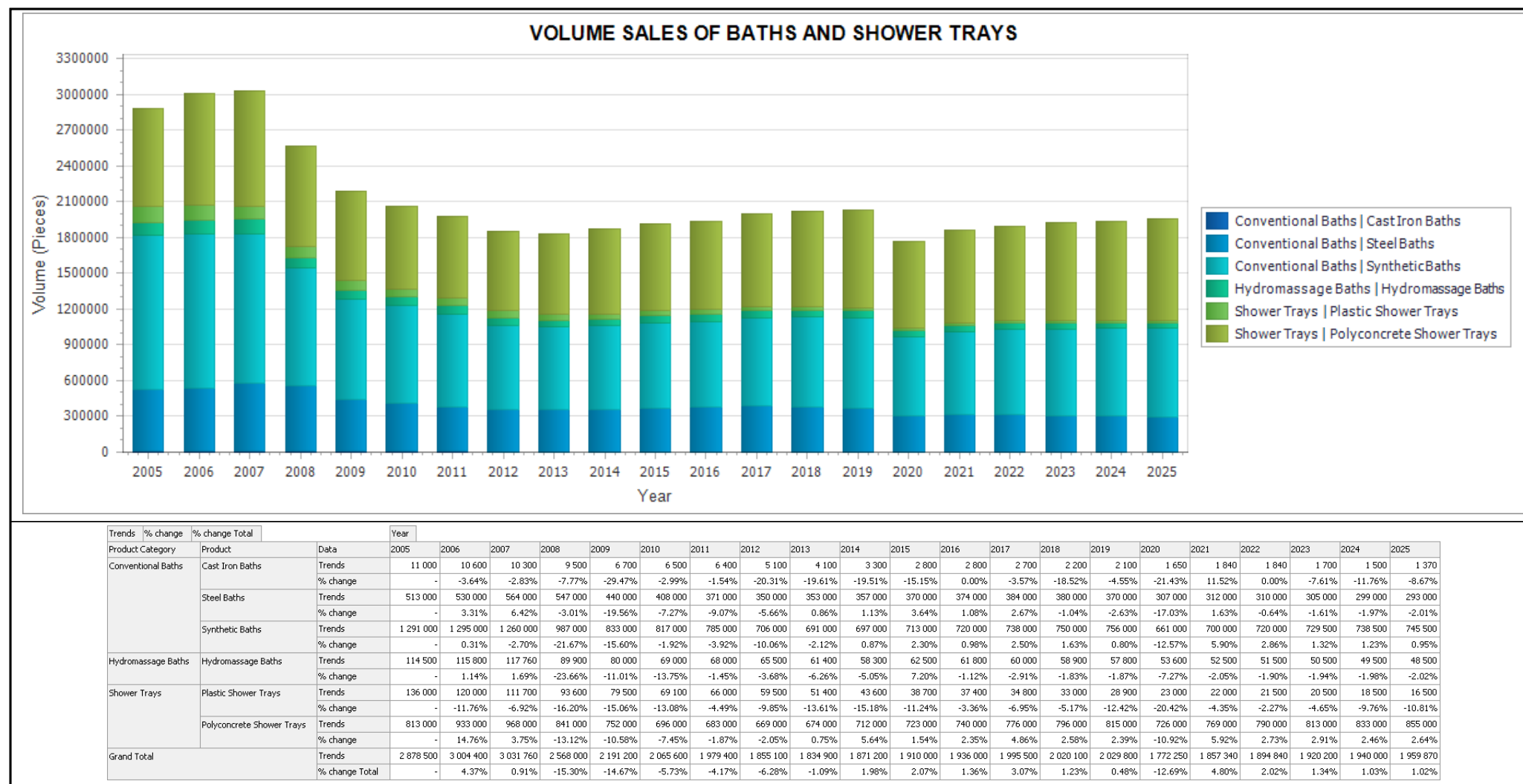
The trend away from baths towards showers is expected to strengthen year on year over the forecast period with baths losing share in new housing (especially for cast iron and steel baths), in favour of trays and wet rooms. Despite this, manufacturers of both trays and baths will encompass a wider number of safety and walk-in products, making products more suitable for the UK's aging population. Demand for shower trays, polyconcrete primarily, is expected to develop well over the forecast period along with wet rooms as the trend towards showering strengthens. Product developments should remain consistent over the forecast period, as the trend towards showering strengthens, in turn driving the larger rectangular trays as an increasing number of homeowners opt for a bigger showering space. With showrooms expected to reopen slowly in 2021, the development of slimline trays will accelerate again as this is where these products are pushed more. These trays are expected to continue being popular over the forecast period, in terms of design and colours, with more being anticipated to be brought into the marketplace. The consumers are looking for and wanting more of a minimalist look, which looks set to remain a strong part of the market.

Bath sales are expected to remain quite sluggish with shower tray sales continuing to grow at a stronger rate due to their preference in the UK's increasingly small dwellings and second shower rooms. Although the UK's recovering housing completions will ensure new build is a key sector of demand in the short term, RMI demand is predicted to play a greater part in market growth over the medium term as new completions are expected to slow down. The value of the steel baths market is likely to struggle in the next five years due to the ever-rising steel costs, putting pressure on manufacturers to remain appealing to the consumer but also competitive between themselves.

With the UK and EU agreeing on a free trade deal, exports appear to have been hit harder than imports in the first few months of 2021; however, as firms on both sides of the channel grow accustomed to new trading agreements, this disruption is expected to dissipate. In the long-term, the UK and EU relationship will be mired by uncertainty and possible instability and, with a review clause in 2024, this certainly means the issue of EU trade will play a role in the election that year. The hot topic is whether the UK-EU deal will stand the test of time and so long as the UK sticks to its commitments, the overall economy and UK bath and shower trays should recover well and be driven by recovering consumer consumption, real term earnings and other macroeconomic factors.

1.2 Historical Trends and Forecasts

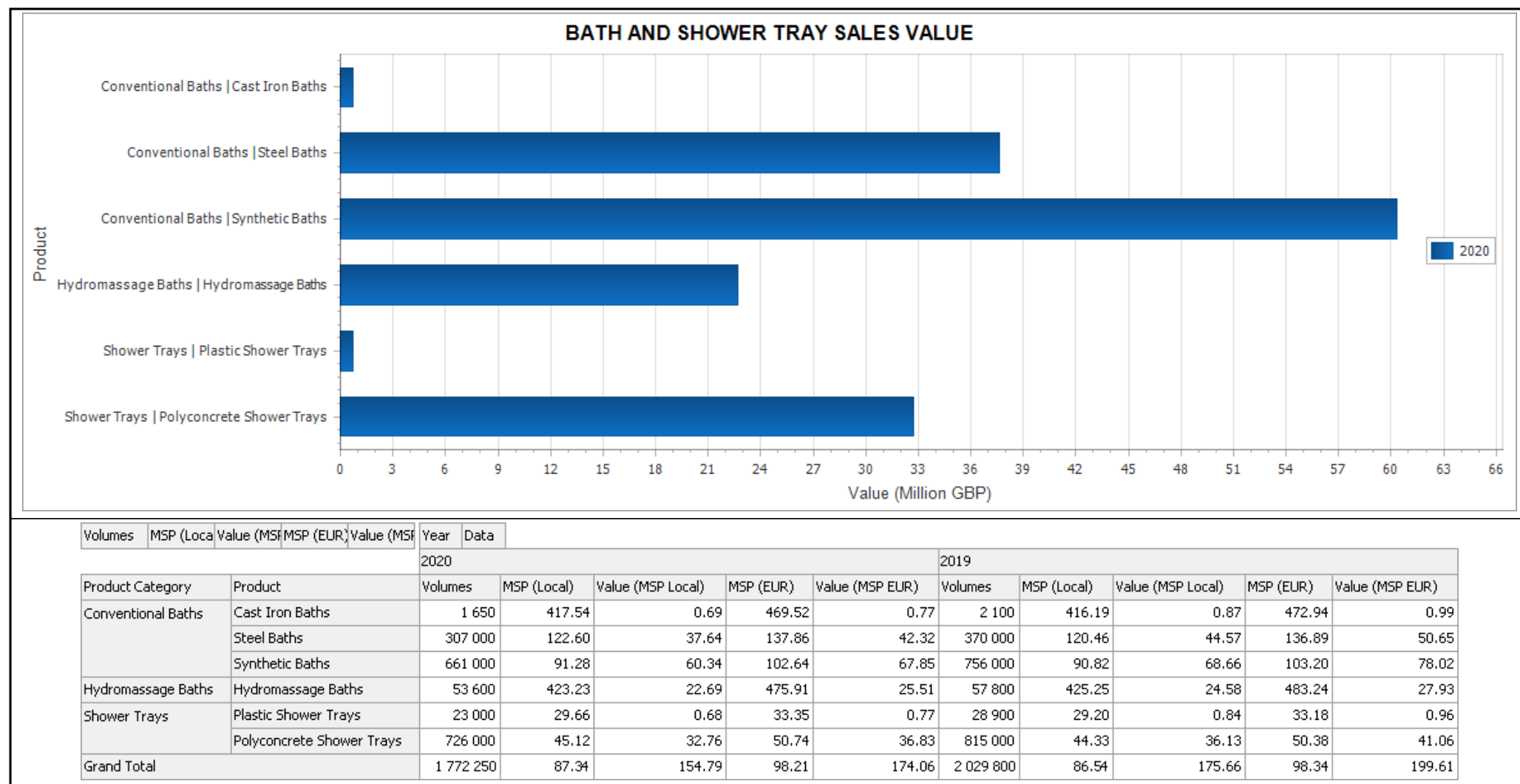
UK - SUMMARY OF TRENDS IN THE BATH AND SHOWER TRAY MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

1.3.1 Prices and Market Values : Baths and Shower Trays

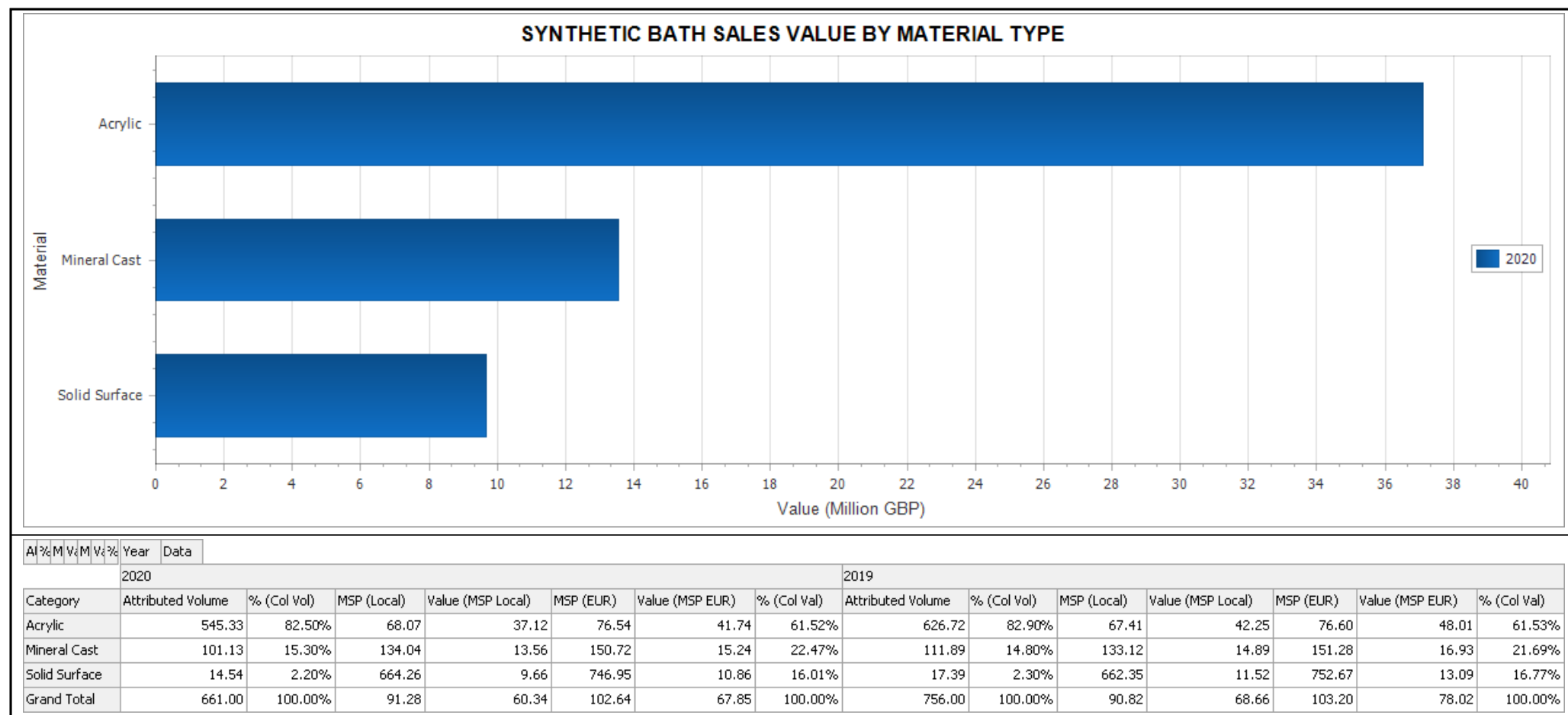
UK - ESTIMATED VALUES OF THE BATH AND SHOWER TRAY MARKET



Source: BRG based on industry interviews. Local Prices Shown in GBP. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

1.3.2 Prices and Market Values : Synthetic Baths

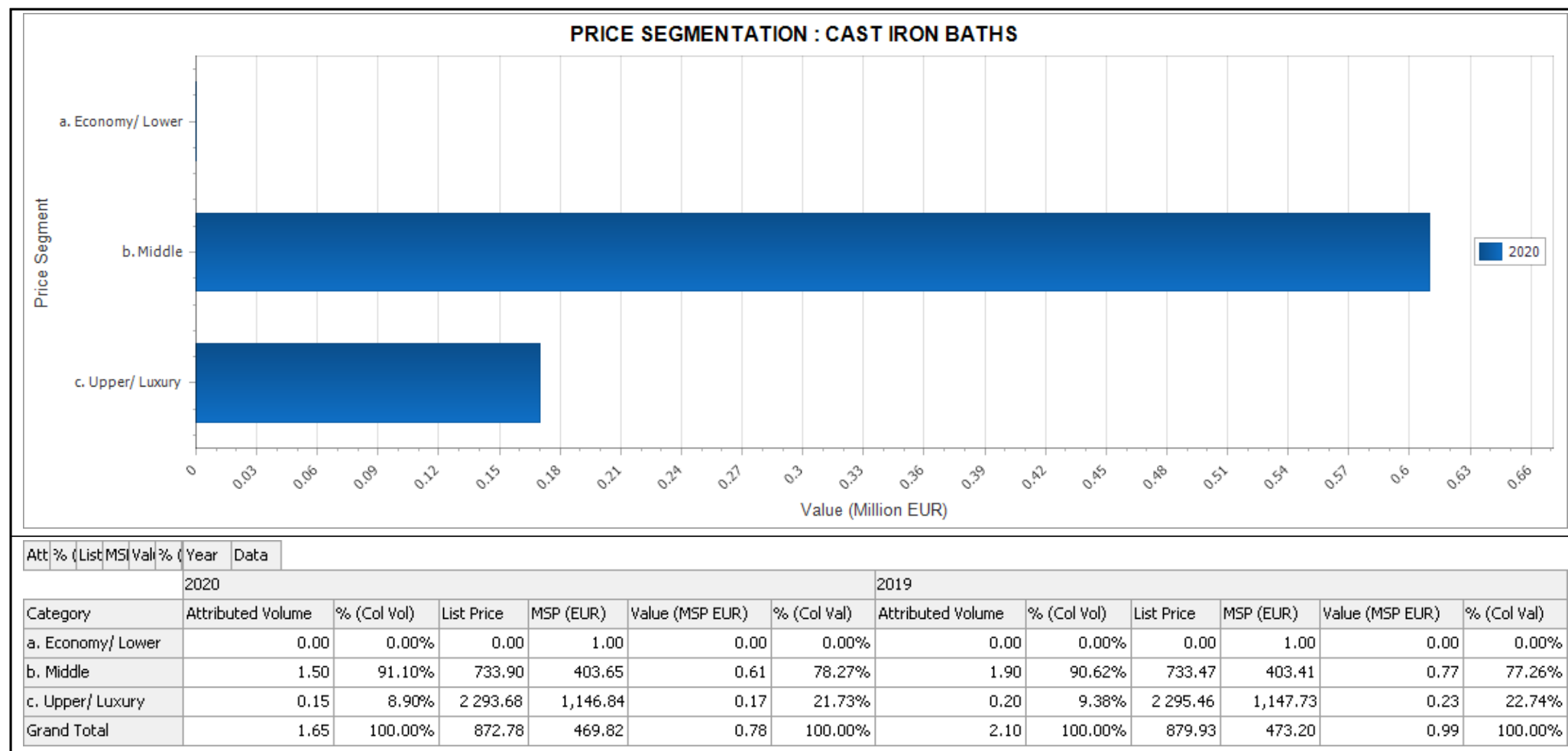
UK - ESTIMATED VALUES OF THE SYNTHETIC BATH MARKET BY TYPE OF MATERIAL



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in GBP. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

1.3.3 Price Segmentation : Cast Iron Baths

UK - ESTIMATED PRICE SEGMENTATION FOR CAST IRON BATHS

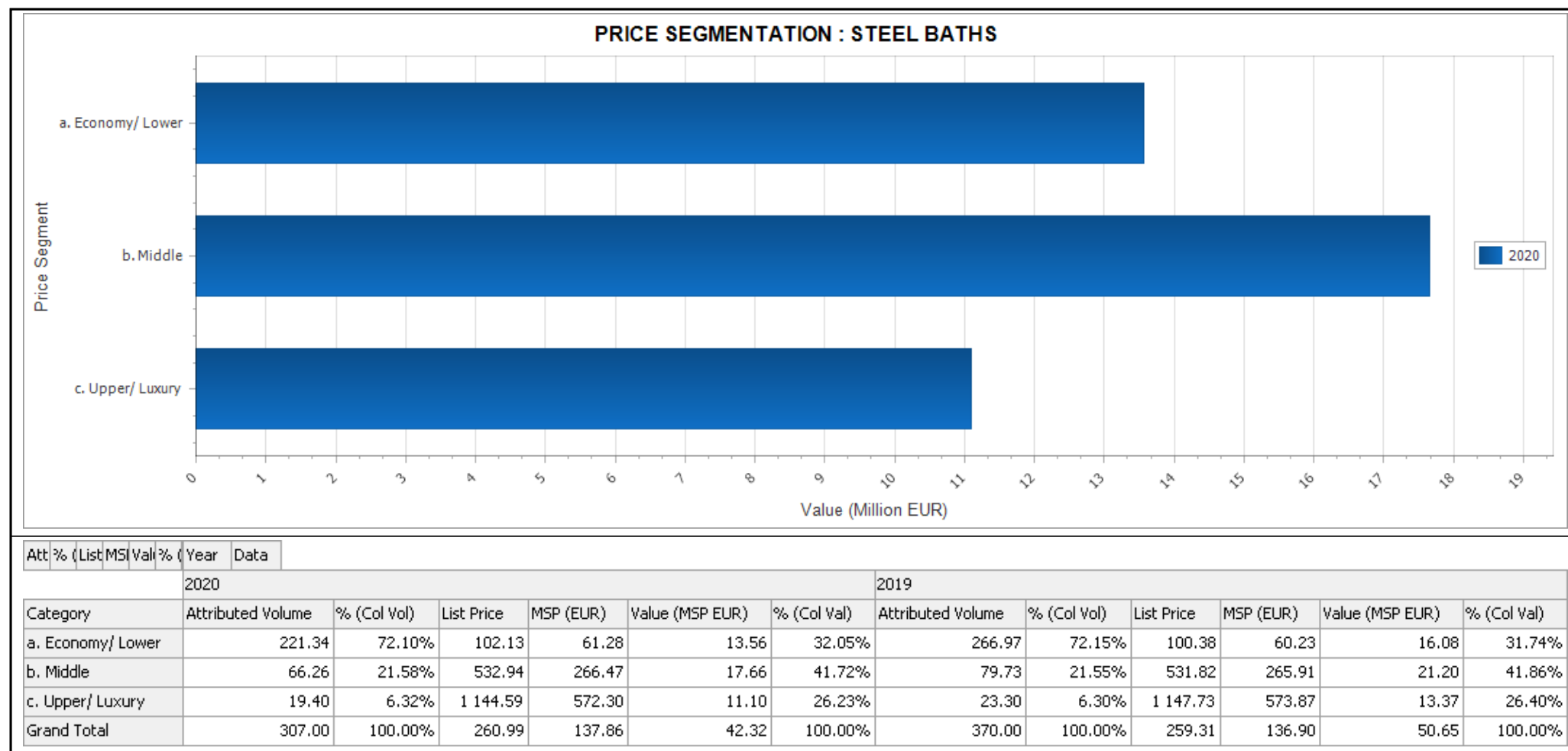


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€300, Middle €300-€600, Upper/ Luxury >€600

1.3.4 Price Segmentation : Steel Baths

UK - ESTIMATED PRICE SEGMENTATION FOR STEEL BATHS

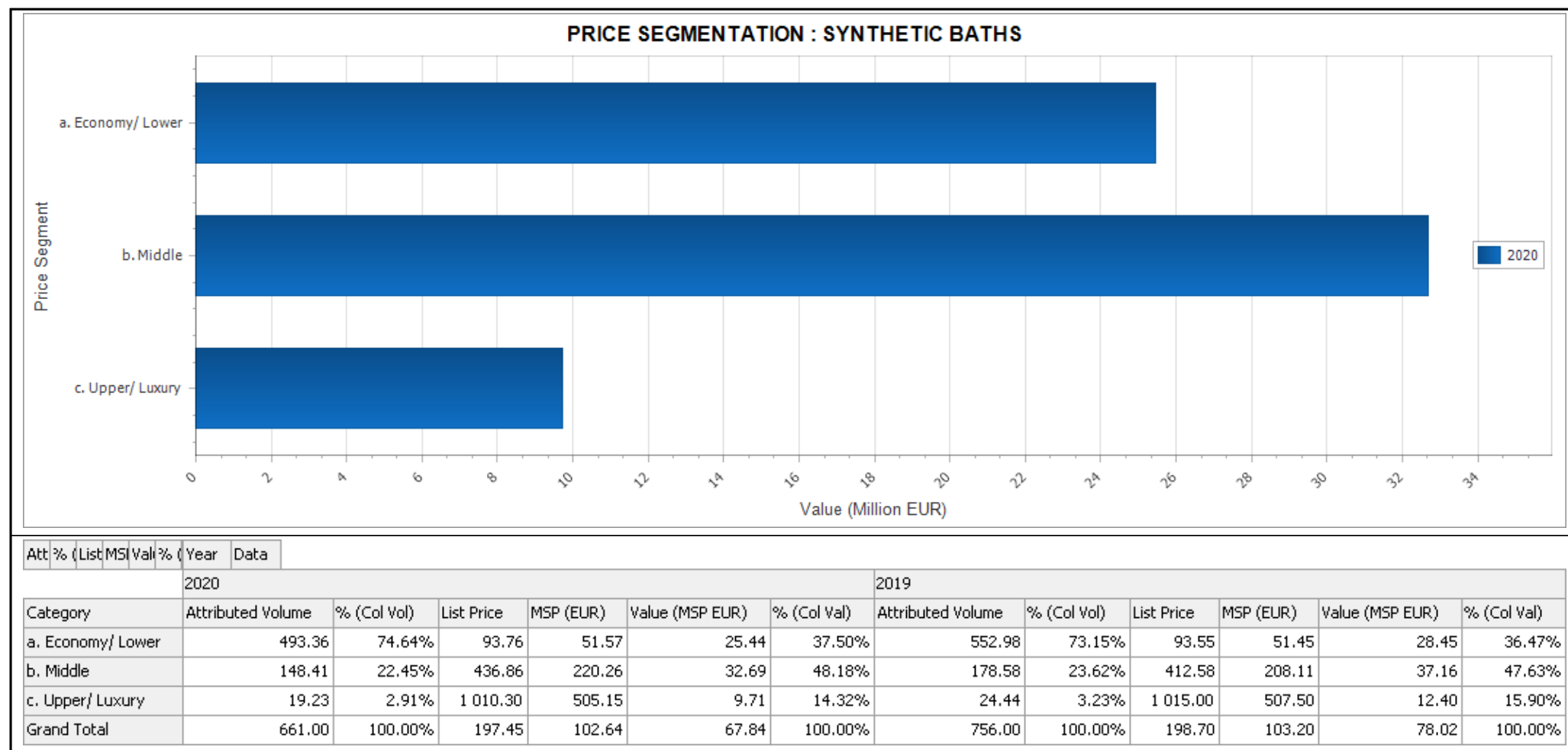


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€200, Middle €200-€400, Upper/ Luxury >€200

1.3.5 Price Segmentation : Synthetic Baths

UK - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC BATHS

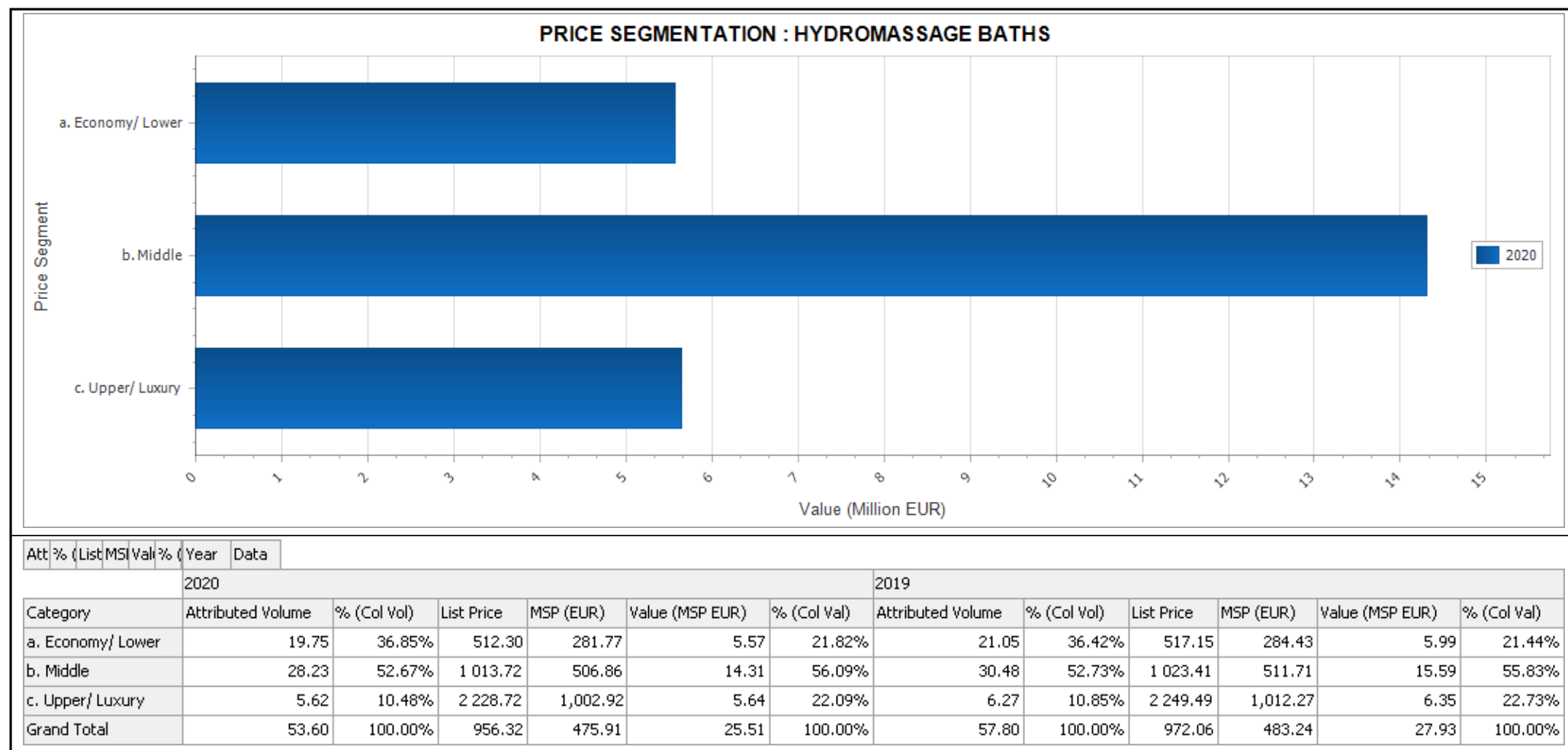


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€150, Middle €150-€300, Upper/ Luxury >€300

1.3.6 Price Segmentation : Hydromassage Baths

UK - ESTIMATED PRICE SEGMENTATION FOR HYDROMASSAGE BATHS

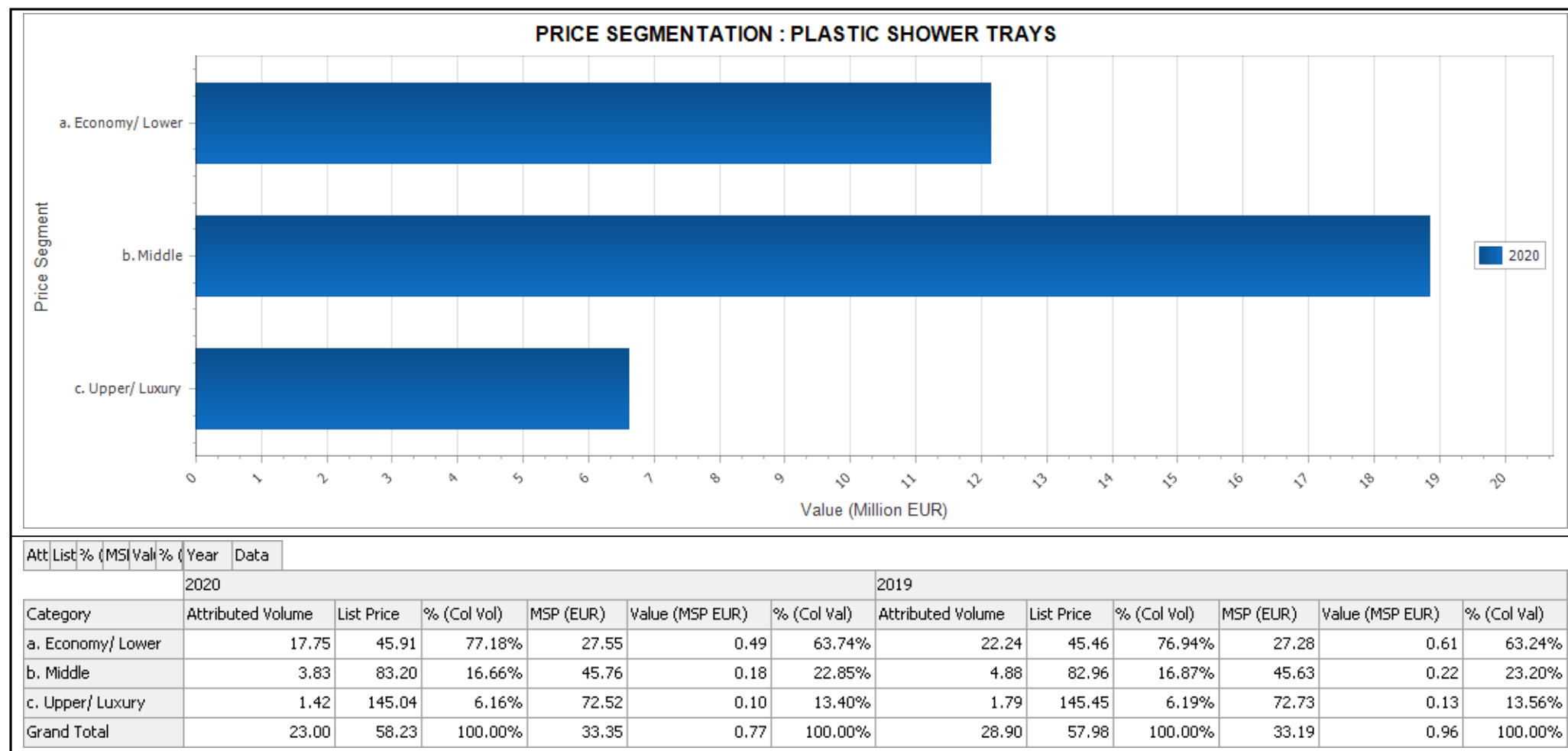


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€400, Middle €400-€600, Upper/ Luxury >€600

1.3.7 Price Segmentation : Plastic Shower Trays

UK - ESTIMATED PRICE SEGMENTATION FOR PLASTIC SHOWER TRAYS

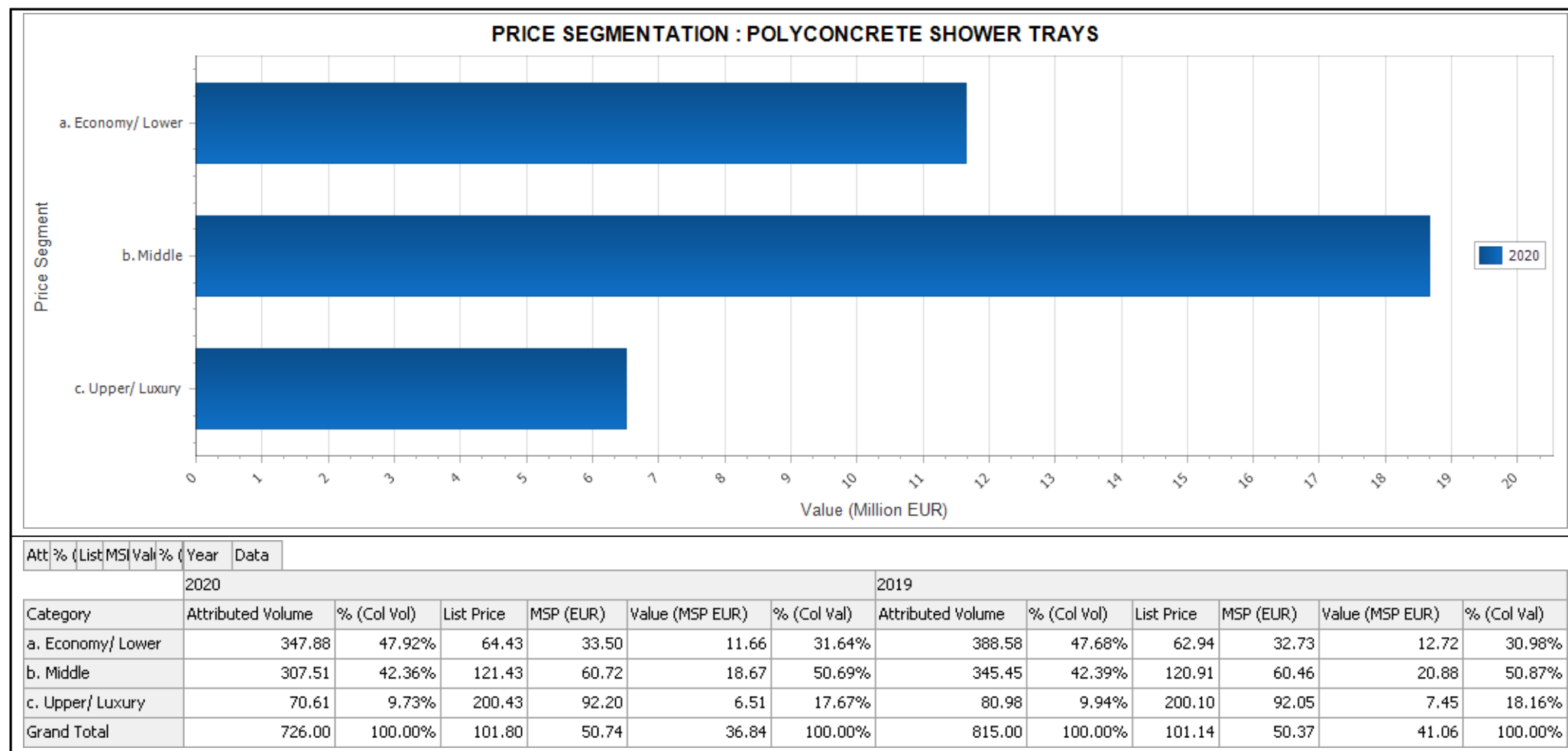


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€30, Middle €30-€60, Upper/ Luxury >€60

1.3.8 Price Segmentation : Polyconcrete Shower Trays

UK - ESTIMATED PRICE SEGMENTATION FOR POLYCONCRETE SHOWER TRAYS

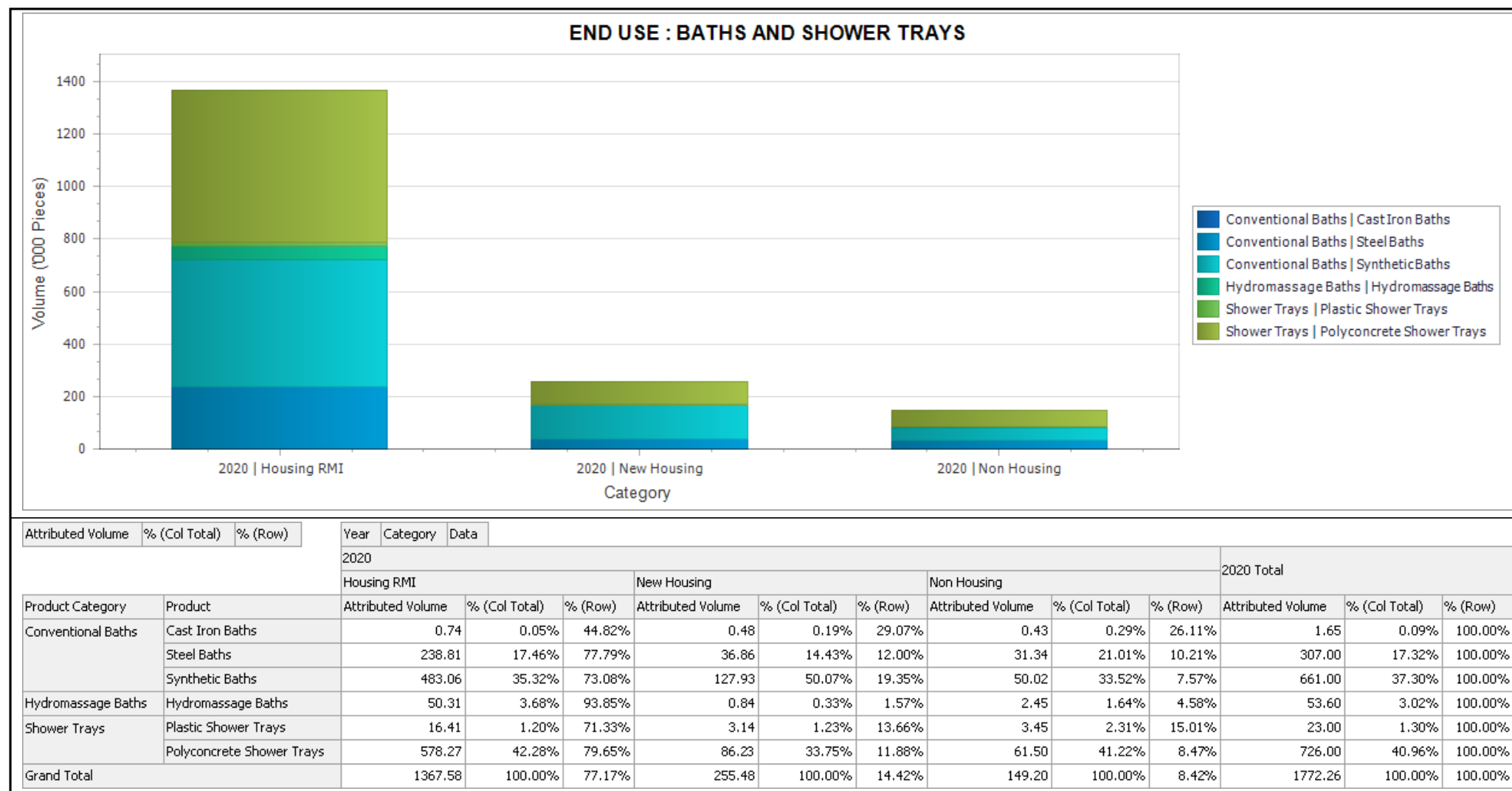


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€40, Middle €40-€80, Upper/ Luxury >€80

1.4.1 End Use : Base Year

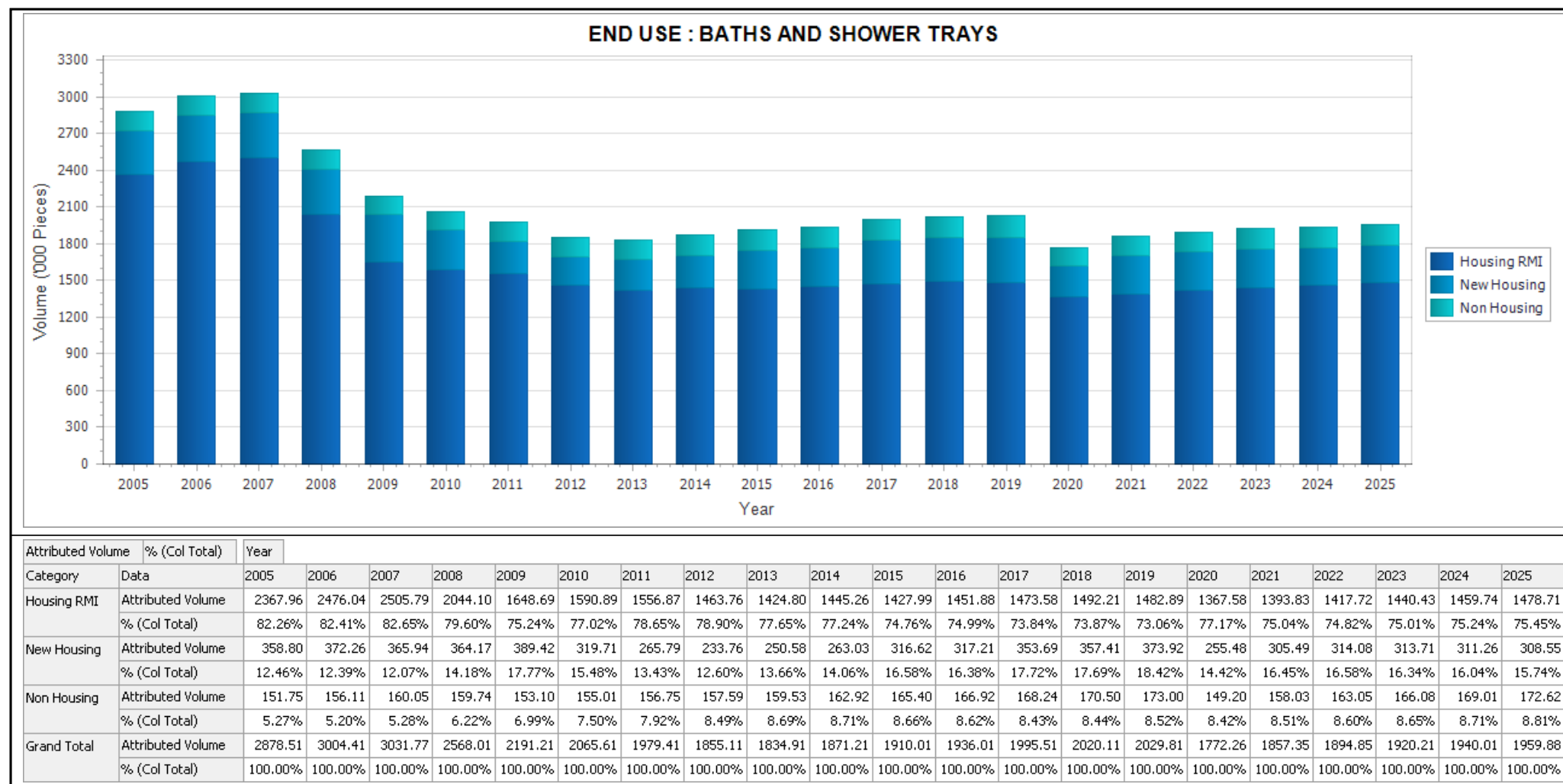
UK - SALES OF BATHS AND SHOWER TRAYS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.2 End Use : Historical and Forecasts

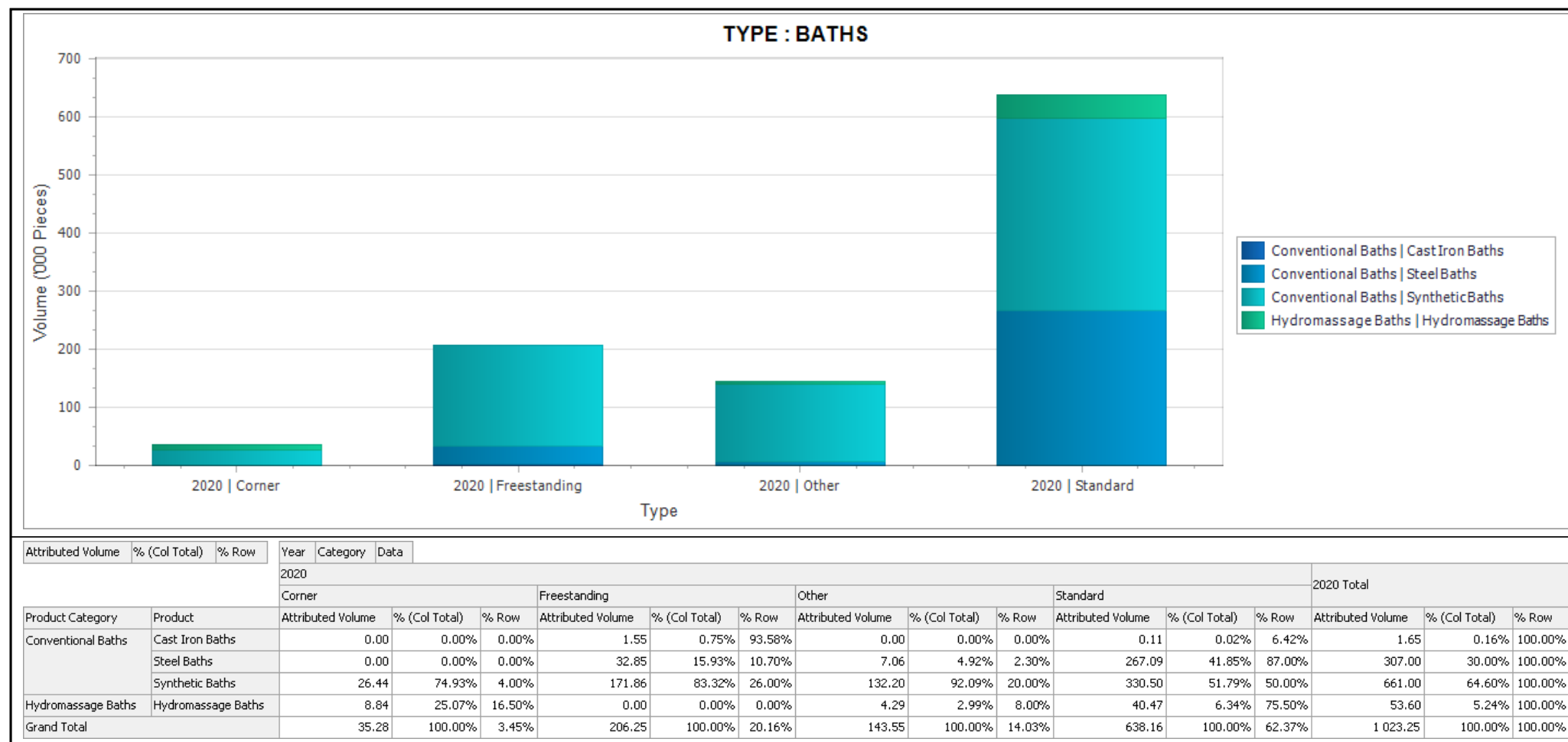
UK - SALES OF BATHS AND SHOWERS TRAYS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.3 Sales by Type : Baths

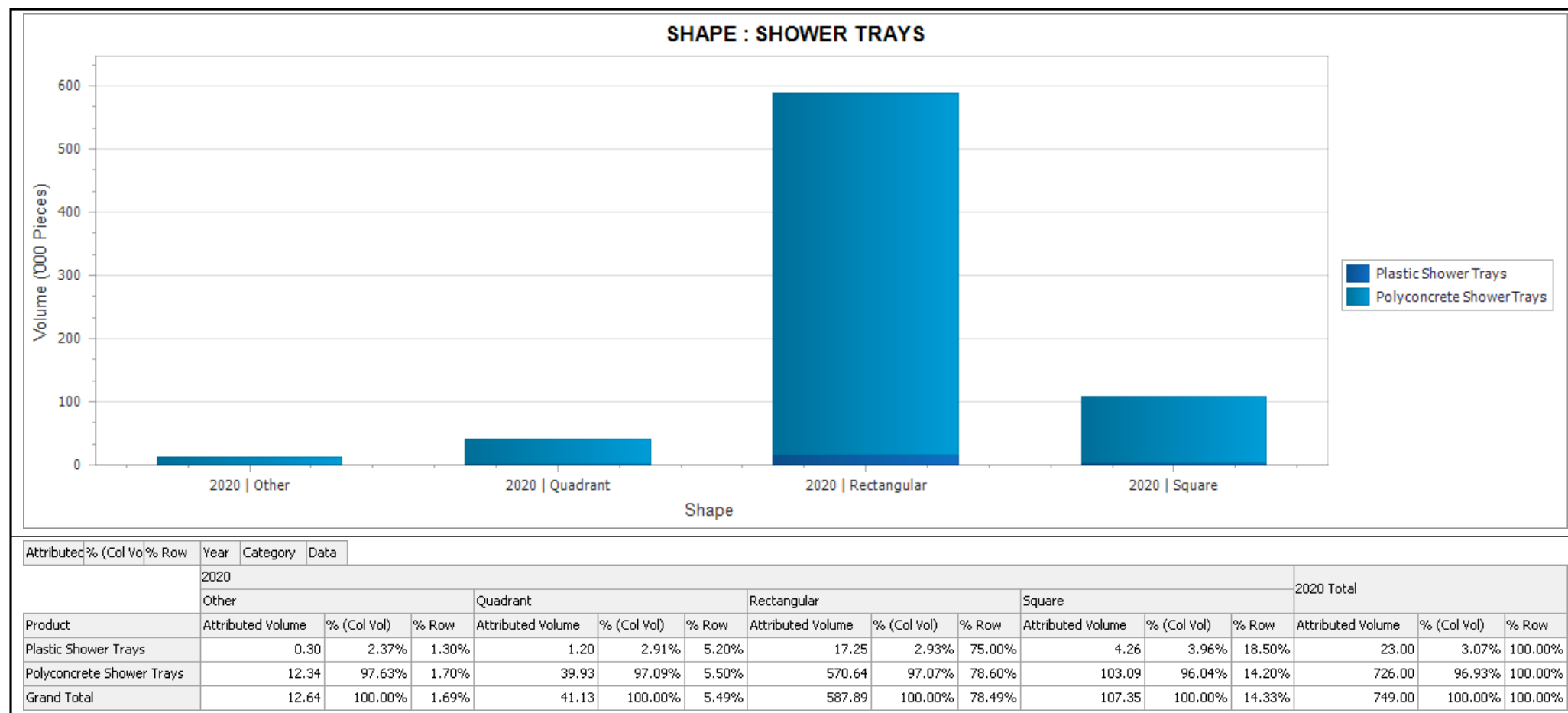
UK - BATH SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.4 Sales by Shape : Shower Trays

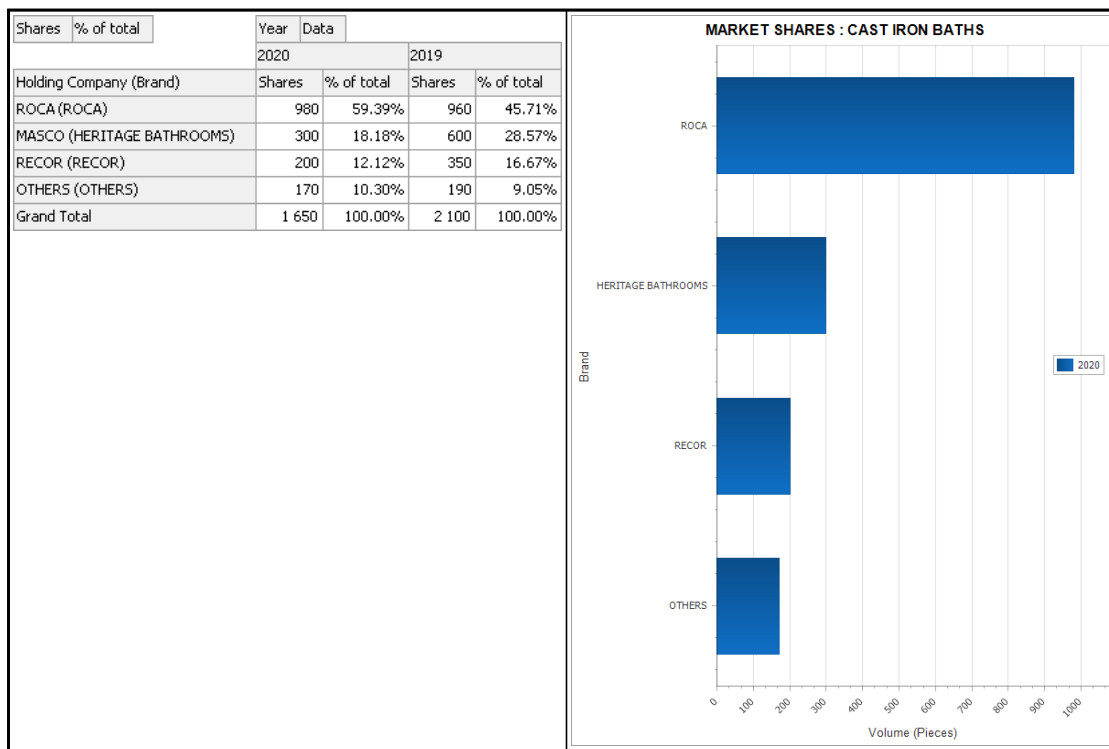
UK - SHOWER TRAY SALES BY SHAPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.5.1 Market Shares : Cast Iron Baths

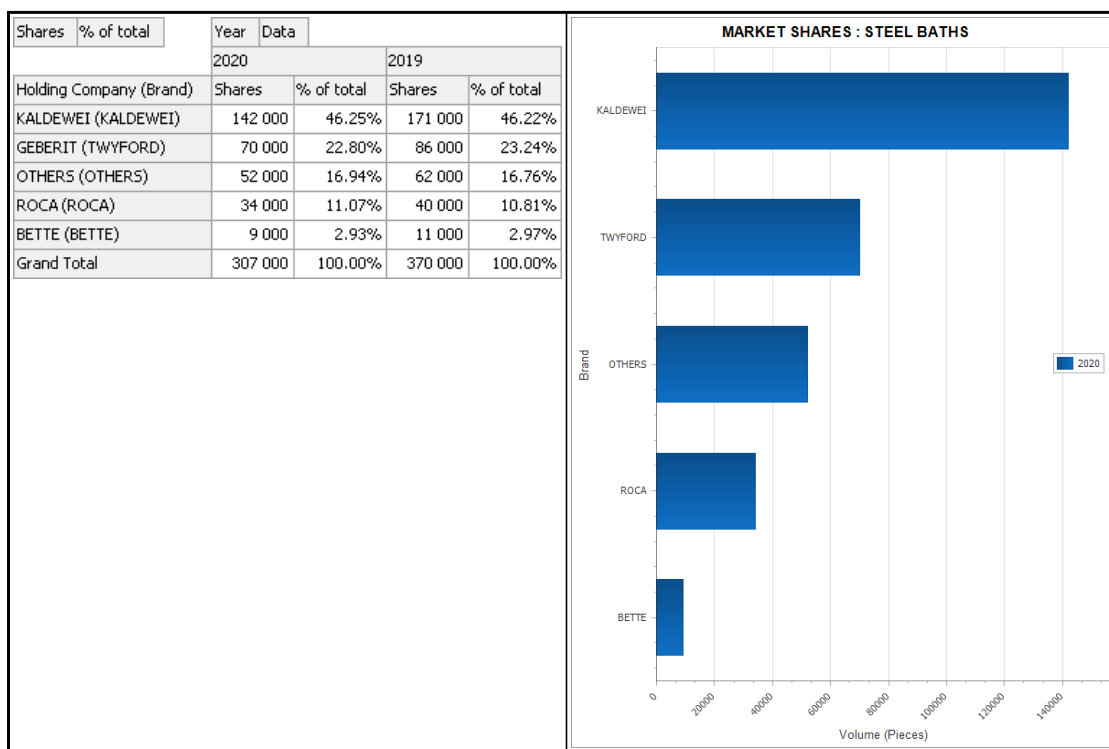
UK - ESTIMATED MARKET SHARES FOR CAST IRON BATHS



Source: BRG based on industry interviews.

1.5.2 Market Shares : Steel Baths

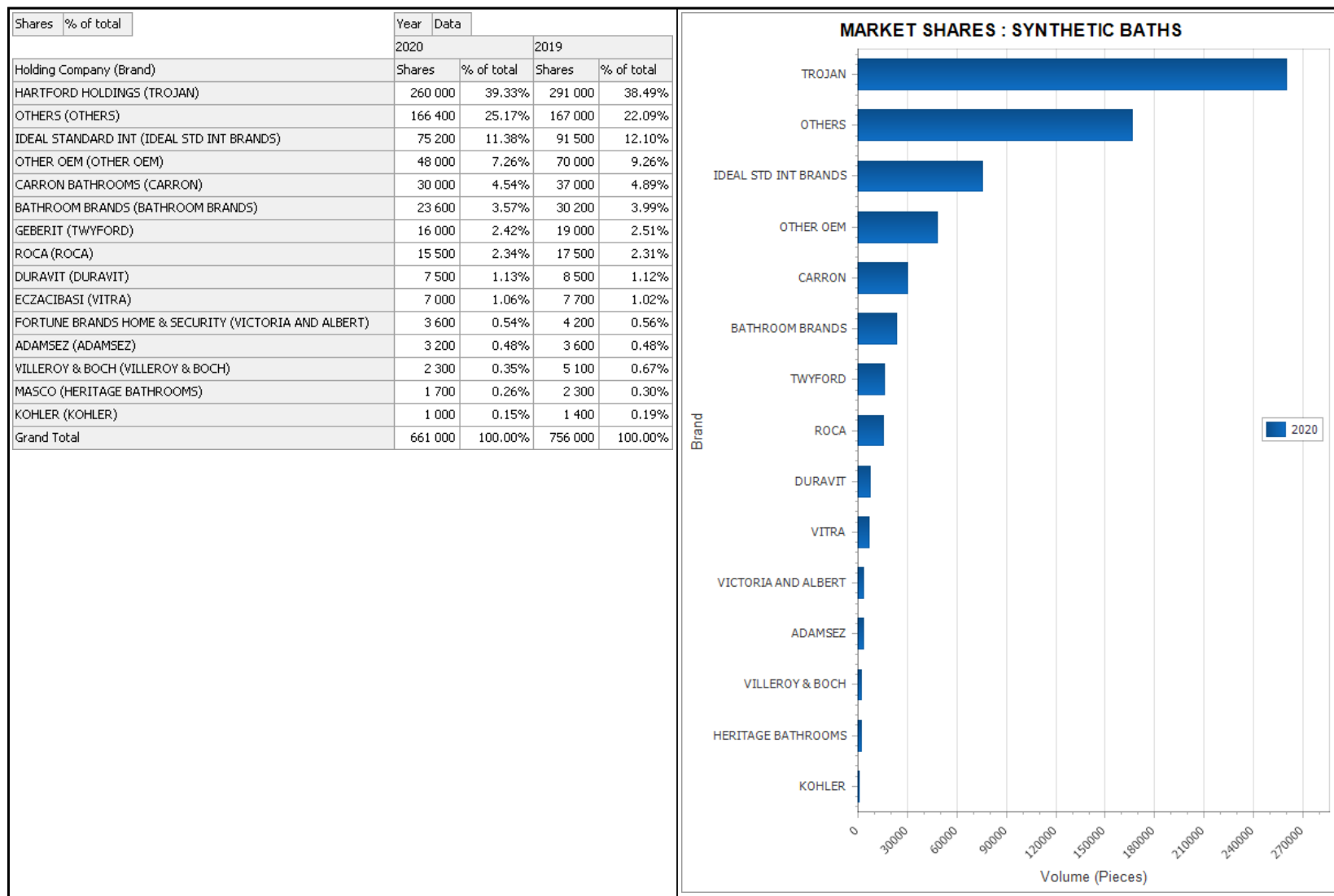
UK - ESTIMATED MARKET SHARES FOR STEEL BATHS



Source: BRG based on industry interviews.

1.5.3 Market Shares : Synthetic Baths

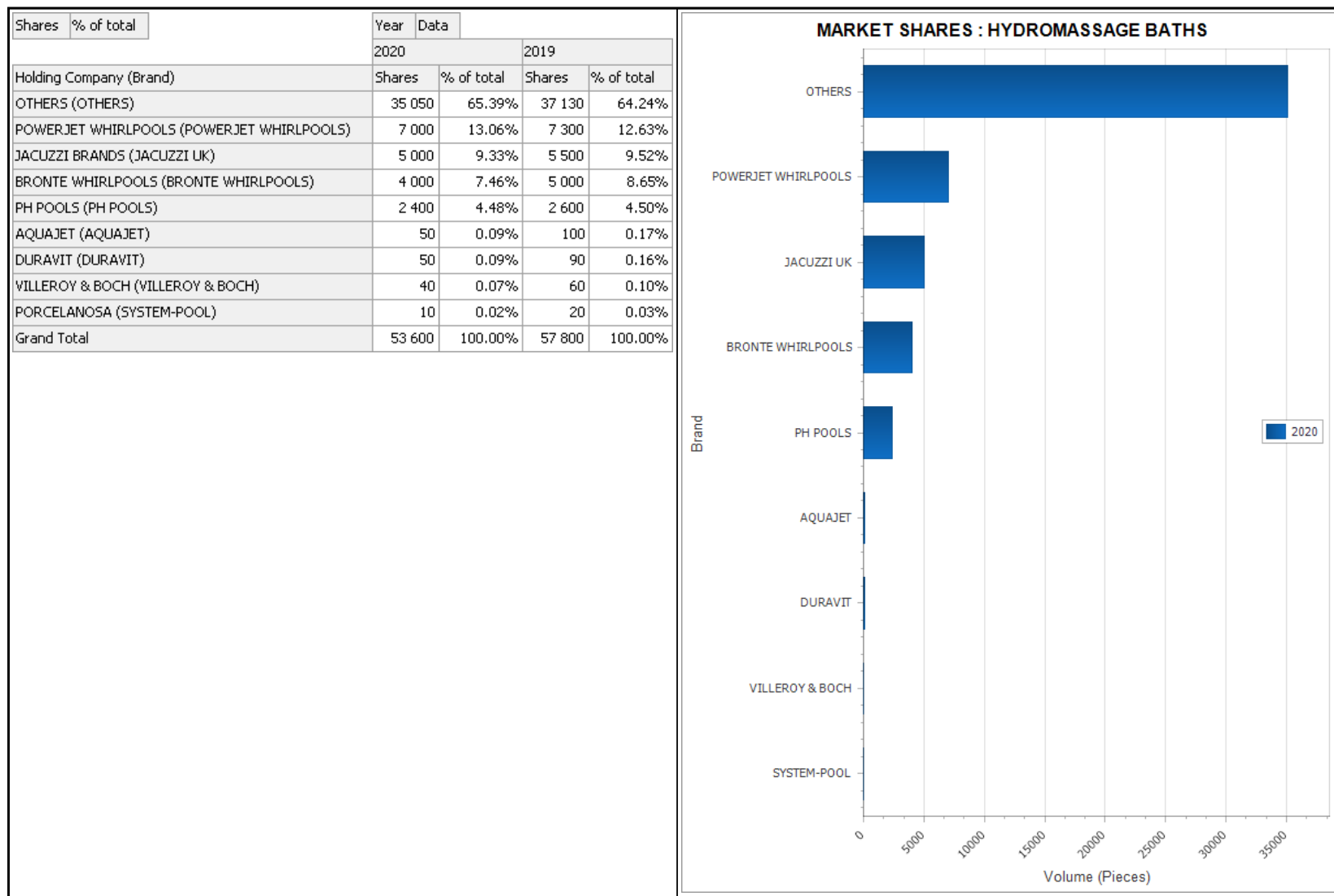
UK - ESTIMATED MARKET SHARES FOR SYNTHETIC BATHS



Source: BRG based on industry interviews.

1.5.4 Market Shares : Hydromassage Baths

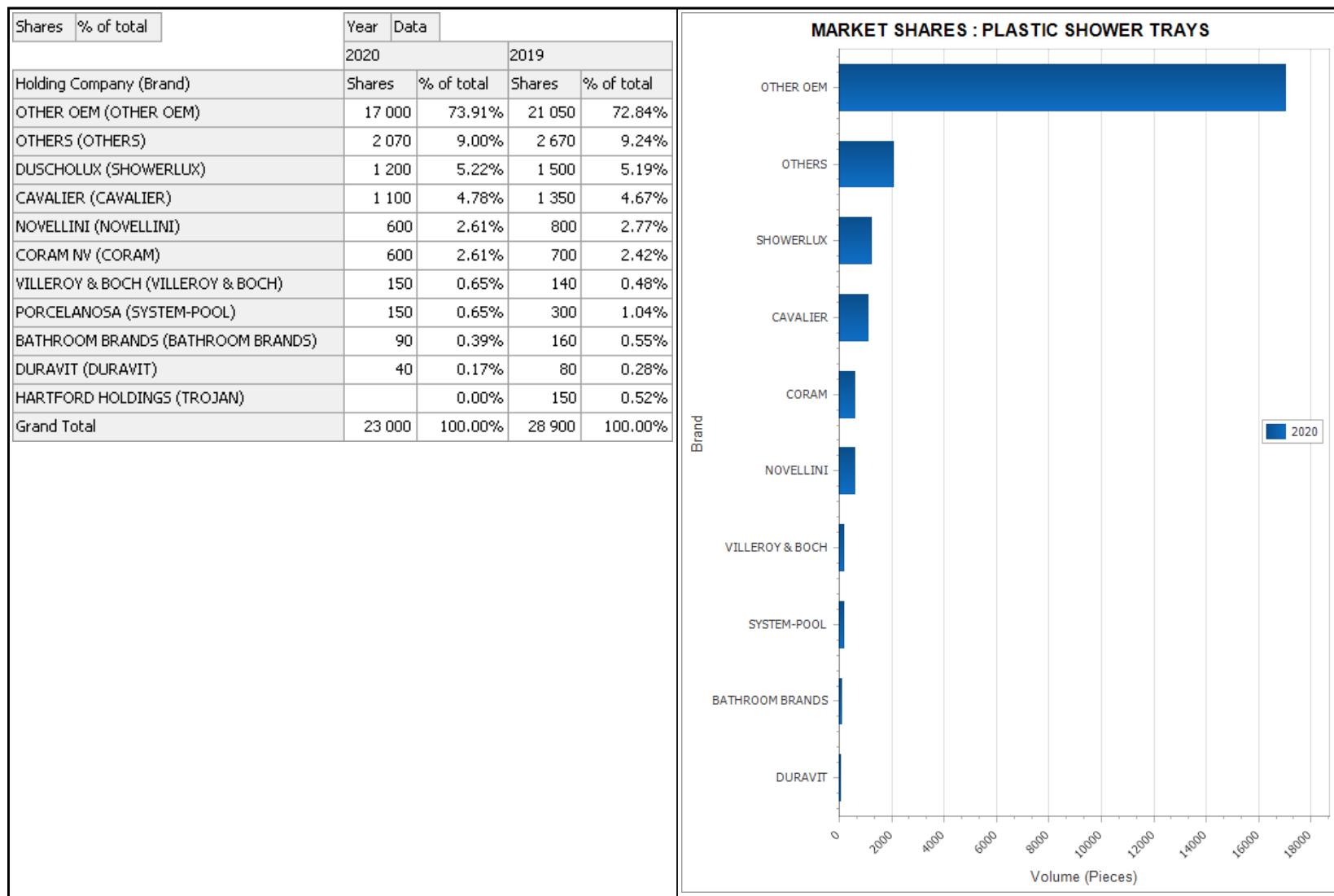
UK - ESTIMATED MARKET SHARES FOR HYDROMASSAGE BATHS



Source: BRG based on industry interviews.

1.5.5 Market Shares : Plastic Shower Trays

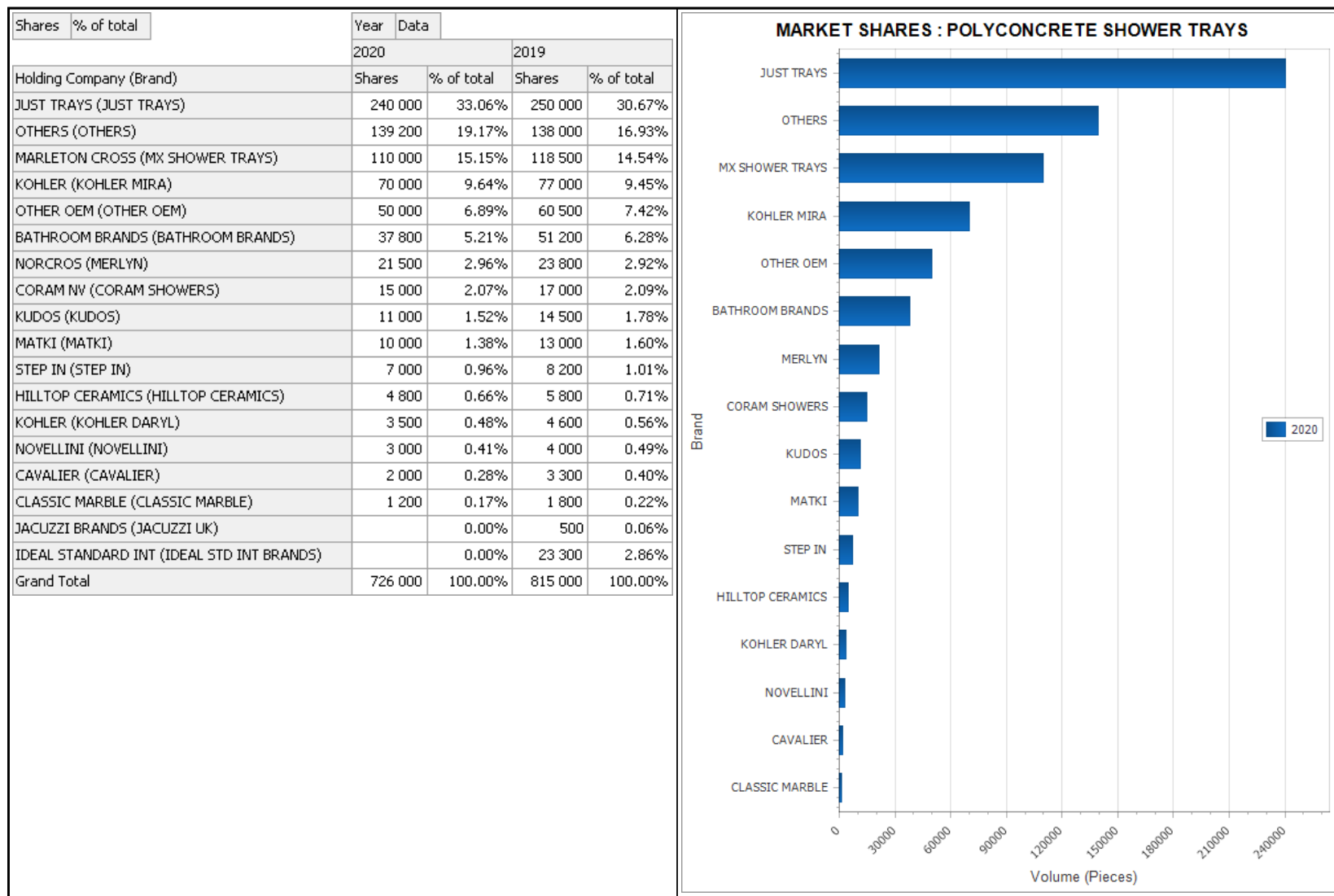
UK - ESTIMATED MARKET SHARES FOR PLASTIC SHOWER TRAYS



Source: BRG based on industry interviews

1.5.6 Market Shares : Polyconcrete Shower Trays

UK - ESTIMATED MARKET SHARES FOR POLYCONCRETE SHOWER TRAYS



Source: BRG based on industry interviews.

1.6.1 UK - IMPORTS OF BATHS AND SHOWER TRAYS - CAST IRON 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Portugal	814	57.7%	1 268	40.0%	542	48.1%	912	30.1%
China	272	19.3%	650	20.5%	409	36.2%	976	32.2%
Poland	211	14.9%	870	27.4%	60	5.3%	645	21.3%
Italy	103	7.3%	241	7.6%	64	5.7%	332	11.0%
OTHERS	11	0.8%	141	4.4%	53	4.7%	166	5.5%
Total	1 409	100.0%	3 170	100.0%	1 129	100.0%	3 031	100.0%

Source : Trademap

1.6.2 UK - EXPORTS OF BATHS AND SHOWER TRAYS - CAST IRON 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Italy	11	18.3%	68	9.4%	0	0.6%	1	0.1%
Ireland	10	17.0%	73	10.1%	15	24.9%	42	5.3%
United States of Amer	7	11.8%	273	37.8%	13	22.4%	398	50.4%
Germany	6	10.0%	41	5.7%	3	5.8%	29	3.7%
Netherlands	6	9.8%	37	5.1%	8	13.6%	49	6.2%
Viet Nam	5	7.7%	52	7.2%	4	6.9%	58	7.4%
Sweden	2	3.4%	5	0.7%	3	4.5%	7	0.9%
France	2	3.4%	22	3.0%	2	3.6%	38	4.8%
Czech Republic	2	3.2%	9	1.2%	1	1.7%	4	0.5%
Switzerland	1	2.4%	19	2.6%	0	0.4%	3	0.4%
Barbados	1	2.3%	23	3.2%	0	0.0%	0	0.0%
OTHERS	6	10.7%	101	14.0%	9	15.7%	160	20.3%
Total	58	100.0%	723	100.0%	59	100.0%	789	100.0%

Source : Trademap

1.6.3 UK - IMPORTS OF BATHS AND SHOWER TRAYS - STEEL 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	1 761	44.1%	6 650	59.9%	2 576	46.0%	8 162	58.3%
Spain	1 022	25.6%	1 744	15.7%	1 531	27.3%	2 531	18.1%
China	711	17.8%	1 269	11.4%	1 071	19.1%	1 997	14.3%
Poland	208	5.2%	649	5.8%	120	2.1%	381	2.7%
Portugal	185	4.6%	364	3.3%	216	3.8%	360	2.6%
Ireland	53	1.3%	121	1.1%	33	0.6%	87	0.6%
OTHERS	51	1.3%	314	2.8%	59	1.1%	476	3.4%
Total	3 991	100.0%	11 111	100.0%	5 605	100.0%	13 994	100.0%

Source : Trademap

1.6.4 UK - EXPORTS OF BATHS AND SHOWER TRAYS - STEEL 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Ireland	97	48.6%	363	34.7%	126	42.9%	347	40.9%
France	29	14.7%	60	5.7%	27	9.1%	71	8.4%
Germany	18	8.8%	43	4.1%	13	4.2%	27	3.2%
Nigeria	10	5.2%	58	5.5%	1	0.2%	10	1.2%
United States of Amer	7	3.3%	246	23.5%	6	2.1%	17	2.0%
Italy	5	2.6%	17	1.6%	5	1.8%	8	0.9%
Spain	5	2.5%	10	1.0%	7	2.3%	15	1.8%
Poland	5	2.4%	18	1.7%	0	0.2%	9	1.1%
Netherlands	4	2.1%	4	0.4%	7	2.3%	17	2.0%
Belgium	3	1.7%	5	0.5%	61	20.7%	4	0.5%
New Zealand	3	1.7%	42	4.0%	0	0.0%	0	0.0%
OTHERS	13	6.4%	180	17.2%	42	14.3%	323	38.1%
Total	199	100.0%	1 046	100.0%	295	100.0%	848	100.0%

Source : Trademap

1.6.5 UK - IMPORTS OF BATHS AND SHOWER TRAYS - SYNTHETIC 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
China	8 287	44.6%	31 249	43.2%	8 497	50.5%	31 719	44.6%
Egypt	3 137	16.9%	9 546	13.2%	3 085	18.3%	9 415	13.2%
Ireland	1 555	8.4%	4 335	6.0%	448	2.7%	4 798	6.7%
Turkey	1 239	6.7%	3 941	5.5%	991	5.9%	3 493	4.9%
Poland	1 033	5.6%	4 910	6.8%	686	4.1%	2 725	3.8%
Spain	741	4.0%	3 345	4.6%	427	2.5%	2 134	3.0%
France	738	4.0%	4 458	6.2%	478	2.8%	3 914	5.5%
Germany	683	3.7%	3 010	4.2%	1 068	6.3%	4 850	6.8%
South Africa	364	2.0%	2 191	3.0%	283	1.7%	1 901	2.7%
OTHERS	803	4.3%	5 285	7.3%	862	5.1%	6 148	8.6%
Total	18 581	100.0%	72 270	100.0%	16 824	100.0%	71 097	100.0%

Source : Trademap

1.6.6 UK - EXPORTS OF BATHS AND SHOWER TRAYS - SYNTHETIC 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
France	2 567	51.5%	8 145	28.8%	2 972	54.0%	9 299	30.0%
Ireland	734	14.7%	5 571	19.7%	786	14.3%	6 045	19.5%
United States of Amer	241	4.8%	1 931	6.8%	175	3.2%	1 309	4.2%
Russian Federation	198	4.0%	581	2.1%	156	2.8%	452	1.5%
Germany	154	3.1%	2 798	9.9%	186	3.4%	3 058	9.9%
Sweden	150	3.0%	1 168	4.1%	151	2.7%	1 233	4.0%
Spain	142	2.8%	690	2.4%	280	5.1%	1 026	3.3%
Denmark	99	2.0%	568	2.0%	71	1.3%	486	1.6%
Italy	91	1.8%	1 098	3.9%	83	1.5%	1 133	3.7%
Greece	61	1.2%	230	0.8%	41	0.7%	166	0.5%
Poland	51	1.0%	355	1.3%	36	0.6%	454	1.5%
OTHERS	500	10.0%	5 190	18.3%	566	10.3%	6 331	20.4%
Total	4 987	100.0%	28 325	100.0%	5 500	100.0%	30 992	100.0%

Source : Trademap

1.7.1 Route to Market: Baths
UK - ESTIMATED DISTRIBUTION FOR BATHS: 2020

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	73.1%
	Wholesalers / Merchants
	73.1%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	5.1%	6.5%	18.1%	8.0%	3.0%	7.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	11.6%		26.1%		10.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.7%	40.0%	2.0%	5.2%	2.5%
Installers				
50.4%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	11.5%	9.5%	20.6%	7.5%	42.7%
	Residential					
	91.8%					
	New Build		Residential RMI			
	16.2%		75.5%			
	Project	Non-Project	Project	Non-Project		
	12.2%	4.1%	5.3%	70.2%		

1.7.2 Route to Market: Baths
UK - ESTIMATED DISTRIBUTION FOR BATHS: 2025

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	72.5%
	Wholesalers / Merchants
	72.5%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	6.3%	7.1%	17.5%	8.0%	3.0%	8.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	13.4%		25.5%		11.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.7%	39.0%	2.3%	5.1%	2.8%
Installers				
49.9%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	10.4%	11.0%	20.2%	8.3%	41.2%
	Residential					
	91.0%					

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

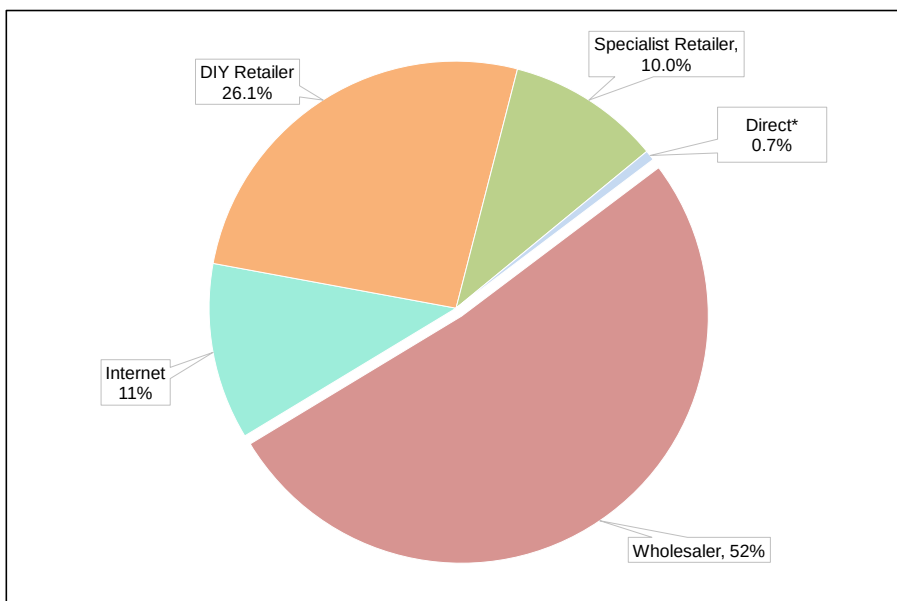
1.7.3 Route to Market - Consolidated View : Baths
UK - ESTIMATED DISTRIBUTION FOR BATHS : 2020

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
51.6%	11.6%	26.1%	10.0%	0.7%	17.5%	6.0%	74.3%	2.2%
100%					23.4%		76.6%	

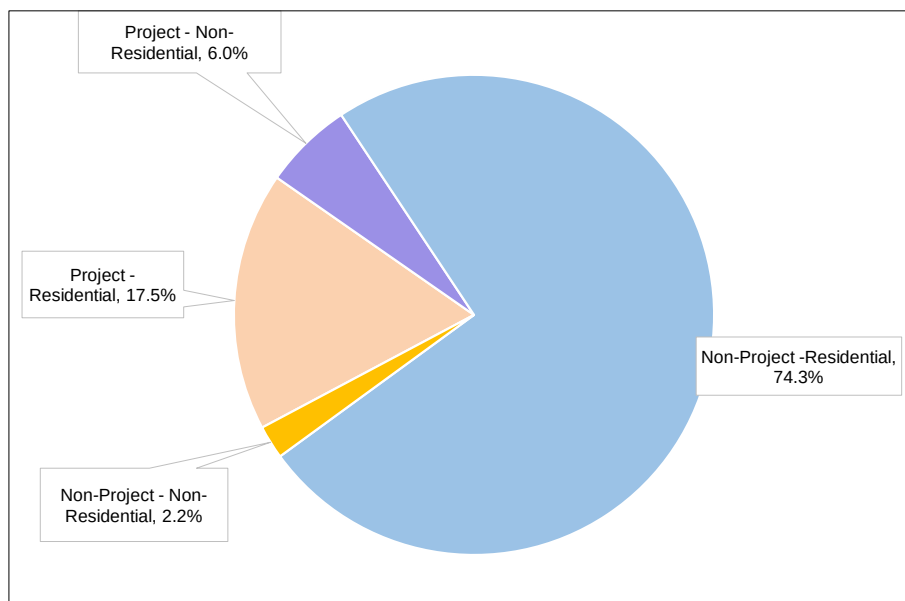
1.7.4 Route to Market - Consolidated View : Baths
UK - ESTIMATED DISTRIBUTION FOR BATHS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
49.4%	13.4%	25.5%	11.0%	0.7%	18.8%	6.5%	72.2%	2.5%
100%					25.3%		74.7%	

UK - SALES OF BATHS BY DISTRIBUTION CHANNEL: 2020



UK - SALES OF BATHS BY POINT OF DECISION AND END-USE SECTOR: 2020



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

1.7.5

Route to Market: Shower Trays
UK - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS: 2020

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	78.9%
	Wholesalers / Merchants
	78.9%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	5.4%	3.0%	12.6%	8.0%	3.1%	16.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	8.4%		20.6%		19.1%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	35.5%	1.0%	4.1%	4.7%
Installers				
45.3%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	16.0%	7.3%	16.2%	14.3%	37.5%	0.0%	0.4%	0.1%	0.3%	0.1%	7.8%
	Residential						Non-Residential					
	91.3%						8.7%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	11.9%			79.4%			6.1%			2.6%		
	Project	Non-Project		Project	Non-Project		Project	Non-Project		Project	Non-Project	
	8.9%	3.0%		5.6%	73.8%		4.6%	1.5%		1.7%	0.9%	

1.7.6

Route to Market: Shower Trays
UK - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS: 2025

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	78.0%
	Wholesalers / Merchants
	78.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	6.5%	4.0%	12.5%	7.7%	3.0%	15.7%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	10.5%		20.2%		18.7%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	35.0%	1.1%	4.0%	4.6%
Installers				
44.7%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	15.4%	9.3%	16.0%	14.0%	36.7%	0.0%	0.2%	0.1%	0.2%	0.1%	8.0%
	Residential						Non-Residential					
	91.4%						8.6%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	12.6%			78.8%			6.0%			2.6%		
	Project	Non-Project		Project	Non-Project		Project	Non-Project		Project	Non-Project	
	9.4%	3.1%		5.5%	73.3%		4.6%	1.4%		1.7%	0.9%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

1.7.7 Route to Market - Consolidated View : Shower Trays

UK - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS : 2020

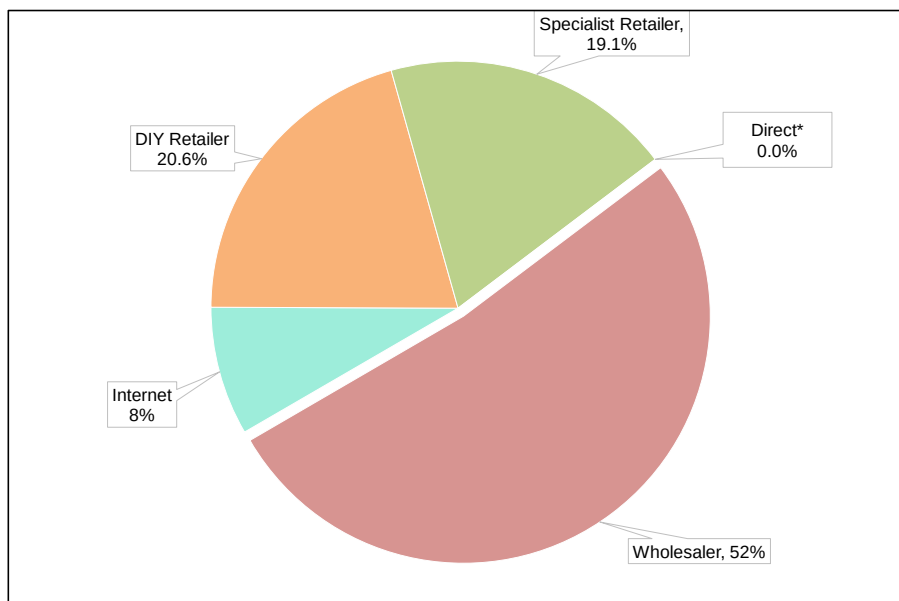
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
51.9%	8.4%	20.6%	19.1%	0.0%	14.5%	6.3%	76.8%	2.4%
100%					20.8%		79.2%	

1.7.8 Route to Market - Consolidated View : Shower Trays

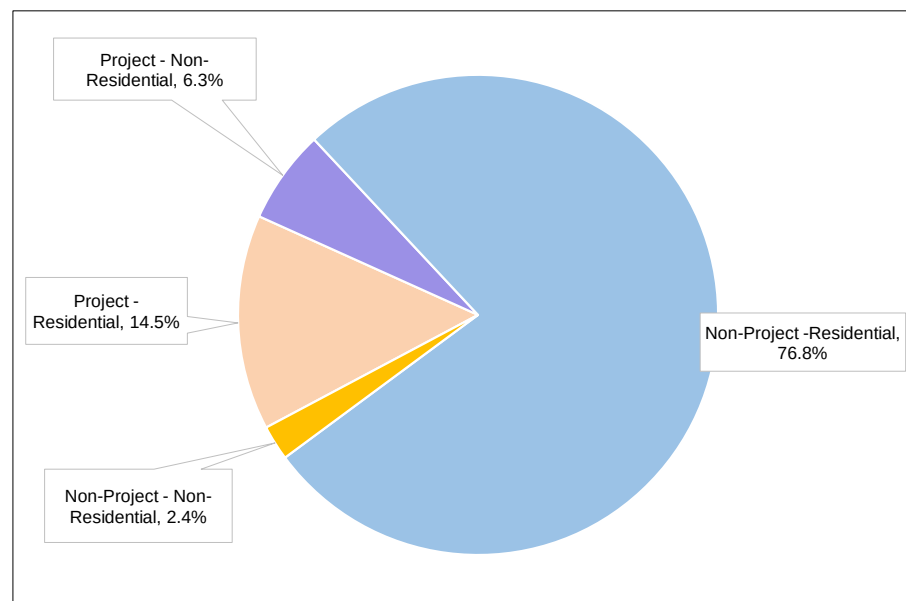
UK - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
50.6%	10.5%	20.2%	18.7%	0.1%	15.0%	6.2%	76.5%	2.3%
100%					21.2%		78.8%	

UK - SALES OF SHOWER TRAYS BY DISTRIBUTION CHANNEL: 2020



UK - SALES OF SHOWER TRAYS BY POINT OF DECISION AND END-USE SECTOR: 2020



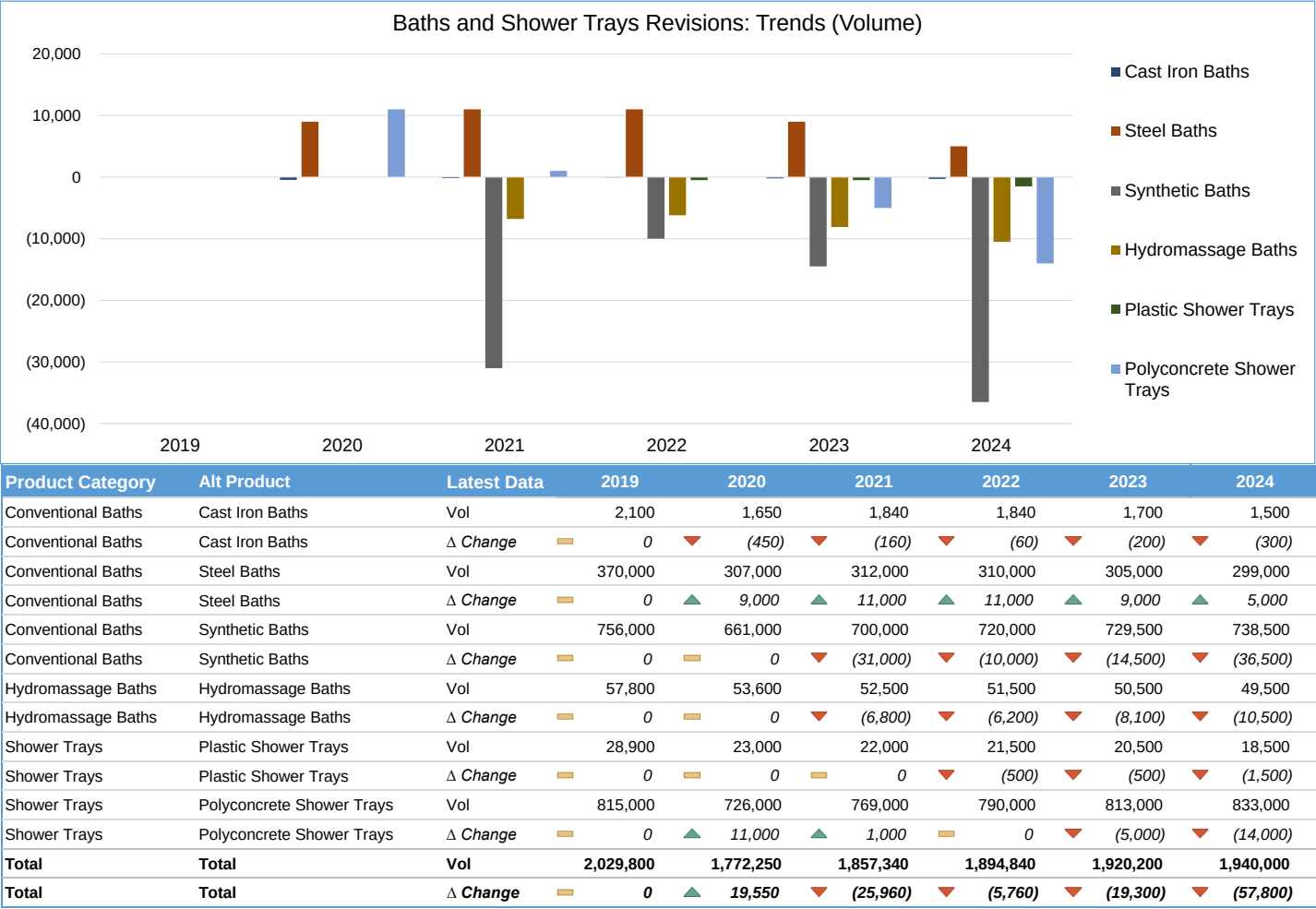
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

1.8 Revisions in the UK Baths and Shower Trays Market (April 2021)

UK - REVISIONS IN THE UK BATHS AND SHOWER TRAYS MARKET

Data Comparison: October 2020



No revisions have been made to historical volumes and values for this market.

UNITED KINGDOM

SANITARY WARE

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

Although sanitary ware has always been an essential component of any UK bathroom, the market has undergone several shifts and product trend developments over the past few decades. An emphasis on a bathroom's aesthetic appeal has been an evident trend in the UK market for a number of years, with a fashionable bathroom adding strongly to the perceived value of a home. When purchasing sanitary ware, consumers have thus come to place as much importance on appearance, design and current bathroom trends as they do on the product's functionality and price. This purchasing shift has altered the UK sanitary ware market's product mix, with notable preferences emerging in what is now a fashion-conscious market. Although – in contrast to the rest of Europe – traditional floor standing WCs, which includes close coupled cisterns, dominate the UK market, there has been a steady increase in the sale and availability of wall hung ceramic pieces in the new housing, RMI and non-housing markets. This has additionally boosted the market for concealed cisterns, to the detriment of exposed plastic cisterns, which have seen several years of sales decline. The exposed plastic cisterns market has also suffered since consumers tend to prefer ceramic cisterns over plastic, when selecting an exposed cistern for a WC, due to their greater aesthetic appeal, longer lifespan and the range of models now available at low prices. Countertop washbasins, installed with base units, have also increased strongly in popularity, not only due to their aesthetic appeal, but also due to the storage and space-saving benefits that base units offer in the UK's increasingly shrinking bathrooms. Sales of pedestals and half-pedestals have thus fallen as the uptake of base units fitted with countertop units has increased.

While TWYFORD (GEBERIT) was the first manufacturer to release these products on the UK market, IDEAL STANDARD is believed to be the current market leader due to their strong commercial presence. Although more widespread uptake has been curbed by the UK's large park and still-strong annual sales of floor standing WCs, VITRA (ECZACIBASI) have moved to address this, by manufacturing floor standing rimless models specifically designed for the UK market.

It is important to note that, while the shift to higher-value, fashionable products has raised the overall value of the UK sanitary ware market, these product trends have had an adverse effect on volume sales. The average number of ceramic sanitary ware (CSW) pieces installed per bathroom decreased over the past decade, due to the strong trend towards wall hung WCs and countertop washbasins. While most UK homes would previously have four pieces of sanitary ware installed per main bathroom (a washbasin, pedestal, WC and cistern) many new build and renovated homes now have only two pieces of sanitary ware installed (a ceramic washbasin and WC, alongside a concealed plastic cistern and a base unit). This trend has fortunately been partly counteracted by increased preference for en suites and second bathrooms at the middle and upper end of the market, which has ensured that, as the average number of sanitary ware pieces installed per bathroom has fallen, the number installed per home has grown.

Recent Market Trends

The overall UK sanitary ware market contracted strongly in 2020, due to the onset of the COVID-19 outbreak from early in the year, with sales virtually ceasing for the majority of Q2. Sales to all end-use segments were markedly down due to the first national lockdown and several manufacturers having issues getting stock into the market, with the main issue becoming supply and stocking. Given the market has very few UK based manufacturers, the majority of the market is dependent on a global supply chain which stopped operating for nearly two months, depending on where goods are being imported from. Nonetheless, when restrictions eased down in the summer of 2020, the market did see a recovery, with plumbers being allowed in homes. This indicated that homeowners were not being as cautious on allowing them in for maintenance and refurbishment of their bathroom, with the latter being a key development a number of homeowners carried out. The RMI segment was less subdued, when compared to the contract side, products which were design oriented saw the strongest of recoveries with the move towards furniture washbasins seeing an acceleration in 2020, which saw the likes of countertop and inset washbasins increase their share. Hand washbasins on the other hand, which are mainly installed in new build cloakrooms, saw a strong decline, in line with the new build construction. Back to wall and wall hung WCs saw a good development in the RMI sector, with many homeowners installing these due to most homeowners having more disposable income to invest in these much design-oriented products as the concealed pipework makes these products more aesthetically pleasing, increasing their share in 2020. It is worth noting that despite an increase in share for some products within this segment, overall sales still contracted.

Demand for non-ceramic washbasin materials contracted in 2020, given most are sold at the upper end of the market and installed in commercial applications, which in turn did not aid the development of the market. Mineral cast (resin) continue to occupy the majority share, with glass and stone remaining popular. Overall market development saw a decline for space-saving products such as wall hung WCS and concealed cisterns, where the shrinking size of the average new build UK bathroom normally benefits these products; however, the strong contraction of new build construction, coupled with manufactures having to close sites down, ensured an overall decline was seen. Dry installation type modules continue to remain the bulk of the market, with wet remaining limited due to the way UK walls are constructed, making dry the more viable option. 'Other' CSW continued its declining trend, contracting further in 2020 amidst major supply issues alongside the trend towards bathroom furniture as opposed to pedestals, which was still apparent in the marketplace despite the overall decline.

Rimless WCs continued to increase their overall share, seeing more of an uptake on the residential side, albeit from a low base when compared to non-housing. With most homeowners having more disposable income in 2020, many took the opportunity to install this product in their second bathrooms/en suites when they carried out their renovations. Given their much-publicised hygiene benefits in the

non-housing segment, their prevalence in places such as hospitals, care homes, airports and service stations remained strong despite an overall decline. In much smaller volumes, shower toilets did see a marginal increase in 2020 given the market is far from mature and continues to remain quite favourable. With hygiene being a key selling point of shower toilets and a general theme of 2020, it has allowed manufacturers of these products to obtain sales they wouldn't normally. The COVID-19 pandemic saw a trend towards more hygienic products and the lockdown allowed homeowners to do some research on products that offer this, which helped drive some sales of shower toilets. Manufacturers who have a strong bearing in the commercial sector would have benefited from the projects that were allowed to carry on in 2020, with the overall market expected to continue to develop well over the forecast period.

Prices and Market Values

The overall average MSPs, in GDP, saw a marginal increase in 2020, with the availability of imported products via internet distribution seeing further uptake, subsequently impacting the average prices. It should be noted, however, that this is not an entirely accurate reflection of the separate retail selling price (RSP) as CSW is typically sold in matching bathroom suites with an average of four pieces per pack. The average bathroom suite packages bought in the UK retail at around £470 to £680; over £900 is considered to be in the luxury segment. Given the longevity of CSW, it encourages some consumers to opt for the superior products; however, mid-luxury sales were hindered in 2020 and saw quite a drop, bringing the overall value down. Where the vast majority of players have suffered in volume, they could try to recoup volume in price and there could potentially be a number of price increases in 2021.

New Housing

New housing sales of sanitary ware were down markedly in 2020, in line with the new build construction market, given that the average number of pieces of sanitary ware sold into a home has remained consistent. Despite a decline in sales, the new build segment continues to favour fashionable products such as concealed cisterns, wall hung WCs and countertop washbasins, given that these concealed sanitary pieces can be easily integrated during the home's design phase. Close coupled WCs continue to occupy the largest share given their space saving capabilities alongside the neat and tidy look it gives, making them ideal for small bathroom spaces. Given the contraction in this segment, close coupled WCs subsequently took a hit due to their strong share. Nonetheless, their low cost (which appeals to contractors) continues to be an attractive feature of theirs and, because they have a vast installed park ensuring that installation can be complete quickly, reducing contractor spending on labour costs.

Housing RMI

The RMI sector for the sanitary ware market was down in 2020, albeit at a lesser rate when compared to the contract side, given the high number of homeowners

who carried out bathroom refurbishments and upgrades. The majority of sales in the RMI sector are based on remodelling as opposed to first time installation or distressed replacement, due to the mature nature of the UK dwellings, coupled with the high durability and long lifespan of sanitary ware. Given the 15–20-year long lifespan of concealed cisterns, the repair process is small and slower when compared to other products, which further limited RMI development in 2020. Consequently, the main driver of CSW sales is mainly aesthetic and fashion orientated, which explains its closer correlation with disposable income and consumer earnings. Discretionary spending proves to be the key to the development of the RMI sector; however, despite consumers having more disposable income due to the national lockdown, overall development was down due to closures of manufacturing sites alongside supply issues. As a whole the product types which benefited from homeowners having more disposable income were the design focused products such as; back-to-wall WCs, countertop and inset washbasins.

Non-Housing

Overall sanitary ware sales into the non-housing sector were down in 2020 due to COVID as construction came to a halt for a large part of the year. With non-housing representing the most significant market for specialist ceramic sanitary ware such as urinals, sales for these products saw a drop. On the topic of hygiene, touch free was a strong and big area in the marketplace in 2020, with a strong uptake for sales of touch free flushing in the commercial sector, particularly in the second half of the year as manufacturers worked around supply issues into the market. Wall hung sanitary and concealed cisterns remain favourable in the office sector, despite a strong contraction of this segment. Despite this, the installation of these products continues to evolve, with concealed cisterns frequently being installed in frames inside 'mock' base units; thereby, not only incorporating bathroom furniture into the design but also provoking an easy retrofit option that avoids altering the wall. Non-housing demand is expected to return to growth from 2021 onwards, aiding the recovery of concealed products in hotels as well as wall hung products.

Supply Structure

Following the decision of the UK to leave the EU, recent years have been characterised by fluctuating exchange rates – specifically, the fall in the GBP against other currencies. As a result of this, importers and manufacturers with offshore production facilities experienced higher production costs and reduced value growth in the UK.

Since the UK and EU finalised their free trade deal, the pound has seen a faster recovery, further stabilising the pound to euro exchange rate which previously saw higher production costs for importers and manufacturers with offshore production costs. This stabilisation has made it less advantageous to the domestic producers of sanitary ware (such as IDEAL STANDARD, through ARMITAGE SHANKS, and THOMAS DUDLEY in the cisterns market). The other leading UK ceramics manufacturer TWYFORD (part of the Swiss holding GEBERIT) formerly held production facilities in the UK; these, however, were closed in 2010, with ceramic

production moving offshore. China is the principal source of UK sanitary ware imports, followed by Egypt and Turkey. Egyptian imports are provided by LECICO, and Turkish imports are provided by VITRA and SEREL. From these three major export markets, the UK receives over half of its ceramic sanitary ware. As stated, these players have faced lower value growth in recent years due to the increased costs associated with importing. Ireland is the main destination for the UK's ceramic products.

IDEAL STANDARD remained the overall market leader through its IDEAL STANDARD and ARMITAGE SHANKS brands. TWYFORD has been seeing reduced sales in recent years, following a period of transition after its acquisition by GEBERIT, staff changes and relocation of its UK head offices. Other leading suppliers to the UK market include LECICO, VITRA, BATHROOM BRANDS and ROCA, as well as DIY retailer B&Q and internet retailer VICTORIAPLUM.COM, selling imported sanitary ware under their own brand.

The UK exposed plastic cistern market saw MACDEE remain the outright leader, with THOMAS DUDLEY and GEBERIT providing rivalling sales numbers. The concealed market clearly outsells the exposed plastic cisterns market in the UK and there is evidence to suggest manufacturers are focusing more on design and offering ranges on these types of systems. These are both key growth areas for these evolving products, as their application relies on suitable plumbing design and advanced building techniques. As a result, the market is both fragmented and likely to grow in significance over the forecast period leading to potential shifts in key suppliers. Currently, IDEAL STANDARD, GEBERIT, THOMAS DUDLEY and MACDEE are thought to be representing the bulk of the segment.

Forecasts

The overall sanitary ware market is expected to see good recovery in 2021 and reclaim a considerable chunk of the sales lost in 2020, with construction for both residential and non-residential returning to be a key driver for growth. Given a no deal Brexit was avoided and a free trade deal was struck between the UK and EU at the end of 2020, this should restore some confidence in consumers and prompt them to spend a bit more, with an expected recovery in the RMI segment. Another key and potentially more important factor in restoring confidence into the UK population is the vaccine rollout which has been prevalent as of December 2020, with more UK citizens getting the jab. On the other hand, with more people getting vaccinated and lockdown restrictions slowly being lifted, this could ultimately lead to more people wanting to travel rather than staying home or some homeowners could still be apprehensive about travelling and choose to delay travelling. Nonetheless, irrespective of what most of the UK population choose to do, the overall market is expected to recover well, largely driven by a recovery in new build residential and non-residential construction.

This construction resurgence will aid the recovery of the much-favoured products in new build such as concealed cisterns, wall hung WCs and hand washbasins, to a much lesser degree. Rimless WCs will continue to see some traction in 2021 and

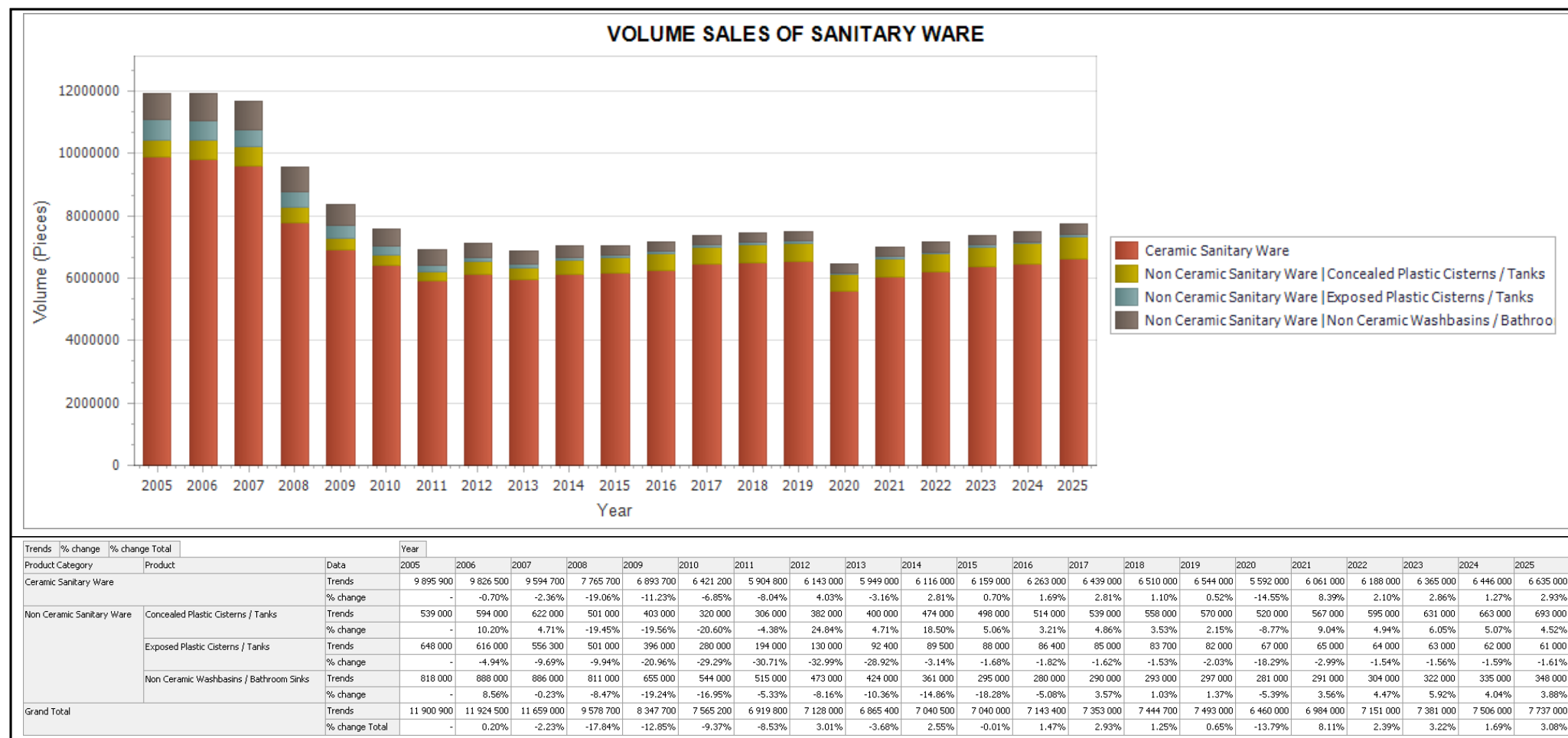
onwards, given its hygienic aspects and hygiene remaining a focus due to COVID-19. This is expected to develop faster on the commercial side as the residential side remains in its infancy, with volumes still remaining minimal as the residential market remains the cheaper of markets, with these WCs generally not being rimless. Given how strong internet distribution was in 2020, the development of this over the forecast period is expected to be more modest as other channels recover. Nonetheless, the ability to obtain higher quality products at lower prices will very much be present, which could potentially put further pressure on showrooms and DIY stores. Although the UK's recovering housing completions will ensure new build is a key sector of demand in the short term, RMI demand is predicted to play a greater part in market growth over the medium term as new completions are expected to slow down. With RMI expected to be the key driver for growth over the forecast period, this should further drive the development of back to wall, wall hung WCs and furniture basins, due to the long-term design trend. Concealing pipework remains more aesthetically pleasing and, therefore, the focus on design solutions minimising exposing plumbing will remain a key driver for the marketplace.

With the UK and EU agreeing on a free trade deal, exports appear to have been hit harder than imports in the first few months of 2021; however, as firms on both sides of the channel grow accustomed to new trading agreements, this disruption is expected to dissipate. In the long term, the UK and EU relationship will be mired by uncertainty and possible instability and with a review clause in 2024, this certainly means the issue of EU trade will play a role in the election that year. The hot topic is whether the UK-EU deal will stand the test of time and, so long as the UK sticks to its commitments, the overall economy and UK sanitary ware market should recover well and be driven by recovering consumer consumption, real term earnings and other macroeconomic factors.

The WRAS (Water Regulations Advisory Scheme) has yet to implement the new regulation regarding the requirements the WC valve must meet before it can be connected to the water supply of properties, which has led to a lot of water companies making their own interpretations, with most of these being wrong. Unfortunately, due to cross contamination issues caused by incorrectly specified inlet valves from a certain manufacturer, water authorities are now asking for more WC suite compliance documentation, which proves to be another hurdle in the upheaval and confusion brought about in the marketplace. For installations where a WC cistern and WC pan from different manufacturers are specified and not own branded it is illegal for the customer/specifier or individual manufacturer(s) to issue a Declaration of Performance for the WC suite and legally under the Construction Products Regulations the individual DoPs for the pan and cistern are sufficient evidence to demonstrate compliance. A more structured and permanent solution still awaits; however, these changes once implemented will not have such negative bearing on the overall market and development of demand for WCs.

2.2.1 Historical Trends and Forecasts : Sanitary Ware

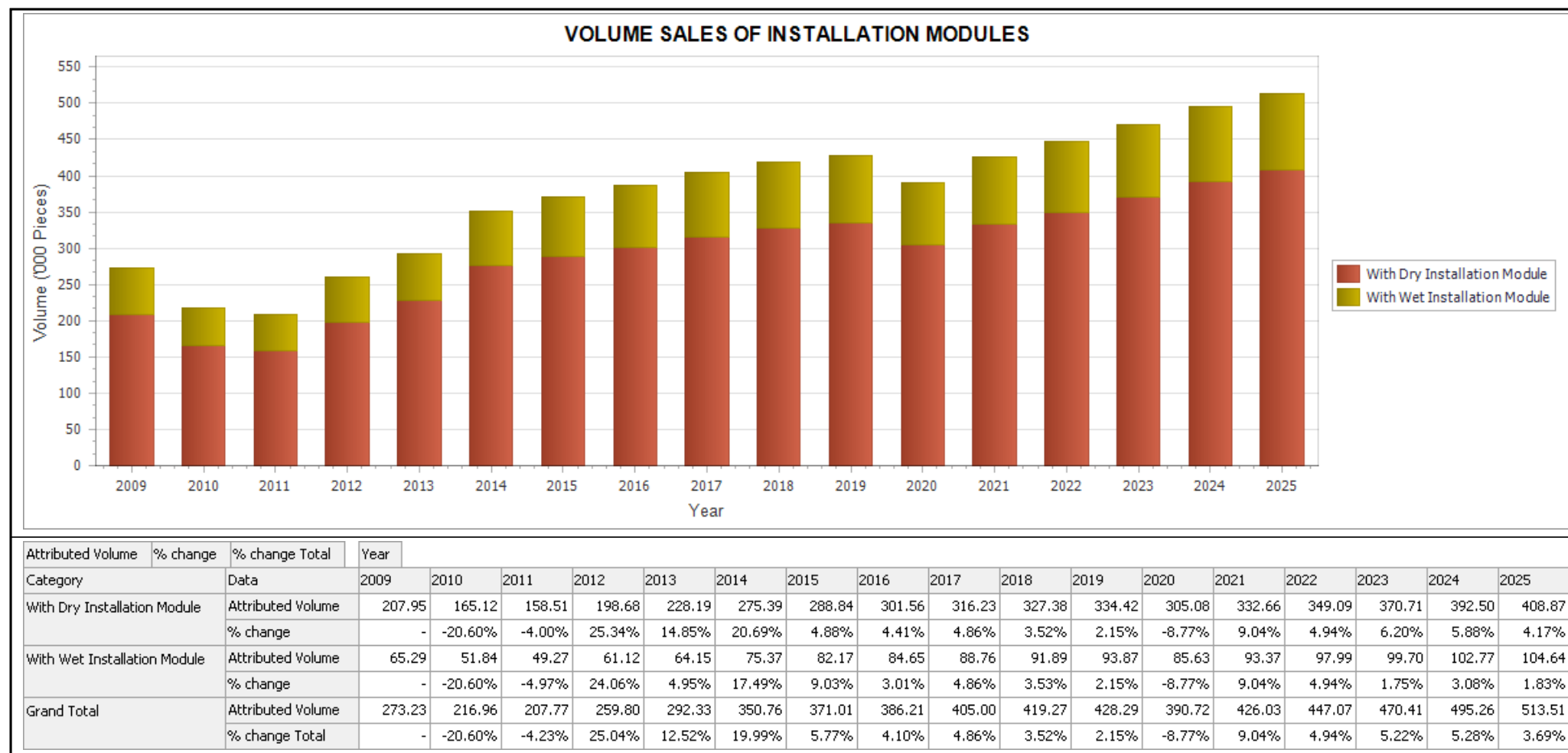
UK - SUMMARY OF TRENDS IN THE SANITARY WARE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

2.2.2 Historical Trend and Forecasts: Installation Mod.

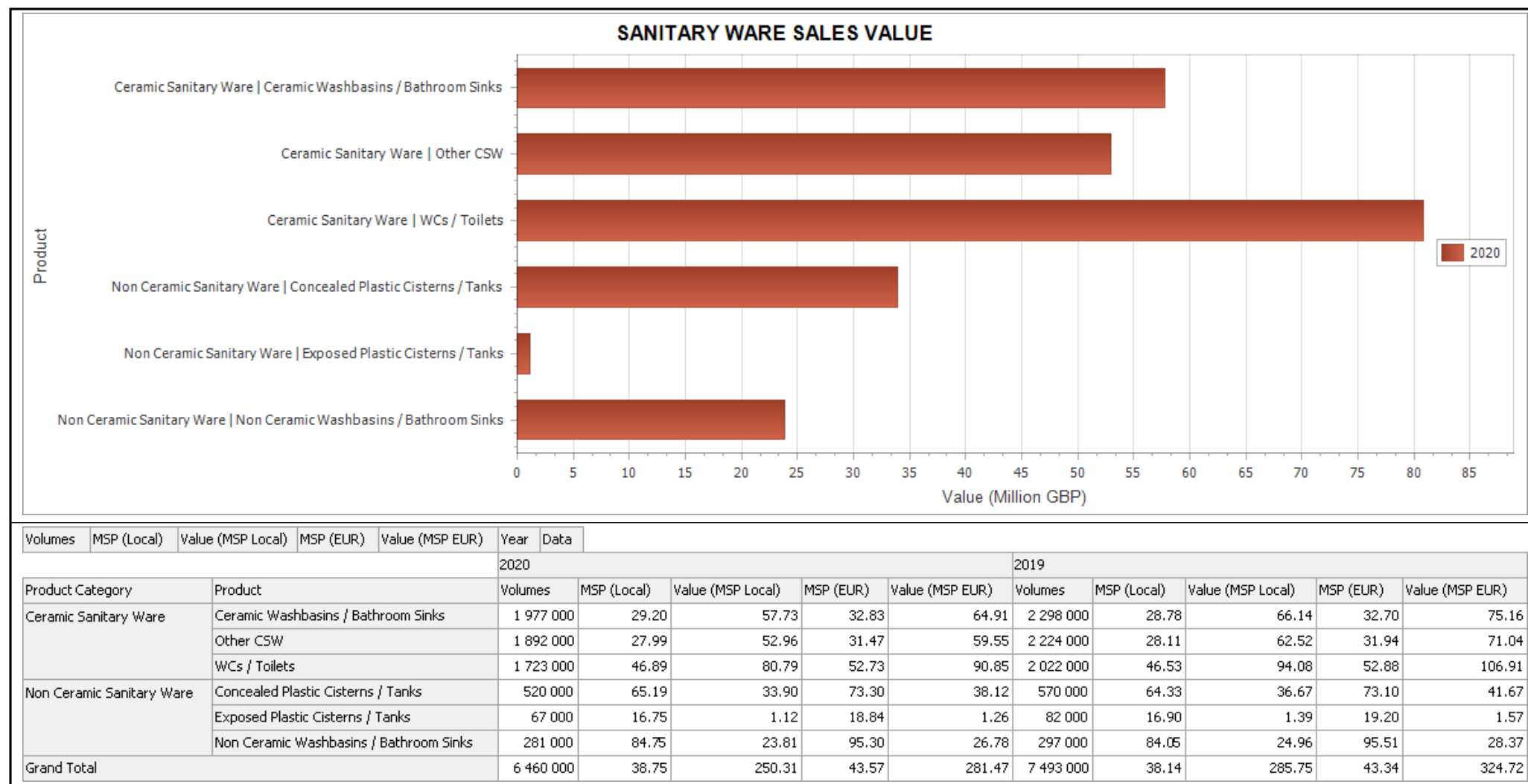
UK - SUMMARY OF TRENDS IN THE INSTALLATION MODULE MARKET : HISTORICAL AND FORECASTS ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.3.1 Prices and Market Values : Sanitary Ware

UK - ESTIMATED VALUES OF THE SANITARY WARE MARKET



Source: BRG based on industry interviews. Local Prices Shown in GBP. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

2.3.2 Prices and Market Values by Type : CSW

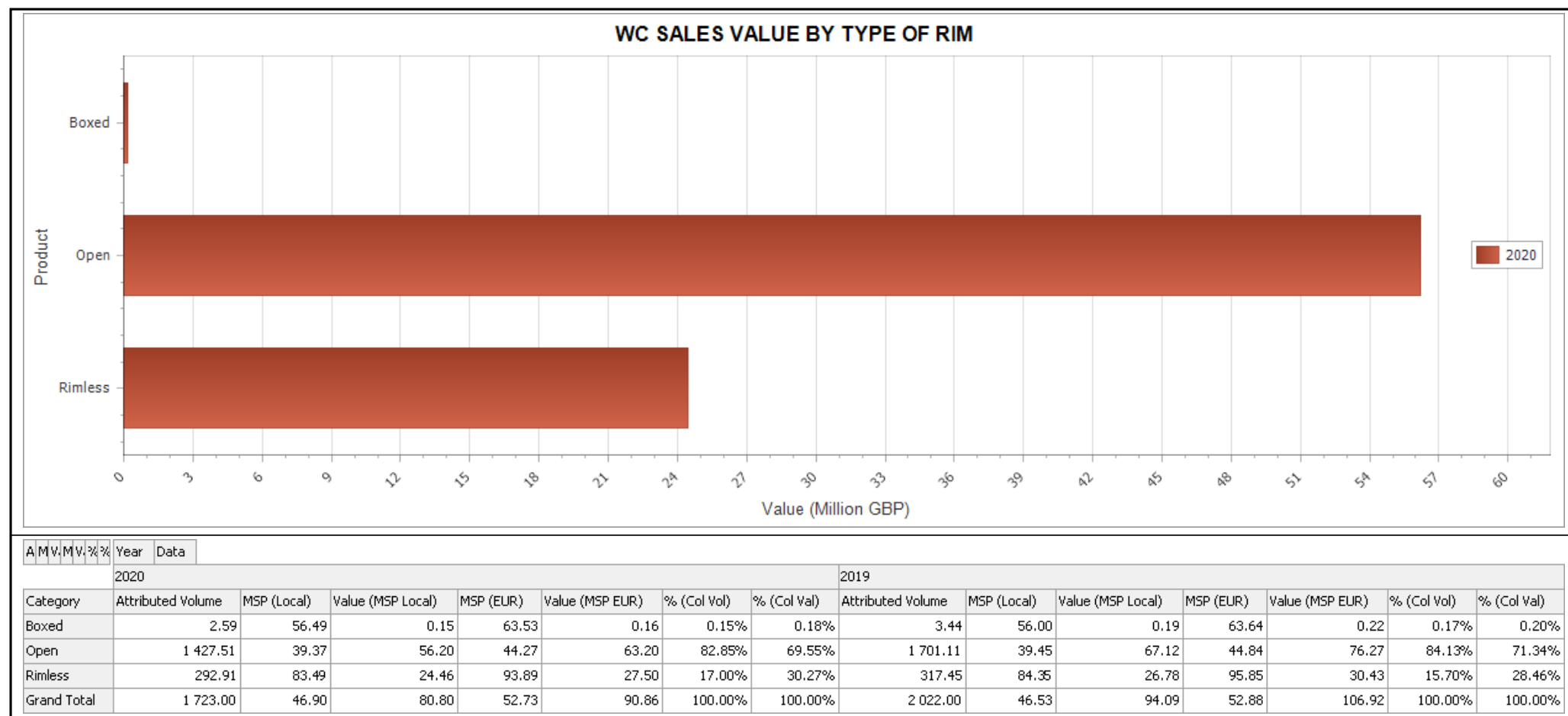
UK - ESTIMATED VALUES OF THE CERAMIC SANITARY WARE MARKET BY TYPE OF PRODUCT

Attributed	% (Col Vol)	MSP (Local)	Value (MSP)	MSP (EUR)	Value (MSP)	% (Col Val)	Year	Data								
2020									2019							
Alt Product	Category	Attributed Volume	% (Col Vol)	MSP (Local)	Value (MSP Local)	MSP (EUR)	Value (MSP EUR)	% (Col Val)	Attributed Volume	% (Col Vol)	MSP (Local)	Value (MSP Local)	MSP (EUR)	Value (MSP EUR)	% (Col Val)	
Ceramic Washbasins / Bathroom Sinks	Countertop Washbasins	514.02	26.00%	35.59	18.30	40.03	20.57	31.70%	537.73	23.40%	35.12	18.89	39.91	21.46	28.55%	
	Hand Washbasins	132.46	6.70%	17.20	2.28	19.34	2.56	3.95%	174.65	7.60%	17.10	2.99	19.43	3.39	4.51%	
	Inset Washbasins	27.28	1.38%	40.80	1.11	45.88	1.25	1.93%	27.58	1.20%	40.41	1.11	45.92	1.27	1.68%	
	Pedestal Washbasins	345.98	17.50%	37.10	12.83	41.72	14.43	22.24%	464.20	20.20%	36.80	17.08	41.82	19.41	25.83%	
	Semi-Recessed Washbasins	94.90	4.80%	29.60	2.81	33.28	3.16	4.87%	110.30	4.80%	29.74	3.28	33.80	3.73	4.96%	
	Undermount Washbasins	17.79	0.90%	63.39	1.13	71.29	1.27	1.95%	18.38	0.80%	63.35	1.16	71.99	1.32	1.76%	
	Wall Hung Washbasins	844.58	42.72%	22.80	19.25	25.64	21.65	33.36%	965.16	42.00%	22.41	21.63	25.47	24.58	32.70%	
Other CSW	Bidets	7.00	0.37%	50.20	0.35	56.45	0.40	0.66%	8.67	0.39%	49.60	0.43	56.37	0.49	0.69%	
	Close-Coupled Cisterns	1 255.66	66.37%	20.20	25.36	22.71	28.52	47.89%	1 440.40	64.77%	19.85	28.59	22.55	32.49	45.74%	
	Kitchen Sinks	146.50	7.74%	86.50	12.67	97.27	14.25	23.93%	170.00	7.64%	85.51	14.54	97.17	16.52	23.26%	
	Others	10.79	0.57%	32.00	0.35	35.98	0.39	0.65%	13.34	0.60%	31.30	0.42	35.57	0.47	0.67%	
	Pedestals & Half Pedestals	397.32	21.00%	21.50	8.54	24.18	9.61	16.13%	482.61	21.70%	21.25	10.26	24.15	11.65	16.41%	
	Urinals	74.73	3.95%	75.99	5.68	85.45	6.39	10.73%	108.98	4.90%	75.90	8.27	86.25	9.40	13.23%	
WCs / Toilets	Close-Coupled WC Bowls	980.39	56.90%	45.39	44.50	51.05	50.04	55.08%	1 176.81	58.20%	45.20	53.19	51.37	60.45	56.53%	
	Floor Standing WC Bowls	401.46	23.30%	34.50	13.85	38.79	15.57	17.14%	465.06	23.00%	34.40	16.00	39.09	18.18	17.00%	
	Wall Hung WC Bowls	341.15	19.80%	65.79	22.44	73.98	25.24	27.78%	380.14	18.80%	65.50	24.90	74.43	28.29	26.46%	
Grand Total		5 592.00	100.00%	34.24	191.46	38.50	215.29	100.00%	6 544.00	100.00%	34.04	222.74	38.68	253.11	100.00%	

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in GBP. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.3 Prices and Market Values by Type of Rim : WCs

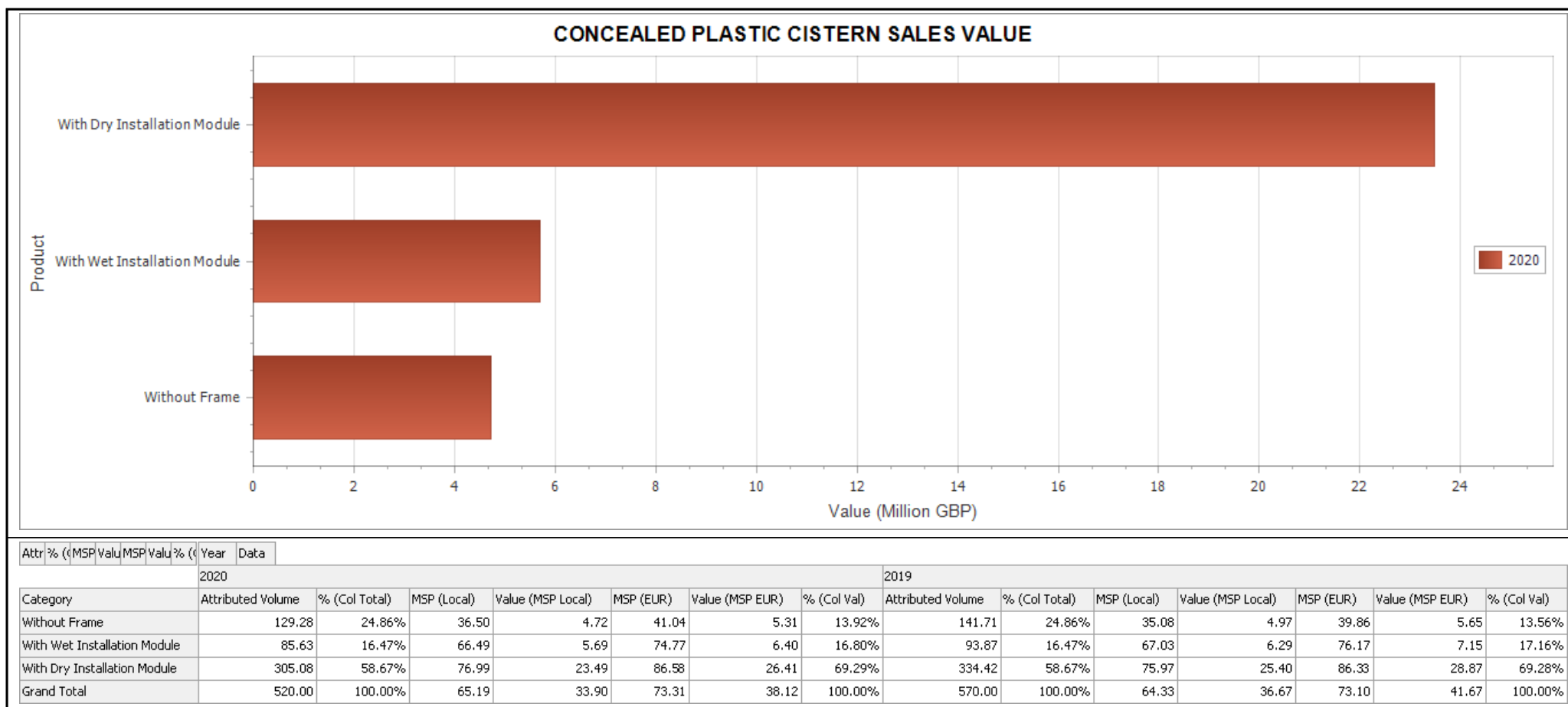
UK - ESTIMATED VALUES OF THE WC MARKET BY TYPE OF RIM



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in GBP. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.4 Prices and Market Values by Type : Conc. Cisterns

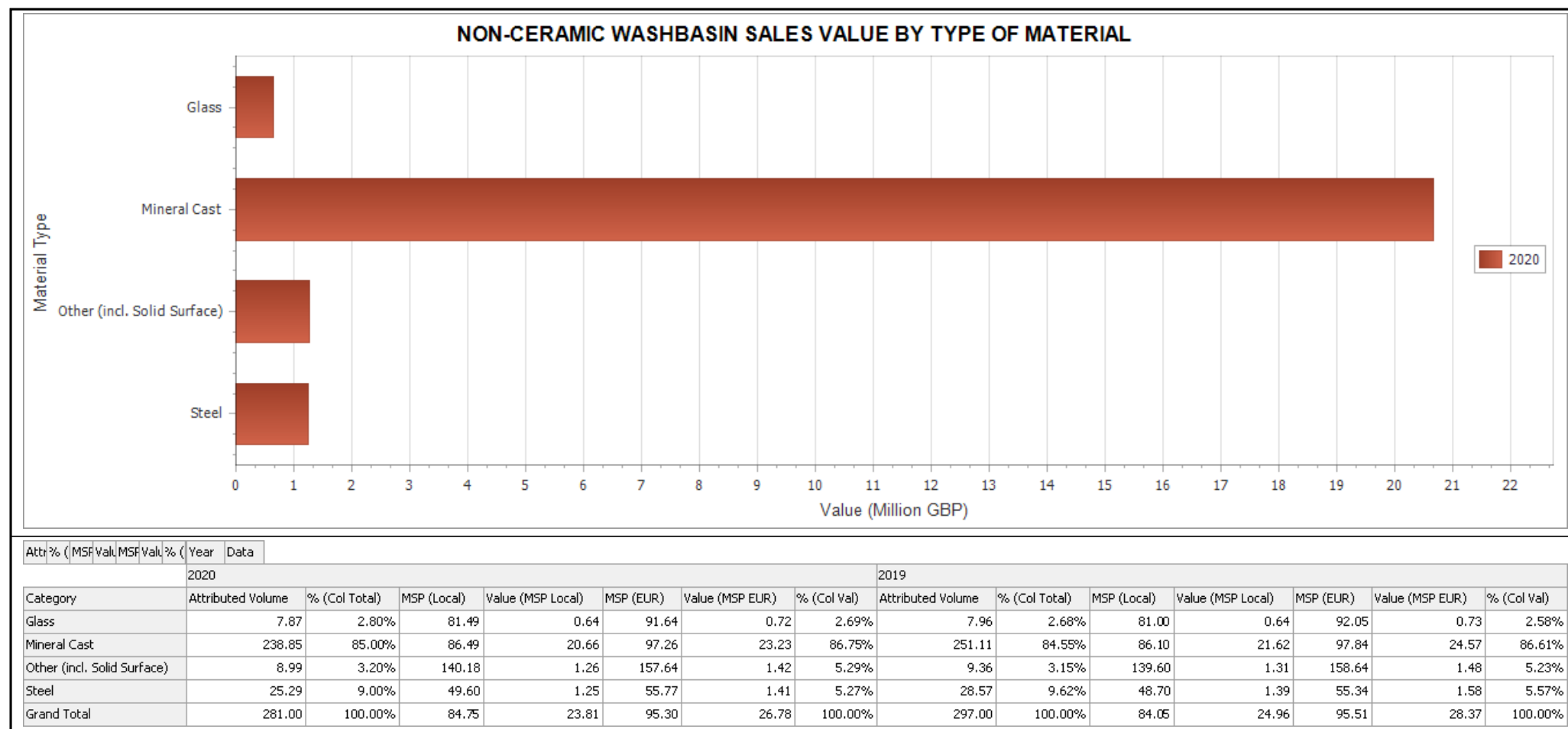
UK - ESTIMATED VALUE OF THE CONCEALED PLASTIC CISTERNS MARKET BY TYPE OF INSTALLATION



Source: BRG based on industry interviews. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.5 Prices and Market Values : Non-Ceramic Washbasins

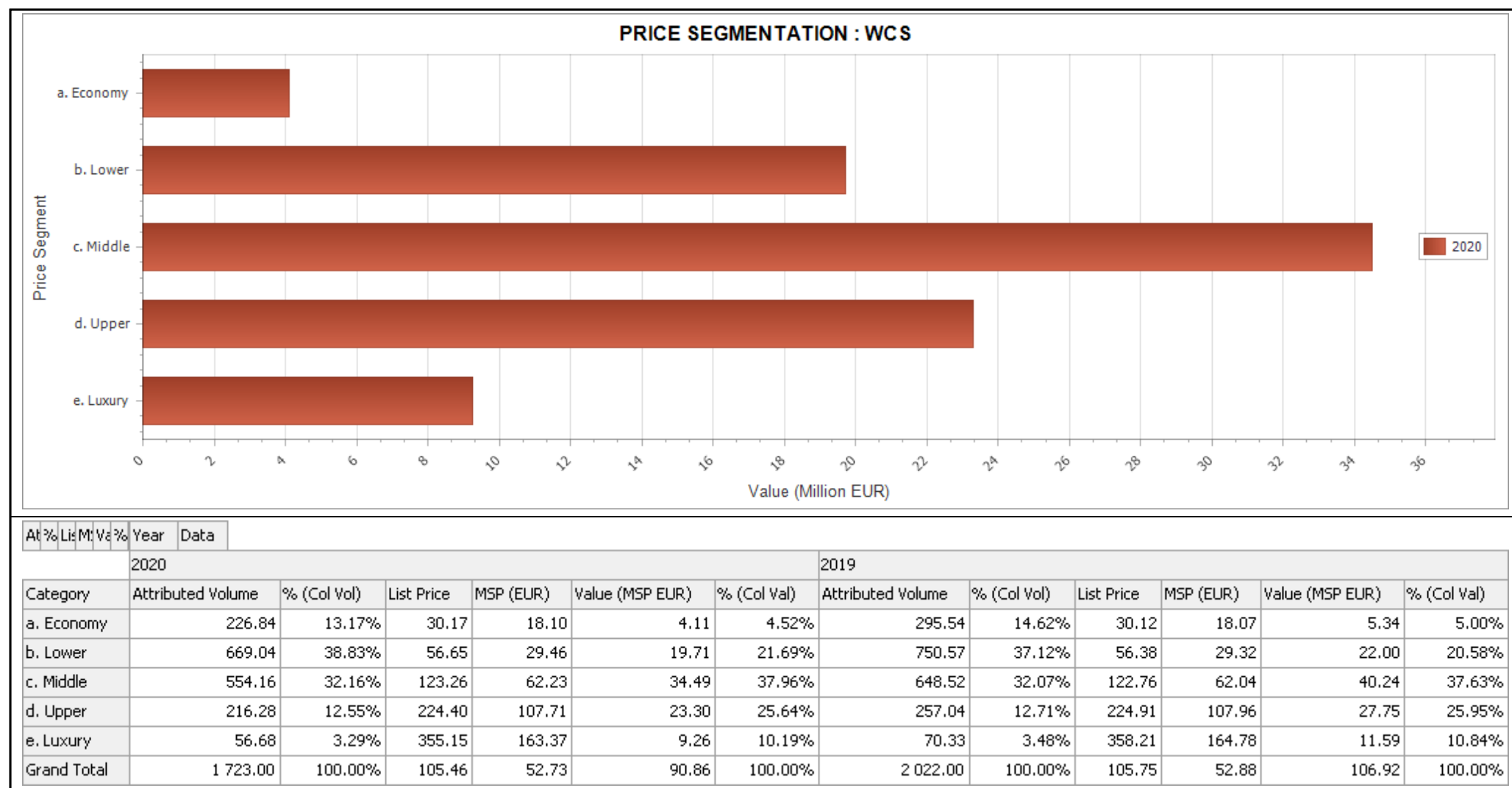
UK - ESTIMATED VALUE OF THE NON-CERAMIC WASHBASIN MARKET BY MATERIAL TYPE



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in GBP. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.6 Price Segmentation : WCs

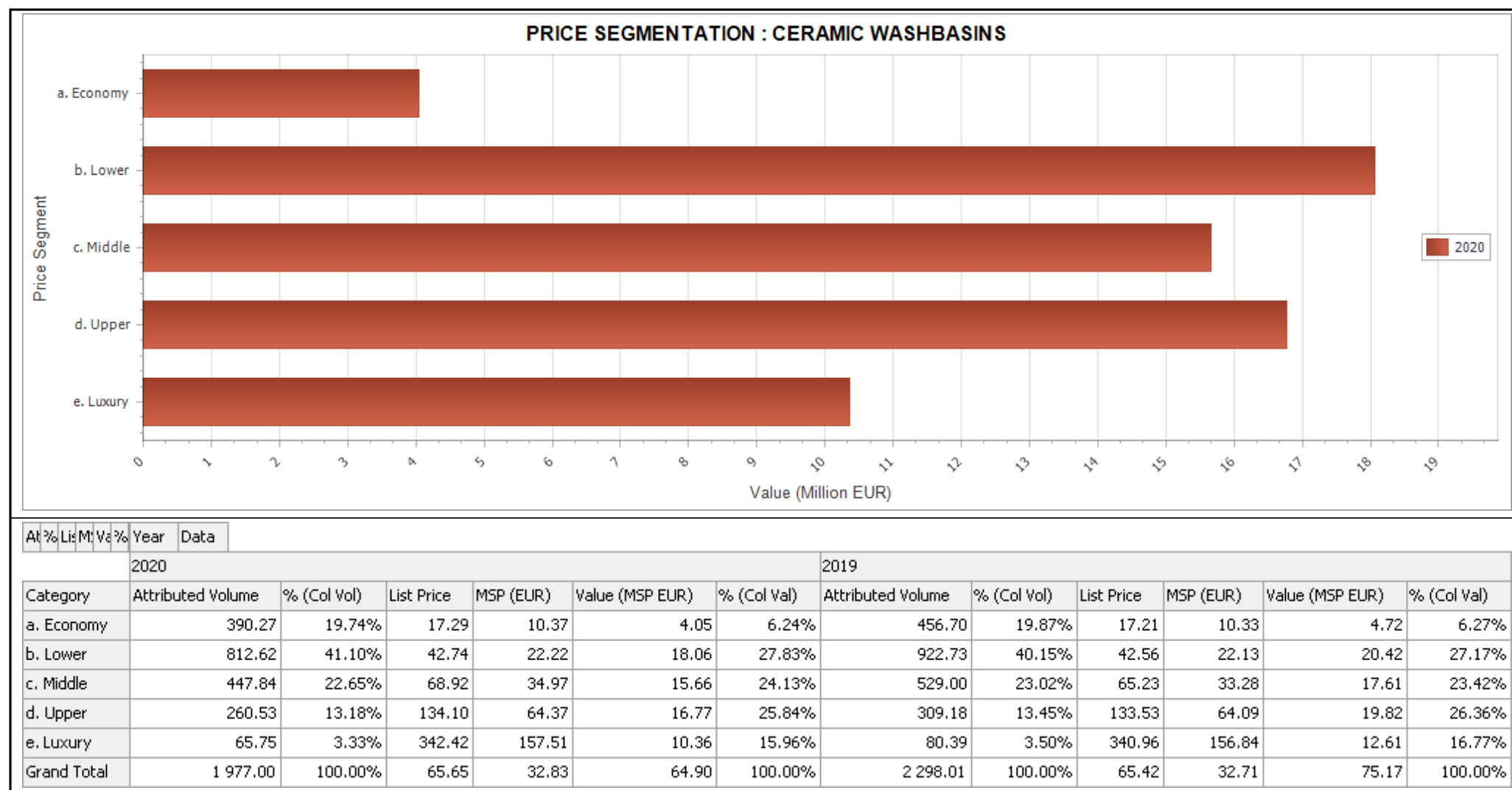
UK - ESTIMATED PRICE SEGMENTATION FOR WC



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all WC Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€20, Lower €20-€40, Middle €40-€80, Upper >€80-€120, Luxury >€120

2.3.7 Price Segmentation : Ceramic Washbasins

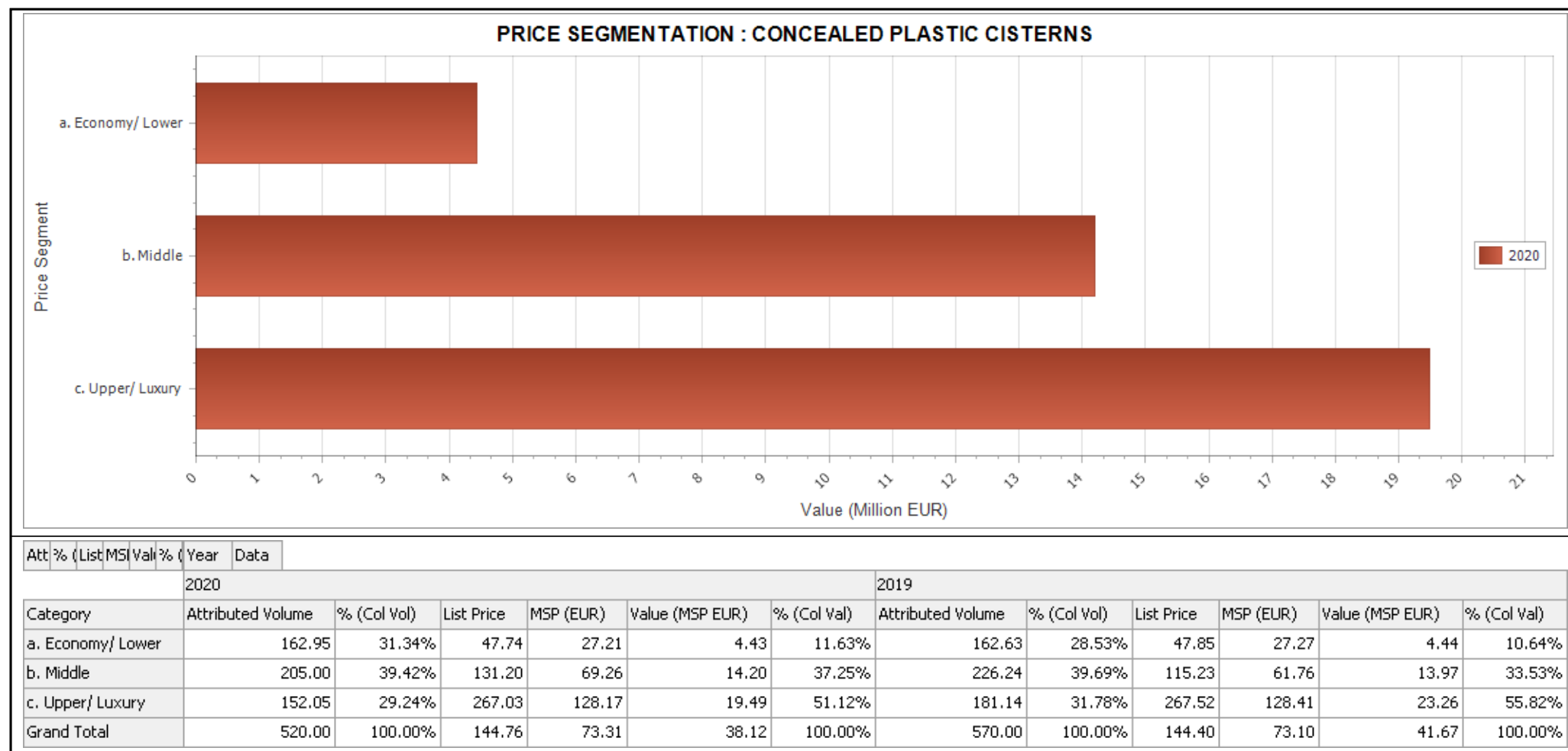
UK - ESTIMATED PRICE SEGMENTATION FOR CERAMIC WASHBASINS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all Washbasin Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€15, Lower €15-€25, Middle €25-€40, Upper >€40-€80, Luxury >€80

2.3.8 Price Segmentation : Concealed Plastic Cisterns

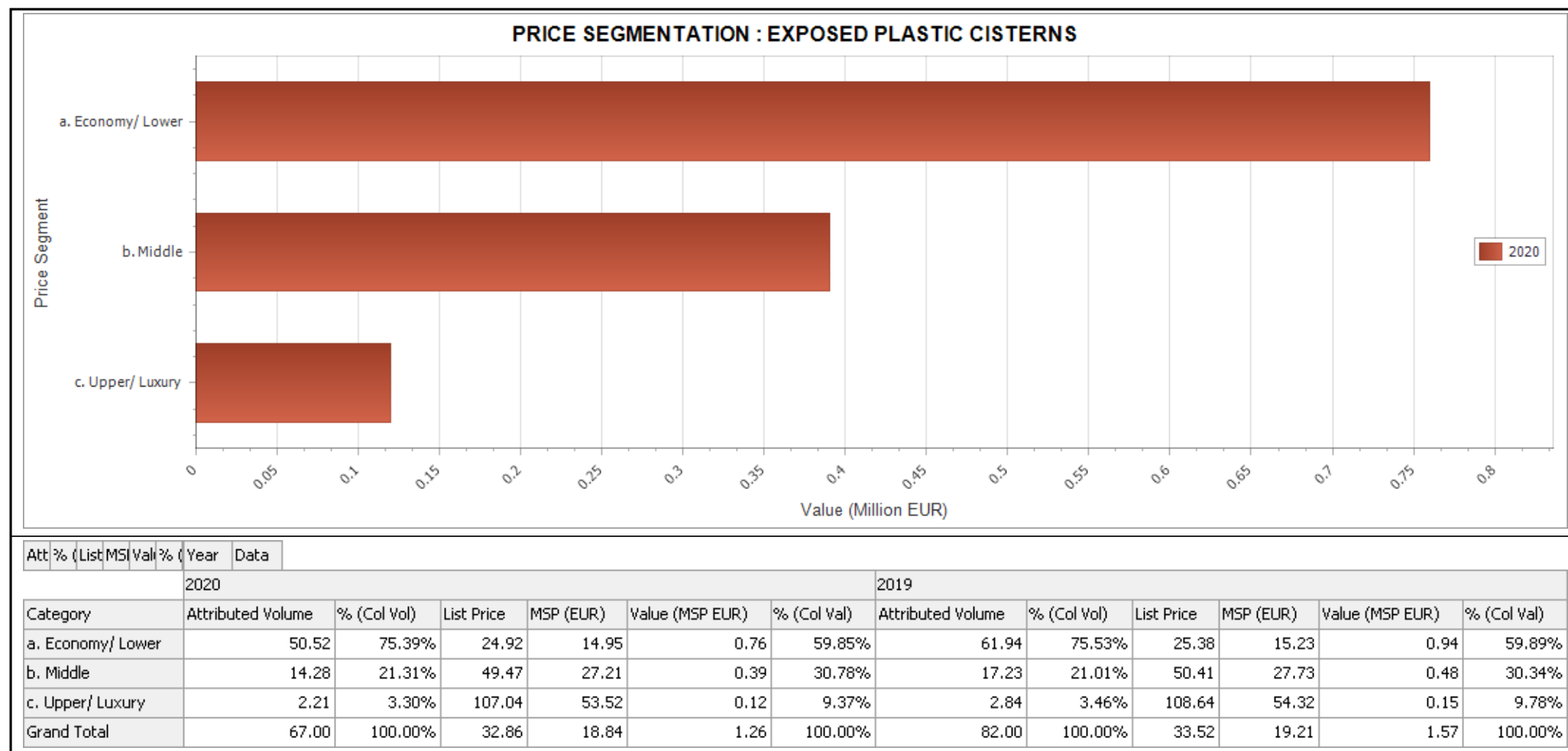
UK - ESTIMATED PRICE SEGMENTATION FOR CONCEALED PLASTIC CISTERNS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions. Economy/ Lower <€40, Middle €40-€80, Upper/ Luxury >€80

2.3.9 Price Segmentation : Exposed Plastic Cisterns

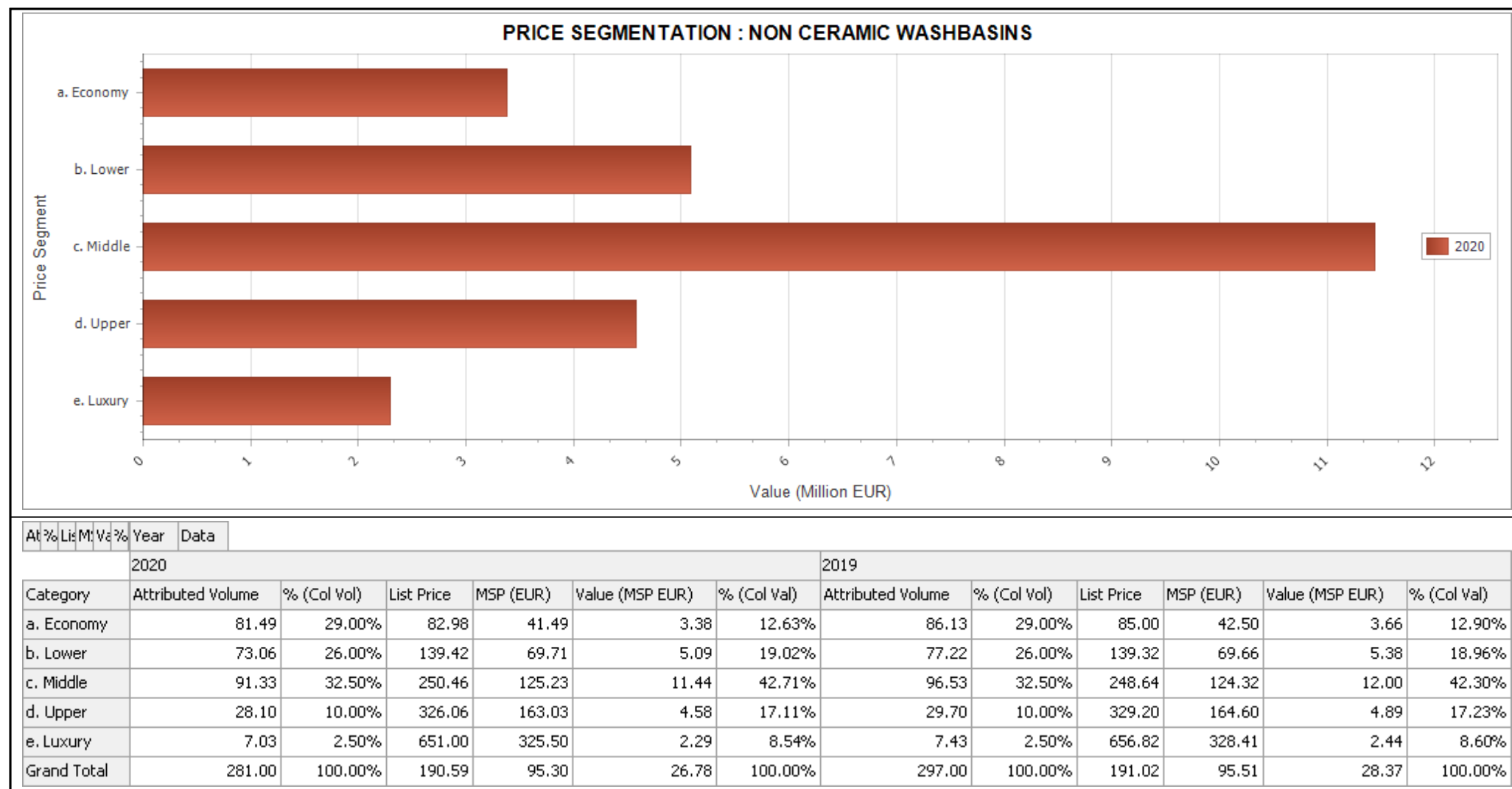
UK - ESTIMATED PRICE SEGMENTATION FOR EXPOSED PLASTIC CISTERNS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions. Economy/ Lower <€20, Middle €20-€40, Upper/ Luxury >€40

2.3.10 Price Segmentation : Non Ceramic Washbasins

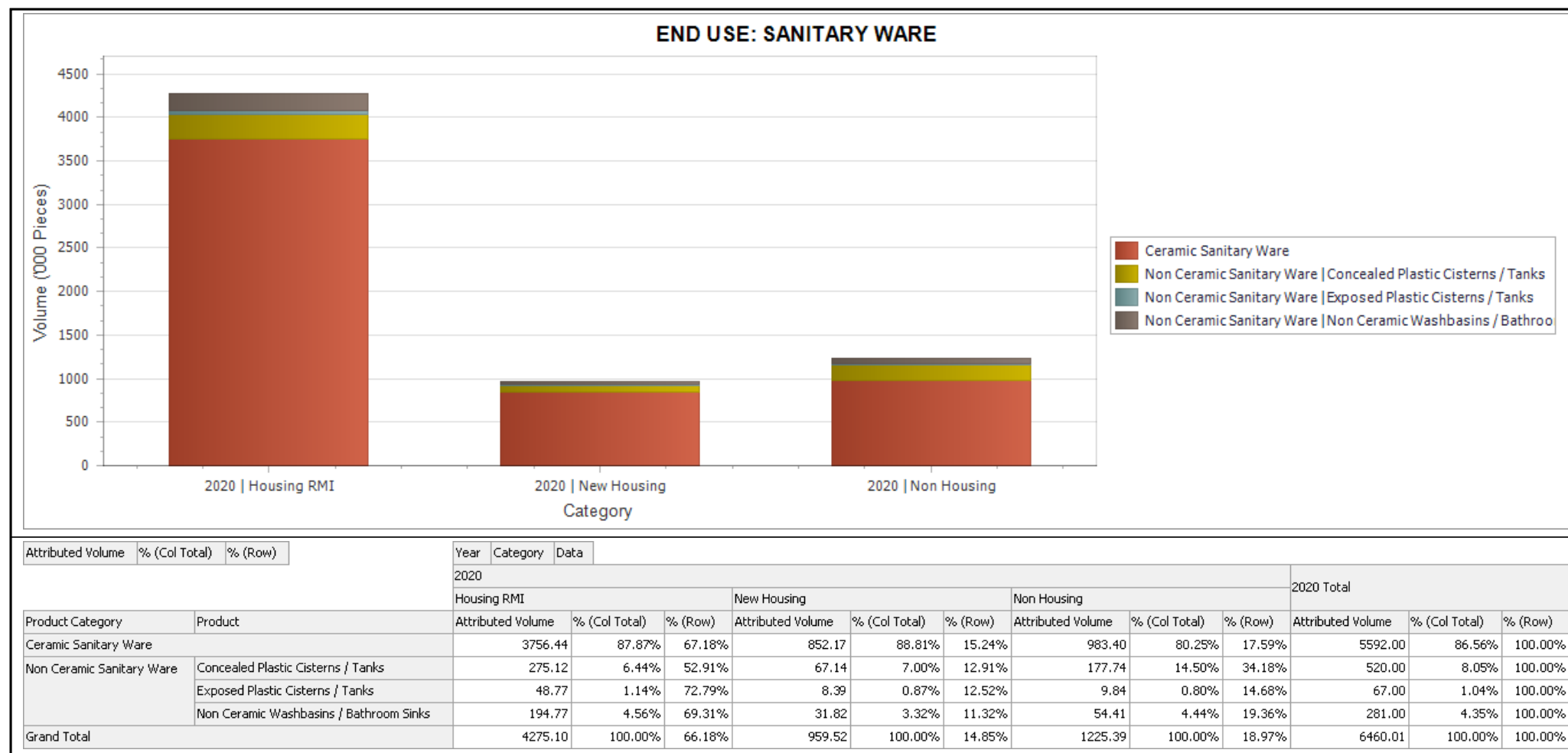
UK - ESTIMATED PRICE SEGMENTATION FOR NON CERAMIC WASHBASINS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all Washbasin Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€50, Lower €50-€100, Middle €100-€150, Upper >€150-€200, Luxury >€200

2.4.1 End Use : Base Year

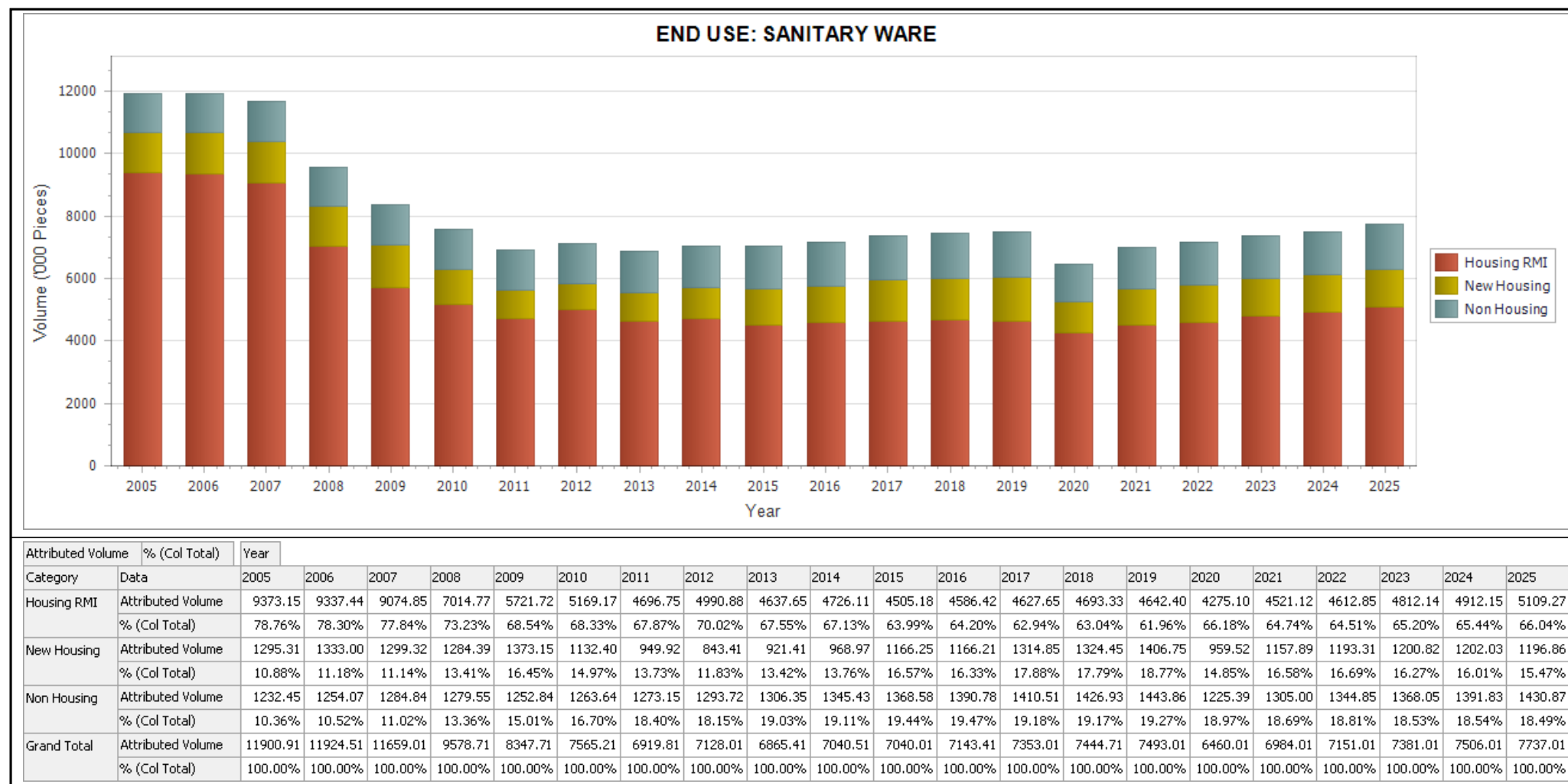
UK - SALES OF SANITARY WARE BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.4.2 End Use : Historical and Forecasts

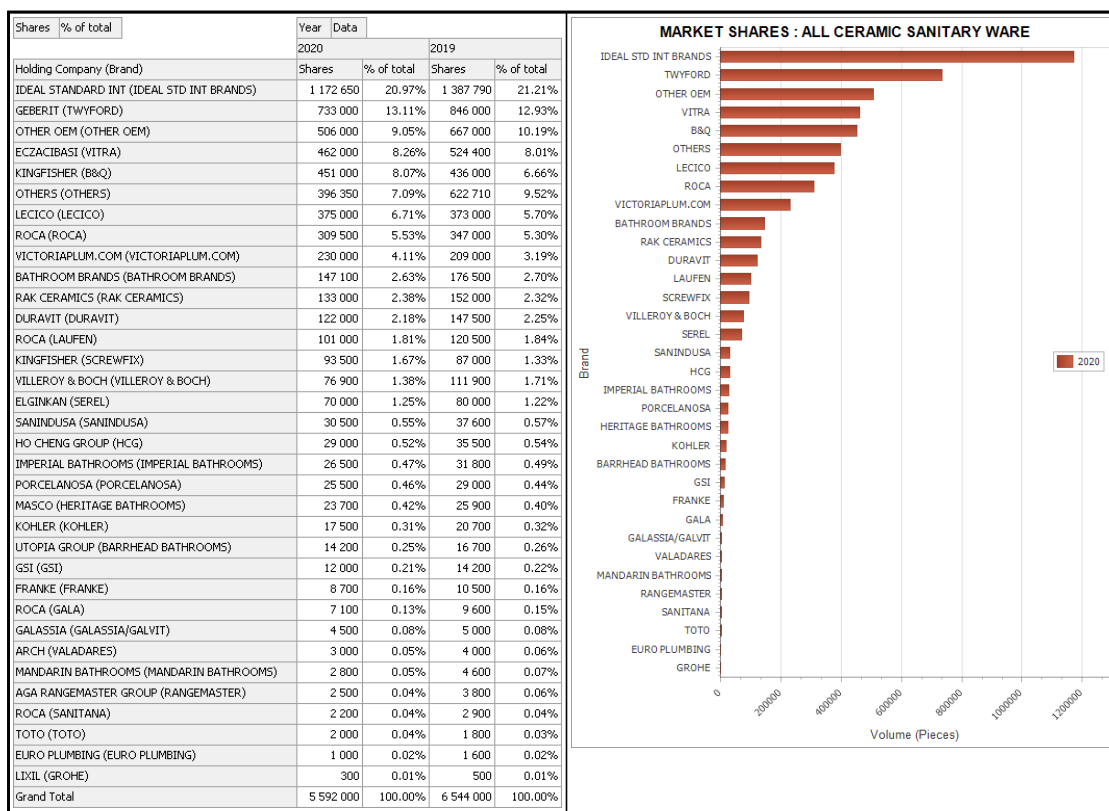
UK - SALES OF SANITARY WARE BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.5.1 Market Shares : All Ceramic Sanitary Ware

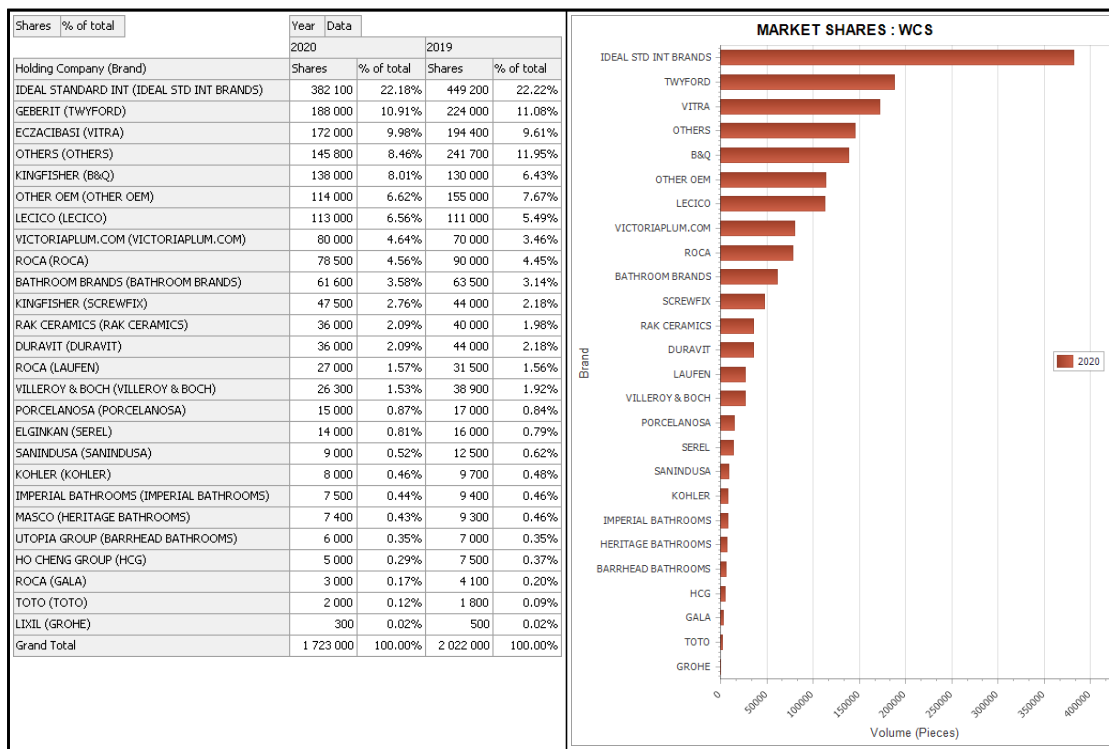
UK - ESTIMATED MARKET SHARES FOR ALL CERAMIC SANITARY WARE



Source: BRG based on industry interviews

2.5.2 Market Shares : WCs

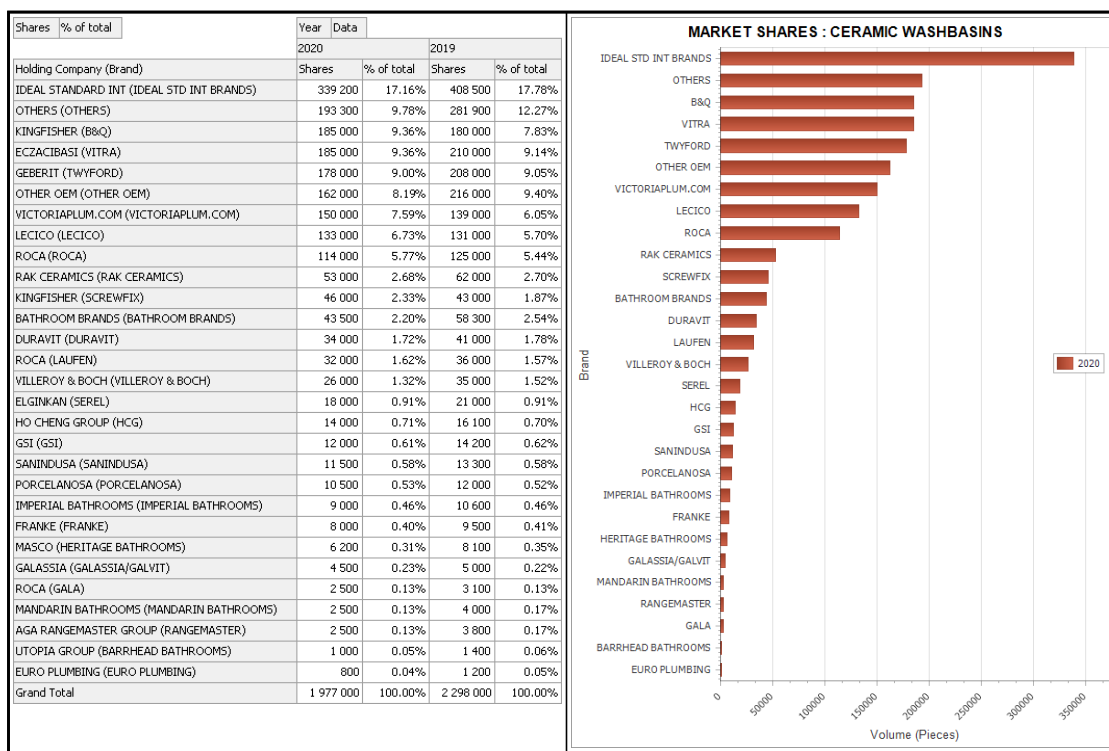
UK - ESTIMATED MARKET SHARES FOR WCS



Source: BRG based on industry interviews

2.5.3 Market Shares : Ceramic Washbasins

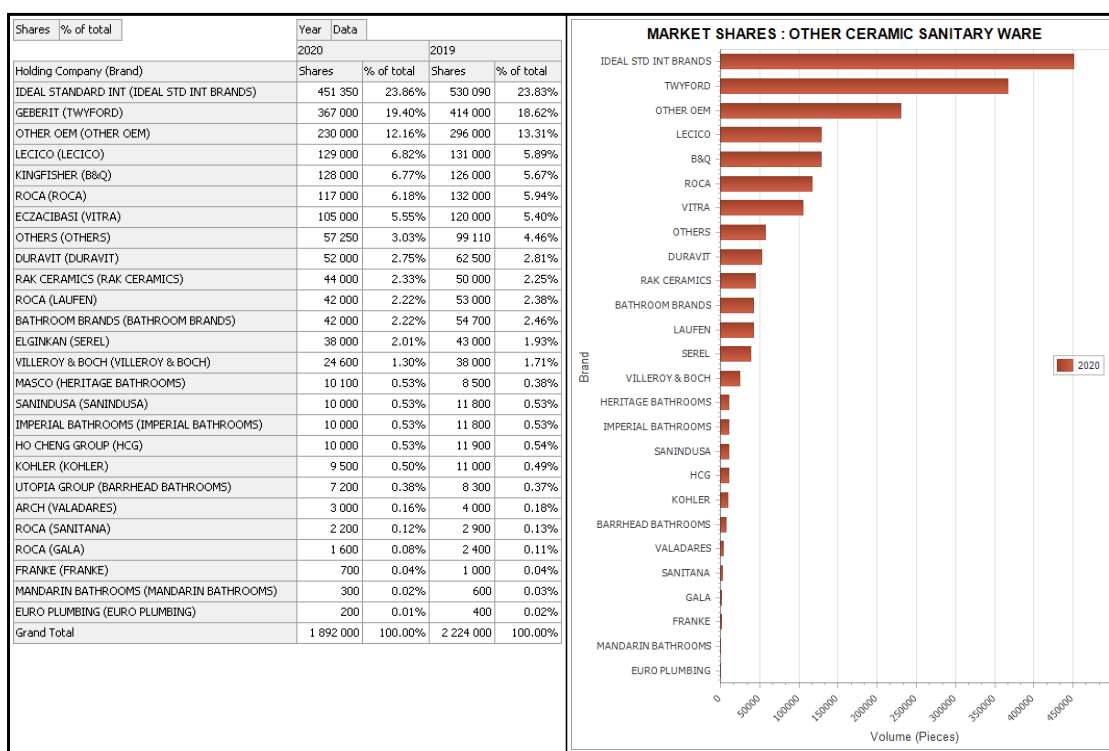
UK - ESTIMATED MARKET SHARES FOR CERAMIC WASHBASINS



Source: BRG based on industry interviews

2.5.4 Market Shares : Other Ceramic Sanitary Ware

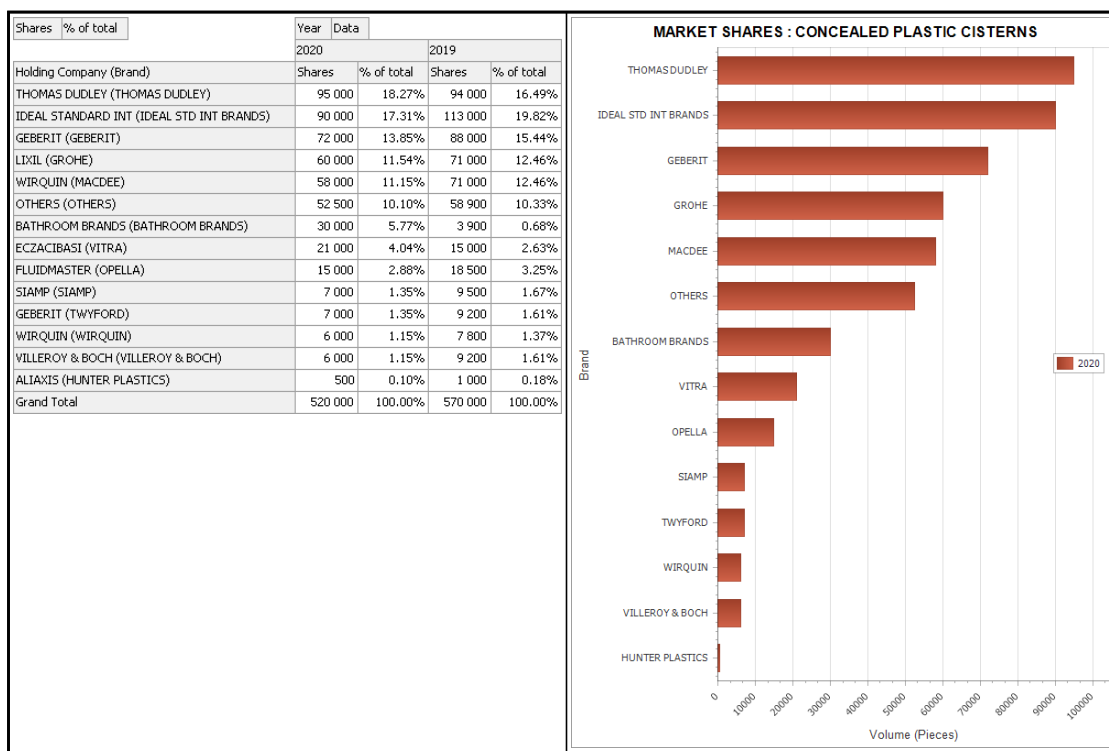
UK - ESTIMATED MARKET SHARES FOR OTHER CERAMIC SANITARY WARE



Source: BRG based on industry interviews

2.5.5 Market Shares : Concealed Plastic Cisterns

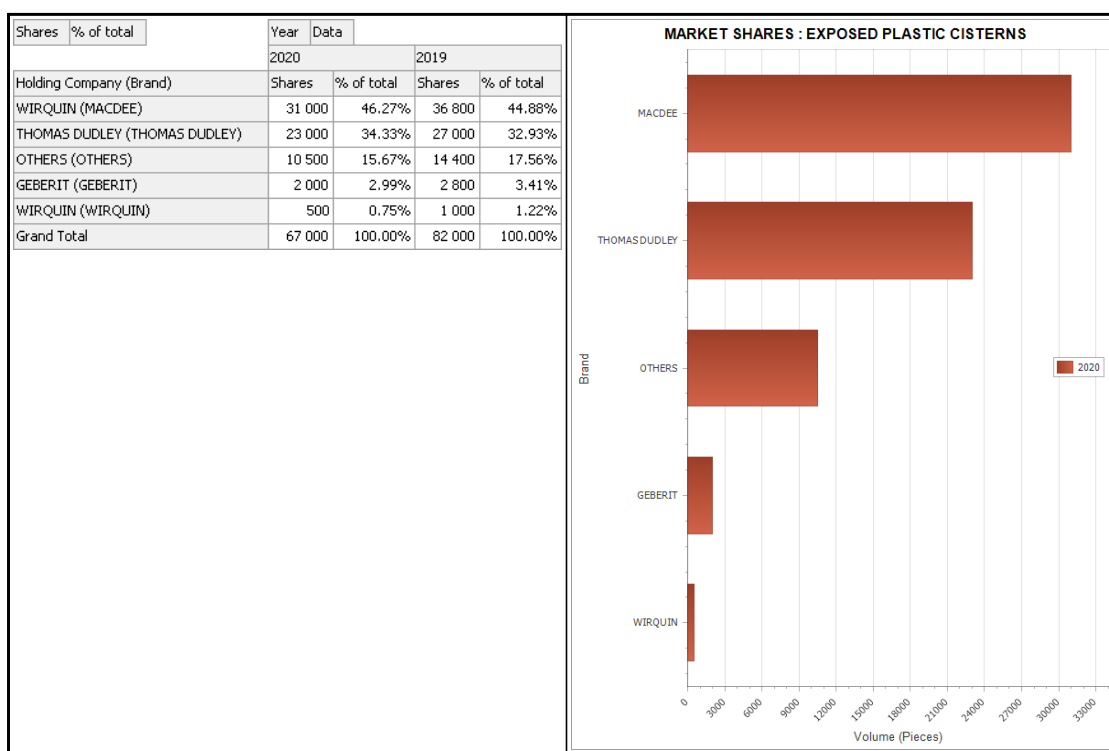
UK - ESTIMATED MARKET SHARES FOR CONCEALED PLASTIC CISTERNS



Source: BRG based on industry interviews

2.5.6 Market Shares : Exposed Plastic Cisterns

UK - ESTIMATED MARKET SHARES FOR EXPOSED PLASTIC CISTERNS



Source: BRG based on industry interviews.

2.6.1 UK - IMPORTS OF ALL CERAMIC SANITARY WARE 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
China	47 981	40.9%	68 489	32.5%	51 792	36.8%	76 978	29.2%
Egypt	14 176	12.1%	13 711	6.5%	16 189	11.5%	16 673	6.3%
Turkey	11 629	9.9%	20 397	9.7%	12 892	9.2%	23 259	8.8%
United Arab Emirates	10 530	9.0%	15 524	7.4%	11 440	8.1%	16 229	6.1%
Bulgaria	6 533	5.6%	10 146	4.8%	7 062	5.0%	10 266	3.9%
Portugal	5 373	4.6%	10 290	4.9%	6 966	4.9%	12 000	4.5%
Germany	4 842	4.1%	25 831	12.2%	4 627	3.3%	31 680	12.0%
Czech Republic	2 872	2.4%	8 757	4.2%	3 851	2.7%	11 562	4.4%
Italy	2 819	2.4%	12 172	5.8%	8 487	6.0%	29 252	11.1%
Poland	2 462	2.1%	5 834	2.8%	4 748	3.4%	9 184	3.5%
Morocco	2 115	1.8%	2 551	1.2%	4 562	3.2%	4 595	1.7%
OTHERS	6 038	5.1%	17 256	8.2%	8 189	5.8%	22 227	8.4%
Total	117 369	100.0%	210 958	100.0%	140 805	100.0%	263 905	100.0%

Source : Trademap

2.6.2 UK - EXPORTS OF ALL CERAMIC SANITARY WARE 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Ireland	3 855	34.1%	10 200	27.4%	4 992	31.6%	11 903	25.9%
France	2 063	18.2%	5 043	13.5%	3 887	24.6%	8 271	18.0%
Poland	1 191	10.5%	2 593	7.0%	230	1.5%	708	1.5%
Italy	1 054	9.3%	2 842	7.6%	1 156	7.3%	2 517	5.5%
Bulgaria	580	5.1%	1 475	4.0%	736	4.7%	1 679	3.7%
United States of Amer	487	4.3%	4 175	11.2%	769	4.9%	7 375	16.1%
Netherlands	278	2.5%	1 013	2.7%	118	0.7%	818	1.8%
Trinidad and Tobago	214	1.9%	517	1.4%	239	1.5%	549	1.2%
Germany	208	1.8%	1 547	4.2%	1 187	7.5%	2 984	6.5%
Belgium	200	1.8%	533	1.4%	252	1.6%	443	1.0%
Spain	149	1.3%	460	1.2%	621	3.9%	789	1.7%
OTHERS	1 037	9.2%	6 872	18.4%	1 631	10.3%	7 910	17.2%
Total	11 316	100.0%	37 270	100.0%	15 817	100.0%	45 946	100.0%

Source : Trademap

2.6.3 UK - IMPORTS OF PLASTIC CISTERNS 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
China	3 329	30.3%	14 755	26.6%	4 125	41.9%	20 038	33.7%
Poland	2 009	18.3%	3 036	5.5%	783	8.0%	1 445	2.4%
Germany	1 740	15.8%	12 018	21.7%	2 137	21.7%	14 603	24.6%
France	777	7.1%	5 095	9.2%	628	6.4%	4 411	7.4%
Turkey	573	5.2%	2 561	4.6%	365	3.7%	1 514	2.5%
Netherlands	520	4.7%	6 496	11.7%	489	5.0%	8 040	13.5%
Egypt	503	4.6%	1 330	2.4%	246	2.5%	852	1.4%
Spain	389	3.5%	2 152	3.9%	88	0.9%	1 410	2.4%
Portugal	209	1.9%	785	1.4%	2	0.0%	12	0.0%
Czech Republic	167	1.5%	1 359	2.5%	127	1.3%	1 104	1.9%
Italy	158	1.4%	1 007	1.8%	112	1.1%	600	1.0%
OTHERS	606	5.5%	4 851	8.7%	735	7.5%	5 398	9.1%
Total	10 981	100.0%	55 445	100.0%	9 838	100.0%	59 427	100.0%

Source : Trademap

2.6.4 UK - EXPORTS OF PLASTIC CISTERNS 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Ireland	3 851	57.1%	8 495	33.7%	4 857	57.9%	9 252	30.9%
Saudi Arabia	1 271	18.8%	3 952	15.7%	1 457	17.4%	4 546	15.2%
Hong Kong, China	239	3.5%	2 334	9.3%	121	1.4%	1 198	4.0%
France	170	2.5%	1 591	6.3%	213	2.5%	2 461	8.2%
Germany	115	1.7%	816	3.2%	76	0.9%	813	2.7%
Malta	96	1.4%	191	0.8%	74	0.9%	201	0.7%
Japan	90	1.3%	820	3.3%	316	3.8%	2 797	9.3%
Netherlands	82	1.2%	545	2.2%	67	0.8%	473	1.6%
South Africa	81	1.2%	221	0.9%	36	0.4%	259	0.9%
Spain	73	1.1%	499	2.0%	35	0.4%	465	1.6%
Trinidad and Tobago	72	1.1%	309	1.2%	79	0.9%	341	1.1%
OTHERS	604	9.0%	5 405	21.5%	1 056	12.6%	7 161	23.9%
Total	6 744	100.0%	25 178	100.0%	8 387	100.0%	29 967	100.0%

Source : Trademap

2.7.3 Route to Market - Consolidated View : Ceramic Sanitary Ware

UK - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2020

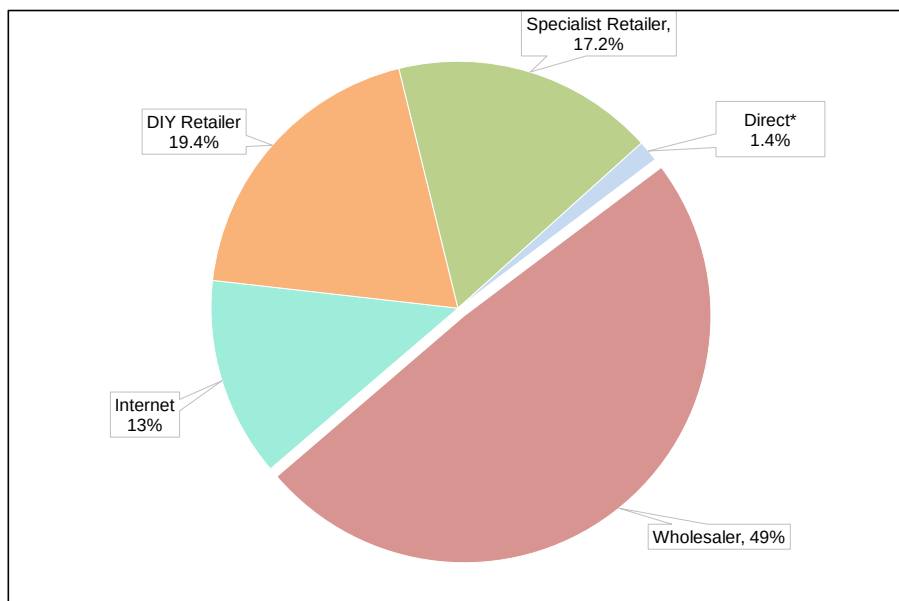
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
49.0%	13.1%	19.4%	17.2%	1.4%	16.1%	12.8%	66.3%	4.8%
100%					28.9%		71.1%	

2.7.4 Route to Market - Consolidated View : Ceramic Sanitary Ware

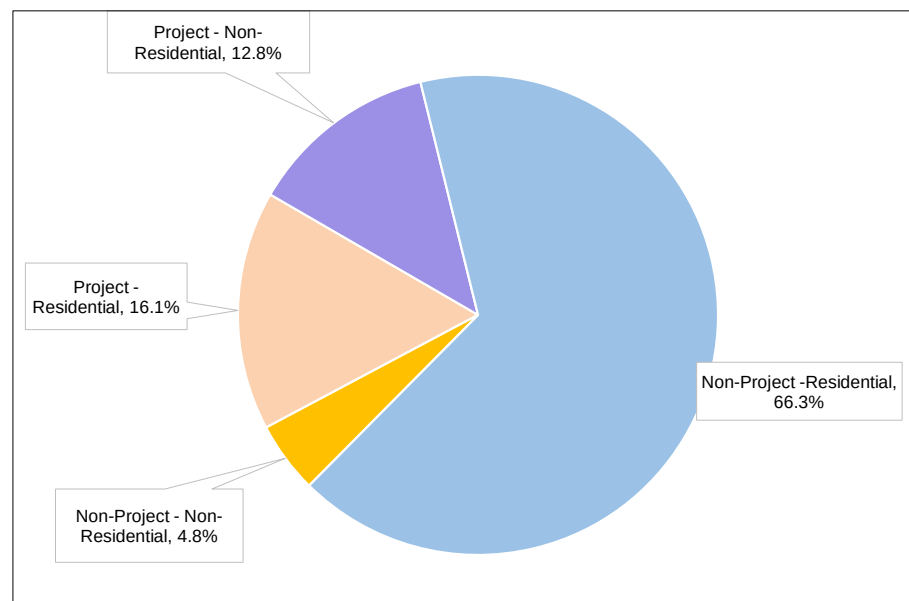
UK - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
47.1%	14.3%	18.7%	18.5%	1.5%	16.5%	12.3%	66.6%	4.6%
100%					28.8%		71.2%	

UK - SALES OF CERAMIC SANITARY WARE BY DISTRIBUTION CHANNEL: 2020



UK - SALES OF CERAMIC SANITARY WARE BY POINT OF DECISION AND END-USE SECTOR: 2020



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

2.7.5 Route to Market: Plastic Cisterns
UK - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2020

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	79.2%
	Wholesalers / Merchants
	79.2%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	3.8%	2.3%	8.6%	11.5%	5.4%	14.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	6.1%		20.1%		19.4%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
3.0%	39.6%	0.9%	1.3%	4.6%
Installers				
49.5%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	11.4%	5.2%	18.7%	14.5%	18.3%	0.0%	0.4%	0.0%	0.1%	0.2%	31.3%
	Residential						Non-Residential					
	68.0%						32.0%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	12.9%			55.2%			22.4%			9.6%		
	Project	Non-Project		Project	Non-Project		Project	Non-Project		Project	Non-Project	
	9.7%	3.2%		3.9%	51.3%		17.0%	5.4%		6.2%	3.4%	

2.7.6 Route to Market: Plastic Cisterns
UK - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2025

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	79.0%
	Wholesalers / Merchants
	79.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	4.3%	2.3%	8.5%	11.5%	5.4%	13.8%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	6.6%		20.0%		19.2%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.8%	39.5%	1.0%	1.3%	4.6%
Installers				
49.2%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	11.6%	5.6%	18.6%	14.4%	21.1%	0.0%	0.3%	0.0%	0.1%	0.2%	28.1%
	Residential						Non-Residential					
	71.3%						28.7%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	14.4%			56.9%			20.1%			8.6%		
	Project	Non-Project		Project	Non-Project		Project	Non-Project		Project	Non-Project	
	10.8%	3.6%		4.0%	52.9%		15.2%	4.8%		5.6%	3.0%	

Source: BRG Based on Industry Interviews. N.B. Include both Exposed and Concealed Plastic Cisterns - Totals may vary due to roundings

2.7.7 Route to Market - Consolidated View : Plastic Cisterns

UK - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2020

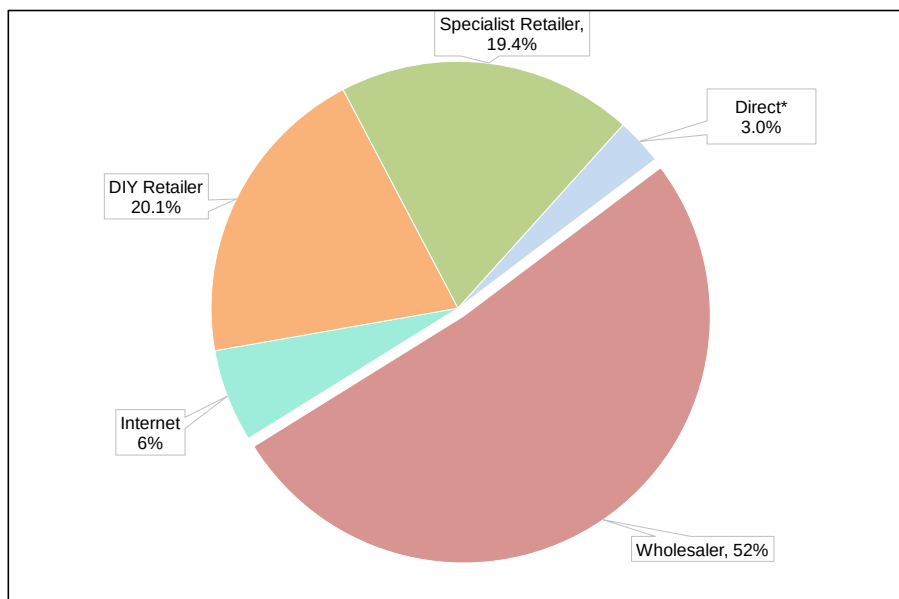
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
51.4%	6.1%	20.1%	19.4%	3.0%	13.5%	23.2%	54.5%	8.7%
100%					36.7%		63.3%	

2.7.8 Route to Market - Consolidated View : Plastic Cisterns

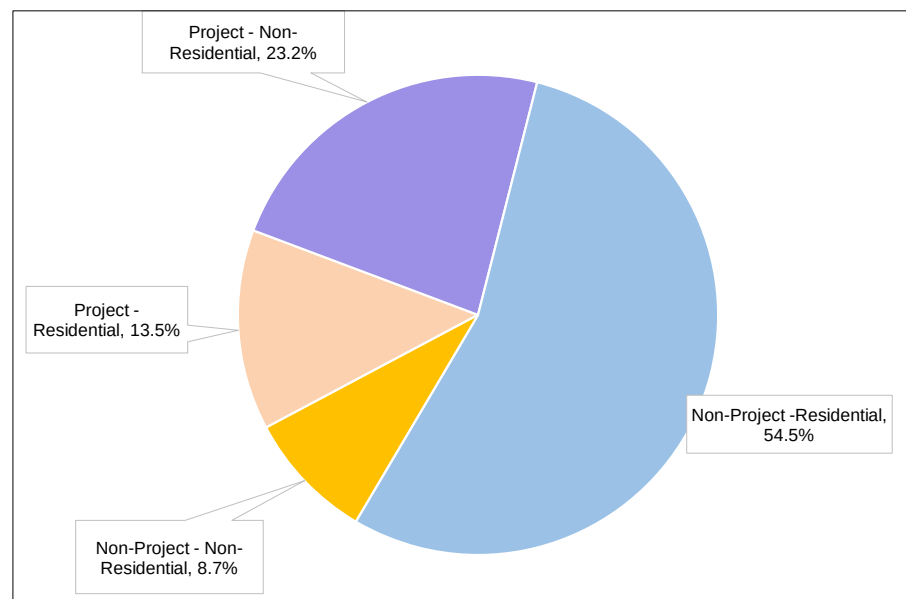
UK - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
51.4%	6.6%	20.0%	19.2%	2.9%	14.8%	20.8%	56.6%	7.8%
100%					35.6%		64.4%	

UK - SALES OF PLASTIC CISTERNS BY DISTRIBUTION CHANNEL: 2020



UK - SALES OF PLASTIC CISTERNS BY POINT OF DECISION AND END-USE SECTOR: 2020



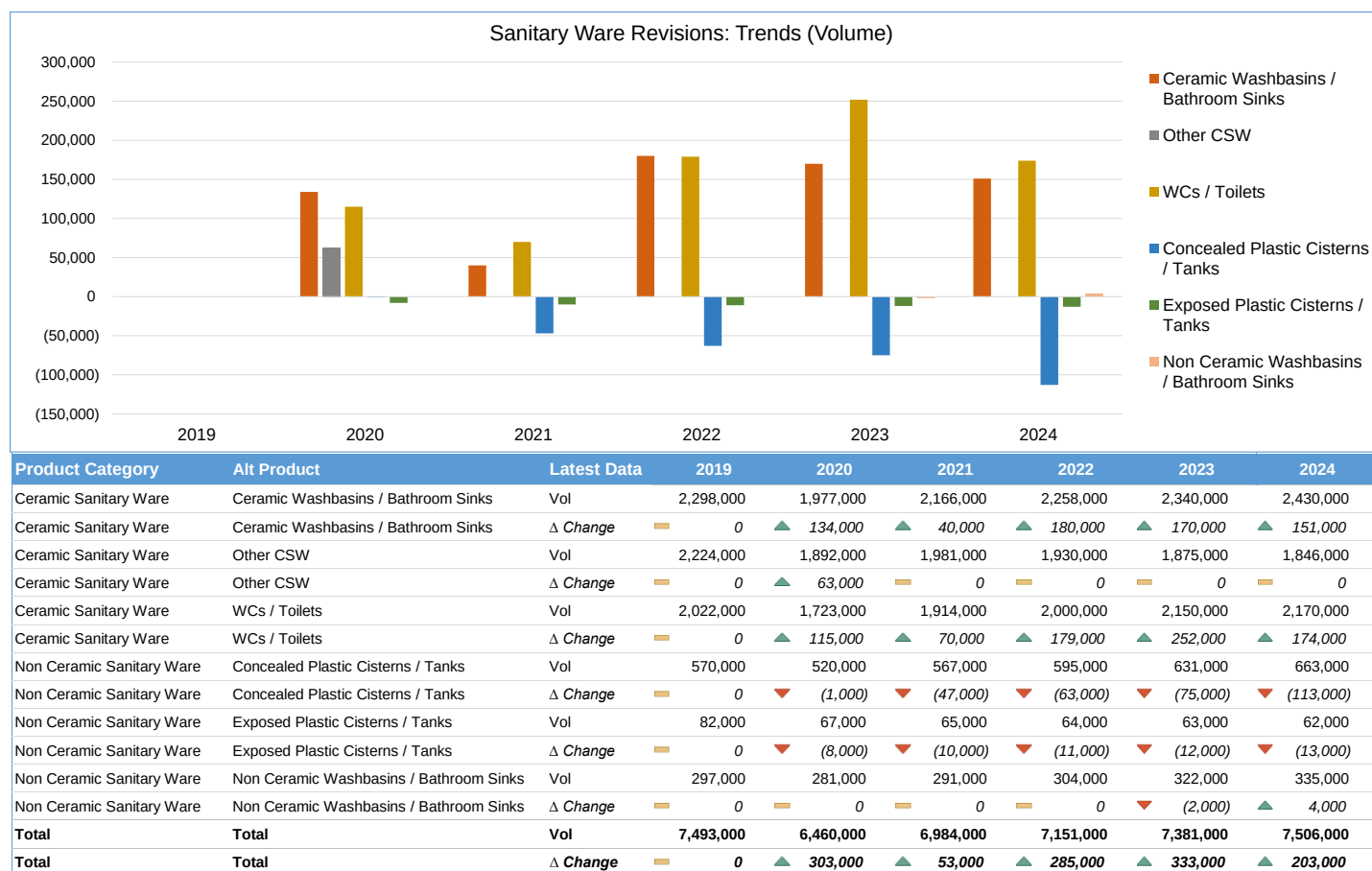
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

2.8 Revisions in the UK Sanitary Ware Market (April 2021)

UK - REVISIONS IN THE UK SANITARY WARE MARKET

Data Comparison: October 2020



No revisions have been made to historical volumes and values for this market.

UNITED KINGDOM

TAPS AND MIXERS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

Please note that this section only covers taps and mixers installed with baths, bidets, kitchens and washbasins. Shower mixes (or mixer showers) are a distinct segment from taps and mixers, covered in the Shower Controls report; bath/shower mixers (equipped with a shower head and flexible hose, to enable showering) are, however, included within this section. Pillar taps are generally used in pairs and, therefore, are counted in pairs.

In more recent years, consumers have begun to shun DIY retailers (which generally offer mid-to-lower quality taps and mixers) in favour of internet retailers, which are offering higher quality mixers at lower prices. Furthermore, the new generation of first time buyers are increasingly lacking in basic DIY skills and, as a result, prefer the 'BIY' (Buy It Yourself) approach, which favours internet retailers. Due to the increase in private-rented dwellings, a greater proportion of property owners rely on installers to source replacement products. These installers tend to favour independent merchants and trade counter stores such as SCREWFIX.

In terms of product mix, the UK follows the rest of Europe in its preference for one head mixers, which are favoured for their ease of use and simple, 'clean' aesthetic. However, the UK – and the neighbouring Republic of Ireland – are distinctive in that both still see high annual sales of pillar taps. Pillar taps have a large existing park in the UK, and sales have thus been sustained by replacement demand – indeed, as consumers wishing to switch from pillar taps to a mixer must also replace their washbasin (from a two-tap hole to a one-tap hole model), like-for-like distress replacements are typical. In addition, pillar taps are sometimes chosen by UK consumers for their aesthetic, as they offer a 'retro' or rustic appearance. Two head mixers are also a popular product, as they offer a slightly cheaper mixer alternative to one head mixers and, therefore, are preferred in social housing. Thermostatic taps are also gaining traction in the UK market, and are favoured in non-housing public buildings, such as care homes and schools, where the user can control the temperature at ease.

Recent Market Trends

The overall UK taps and mixers market contracted strongly in 2020, due to the onset of the COVID-19 outbreak from early in the year, with sales virtually ceasing for the majority of Q2. Sales to all end-use segments were markedly down due to the first national lockdown and with a few key players relying on the performance of the national merchants which had been shut for most of the year, negatively impacting market development. Some product launches, coupled with restrictions being eased in the second half of the year, aided the market beginning to see an uptake in volume sales.

With much more of a focus on improving hand wash facilities in both public and private spaces, the market saw an uprise in these in the second half of the year as

more sensor taps for a number of public places were installed and some homeowners moving to touchless products. Many home improvements were carried out which helped prevent the market from performing a lot worse than it originally did and allowed some players to recover most of the lost volume by the end of 2020. A strong theme in the marketplace was the presence of the Internet with an increased number of consumers purchasing products such as taps themselves, and then employing an installer to fit them. Solely down to COVID restricting the distribution of merchants and retail specialists, this in turn further exacerbated the trend of consumers purchasing taps online, further impacting the channels and route to market.

Freestanding bath taps have continued to get cheaper in price, making them more accessible in the market, with this trend being boosted slightly by online sales. Bath mounting types remain dominated by deck mounted, with wall mounted remaining very limited due to it being seen as high risk as, if the tap were to leak it would be behind the wall and the hurdle that comes with having to fix it poses enough of a deterrent to the installer. Consumers do like the look of a bath wall mounted tap; however, installers defer them from this as it is also quite complicated to fit whereas for washbasins, which can be either thermostatic or infrared, have seen uptake with the latter seeing more installations due to the touch free ability.

Due to the vast park of pillar taps in the UK, sales of taps and mixers (i.e. one and two head mixers) are closely correlated to washbasin replacements, as a washbasin replacement gives the consumer an opportunity to switch to a single-hole basin designed to accommodate a mixer (rather than the two-hole basins used for pillar taps). Despite an overall decline for washbasin replacements, the trend towards one head mixers was still much preferred, with two heads continuing to remain not as favourable in comparison. Contemporary taps such as pillar taps remained in decline with bath taps replacing them, with traditional products such as bath fillers and bath showers for both one and two head, remaining popular due to the style of bathroom consumers are creating.

Coloured taps continued to develop well across the board, with black and gold seeing marginal uptake in the marketplace. Matching colours in a bathroom can be quite complex due to the various products in a bathroom compared to kitchen. In line with the overall market, thermostatic mixers saw a decline in 2020; however, they remain favourable due to legislation and the Health Maintenance Organisation (HMO) recommending them, especially in hospitals. Interestingly, some contractors still like to install non-thermostatic mixers for cost reasons where possible, but the scope to do this is decreasing.

Prices and Market Values

Average MSPs did not experience much of an increase in 2020 bar for kitchen taps and mixers which saw the highest increase given the variety of designs which can be brought such as pull-out spouts and hoses as well as hot boiling water taps. With more coloured taps being brought into the marketplace, this increased pricing whereas prices of chrome, which occupy the vast majority have come down slightly

due to the competitive nature of taps, balancing itself out. Price growth was also constricted by the stronger increase in internet sales despite rising import costs and raw material prices. Local manufacturers have benefited from these developments as, naturally, import costs do not affect them as significantly as they do importers. Having said that, the internet channel (and its price competitiveness) has made consumers more accustomed to accessing a range of products at low prices, which has been a real challenge for manufacturers.

New Housing

Taps and mixers in new housing proved to be markedly down, in line with the decline in new build completions in 2020. This negative attribution restricted growth of the much preferred one head mixers in new build, for washbasins, as well as two head mixers which are much favoured with the installation of baths. Pillar taps have been historically favoured in social housing and were not aided in the strong contraction of these completions as well as renovations as installers were not allowed into homes for a large part of the year. There was a small, continued traction of pillar taps being switched for two head mixers within social housing, as they provide mixed water at a lower price point than one head mixers.

Housing RMI

Since the UK is a highly mature and developed market, the vast majority of tap sales are replacements. Although there is a high level of distress replacement in the taps and mixers market due to the hard mineral content of the water, taps are also a straightforward aesthetic upgrade to a bathroom or en suite and, therefore, sales to the RMI sector comprise the greatest proportion of the overall market. Although pillar tap sales are in a slow decline, increasingly replaced with one and two head mixers, cheap distress replacements have largely sustained the market, as the UK's existing park of washbasins generally incorporate two tap holes and, therefore, switching to a one head or two head mixer necessitates a more expensive replacement of the sanitary ware.

Ultimately the overall RMI development of taps and mixers proved to be down, despite home renovations remaining strong throughout the second half of 2020; however, these upgrades included washbasins which supported the shift towards mixers, with many consumers taking the opportunity to purchase a basin with a single tap hole and a one or two head mixer.

Non-Housing

Taps and mixers are an essential element to any occupied building, including non-residential ones. Sales of taps and mixers into the non-housing sector were down given the decline seen in new dwelling construction. Electronic taps gained further popularity, particularly in hospitals and the healthcare sector, with more investments into these areas due to hygienic purposes. They continued to replace self-closing taps which historically have dominated the UK non-housing market, favoured for their low price point and water-saving benefits (as their self-closing

function conserves water and lowers the risk of collateral damage to a building through a bathroom flooding due to a tap being left on). Overall volumes are expected to return to good growth from 2021 onwards with electronic taps expected to benefit again from the hygienic element they bring.

Supply Structure

BRISTAN is the clear market leader in two head mixers, one head mixers and pillar taps, whereas FRANCIS PEGLER held most of the share in self-closing taps. HANSGROHE (MASCO) are market leaders in thermostatic taps, and SCREWFIX (KINGFISHER) are leaders in electronic taps. Overall BRISTAN leads the market for all taps and mixers applications.

PEGLER YORKSHIRE transferred its taps and mixers business to fellow AALBERTS INDUSTRIES group member COMAP, which commenced the distribution and supply of taps and mixers from 1 January 2019. Towards the latter stages of 2020 the brand was then changed from COMAP to FRANCIS PEGLER and all shower products and taps and mixers are sold under this brand.

Given their administration midway through 2018, ASTRACAST were entirely absent from the market in 2019, with their lost share being picked up by the likes of BRISTAN, RANGEMASTER and COMAP.

China increased its dominance in the import market, largely through importers such as BRISTAN, the ROXOR GROUP and MAYFAIR. Italy provides the only real competition, favoured for its superiority in design and finishes which are preferred in the upper to luxury segment of the market. The only consistent export markets for taps and mixers in the UK are the Irish Republic and the UAE. The grey market continues to grow with the likes of internet distributor VICTORIAPLUM.COM and DIY retailer B&Q increasing their share and this development was further exacerbated in 2020 due to the lockdown forcing the national merchants and retail specialists to close, making internet and DIY retail the only plausible channels to purchase products from. B&Q being able to remain open ensured they experienced a good level of growth with their COOKE & LEWIS brand. In an attempt to improve their cashflow and recover lost volumes, national merchants were pushing their own private label brands in the marketplace through their online which saw some uptake in 2020.

Forecasts

The overall taps and mixers market is expected to see strong recovery in 2021 and reclaim a good chunk of the sales lost in 2020, with construction for both residential and non-residential returning to be a key driver for growth. Given a no deal Brexit was avoided and a free trade deal was struck between the UK and EU at the end of 2020, this should restore some confidence in consumers and prompt them to spend a bit more, with an expected recovery in the RMI segment. Another key and potentially more important factor in restoring confidence into the UK population is the vaccine rollout which has been prevalent as of December 2020, with more UK

citizens getting the job. On the other hand, with more people getting vaccinated and lockdown restrictions slowly being lifted, this could ultimately lead to more people wanting to travel rather than staying home or some homeowners could still be apprehensive about travelling and choose to delay travelling. Nonetheless, irrespective of what most of the UK population choose to do, the overall market is expected to recover well, largely driven by a recovery in new build residential and non-residential construction.

The overall UK taps and mixers market is expected to remain largely positive over the forecast period and it is anticipated to be a lot more stable in the long term than other bathroom products. The ease of upgrade and wider range of quality products is likely to motivate consumers to upgrade their taps and mixers before other bathroom products. Internet distribution is expected to remain strong, albeit not as strong as 2020 due to other channels being forced to closed; however, this expected internet increase will enable consumers to obtain higher quality products at lower prices which will put pressure on traditional distribution channels, such as independent merchants and DIY. Although the UK's recovering housing completions will ensure new build is a key sector of demand in the short term, RMI demand is predicted to play a greater part in market growth over the medium term as new completions are expected to slow down. The extension of stamp duty holiday until late 2021 is expected to boost the housing market, which is a huge factor for the taps and mixers market, benefiting new homes being built as well as homeowners doing renovations to their home to sell it.

In terms of applications, sales of bidet taps and mixers are expected to continue their decline over the forecast period, given that bidets remain unpopular due to the space issues and not being a common product in the UK. Aesthetics and product design are predicted to remain key concerns for manufacturers, with 'clean' slimline designs and concealed taps and mixers retaining their popularity. New designs are also likely to be increasingly available at lower price points, as the internet channel continues to gain share, placing continued pressure on MSPs.

Changes on water usage in the UK has been proposed which could make homeowners look at how much they are using with a bigger focus on sustainability and environmental impact, which could help drive the market. Another factor to consider is the introduction of cold start cartridges which avoid the unnecessary heating of water for washbasin and kitchen mixers. This is a relatively new technology in the market, but there is a feeling within the industry that this may become a standard technology in the coming years.

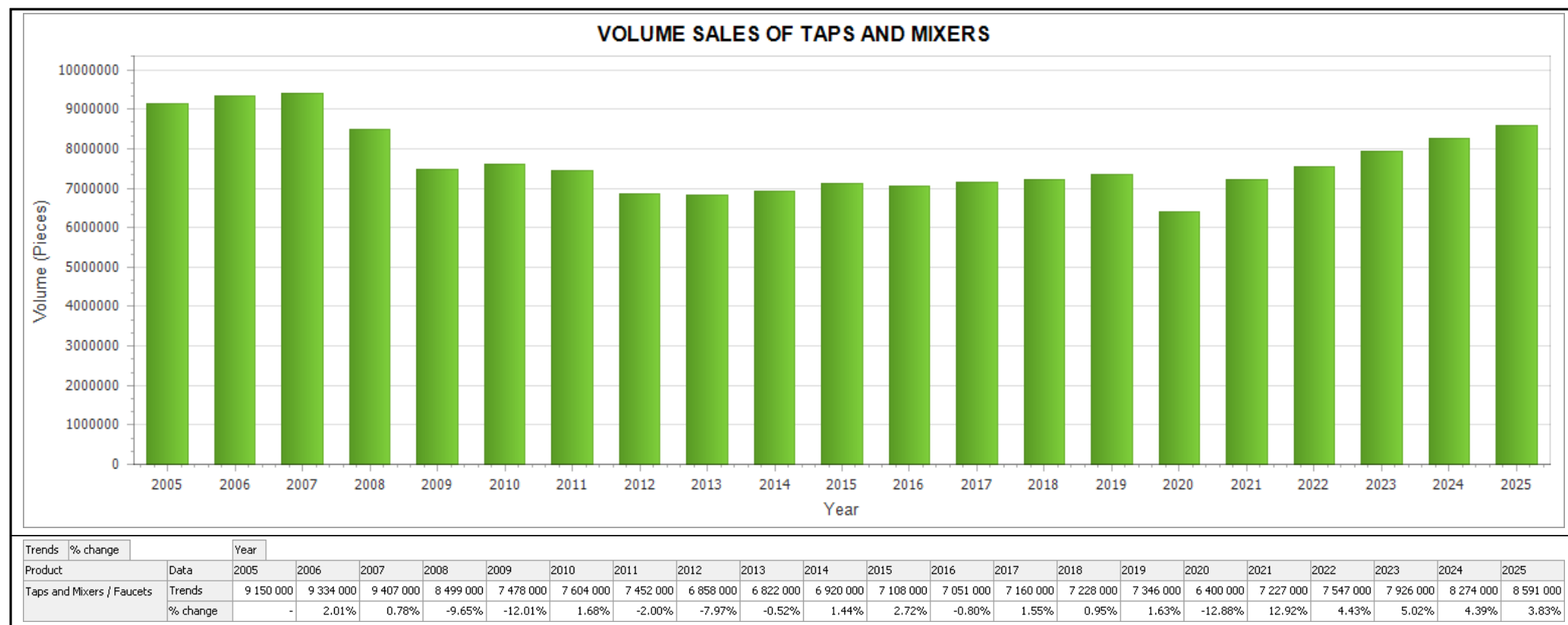
Two head mixers continue to remain the preference for baths; however, this trend is beginning to change as the popularity of baths is expected to decline as more people move towards showers. This in turn will have an adverse effect on the two head mixers market as one head mixers continue to be favourable for washbasin applications. Thermostatic mixers are expected to continue growing; however, certain customers are beginning to move towards non-thermostatic mixers which are cheaper and, by allowing hot water to flow through the tap, it reduces the chances of infections such as Legionella, as thermostatic are at a higher risk and

this could prove to have a negative effect on sales of these products from a washbasin application.

With the UK and EU agreeing on a free trade deal, exports appear to have been hit harder than imports in the first few months of 2021; however, as firms on both sides of the channel grow accustomed to new trading agreements, this disruption is expected to dissipate. In the long term, the UK and EU relationship will be mired by uncertainty and possible instability and with a review clause in 2024, this certainly means the issue of EU trade will play a role in the election that year. The hot topic is whether the UK-EU deal will stand the test of time and, so long as the UK sticks to its commitments, the overall economy and UK bath and shower trays markets should recover well and be driven by recovering consumer consumption, real term earnings and other macroeconomic factors.

3.2 Historical Trends and Forecasts : Taps and Mixers

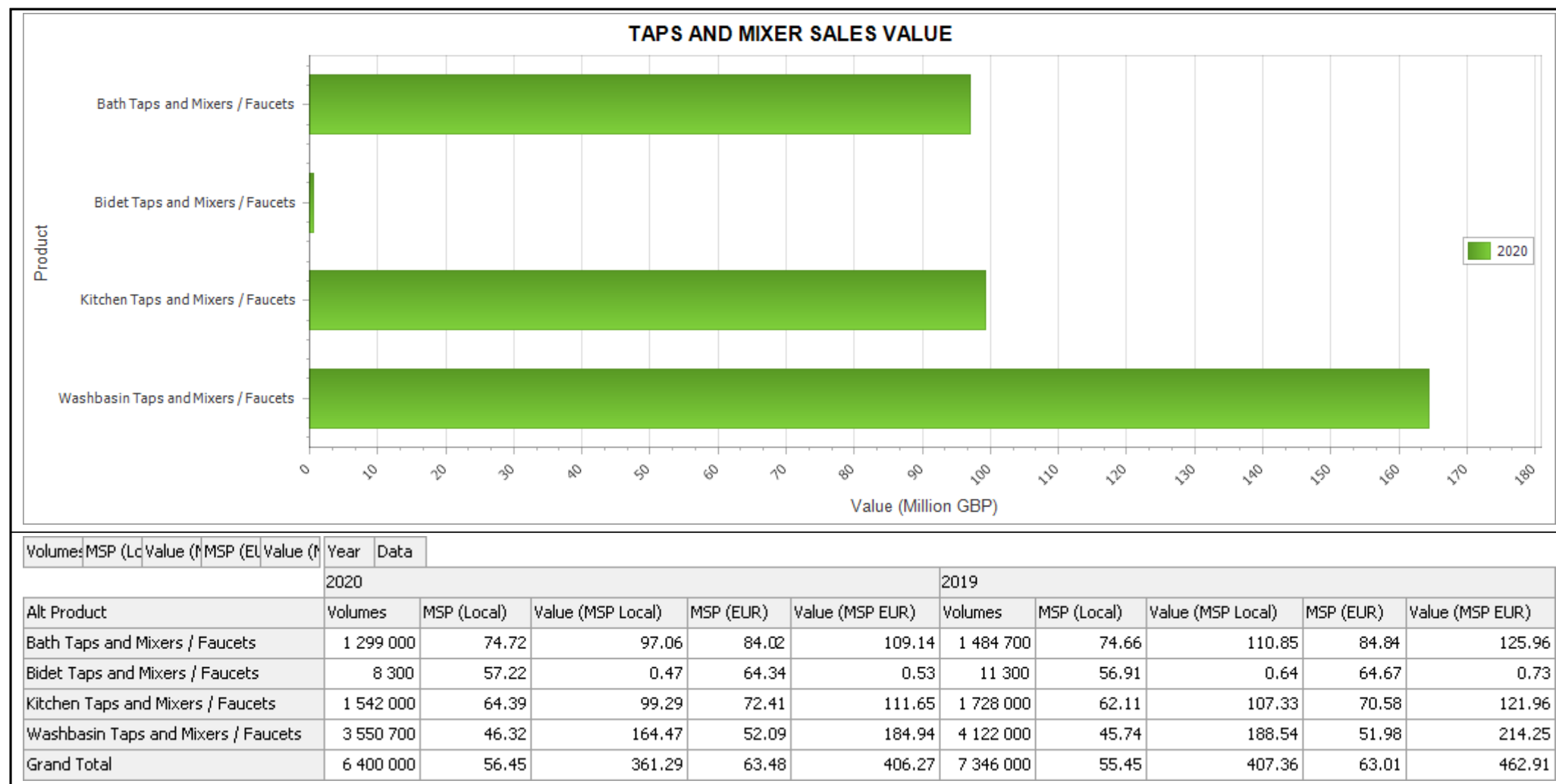
UK - SUMMARY OF TRENDS IN THE TAP AND MIXER MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

3.3.1 Prices and Market Values : Taps and Mixers

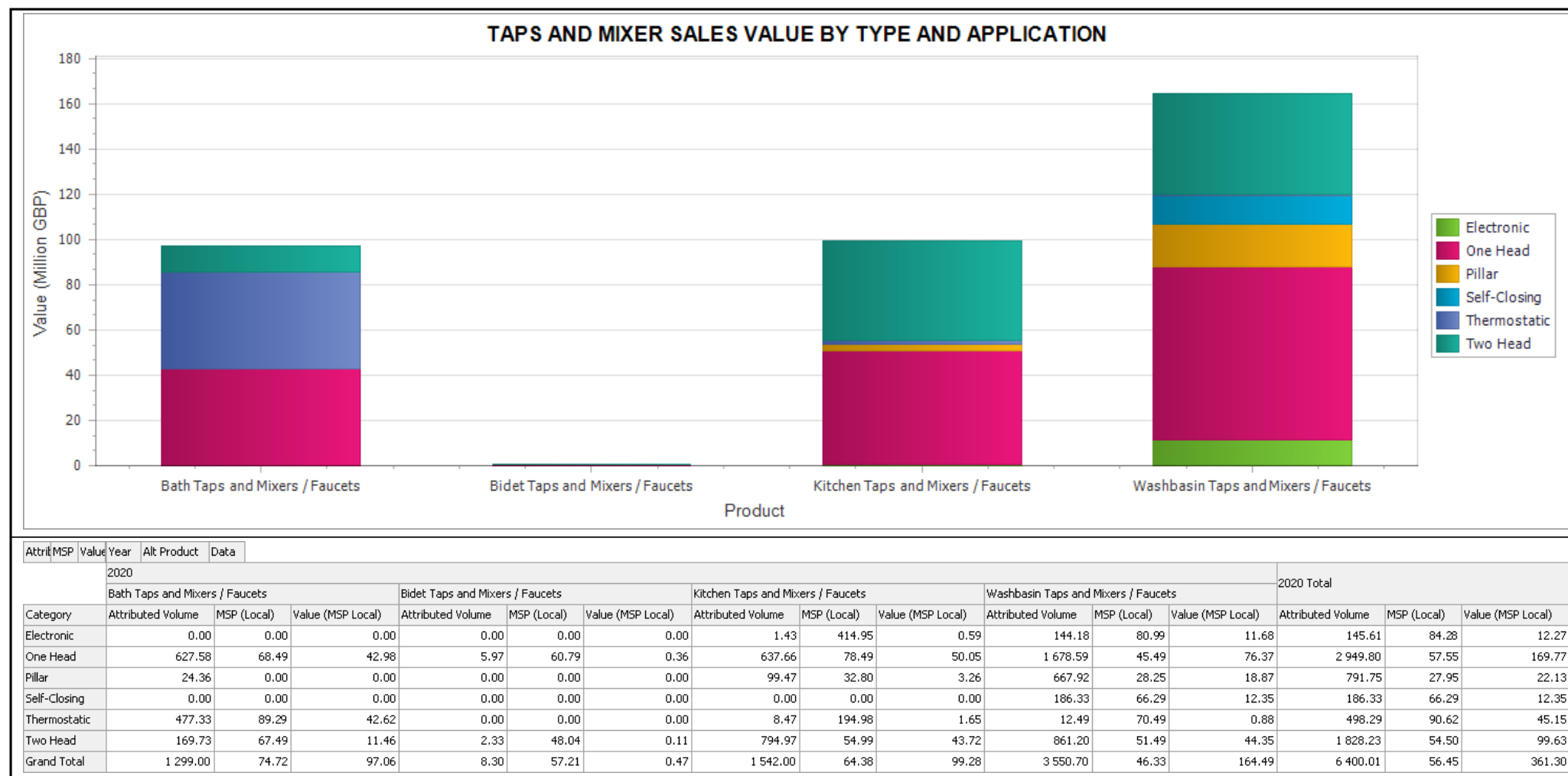
UK - ESTIMATED VALUES OF THE TAP AND MIXER MARKET



Source: BRG based on industry interviews. Local Prices Shown in GBP. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

3.3.2 Prices and Market Values by Type : Taps & Mixers

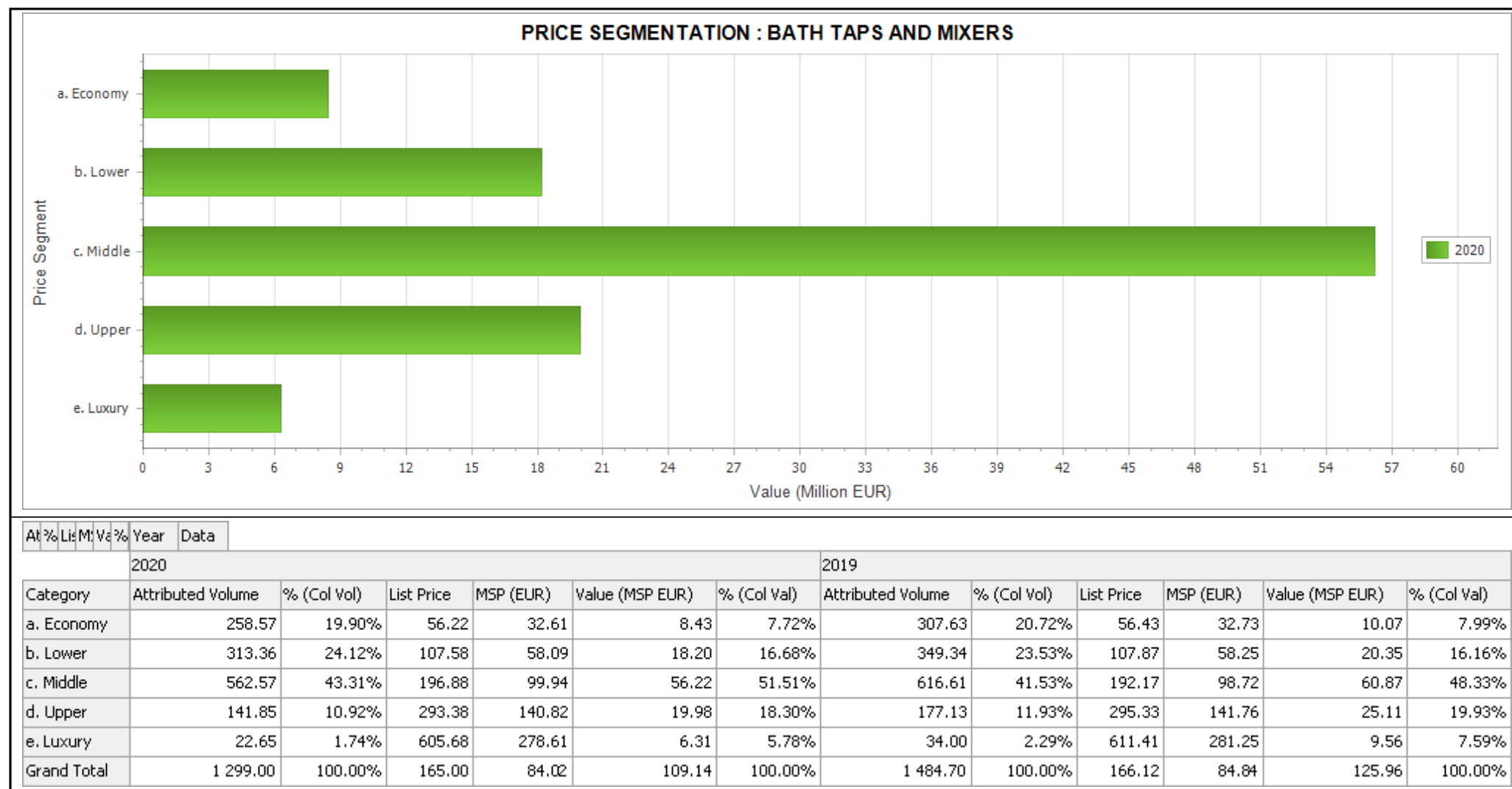
UK - ESTIMATED VALUES OF THE TAP AND MIXER MARKET BY TYPE AND APPLICATION



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in GBP. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

3.3.3 Price Segmentation : Bath Taps and Mixers

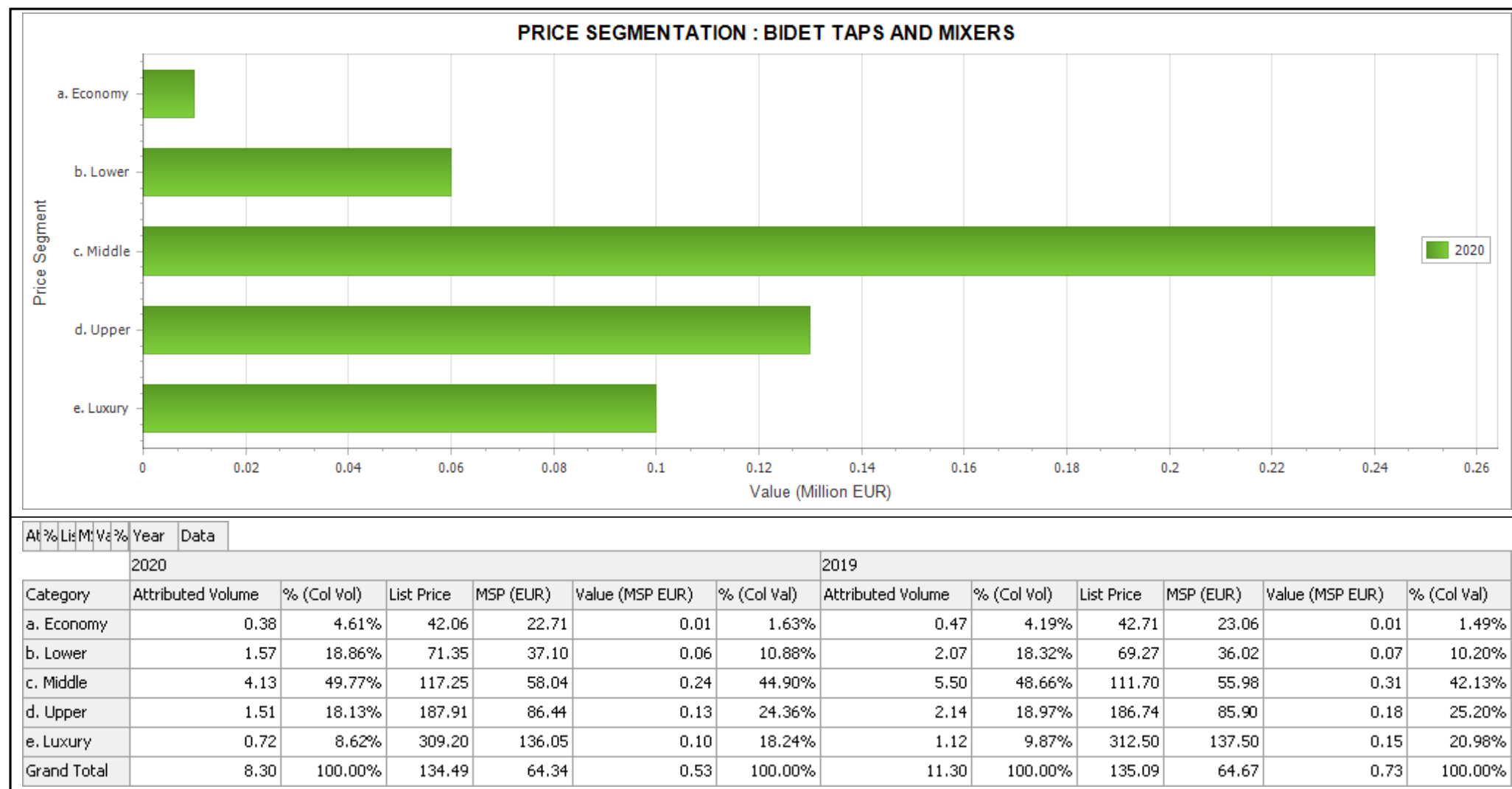
UK - ESTIMATED PRICE SEGMENTATION FOR BATH TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€45, Lower €45-€60, Middle €60-€100, Upper €100-€150 and Luxury >€150

3.3.4 Price Segmentation : Bidet Taps and Mixers

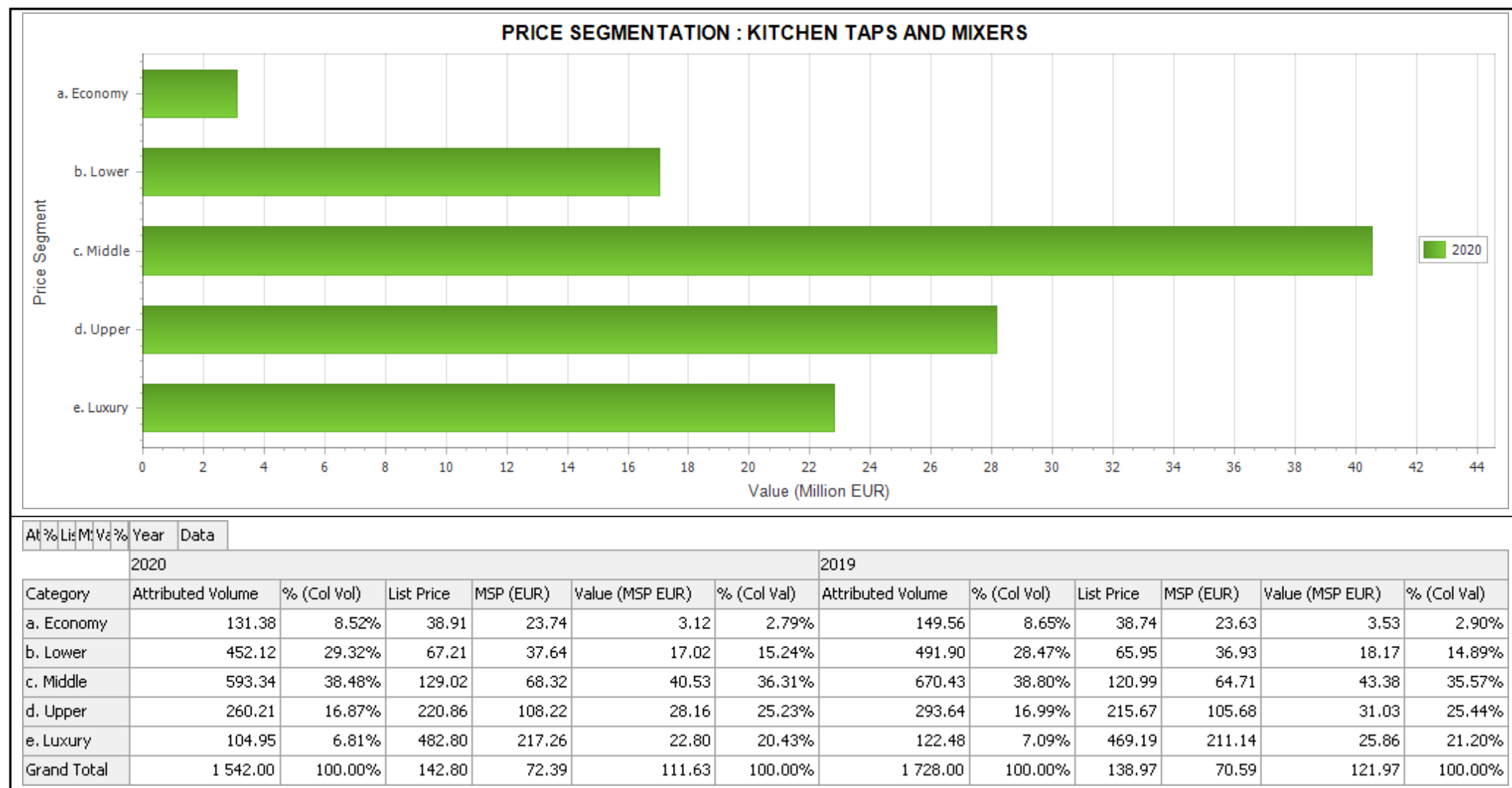
UK - ESTIMATED PRICE SEGMENTATION FOR BIDET TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€25, Lower €25-€40, Middle €40-€60, Upper €60-€100 and Luxury >€100

3.3.5 Price Segmentation : Kitchen Taps and Mixers

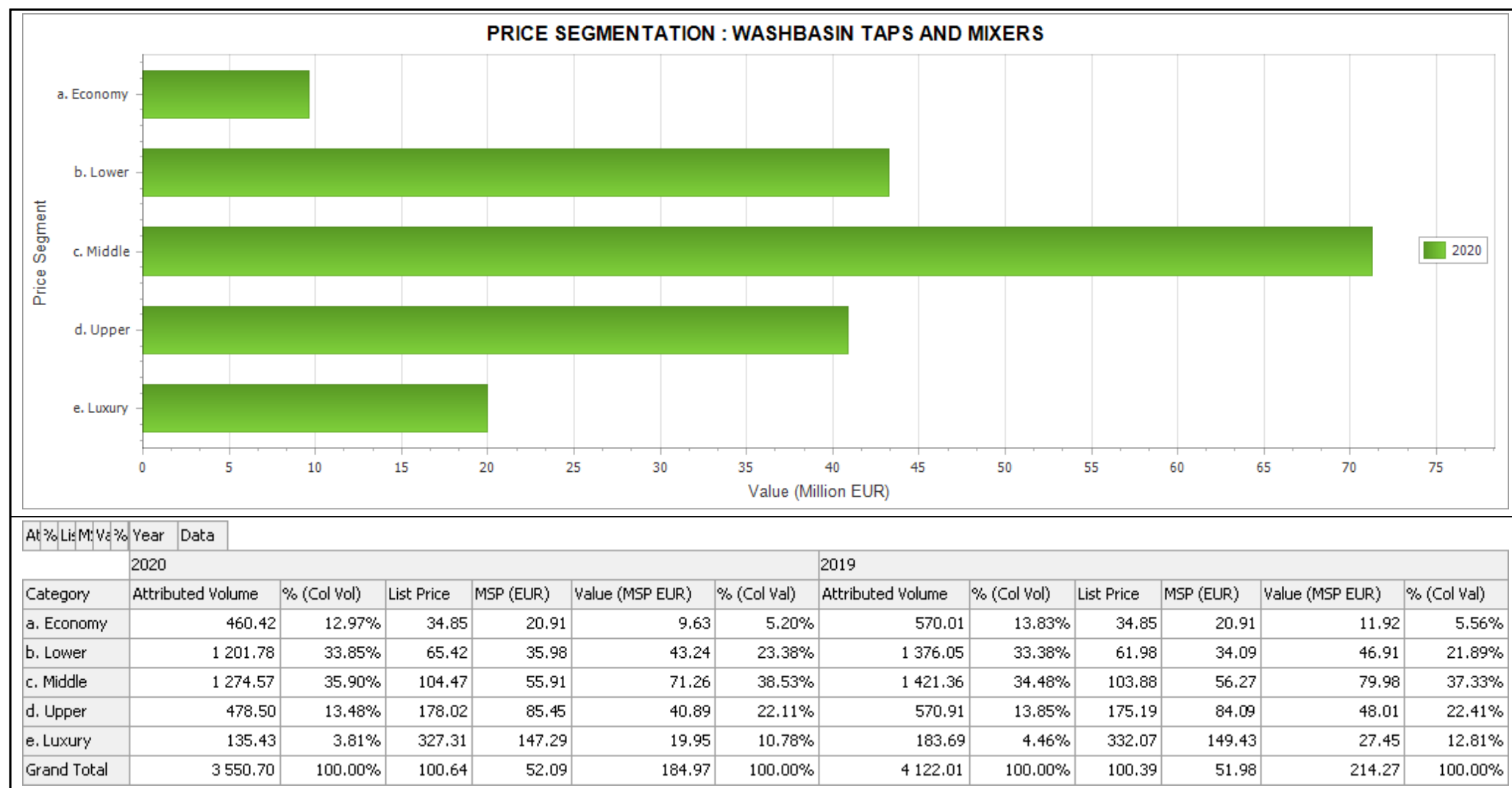
UK - ESTIMATED PRICE SEGMENTATION FOR KITCHEN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€35, Lower €35-€50, Middle €50-€70, Upper €70-€110 and Luxury >€110

3.3.6 Price Segmentation : Washbasin Taps and Mixers

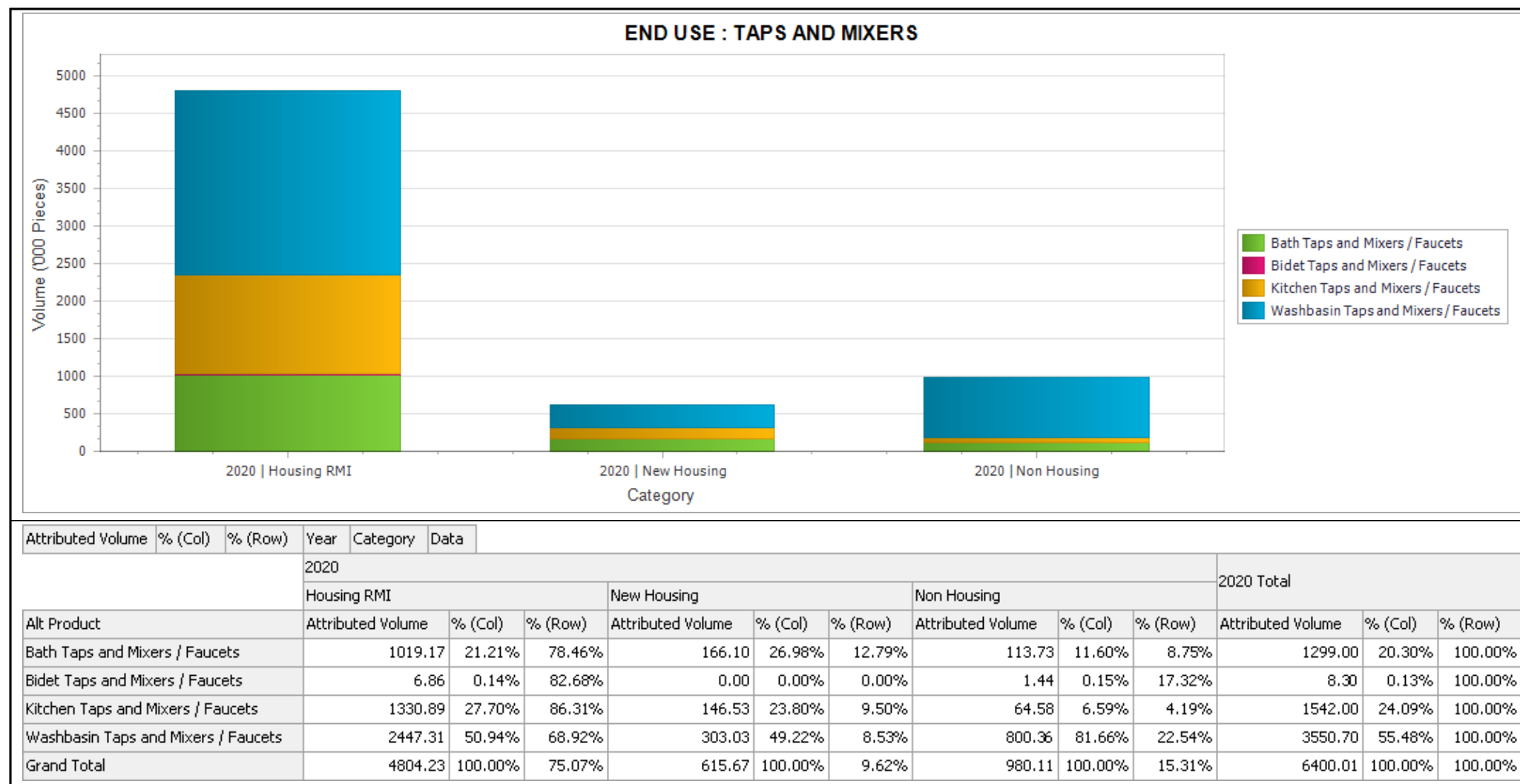
UK - ESTIMATED PRICE SEGMENTATION FOR WASHBASIN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€25, Lower €25-€40, Middle €40-€60, Upper €60-€100 and Luxury >€100

3.4.1 End Use : Base Year

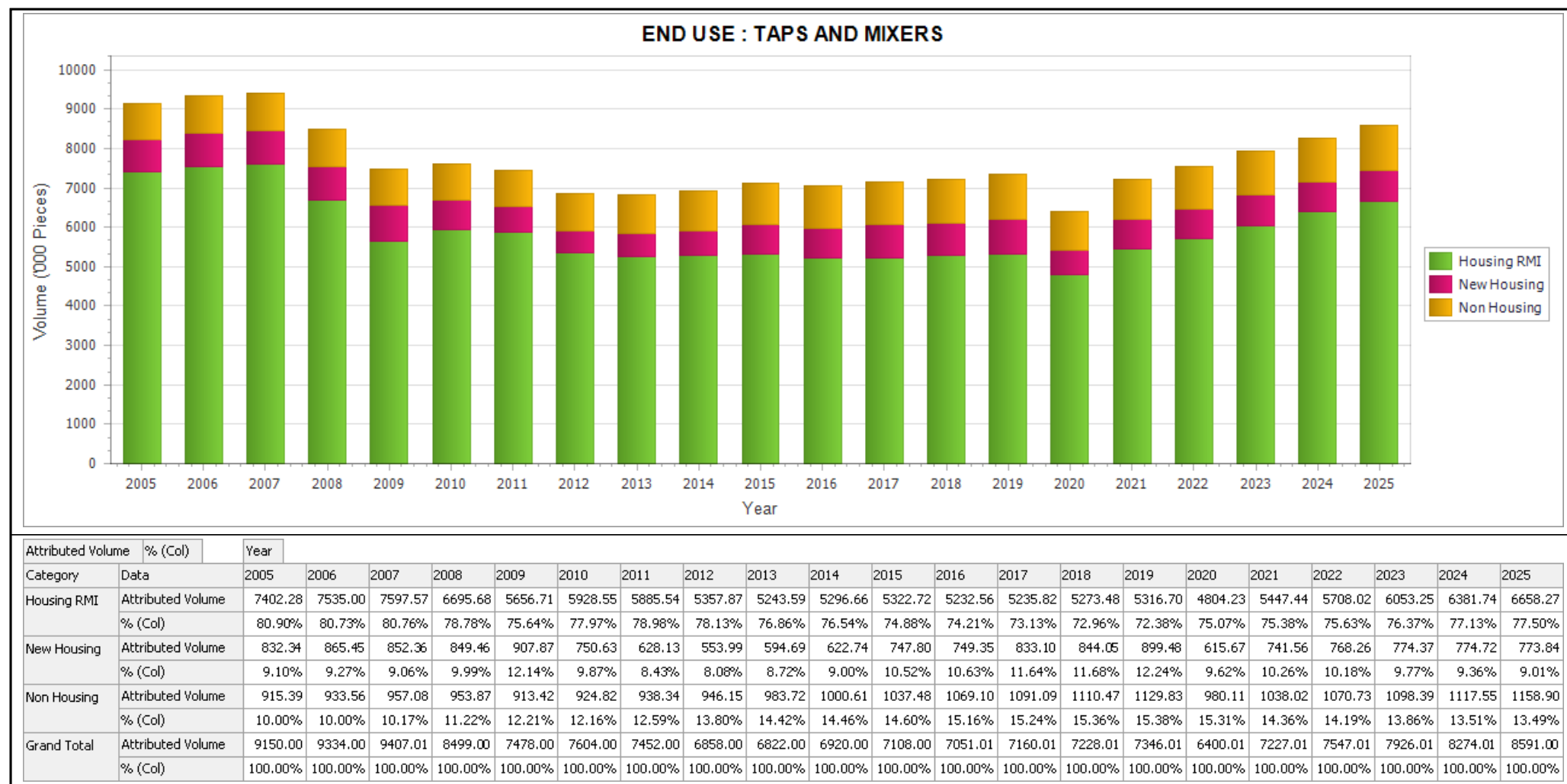
UK - SALES OF TAPS AND MIXERS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance due to rounding. N.B. Includes Kitchen and Sanitary Taps & Mixers

3.4.2 End Use : Historical and Forecasts

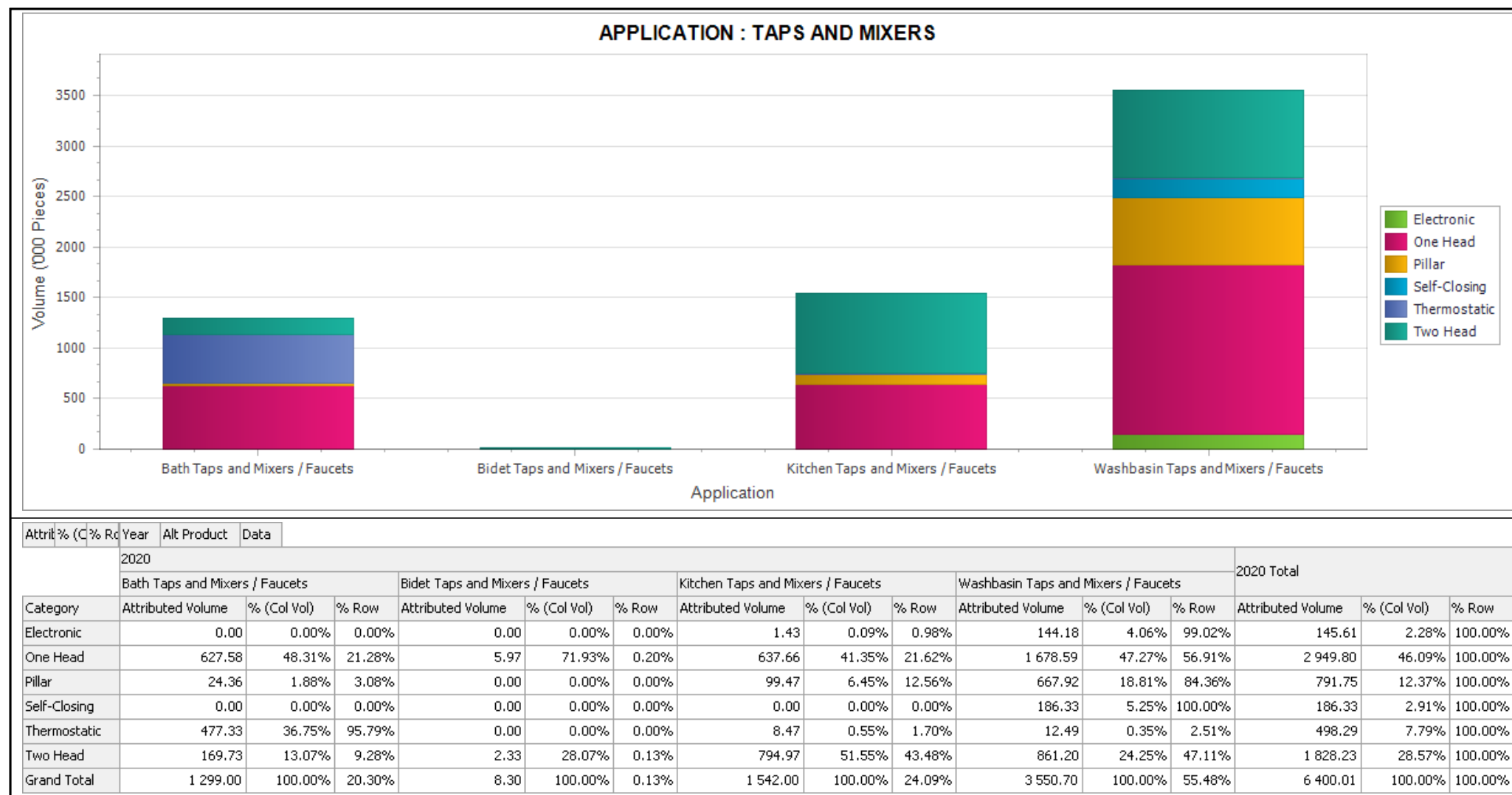
UK - SALES OF TAPS AND MIXERS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

3.4.3 Sales by Type and Application : Taps and Mixers

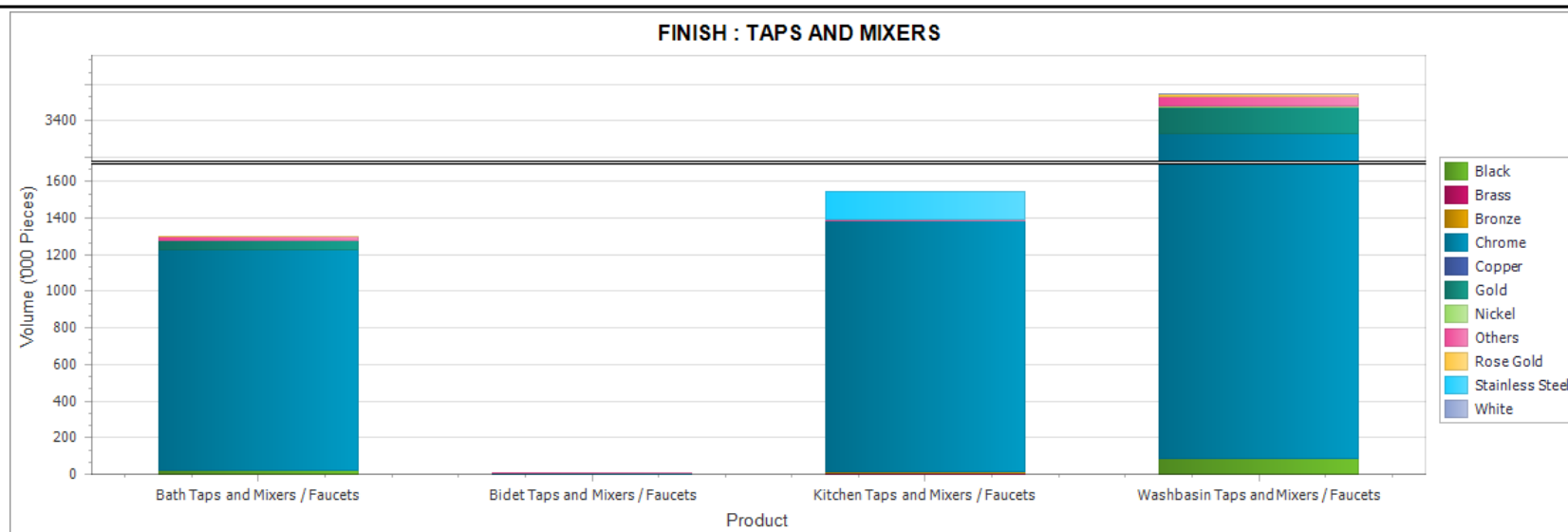
UK - TAP AND MIXER SALES BY TYPE AND APPLICATION ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.4 Sales by Type of Finish : Taps and Mixers

UK - TAP AND MIXER SALES BY FINISH AND APPLICATION ('000 PIECES)

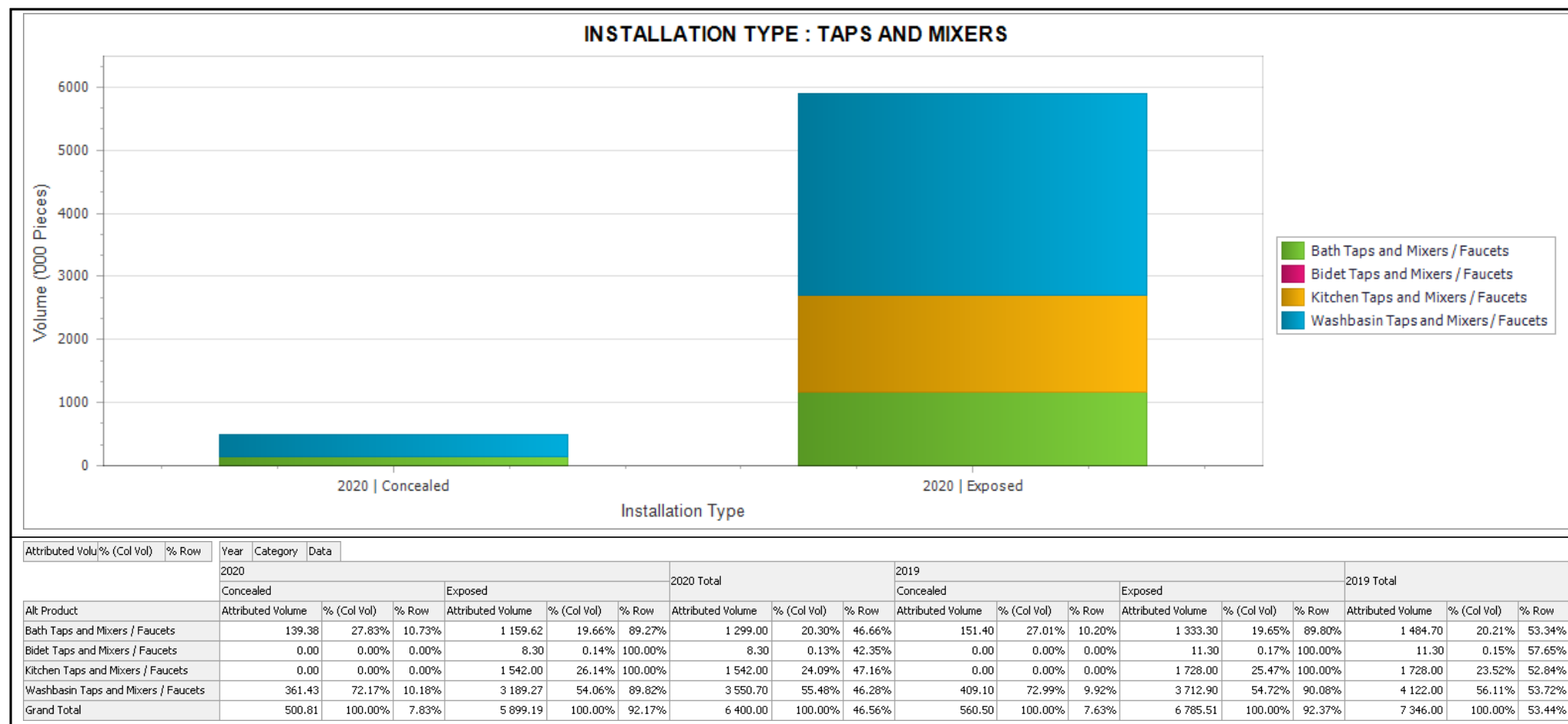


Attrit	% (C)	% Ro	Year	Alt Product	Data												
2020															2020 Total		
Bath Taps and Mixers / Faucets				Bidet Taps and Mixers / Faucets			Kitchen Taps and Mixers / Faucets			Washbasin Taps and Mixers / Faucets							
Category	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row		
Black	23.38	1.80%	21.70%	0.07	0.87%	0.07%	0.85	0.06%	0.79%	83.44	2.35%	77.44%	107.75	1.68%	100.00%		
Brass	0.65	0.05%	5.06%	0.01	0.06%	0.04%	8.64	0.56%	67.25%	3.55	0.10%	27.65%	12.84	0.20%	100.00%		
Bronze	0.00	0.00%	0.00%	0.00	0.00%	0.00%	8.48	0.55%	100.00%	0.00	0.00%	0.00%	8.48	0.13%	100.00%		
Chrome	1 206.25	92.86%	20.70%	7.92	95.40%	0.14%	1 366.91	88.64%	23.46%	3 246.41	91.43%	55.71%	5 827.49	91.05%	100.00%		
Copper	0.00	0.00%	0.00%	0.00	0.00%	0.00%	0.46	0.03%	100.00%	0.00	0.00%	0.00%	0.46	0.01%	100.00%		
Gold	45.47	3.50%	23.57%	0.13	1.55%	0.07%	1.70	0.11%	0.88%	145.58	4.10%	75.48%	192.87	3.01%	100.00%		
Nickel	0.65	0.05%	11.92%	0.01	0.06%	0.09%	2.31	0.15%	42.41%	2.49	0.07%	45.58%	5.45	0.09%	100.00%		
Others	21.30	1.64%	28.68%	0.17	2.06%	0.23%	3.08	0.20%	4.15%	49.71	1.40%	66.93%	74.27	1.16%	100.00%		
Rose Gold	1.30	0.10%	6.82%	0.00	0.00%	0.00%	0.00	0.00%	0.00%	17.75	0.50%	93.18%	19.05	0.30%	100.00%		
Stainless Steel	0.00	0.00%	0.00%	0.00	0.00%	0.00%	149.57	9.70%	99.29%	1.07	0.03%	0.71%	150.64	2.35%	100.00%		
White	0.00	0.00%	0.00%	0.00	0.00%	0.00%	0.00	0.00%	0.00%	0.71	0.02%	100.00%	0.71	0.01%	100.00%		
Grand Total	1 299.00	100.00%	20.30%	8.30	100.00%	0.13%	1 542.00	100.00%	24.09%	3 550.71	100.00%	55.48%	6 400.02	100.00%	100.00%		

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.5 Sales by Type of Installation : Taps and Mixers

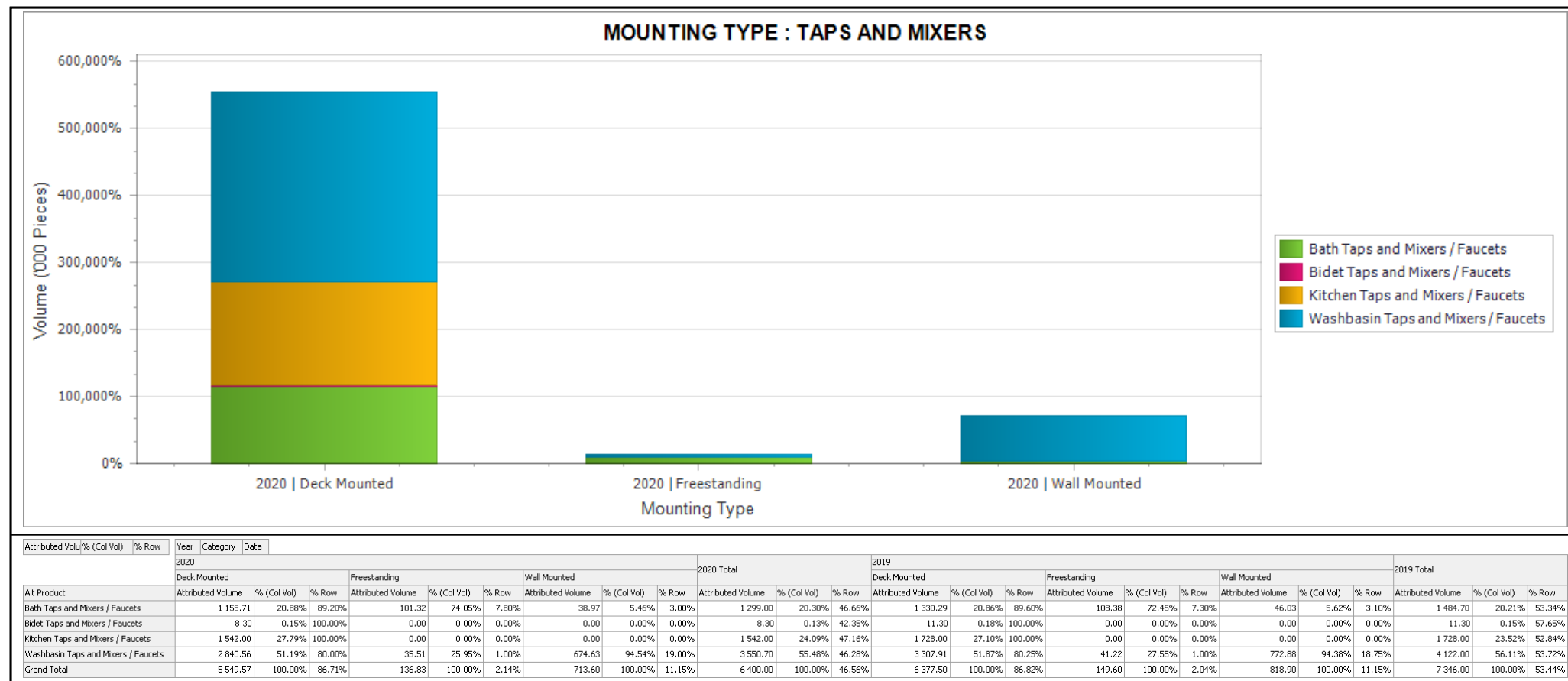
UK - TAP AND MIXER SALES BY INSTALLATION TYPE : BASE YEAR ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.6 Sales by Type of Mounting : Taps and Mixers

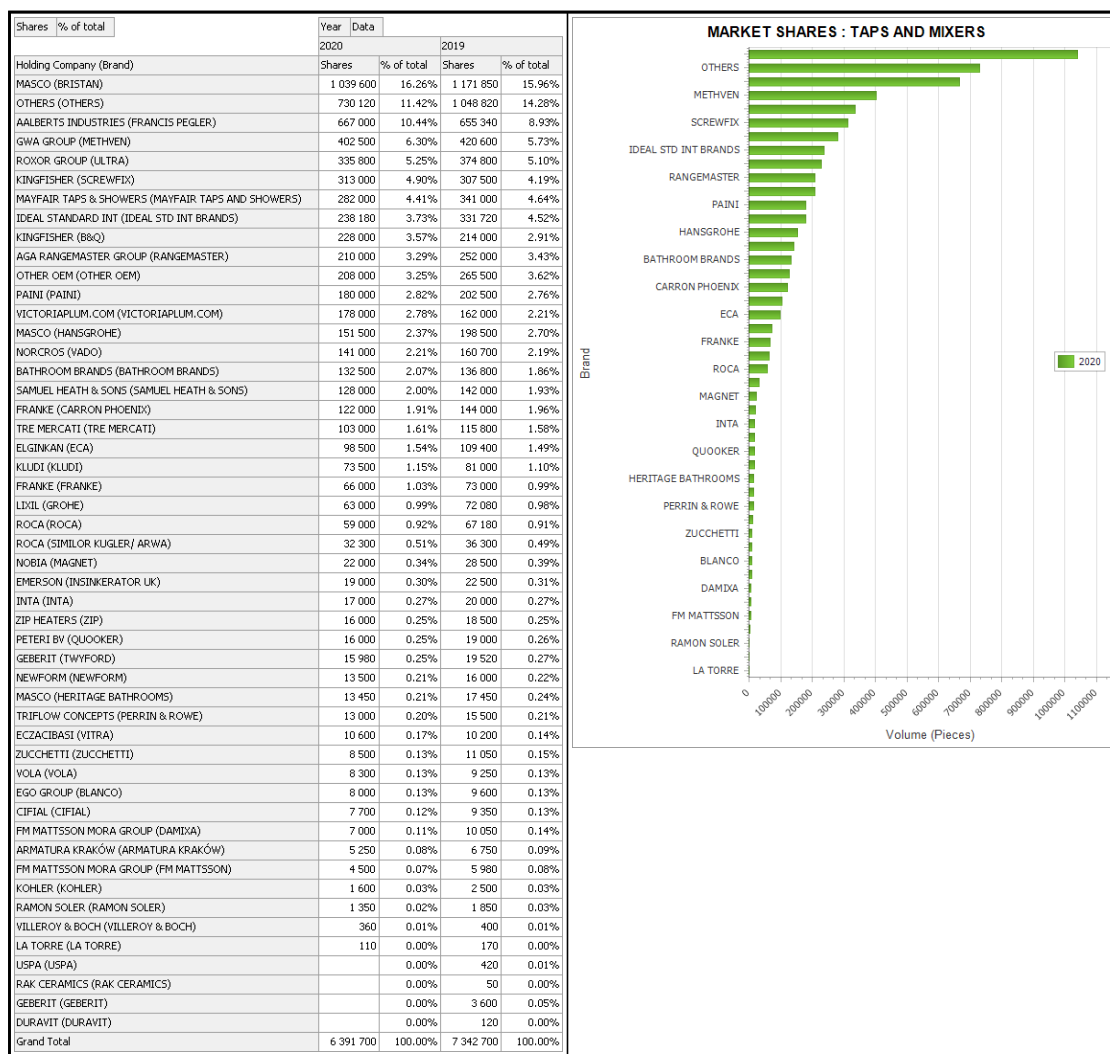
UK - TAP AND MIXER SALES BY MOUNTING TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.5 Market Shares : Taps and Mixers

UK - ESTIMATED MARKET SHARES FOR TAPS AND MIXERS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers.

3.6.1 UK - IMPORTS OF TAPS & MIXERS 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
China	15 397	65.7%	174 762	49.3%	17 269	61.5%	205 113	50.2%
Italy	2 669	11.4%	39 088	11.0%	2 621	9.3%	42 441	10.4%
Germany	2 502	10.7%	71 079	20.0%	2 574	9.2%	75 445	18.5%
Spain	550	2.3%	8 649	2.4%	624	2.2%	8 083	2.0%
Taipei, Chinese	373	1.6%	4 485	1.3%	621	2.2%	7 734	1.9%
Netherlands	330	1.4%	15 921	4.5%	170	0.6%	12 346	3.0%
Turkey	289	1.2%	2 208	0.6%	325	1.2%	2 326	0.6%
Bulgaria	263	1.1%	4 118	1.2%	716	2.5%	9 755	2.4%
OTHERS	1 078	4.6%	34 503	9.7%	3 151	11.2%	45 420	11.1%
Total	23 452	100.0%	354 813	100.0%	28 070	100.0%	408 663	100.0%

Source : Trademap

3.6.2 UK - EXPORTS OF TAPS & MIXERS 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Ireland	1 011	28.0%	22 171	21.4%	841	26.8%	17 962	14.6%
United Arab Emirates	609	16.9%	7 018	6.8%	633	20.2%	7 550	6.1%
India	227	6.3%	7 765	7.5%	19	0.6%	696	0.6%
France	208	5.8%	7 965	7.7%	178	5.7%	5 785	4.7%
Germany	137	3.8%	5 817	5.6%	83	2.7%	4 036	3.3%
Netherlands	132	3.6%	4 156	4.0%	114	3.6%	3 800	3.1%
United States of Amer	130	3.6%	11 617	11.2%	139	4.4%	43 966	35.7%
Qatar	95	2.6%	1 350	1.3%	75	2.4%	1 454	1.2%
Saudi Arabia	76	2.1%	987	1.0%	42	1.3%	741	0.6%
Spain	66	1.8%	2 708	2.6%	35	1.1%	1 680	1.4%
Italy	54	1.5%	2 337	2.3%	50	1.6%	1 997	1.6%
OTHERS	868	24.0%	29 822	28.8%	924	29.5%	33 357	27.1%
Total	3 613	100.0%	103 713	100.0%	3 134	100.0%	123 024	100.0%

Source : Trademap

3.7.1 Route to Market: Kitchen Taps & Mixers / Faucets
UK - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2020

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	33.4%
	Wholesalers / Merchants
	33.4%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	11.1%	5.5%	20.8%	10.0%	17.9%	11.5%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	16.6%		30.8%		29.4%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
16.7%	2.5%	0.6%	2.8%	5.7%
Installers				
28.2%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	3.7%	15.9%	27.9%	23.5%	24.7%
	Residential					
	95.8%					
	New Build		Residential RMI			
	9.5%		86.3%			
	Project	Non-Project	Project	Non-Project		
	7.1%	2.4%	6.0%	80.3%		

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.2%	0.1%	0.1%	0.2%	3.5%
Non-Residential					
4.2%					
	New Build		Non-Residential RMI		
	2.9%		1.3%		
	Project	Non-Project	Project	Non-Project	
	2.2%	0.7%	0.8%	0.4%	

3.7.2 Route to Market: Kitchen Taps & Mixers / Faucets
UK - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2025

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	33.0%
	Wholesalers / Merchants
	33.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	11.6%	6.2%	20.5%	9.8%	18.2%	11.7%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	1.7%		30.3%		29.9%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
16.8%	2.2%	0.7%	2.7%	5.7%
Installers				
28.0%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	3.0%	17.0%	27.5%	23.9%	25.1%
	Residential					
	96.4%					
	New Build		Residential RMI			
	9.0%		87.4%			
	Project	Non-Project	Project	Non-Project		
	6.8%	2.3%	61.3%	81.3%		

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.1%	0.1%	0.1%	0.3%	3.0%
Non-Residential					
3.6%					
	New Build		Non-Residential RMI		
	2.5%		1.1%		
	Project	Non-Project	Project	Non-Project	
	1.9%	0.6%	0.7%	0.4%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

3.7.3 Route to Market - Consolidated View : Kitchen Taps and Mixers / Faucets

UK - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS / FAUCETS : 2020

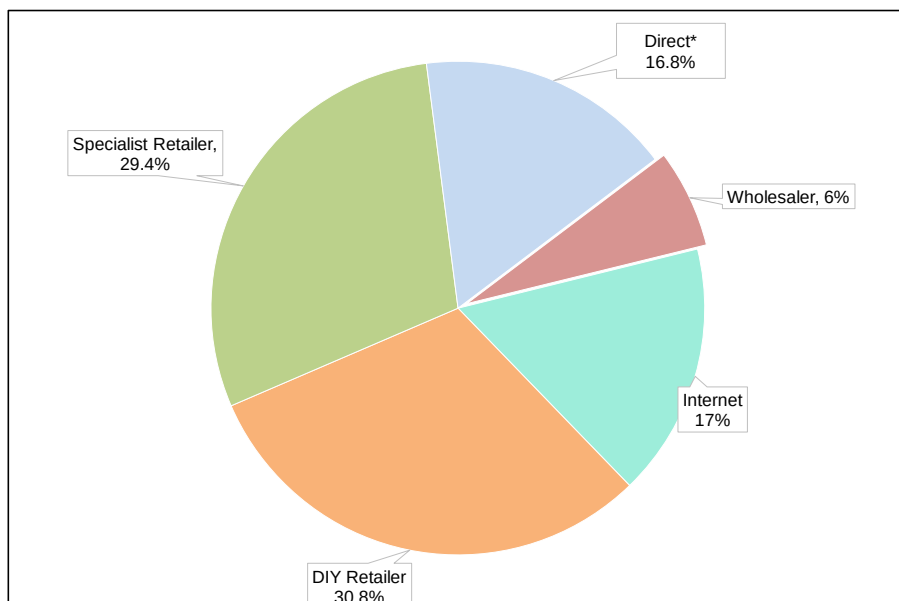
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
6.4%	16.6%	30.8%	29.4%	16.8%	13.2%	3.0%	82.6%	1.1%
100%					16.2%		83.8%	

3.7.4 Route to Market - Consolidated View : Kitchen Taps and Mixers / Faucets

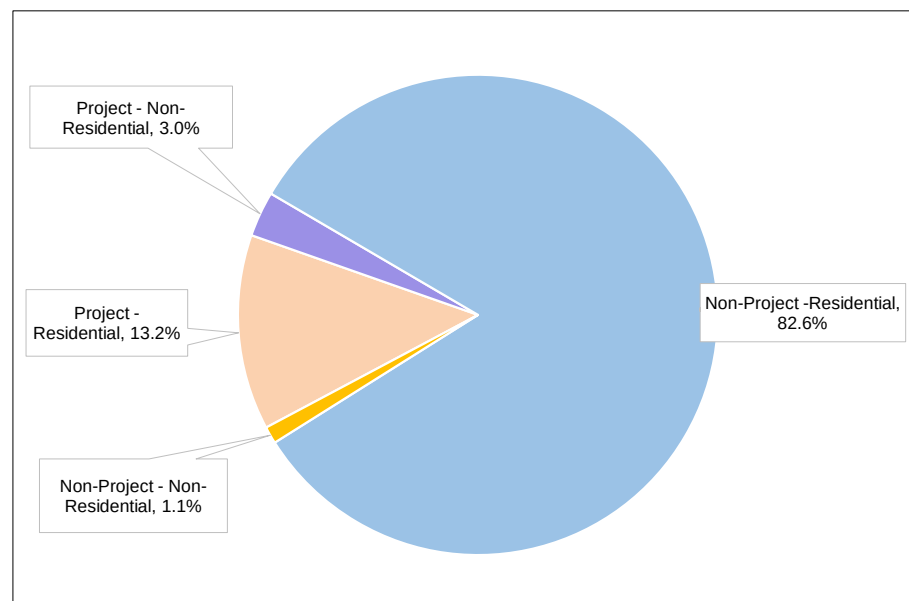
UK - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS / FAUCETS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
5.3%	17.8%	30.3%	29.9%	16.8%	12.9%	2.6%	83.6%	1.0%
100%					15.5%		84.5%	

UK - SALES OF KITCHEN TAPS AND MIXERS / FAUCETS BY DISTRIBUTION CHANNEL: 2020



UK - SALES OF KITCHEN TAPS AND MIXERS / FAUCETS BY POINT OF DECISION AND END-USE SECTOR: 2020



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

3.7.5

Route to Market: Sanitary Taps & Mixers / Faucets
UK - ESTIMATED DISTRIBUTION FOR SANITARY TAPS & MIXERS / FAUCETS: 2020

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	47.4%
	Wholesalers / Merchants
	47.4%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	15.2%	5.0%	25.2%	8.0%	11.2%	5.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	20.2%		33.2%		16.2%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.0%	23.0%	0.9%	3.3%	3.1%
Installers				
31.3%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	6.1%	19.2%	29.8%	13.0%	13.1%	0.0%	0.3%	0.1%	0.1%	0.1%	18.2%
	Residential						Non-Residential					
	81.2%						18.8%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	9.7%			71.5%			13.2%			5.7%		
	Project	Non-Project		Project	Non-Project		Project	Non-Project		Project	Non-Project	
	7.2%	2.4%		5.0%	66.5%		10.0%	3.2%		3.7%	2.0%	

3.7.6

Route to Market: Sanitary Taps & Mixers / Faucets
UK - ESTIMATED DISTRIBUTION FOR SANITARY TAPS & MIXERS / FAUCETS: 2025

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	46.1%
	Wholesalers / Merchants
	46.1%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	16.5%	5.7%	24.7%	7.8%	11.7%	5.7%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	22.2%		32.5%		17.4%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.0%	22.8%	1.0%	3.1%	3.4%
Installers				
31.3%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	3.9%	21.1%	29.3%	13.9%	15.1%	0.0%	0.2%	0.1%	0.1%	0.1%	16.2%
	Residential						Non-Residential					
	83.3%						16.7%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	9.0%			74.3%			11.7%			5.0%		
	Project	Non-Project		Project	Non-Project		Project	Non-Project		Project	Non-Project	
	6.8%	2.3%		5.2%	69.1%		8.9%	2.8%		3.2%	1.7%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

3.7.7 Route to Market - Consolidated View : Sanitary Taps and Mixers / Faucets

UK - ESTIMATED DISTRIBUTION FOR SANITARY TAPS AND MIXERS / FAUCETS : 2020

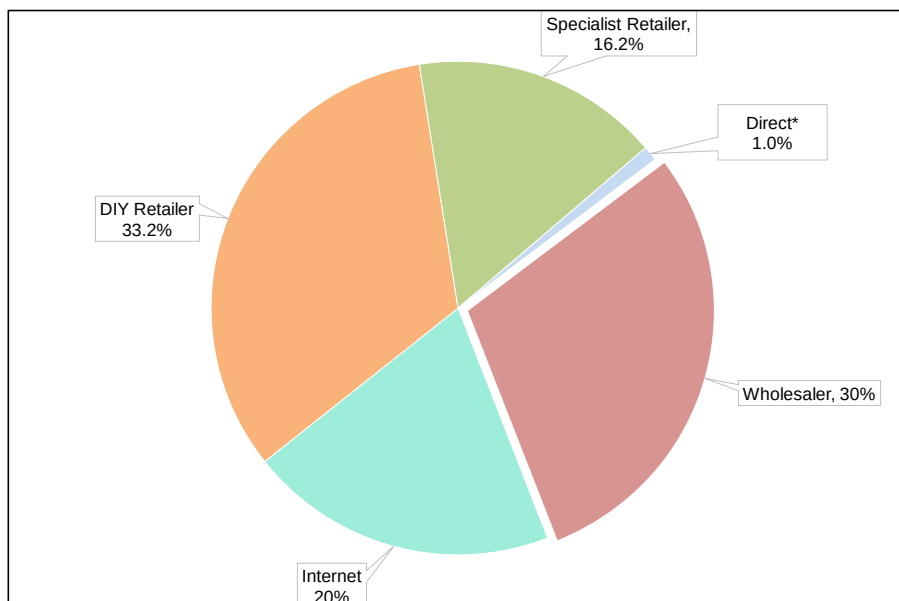
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
29.4%	20.2%	33.2%	16.2%	1.0%	12.2%	13.7%	68.9%	5.1%
100%					25.9%		74.1%	

3.7.8 Route to Market - Consolidated View : Sanitary Taps and Mixers / Faucets

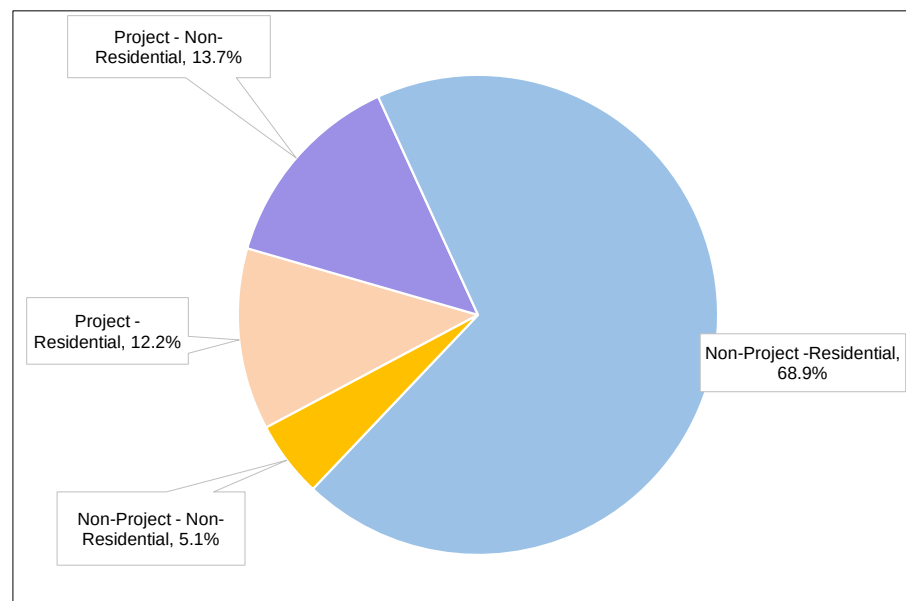
UK - ESTIMATED DISTRIBUTION FOR SANITARY TAPS AND MIXERS / FAUCETS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
26.9%	22.2%	32.5%	17.4%	1.0%	12.0%	12.1%	71.4%	4.5%
100%					24.1%		75.9%	

UK - SALES OF SANITARY TAPS AND MIXERS / FAUCETS BY DISTRIBUTION CHANNEL: 2020



UK - SALES OF SANITARY TAPS AND MIXERS / FAUCETS BY POINT OF DECISION AND END-USE SECTOR: 2020



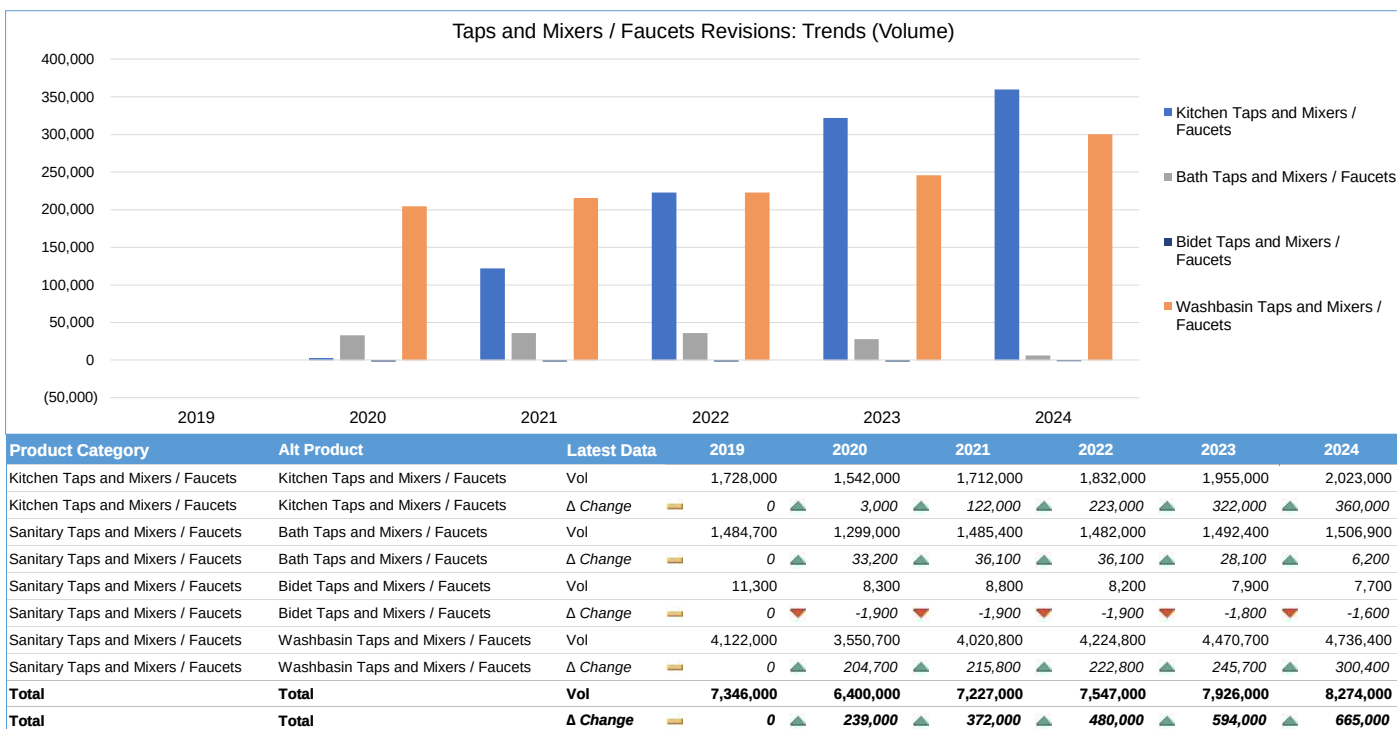
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

3.8 Revisions in the UK Taps and Mixers / Faucets Market (April 2021)

UK - REVISIONS IN THE UK TAPS AND MIXERS / FAUCETS MARKET

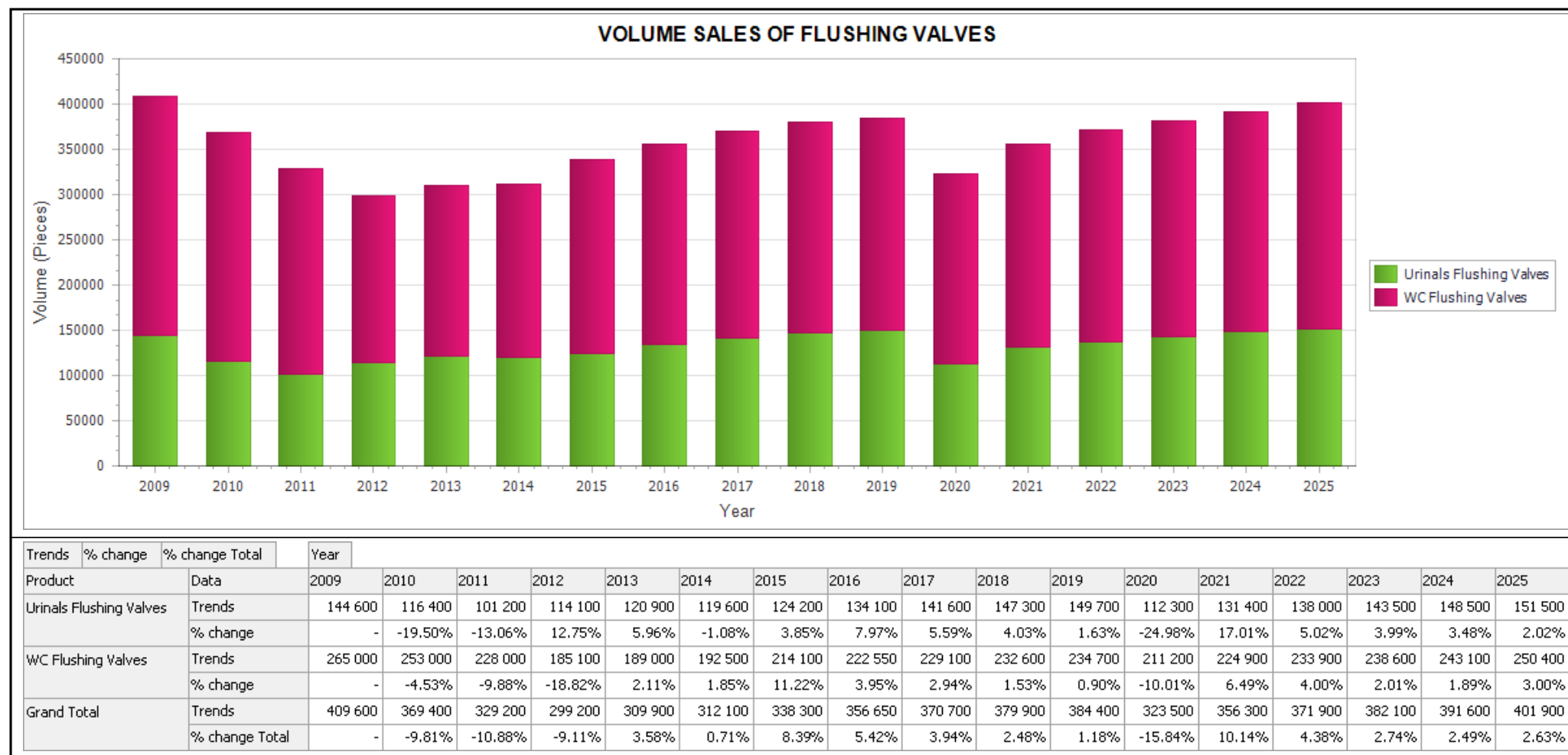
Data Comparison: October 2020



No revisions have been made to historical volumes and values for this market.

3.9.1 Historical Trends and Forecasts : Flushing Valves

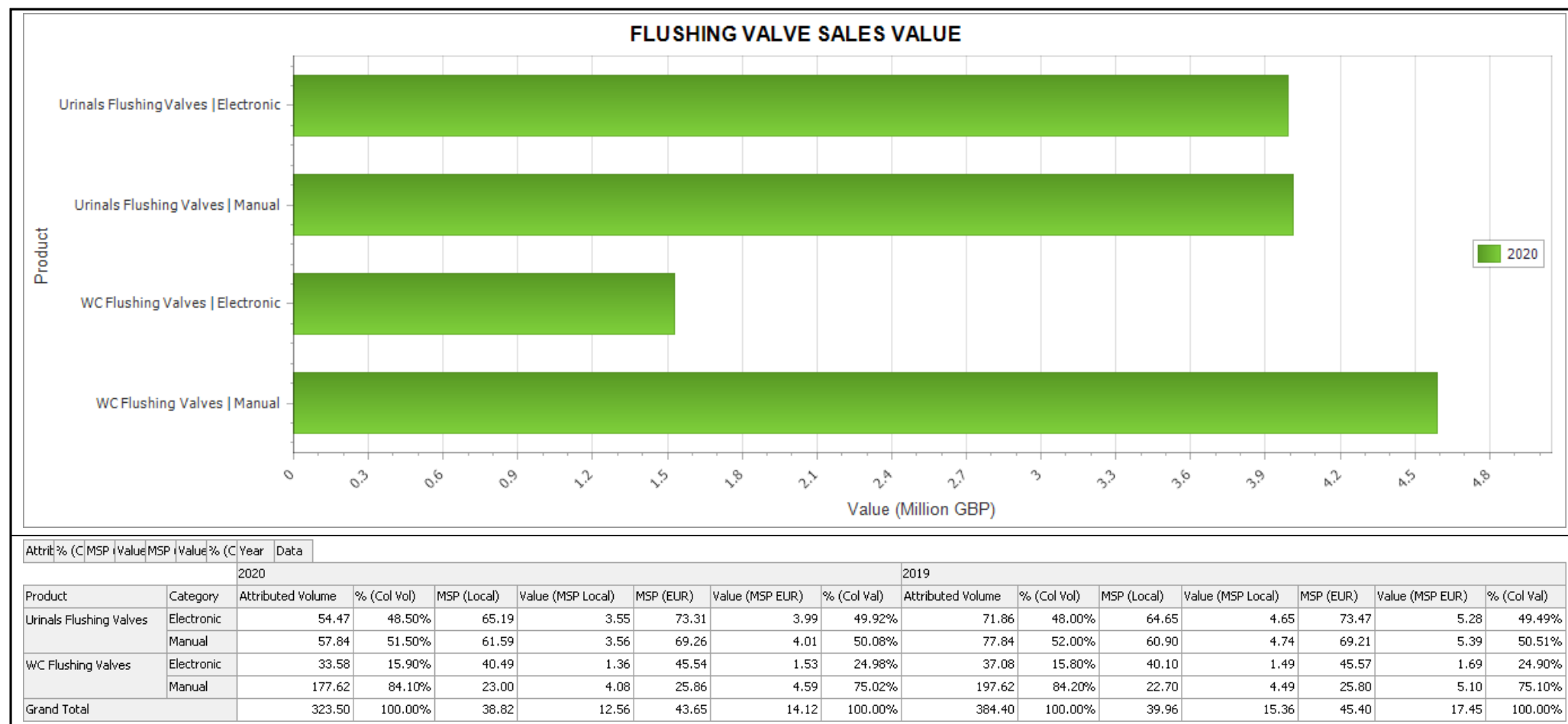
UK - SUMMARY OF TRENDS IN THE FLUSHING VALVE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

3.9.2 Prices and Market Values : Flushing Valves

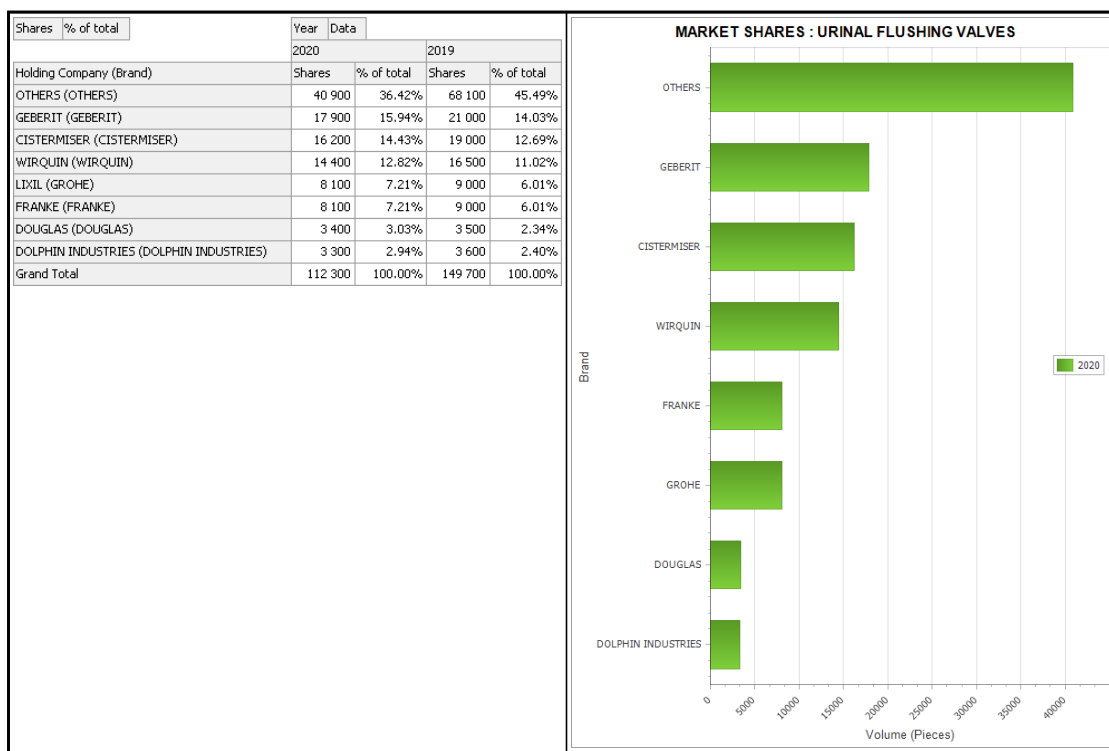
UK - ESTIMATED VALUES OF THE FLUSHING VALVE MARKET



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding.

3.9.3 Market Shares : Urinal Flushing Valves

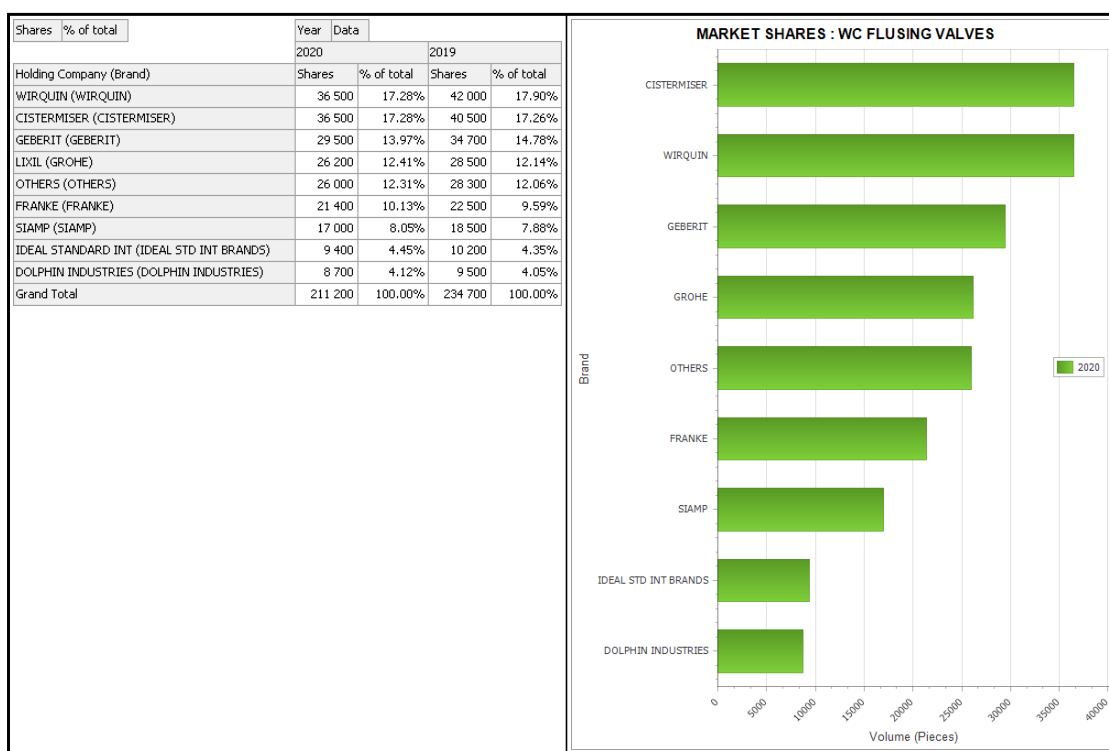
UK - ESTIMATED MARKET SHARES FOR URINAL FLUSHING VALVES



Source: BRG based on industry interviews.

3.9.4 Market Shares : WC Flushing Valves

UK - ESTIMATED MARKET SHARES FOR WC FLUSHING VALVES

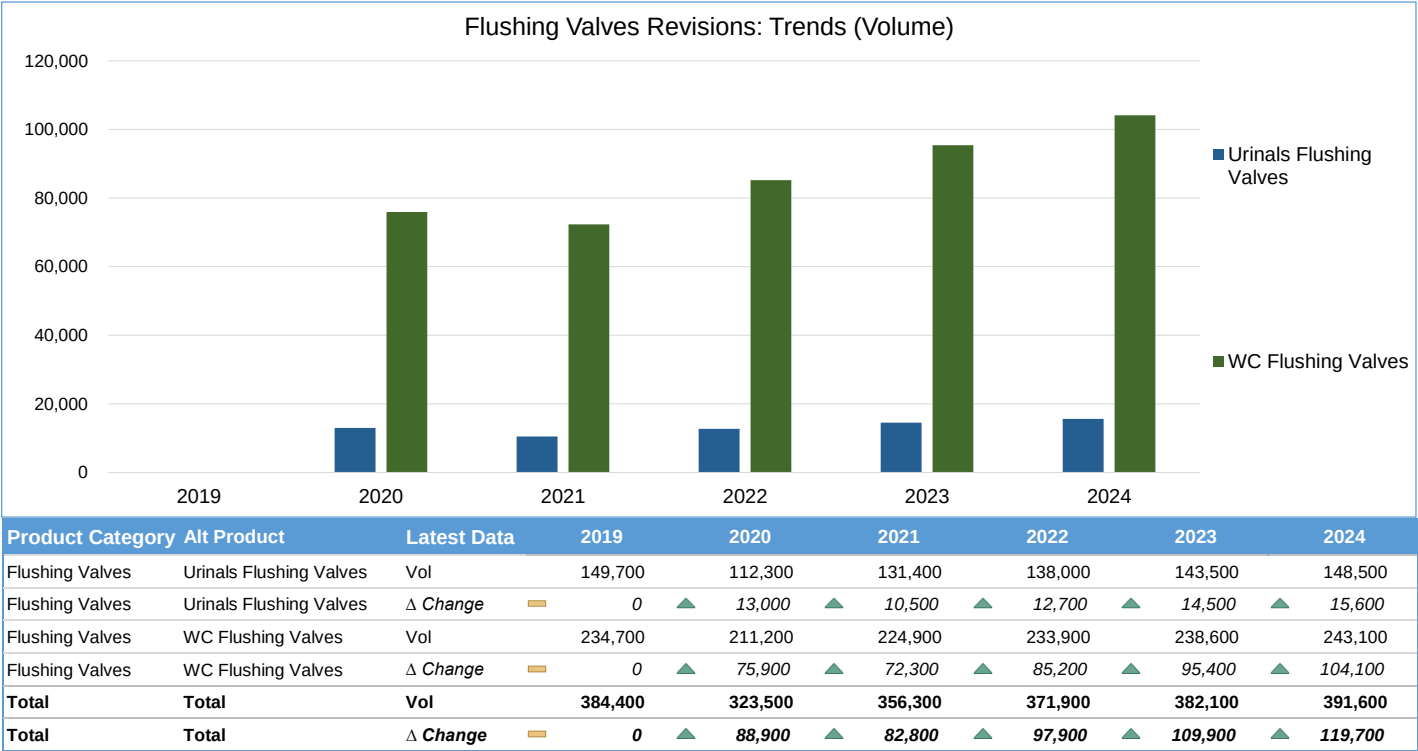


Source: BRG based on industry interviews.

3.10 Revisions in the UK Flushing Valves Market (April 2021)

UK - REVISIONS IN THE UK FLUSHING VALVES MARKET

Data Comparison: October 2020



No revisions have been made to historical volumes and values for this market.

UNITED KINGDOM

SHOWER CONTROLS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

Although shower controllers are now regarded as an almost essential component of any UK dwelling, the UK was relatively slow, compared to other European countries, in the uptake of showering technology. The switch from bathing to showering has been ever increasing in recent years, with the trend towards second bathrooms, second shower rooms and en suites increasing the potential park for shower controls installations. Sales of shower controls into the commercial sector have been stagnant and maintained by the refurbishment of gyms, leisure clubs and hotels, with the latter proving to be the best performing of late, in terms of construction and refurbishment. Shower controls over the years have been perceived as essential to a dwelling, with the underlying substitution of bathing for showering boosting this market's development, alongside the trend towards secondary shower rooms.

In terms of product mix, the UK shower controls market is comprised of mixer showers, instantaneous electric showers, power showers, commercial showers and bath mixers (please note that baths mixers are excluded from the analysis in this report, as they are essentially bath taps fitted with a flexible hose and, therefore, are already counted in BRG's taps and mixers report). The UK has a large park of instantaneous electric showers; instantaneous electric showers were initially favoured in the UK market as they produce hot water instantly without using stored water and, therefore, were compatible with the UK's large park of open-vented heating systems. Although instantaneous electric showers still see steady uptake, sales have been impeded by the growth of the mixer shower market, as mixer showers are increasingly preferred for their superior flow rates. The growth of the mixer showers market has been further supported by the transition towards sealed heating systems, combi boilers and advanced hot water cylinders in the UK, which ensures that most UK homes now have sufficient water supply for an effective mixer shower installation. Commercial and power showers are smaller segments of the overall market and are typically used in specific commercial and low-pressure installations respectively.

Recent Market Trends

The overall UK shower controller market contracted strongly in 2020, due to the onset of the COVID-19 outbreak from early in the year, with sales virtually ceasing for the majority of Q2. Sales to all end-use segments were markedly down due to the first national lockdown and several manufacturers having issues getting stock into the market, with the main issue becoming supply and stocking. The overall instantaneous electric market, although contracting, proved to hold off better when compared to other markets largely due to like for like replacements with it being simpler to replace due to the tiled-up UK bathrooms and cheaper price. The closure of national merchants was a strong contributing factor in the contraction for the electric showers market due to distribution channels these products operate through; however, on the other hand, the DIY stores remaining open for the

majority part of the year allowed homeowners and installers to purchase freely, helping to alleviate the decline.

Electric showers continue to remain popular for RMI in the UK, although the migration to the likes of mixer showers has been accelerated in recent years by the huge rise in installations of combi boilers in new build dwellings; as combi boilers heat water on demand from the mains (with no need for a cylinder), the issue of using up stored hot water with a mixer shower is no longer a problem. As a result, mixer showers are taking share, to the detriment of electric showers, as they are generally the consumer preference when hot water saving is not an issue.

The power showers market continued its declining trend in 2020. The power showers market saw a contraction of volume sales in 2020; however, it fared not so bad due to a product launch. The launching of TRITON's silent running power shower helped stimulate growth for themselves which also added some value to the marketplace and prevented the market from collapsing any further than it originally did. The decline seen was an ongoing decline the market has been experiencing which is down to households in the UK being much more aware of water consumption due to the increased use of smart meters and power showers using up a lot of water. Power showers also tend to come with much smaller warranties than other showers and the main driver of sales are like-for-like replacements. UK distributors have also begun limiting the availability of power showers to online/click-and-collect orders only due to their dwindling popularity. Manufacturers, therefore, are beginning to focus product development on other product categories.

Mixer showers saw a reduction in volume sales in 2020, in line with the strong decrease in the RMI segment, due to trade shutting down and struggling to react once the market began to pick back up. The decline in new build construction did not aid market development also, given their high new housing share. Discretionary replacement sales were very apparent in the marketplace; however, this strong development was not enough to offset the market decline due to a lack of supply in the marketplace. Discretionary replacement sales continue to favour the mixer market, as these products typically have a wider range of functionalities and stronger aesthetic appeal. Discretionary shower installations have been a key contributor to sales in recent years, contributing to the overall rise of the mixer market – however, a lack of supply ensured a decline for the overall mixer market in 2020.

With an expected recovery in the economy and new dwelling construction, the mixer showers market should recover well, driven by consumer spending also. The shower controls market is seeing a longstanding trend towards a stronger focus on the consumer, due to shifts in distribution towards showrooms and online retailers (making the consumer the key purchaser) and stronger levels of consumer awareness of design and product functionality, aided by online research. The online trend was further strengthened in 2020 due to the surge in online sales, which drove sales at the lower end of the market for shower controls. Although the opinions and preferences of installers remain important, the growth of the internet

channel (which aids consumer purchasing and product research) has ensured that consumers are increasingly informed and central to the decision-making process, even if an installer is hired to complete the installation. The more central role of the consumer has resulted in the continued development of products with a range of comfort features and functionalities (such as digital mixers), designed specifically to appeal to the end user.

Prices and Market Values

Prices overall saw a moderate increase with raw material prices seeing a surge as well as a general increase in line with inflation in 2020. Electric showers saw some value added to the market due to MIRA's product launch which brought some growth to the upper end of the market. Another contributing factor of price increases is that the consumer demand for aesthetically pleasing products with a range of features has increased the proportion of higher-value products within the shower controls market product mix, resulting in an overall increase in average MSPs.

New Housing

As it is now extremely rare for a new UK dwelling to be completed without a shower installed, the new housing segment is a key contributor to the shower controls market's annual growth. Mixer showers followed by instantaneous electric showers account for the majority of demand in this segment and, given the robust performance in new build completions, mixer showers benefited from this largely. Mixer showers typically provide stronger water pressure and are considered a more 'modern' product by consumers and, thus, are preferred in middle-to-upper price-ranged homes, or in homes with only one bathroom. Instantaneous electric showers, on the other hand, are typically installed in lower-to-middle price-ranged homes (including social housing), or homes with many bathrooms and a high level of hot water demand. In addition, new build homes comprising two or more bathrooms (including en suites) are often equipped with both a mixer shower and an instantaneous electric shower, in order to provide the home with more spaces for showering without putting pressure on hot water demand. As stated, the rise of combi boilers – particularly in new build – has increased sales of mixer showers in the UK's new build segment in recent years. Overall shower control sales saw a strong contraction of sales in 2020, in line with the decline seen in new dwelling completions. Sales to this segment are expected to recover from 2021 onwards, benefiting the much preferred mixer showers market the most.

Housing RMI

The RMI market is the main end-use segment for showers in the UK, with the vast majority of sales being replacements due to the mature and developed nature of the UK market. The housing RMI segment has the most diverse product mix of all end-use segments, with all varieties of shower controls – with the exception of commercial showers – seeing uptake. Replacements in the mixer showers market comprise both simple like-for-like replacements of bar mixers and upgrades to

sophisticated products such as digital mixers. Replacements comprise the majority of instantaneous electric sales, which have a very high replacement rate since the UK's hard mineral water content tends to distress the heat exchanger, resulting in the need to replace the unit every three years. The simplicity and cheaper offering this product brings to the marketplace allowed RMI development to not be as badly impacted, when compared to other shower control markets in 2020. Further development for this product has been hindered by a decline in 'standard' or contract replacements in social housing and other public buildings, as the UK's budgets for public spending remain constrained; although the UK government has announced large budgeting to be used in the public sector, which could help stimulate some sales into this sector. Although a decline was seen in the RMI segment for power showers, this segment remains the main market for them and they continue to be installed in areas where water pressure is an issue.

Non-Housing

Sales of shower controls into commercial applications are very specific, as most commercial buildings do not require a shower unit. Levels of non-housing uptake, thus, have a far less significant bearing on the overall shower controls market than sales into the new housing and housing RMI segments. The main commercial applications for shower controls are typically hotels and fitness centres, while schools and hospitals comprise the majority of public sector demand. Naturally, the non-housing segment is the key end-use segment for commercial showers, which are thermostatic and made to comply with the UK's Part M regulations; commercial showers are predominately installed in healthcare, education, fitness and leisure applications. This market saw a strong decline in 2020 due a contraction of most construction and refurb of commercial buildings. Wet rooms remain popular; however, their uptake was hindered in 2020 due to the decline in completions. Despite this decline, the trend towards showering remained strong in 2020 and saw the mixer showers market maintain some share in the non-housing sector. Mixer showers are favoured in hospitality applications, although instantaneous electric showers also see a small amount of uptake in economy and budget accommodation, as well as in buildings with a high amount of hot water demand. Power showers are marginal in this segment, installed only in applications where water pressure is an issue.

Supply Structure

Manufacturers of dedicated shower controllers are more specialised in the UK than they are in continental Europe, and the market is dominated by local suppliers. The overall market continues to be dominated by the same three groups – KOHLER, MASCO and NORCROS (with their main local brands MIRA, BRISTAN and TRITON), which hold a combined share of over half the total showers market.

Instantaneous Electric Showers

The UK's mature instantaneous electric showers market is dominated by local supply. The low number of imported products come mainly from East Asia, typically

from manufacturing facilities owned by UK manufacturers that have outsourced a proportion of their production. The level of imports is low mainly because instantaneous electric showers are peculiar to the UK and certain South American countries, with scant market for these products throughout the rest of Europe. NORCROS-owned TRITON supplies the DIY retail trades and, increasingly, the merchants and specialist retailers. NORCROS also owns tap manufacturer VADO, which began producing instantaneous electric showers as of 2014. KOHLER MIRA derives its main customers from the merchant trade and DIY stores such as B&Q and HOMEBASE. GLEN DIMPLEX supplies electric showers through its CREDA and REDRING brands, which feature its SELECTRONIC product sold mainly through electrical retailers and some DIY chains. AQUALISA also has a growing share in the electrical instantaneous market, supplying wholesalers and merchants who in turn supply the growing internet retail sector.

Mixer Showers

Although the mixer showers market is also dominated by local supply, the number of imported products in the UK mixer showers market is greater than the number of imports of instantaneous electric showers due to the presence of a European mixer shower market. In addition to a small quantity of low-cost imported products from East Asia, imports of mixer showers are mainly supplied by GROHE, HANSGROHE and DAMIXA, which are positioned at the premium section of the market.

The rise of sealed, pressurised heating systems in homes since 2005 has generated an increasingly competitive market in mixer showers. MASCO is the market leader, operating via BRISTAN, HANSGROHE and HERITAGE BATHROOMS; BRISTAN-branded sales alone constitute the second-largest proportion of share in the mixers market. MASCO's shower mixers are supplied to the DIY retail chains B&Q and HOMEBASE, as well as to a number of leading wholesalers and directly to major contractors. KOHLER MIRA is the second largest player in the mixer showers market, and sees the highest number of sales under an individual brand. KOHLER MIRA is also understood to hold a strong market position in value terms, as the majority of KOHLER MIRA products are positioned at the upper end of the market.

TRITON also occupies a significant share of the UK market. Aside from pure TRITON sales, the company also manufactures showers on an OEM basis on behalf of WICKES, labelled as AQUATRONIC. AQUALISA continued to hold a strong position, primarily through the successful sales of its digital mixer showers. AQUALISA is estimated to be the market leader in this rapidly growing digital segment. 'Others' includes imports and other suppliers including GLEN DIMPLEX, which sees strong sales of instantaneous electric showers under the CREDA and REDRING brands and supplies mixer showers under the GALAXY brand.

Digital Mixer Showers

This product section includes only non-pumped digital mixer showers (pumped digital showers are included in power showers and wireless electric showers are included in instantaneous electric showers).

The digital mixer showers market follows the wider UK mixer showers market in that it is dominated by local supply. The market began in 2001 when AQUALISA introduced the Quartz Digital shower. The market has gained a number of players since, including KOHLER MIRA, BRISTAN, TRITON, GALAXY and CROSSWATER. AQUALISA is widely regarded as the market leader for digital mixers, benefiting from its early entry into the market and wide product range. KOHLER MIRA's digital shower offering, including the PLATINUM DIGITAL CONTROL, is positioned at the upper price segment of the market, while BRISTAN and GALAXY (GLEN DIMPLEX brand) offer small numbers of digital showers at slightly lower price points. CROSSWATER is another major supplier on the UK digital showers market and it saw an increase in market share in 2018. VADO, which is part of the NORCROS family, launched its product late into 2017 and have since continued to do well and gain share from other players in the marketplace. B&Q were able to remain open for the most part of 2020 and saw an increase in sales in their own branded sales. Overall, the pricing on this market is gradually coming down as more players enter the market and it slowly becomes more competitive. The minimalist look this product gives the bathroom continues to drive the market and the use of technology i.e. app control, being able to link Bluetooth. As well as having full control of your shower and having the ability to get a lot more personalisation with the showers.

Power Showers

The power showers market remains dominated by the traditional shower manufacturers AQUALISA, KOHLER MIRA and TRITON. AQUALISA is additionally the leading manufacturer of digital power showers. Other players include TRITON and BRISTAN. The UK manufacturer STUART TURNER, with its SHOWERMATE range of pumps, is the leading manufacturer of shower pumps that can be installed with a mixer shower to create a 'power shower effect' (but does not manufacture shower controllers). STUART TURNER also provides several leading shower manufacturers with shower pumps on an OEM basis, which facilitates their power shower production. TRITON launched a new product in 2019 in an attempt to take sales in a dying market, bringing out a silent model for a usual noisy product, which improved their sales markedly in 2020, helping them gain share in a declining marketplace.

Commercial Showers

BRISTAN is the leader of the UK commercial showers market, having surpassed the previous longstanding market leader MEYNELL/RADA (KOHLER) in 2016. The remainder of the market is supplied by non-residential shower manufacturers,

including COMAP, RELIANCE WATER CONTROLS and DOUGLAS.

PEGLER YORKSHIRE transferred its taps and mixers business to fellow AALBERTS INDUSTRIES group member COMAP, which commenced the distribution and supply of taps and mixers from 1 January 2019. Towards the latter stages of 2020 the brand was then changed from COMAP to FRANCIS PEGLER and all shower products and taps and mixers are sold under this brand.

Unlike other shower products, commercial showers have very little to no DIY exposure and, instead, are supplied mainly to large wholesalers such as PLUMBBASE or direct to contractors for individual projects. There is a very small but growing market in internet-based replacement sales.

Forecasts

The overall shower controls market is expected to see strong recovery in 2021 and reclaim a good chunk of the sales lost in 2020 due to COVID, with construction for both residential and non-residential returning to be a key driver for growth. Given a no deal Brexit was avoided and a free trade deal was struck between the UK and EU at the end of 2020, this should restore some confidence in consumers and prompt them to spend a bit more, with an expected recovery in the RMI segment. Another key and potentially more important factor in restoring confidence into the UK population is the vaccine rollout which has been prevalent as of December 2020, with more UK citizens getting the jab. On the other hand, with more people getting vaccinated and lockdown restrictions slowly being lifted, this could ultimately lead to more people wanting to travel rather than staying home or some homeowners could still be apprehensive about travelling and choose to delay travelling. Nonetheless, irrespective of what most of the UK population choose to do, the overall market is expected to recover well, largely driven by a recovery in new build residential and non-residential construction.

The trend towards showering, away from bathing is expected to strengthen year on year over the forecast period, further strengthening the development of showers over the forecast period. Sales of electric showers are expected to be quite stagnant over the forecast period as higher-pressure plumbing systems continue to become more common. There is potential for the market to see some development toward the latter stages of the year as the banning of fossil fuels could have house builders looking for more sustainable solutions as well as electric showers being able to heat and provide instant hot water, an ability mixers do not provide. The power showers market is expected to continue its declining trend quite sharply, with little expectation of a recovery as many more consumers become conscious about water saving and turn to different outlets.

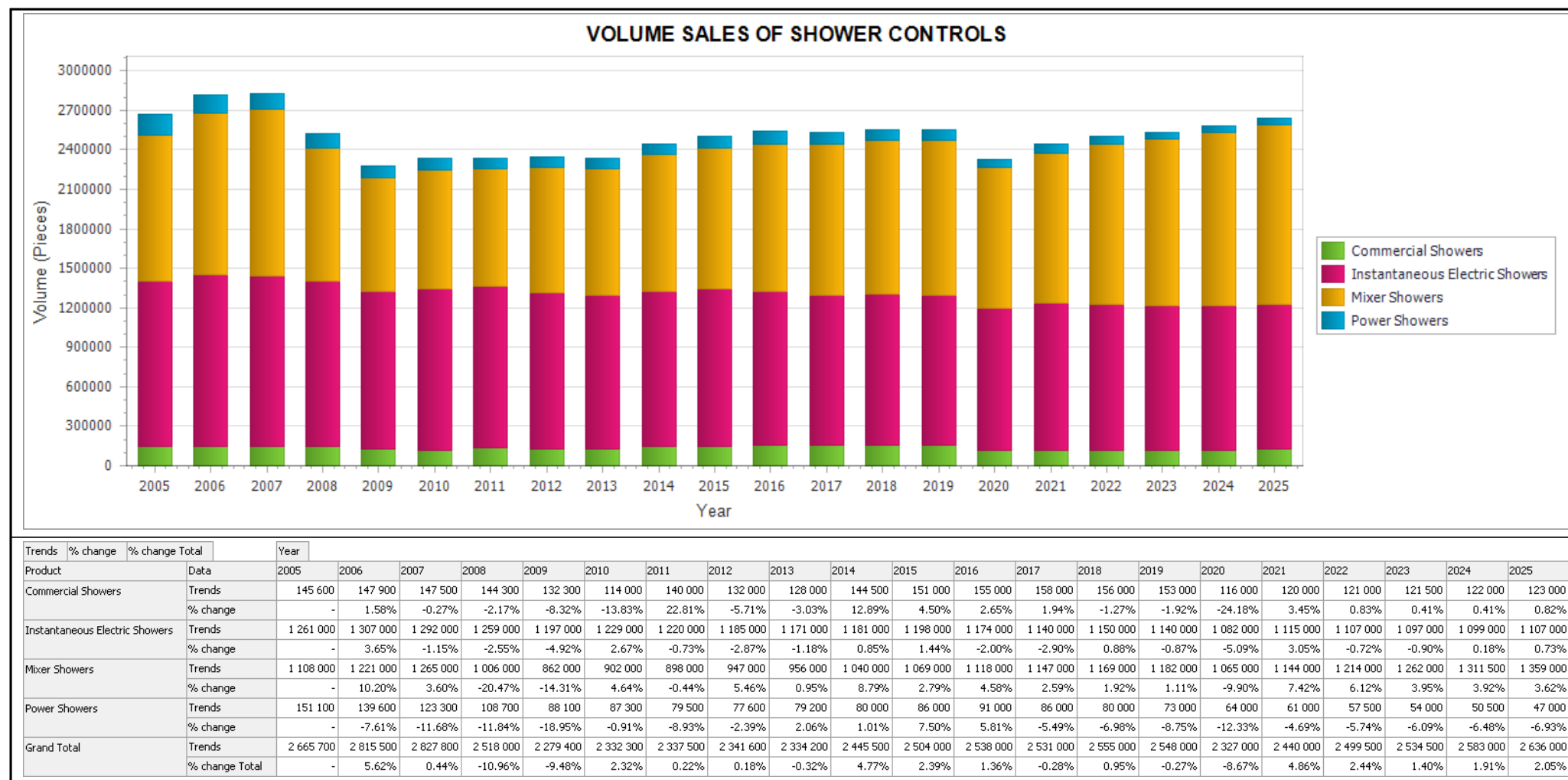
In terms of product mix, the shift towards higher value products at the middle and upper end of the market is likely to continue, in line with consumer demand and the heightened awareness of the range of showering products available to them. Demand for digital and wireless products is also likely to increase, as the 'digital generation' acquire more spending power and move towards home ownership

(although this trend is likely to be curbed by high house prices and low wages amongst the UK's younger generations). Although mixer showers will remain dominant in the UK market, the UK's rapidly growing private rental segment is likely to support the sustained uptake of instantaneous electric showers, as private landlords tend to prefer simple like-for-like replacements. As a result, lower levels of home ownership amongst the UK population may act as a constraint on the expansion of the mixer showers park.

With the UK and EU agreeing on a free trade deal, exports appear to have been hit harder than imports in the first few months of 2021; however, as firms on both sides of the channel grow accustomed to new trading agreements, this disruption is expected to dissipate. In the long term, the UK and EU relationship will be mired by uncertainty and possible instability and, with a review clause in 2024, this certainly means the issue of EU trade will play a role in the election that year. The hot topic is whether the UK-EU deal will stand the test of time and, so long as the UK sticks to its commitments, the overall economy and UK bath and shower trays markets should recover well and be driven by recovering consumer consumption, real term earnings and other macroeconomic factors.

3A.2.1 Historical Trends and Forecasts : Shower Controls

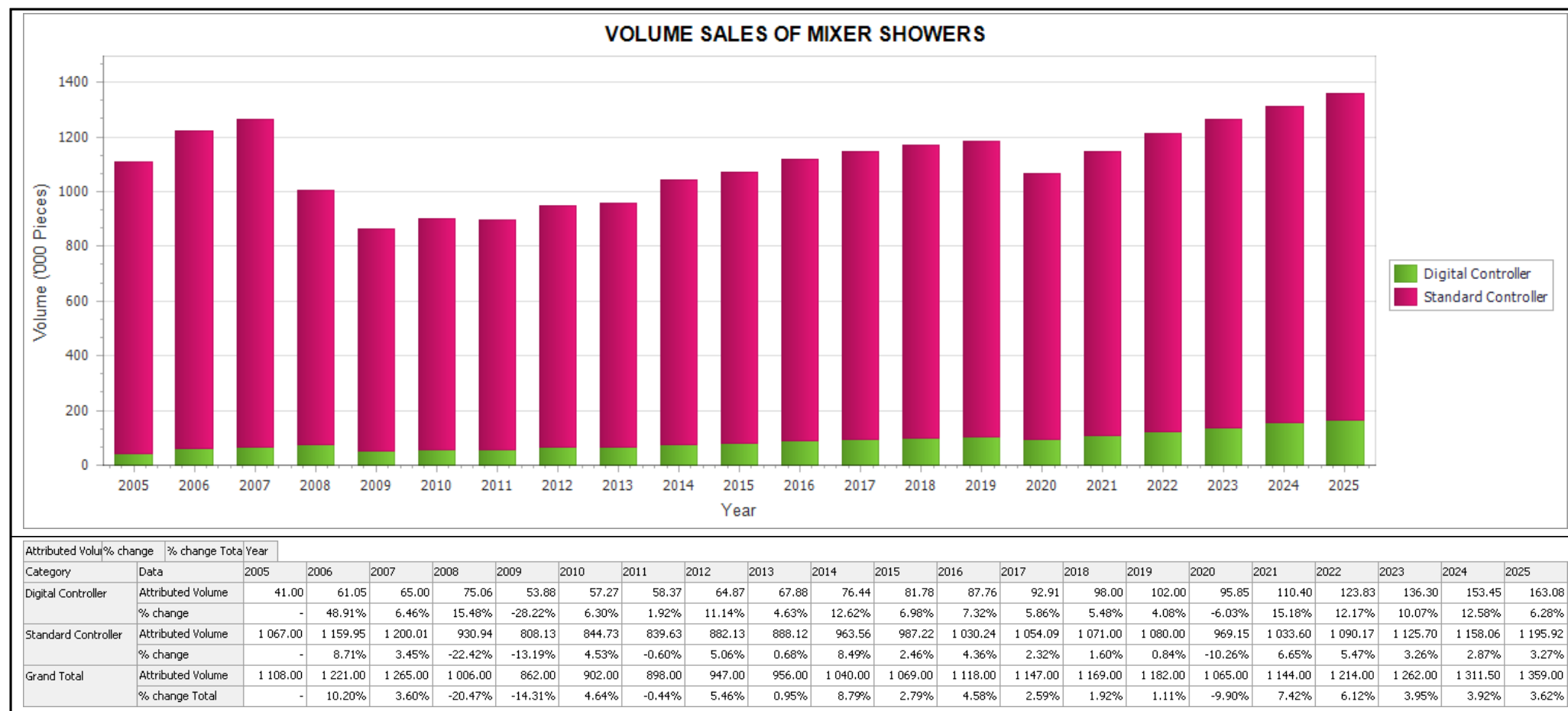
UK - SUMMARY OF TRENDS IN THE SHOWER CONTROL MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

3A.2.2 Historical Trends and Forecasts : Mixer Showers

UK - SUMMARY OF TRENDS IN THE MIXER SHOWER CONTROL MARKET : HISTORICAL AND FORECASTS ('000 PIECES)

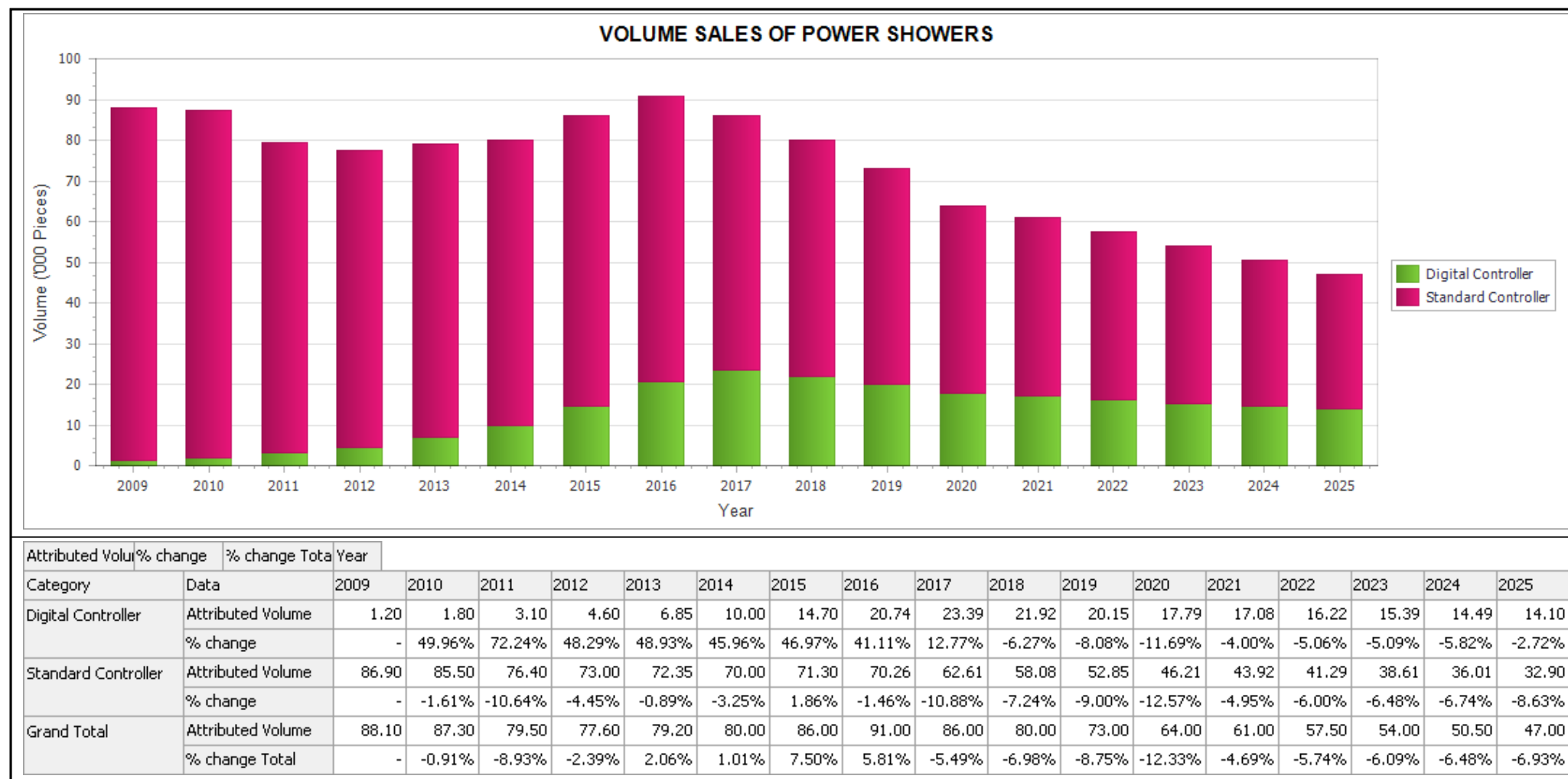


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

N.B. Includes Standard and Digital Mixer Shower Controls. Excludes Pumped Showers.

3A.2.3 Historical Trends and Forecasts : Power Showers

UK - SUMMARY OF TRENDS IN THE POWER SHOWER CONTROL MARKET : HISTORICAL AND FORECASTS ('000 PIECES)

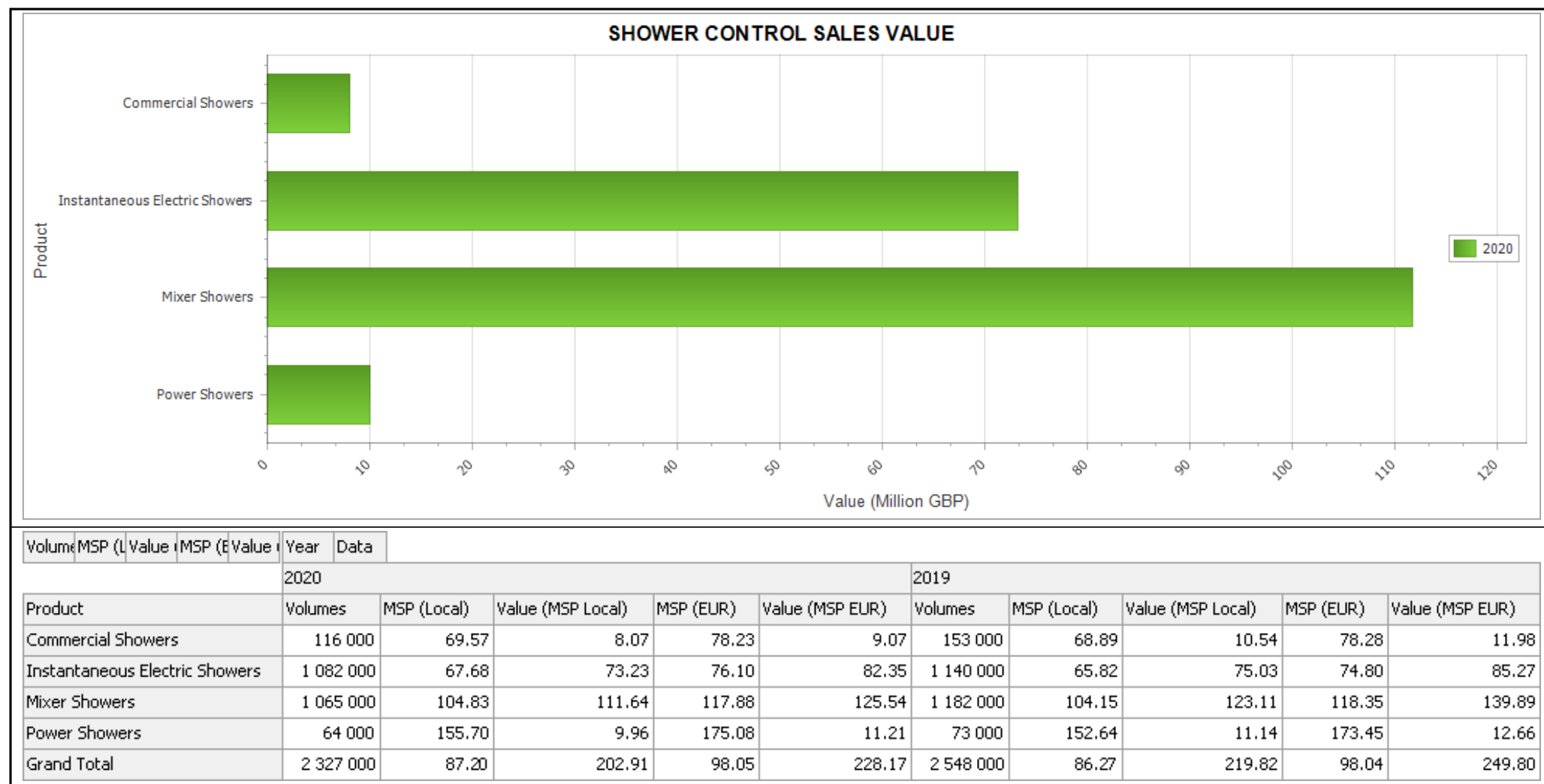


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

N.B. Includes Standard and Digital Mixer Shower Controls. Excludes Pumped Showers.

3A.3.1 Prices and Market Values : Shower Controls

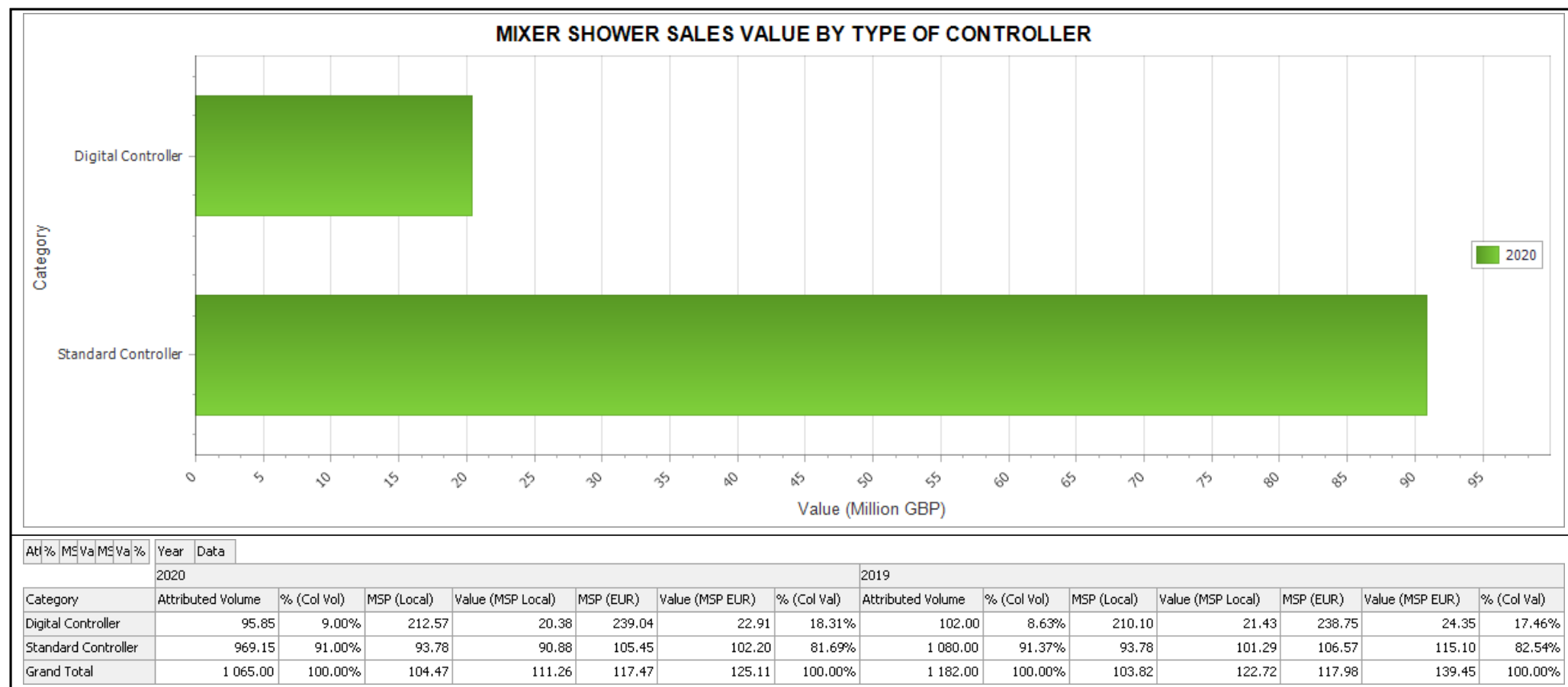
UK - ESTIMATED VALUES OF THE SHOWER CONTROL MARKET



Source: BRG based on industry interviews. Local Prices Shown in GBP. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

3A.3.2 Prices and Market Values : Mixer Showers

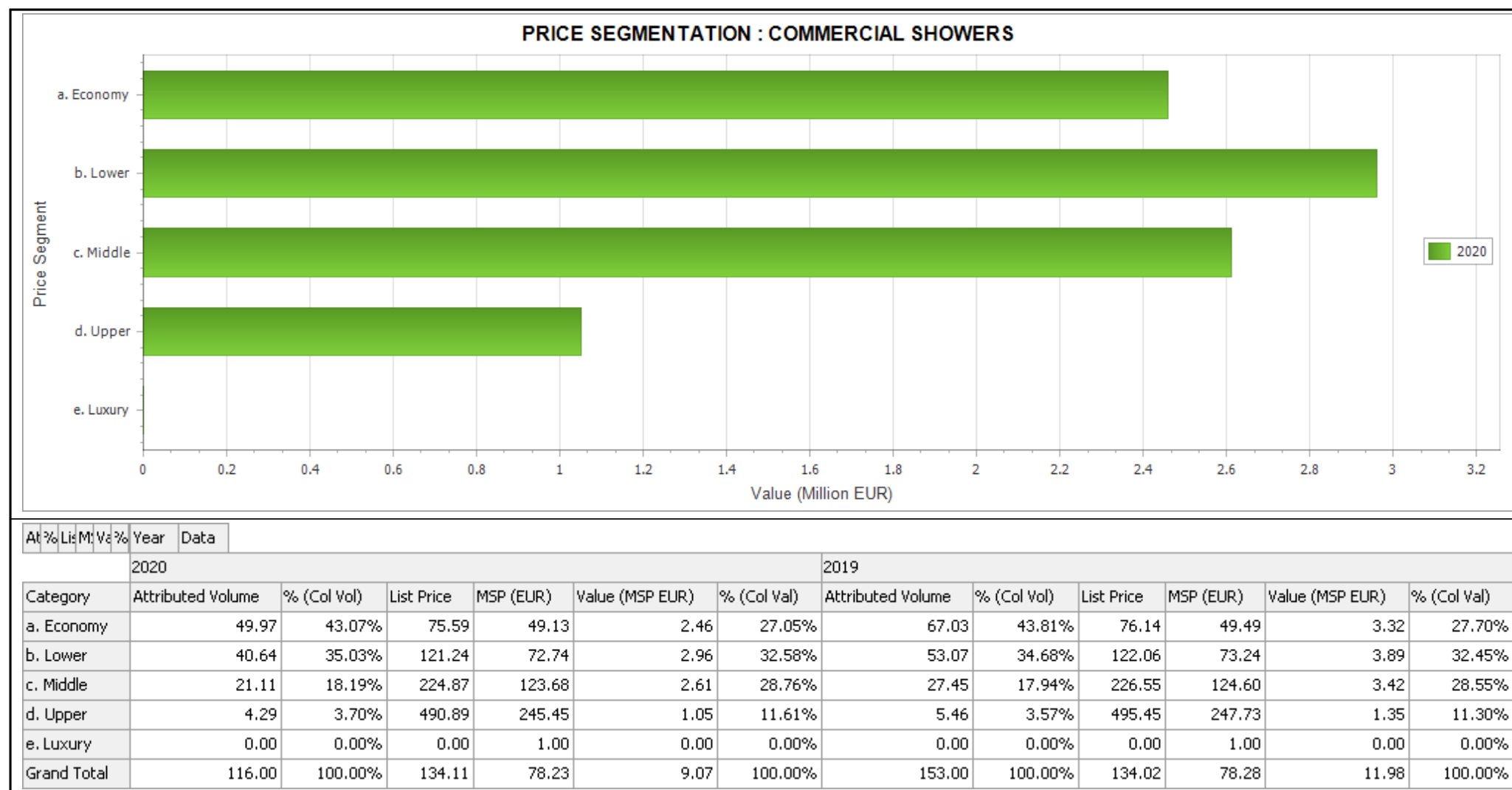
UK - ESTIMATED VALUES OF THE MIXER SHOWER MARKET



Source: BRG based on industry interviews. Local Prices Shown in GBP. Total may show slight variance compared to market data due to rounding. Local Prices Shown in GBP. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

3A.3.3 Price Segmentation : Commercial Showers

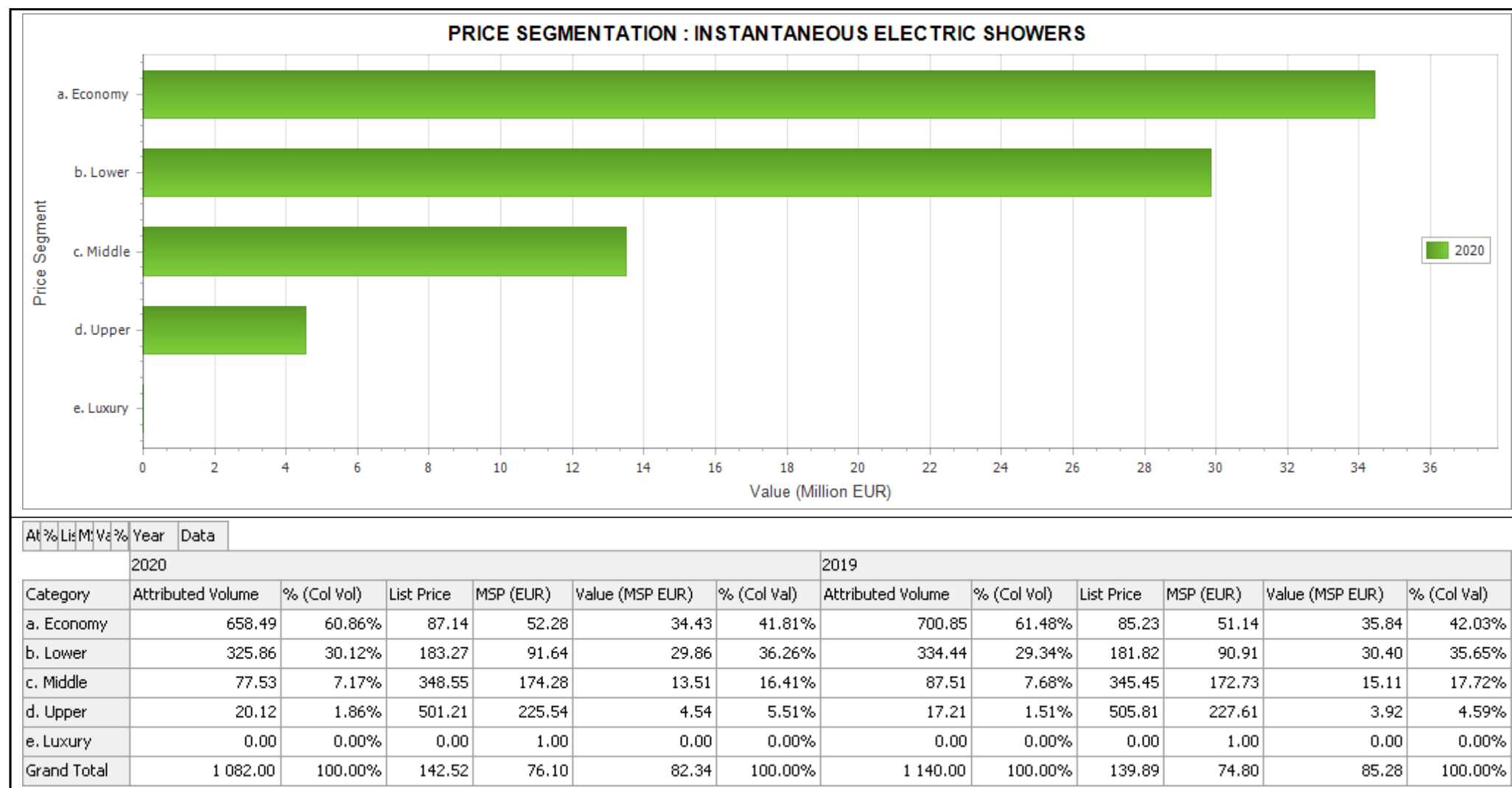
UK - ESTIMATED PRICE SEGMENTATION FOR COMMERCIAL SHOWERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Prices Shown in EUR. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€60, Lower €60-€100, Middle €100-€150, Upper €150-€300 and Luxury >€300

3A.3.4 Price Segmentation : Inst. Electric Showers

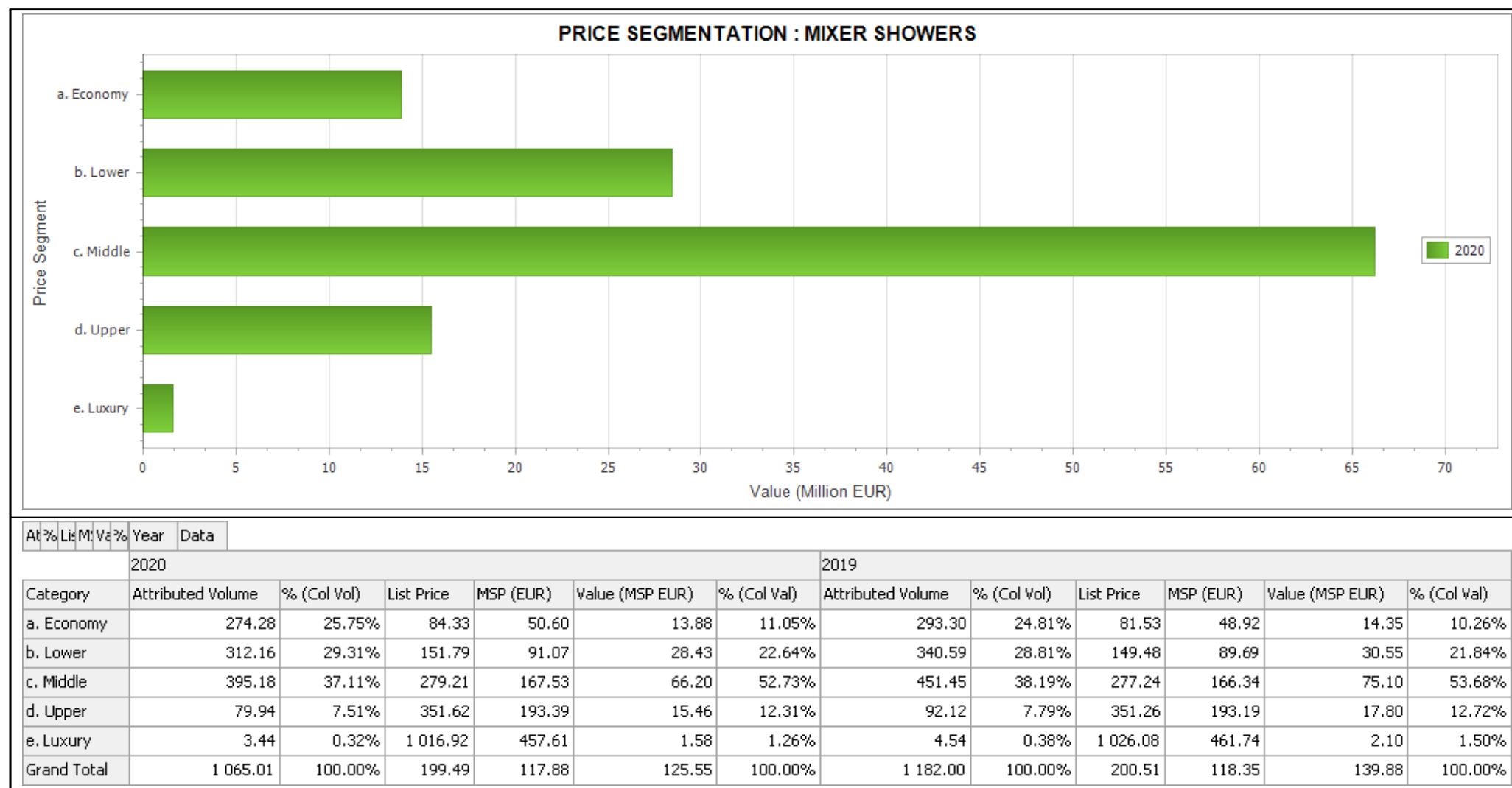
UK - ESTIMATED PRICE SEGMENTATION FOR INSTANTANEOUS ELECTRIC SHOWERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Prices Shown in EUR. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€60, Lower €60-€120, Middle €120-€200, Upper €200-€300 and Luxury >€300

3A.3.5 Price Segmentation : Mixer Showers

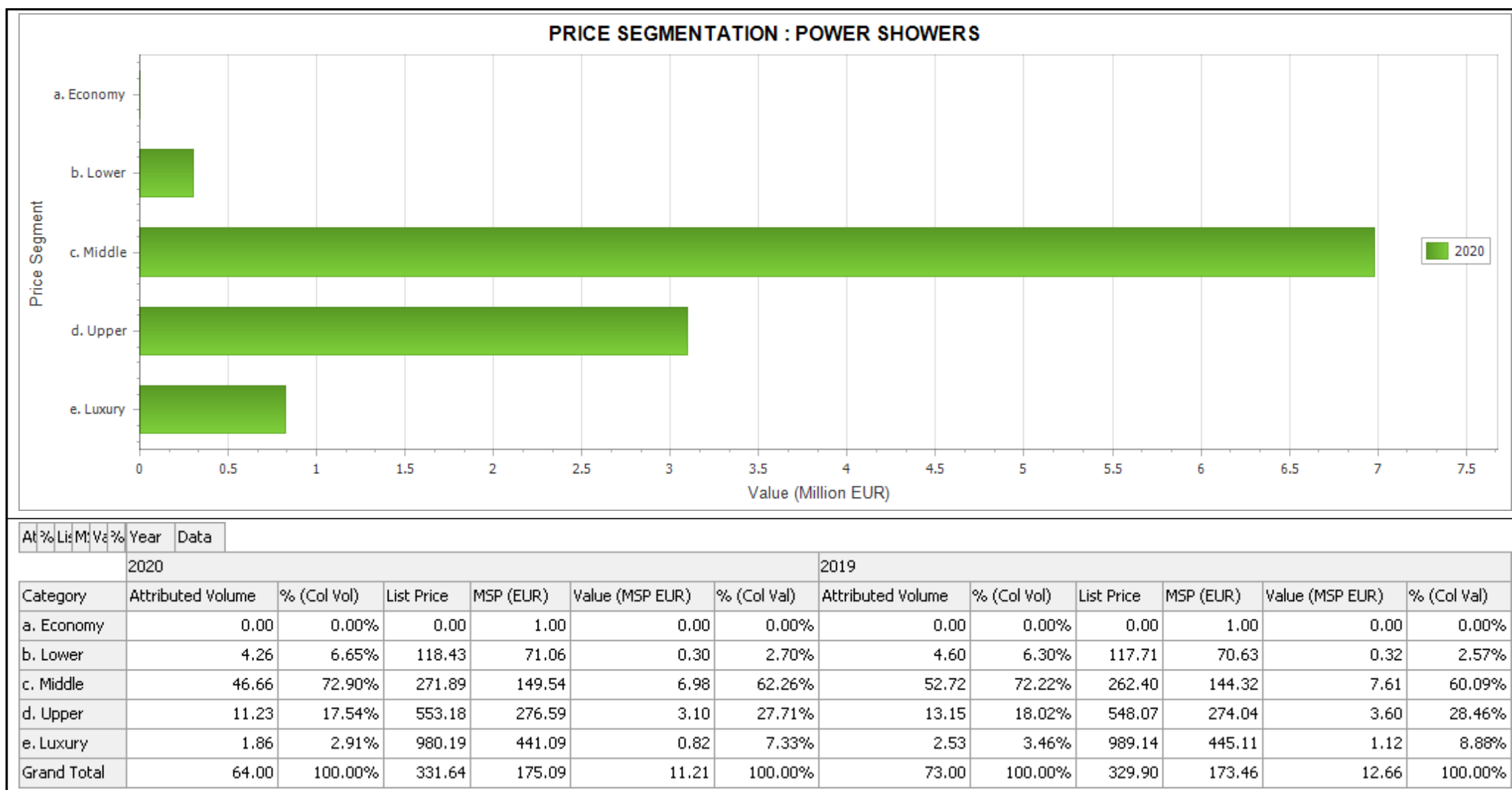
UK - ESTIMATED PRICE SEGMENTATION FOR MIXER SHOWERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Prices Shown in EUR. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€60, Lower €60-€120, Middle €120-€180, Upper €180-€250 and Luxury >€250

3A.3.6 Price Segmentation : Power Showers

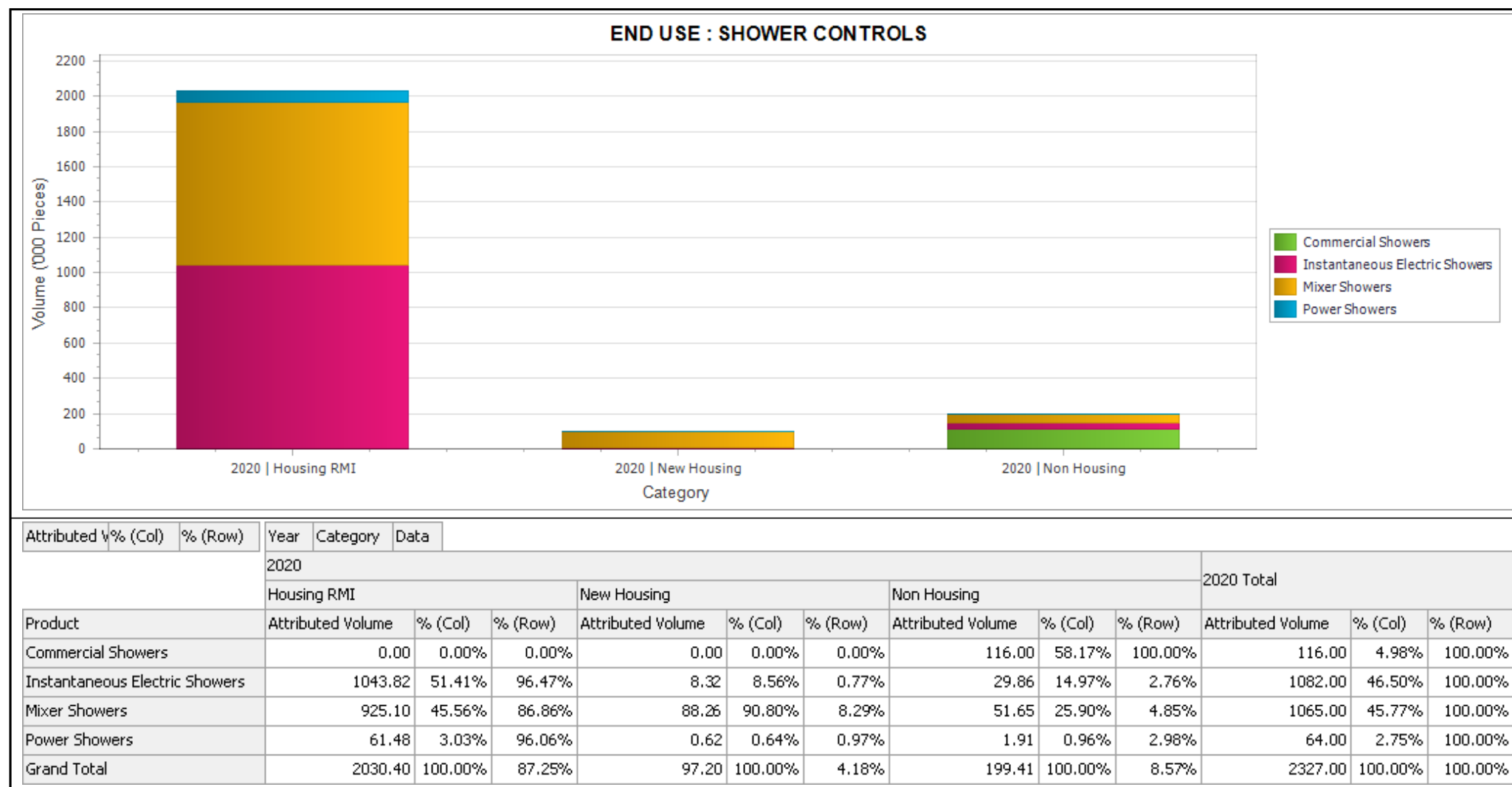
UK - ESTIMATED PRICE SEGMENTATION FOR POWER SHOWERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Prices Shown in EUR. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€50, Lower €50-€100, Middle €100-€200, Upper €200-€350 and Luxury >€350

3A.4.1 End Use : Base Year

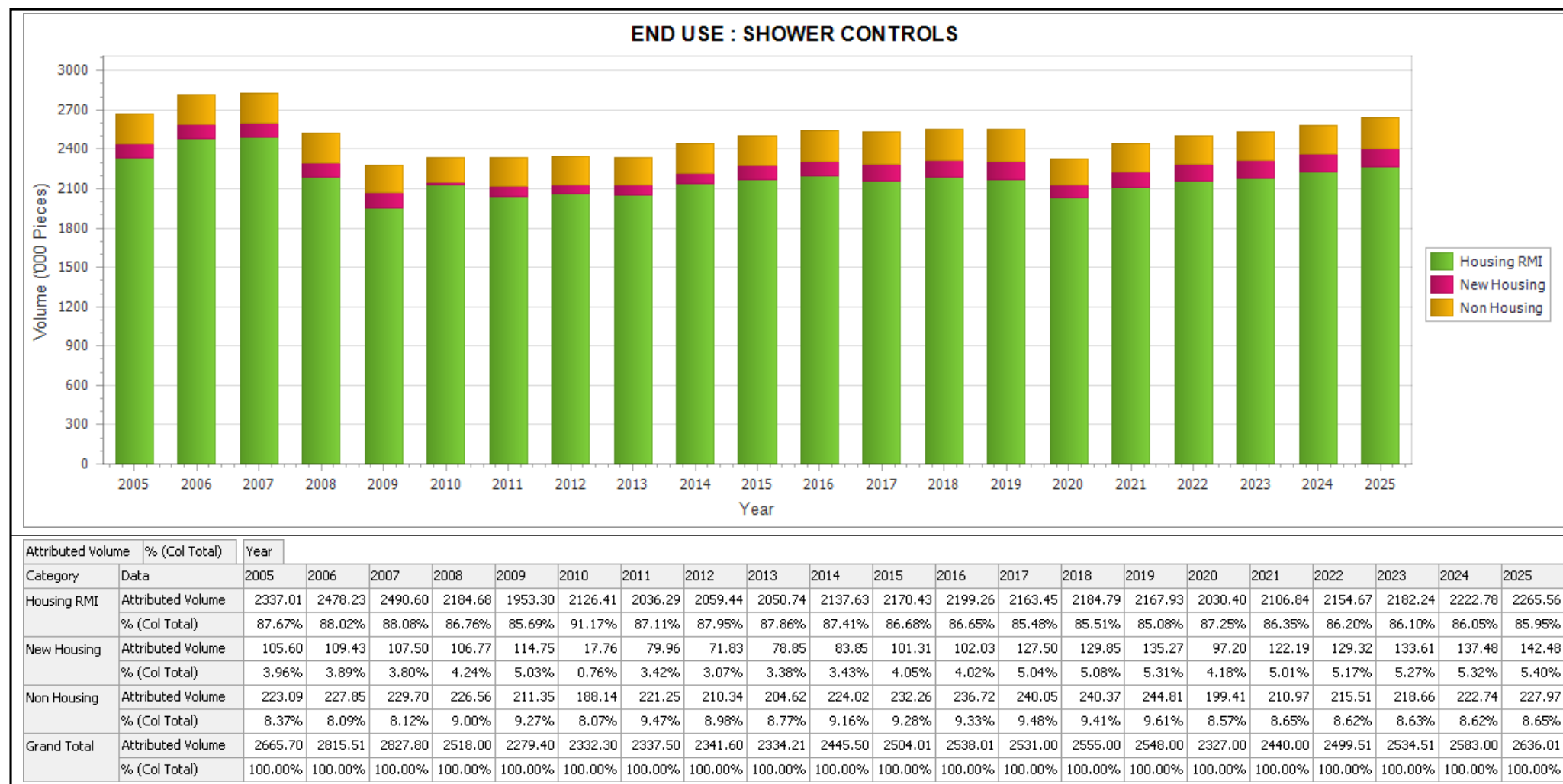
UK - SALES OF SHOWER CONTROLS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3A.4.2 End Use : Historical and Forecasts

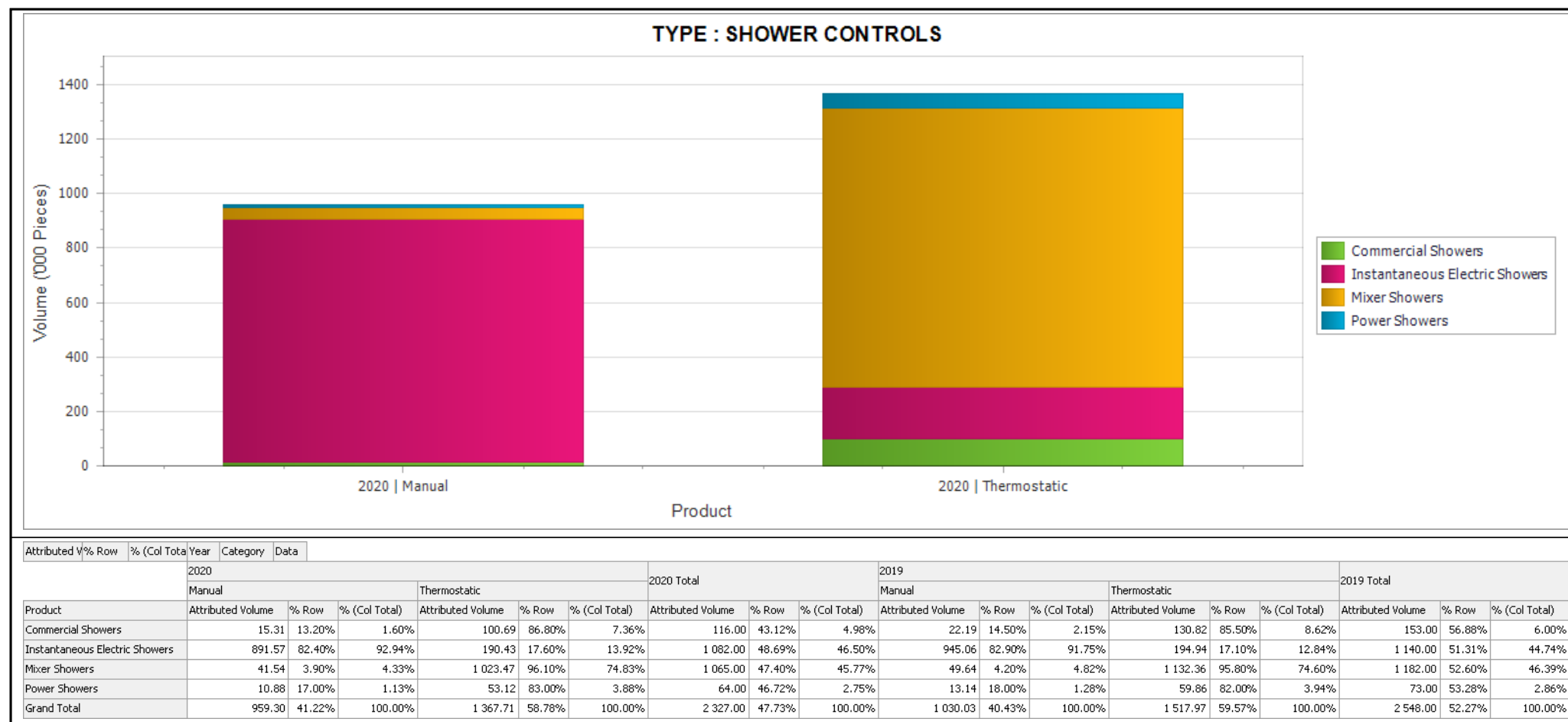
UK - SALES OF SHOWER CONTROLS BY END USE SEGMENT ('000 PIECES)



BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3A.4.3 Sales by Type : Shower Controls

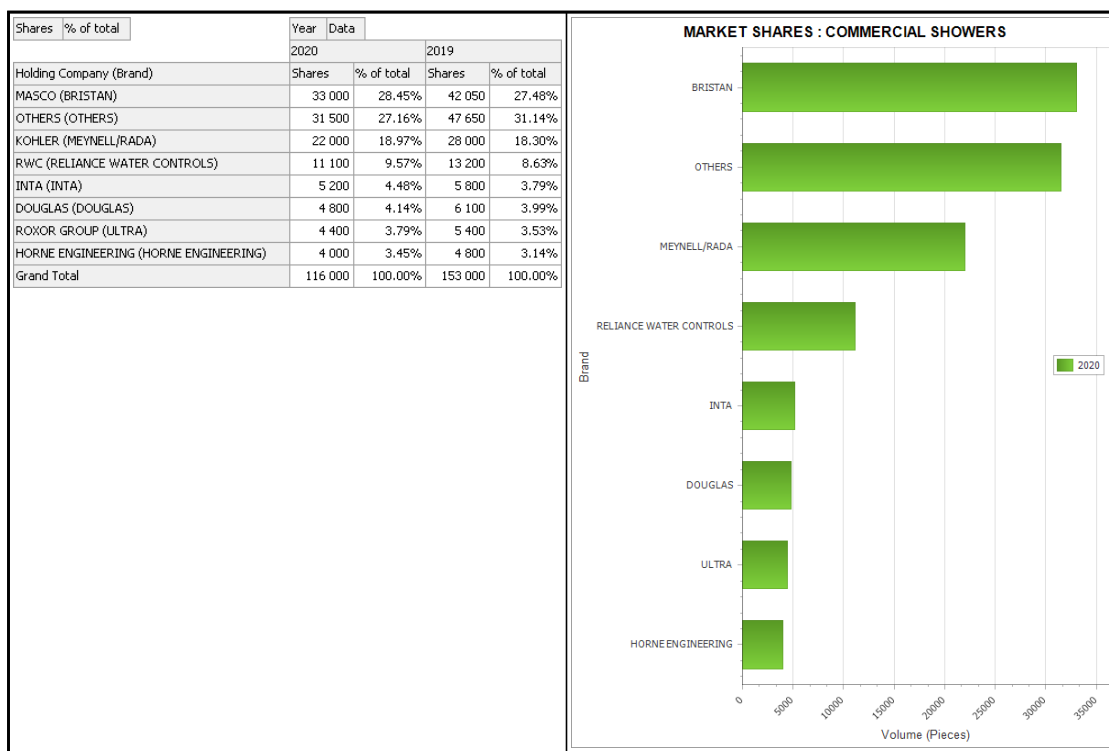
UK - SHOWER CONTROL SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3A.5.1 Market Shares : Commercial Showers

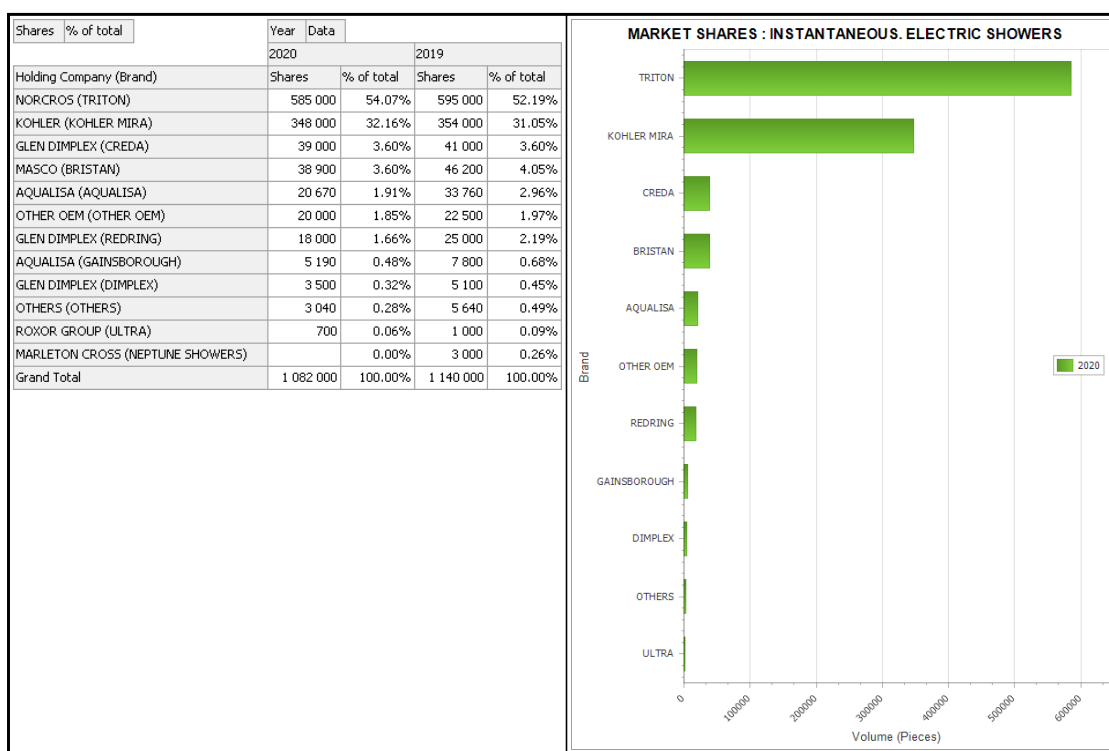
UK - ESTIMATED MARKET SHARES FOR COMMERCIAL SHOWERS



Source: BRG based on industry interviews.

3A.5.2 Market Shares : Inst. Electric Showers

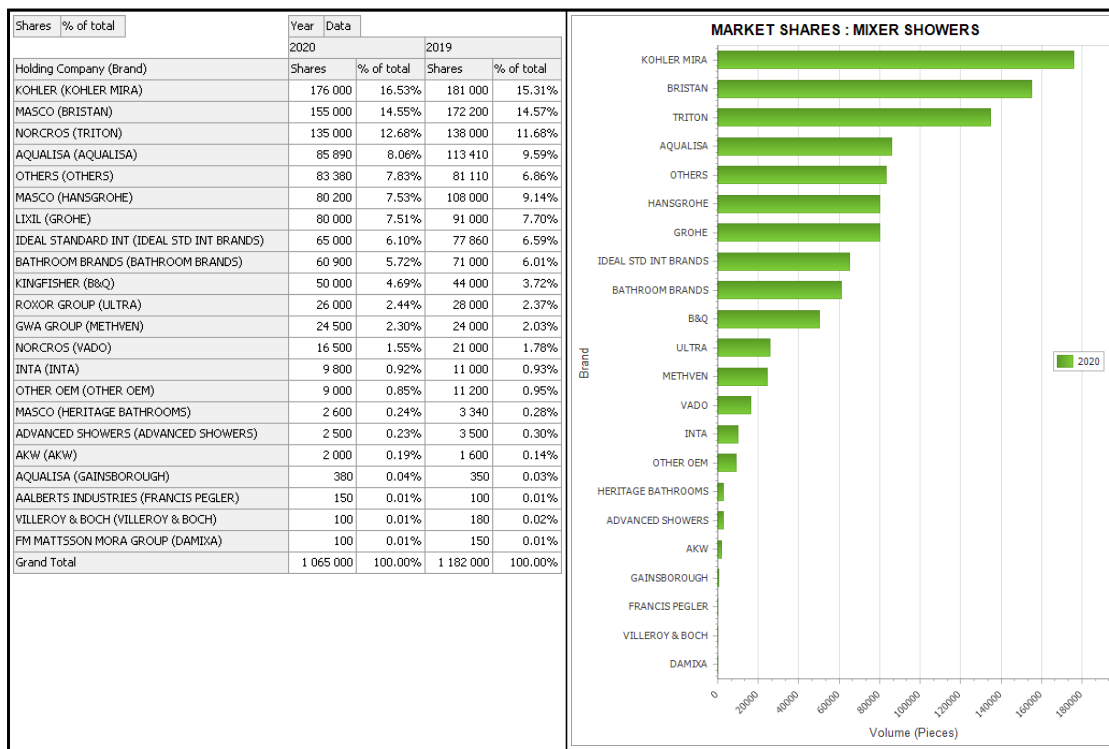
UK - ESTIMATED MARKET SHARES FOR INST. ELECTRIC SHOWERS



Source: BRG based on industry interviews.

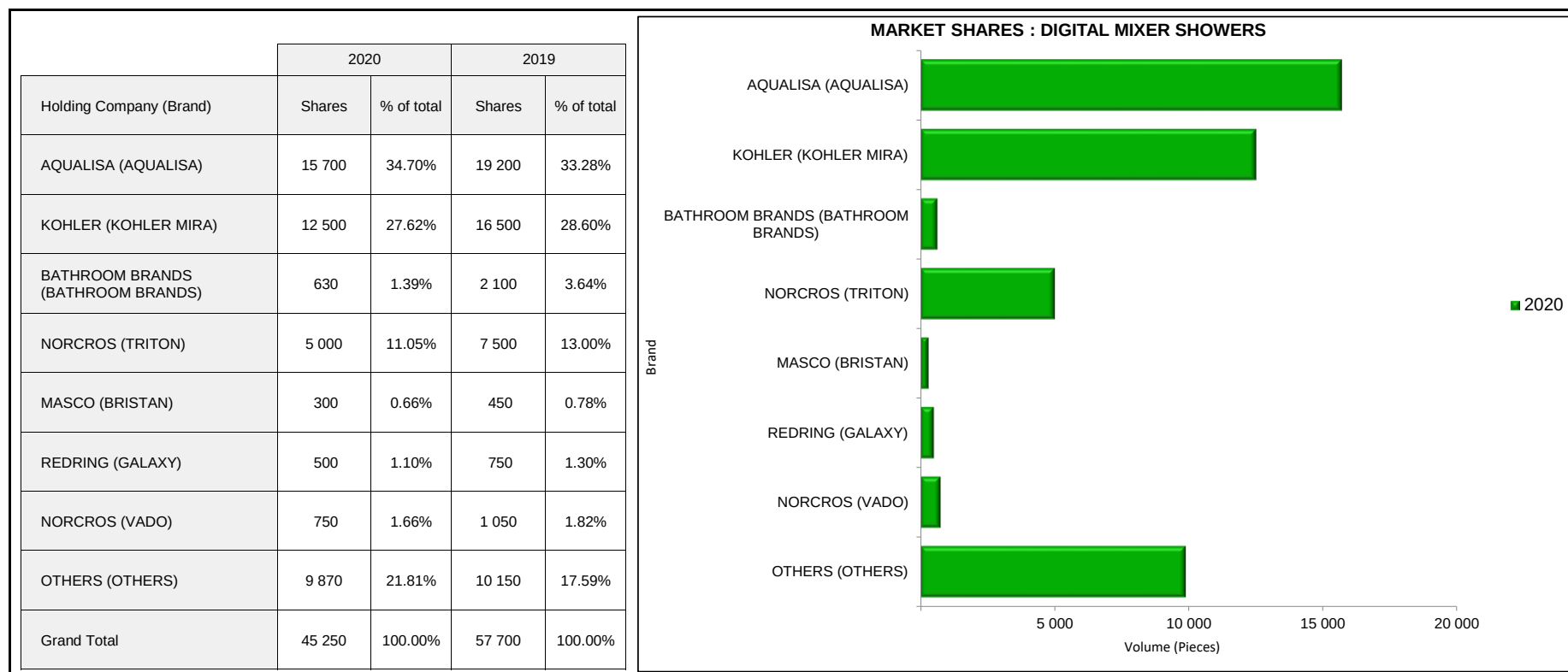
3A.5.3 Market Shares : Mixer Showers

UK - ESTIMATED MARKET SHARES FOR MIXER SHOWERS



Source: BRG based on industry interviews.

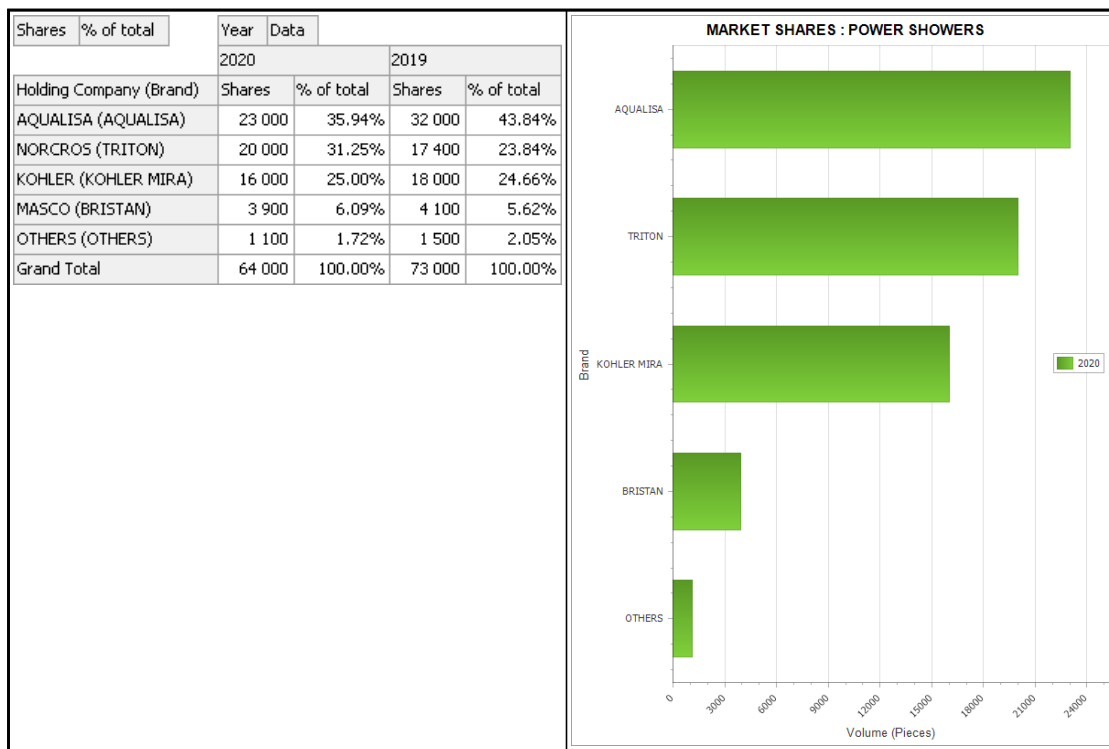
3A.5.4 Market Shares : Digital Mixer Showers
UK - ESTIMATED MARKET SHARES FOR DIGITAL MIXER SHOWERS



Source: BRG based on industry interviews. N.B. Digital Showers are included in the overall market volumes for Mixer Showers (as shown in table 3A.5.3)

3A.5.5 Market Shares : Power Showers

UK - ESTIMATED MARKET SHARES FOR POWER SHOWERS



Source: BRG based on industry interviews.

3A.6.1 Route to Market: Showers
UK - ESTIMATED DISTRIBUTION FOR SHOWERS: 2020

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	74.2%
	Wholesalers / Merchants
	74.2%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	7.1%	3.7%	12.1%	11.5%	6.5%	5.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	10.8%		23.6%		11.5%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.1%	36.0%	1.1%	2.6%	2.7%
		Installers		
		42.5%		

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	17.6%	9.6%	20.8%	8.6%	34.8%	0.0%	0.4%	0.1%	0.2%	0.2%	7.7%
			Residential						Non-Residential			
			91.4%						8.6%			
	New Build		Residential RMI		New Build		Non-Residential RMI		New Build		Non-Residential RMI	
	4.2%		87.3%		6.0%		2.6%		6.0%		2.6%	
	Project	Non-Project	Project	Non-Project	Project	Non-Project	Project	Non-Project	Project	Non-Project	Project	Non-Project
	3.1%	1.0%	6.1%	81.1%	4.6%	1.4%	1.7%	0.9%	4.6%	1.4%	1.7%	0.9%

3A.6.1 Route to Market: Showers
UK - ESTIMATED DISTRIBUTION FOR SHOWERS: 2025

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	74.0%
	Wholesalers / Merchants
	74.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	7.8%	4.2%	11.8%	11.0%	6.3%	5.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	12.0%		22.8%		11.3%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.1%	35.5%	1.2%	2.5%	2.7%
		Installers		
		42.0%		

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	18.0%	10.7%	20.2%	8.5%	34.0%	0.0%	0.3%	0.1%	0.1%	0.1%	8.0%
			Residential						Non-Residential			
			91.4%						8.6%			
	New Build		Residential RMI		New Build		Non-Residential RMI		New Build		Non-Residential RMI	
	5.4%		85.9%		6.1%		2.6%		6.1%		2.6%	
	Project	Non-Project	Project	Non-Project	Project	Non-Project	Project	Non-Project	Project	Non-Project	Project	Non-Project
	4.1%	1.4%	6.0%	79.9%	4.6%	1.5%	1.7%	0.9%	4.6%	1.5%	1.7%	0.9%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

3A.6.3 Route to Market - Consolidated View : Showers

UK - ESTIMATED DISTRIBUTION FOR SHOWERS : 2020

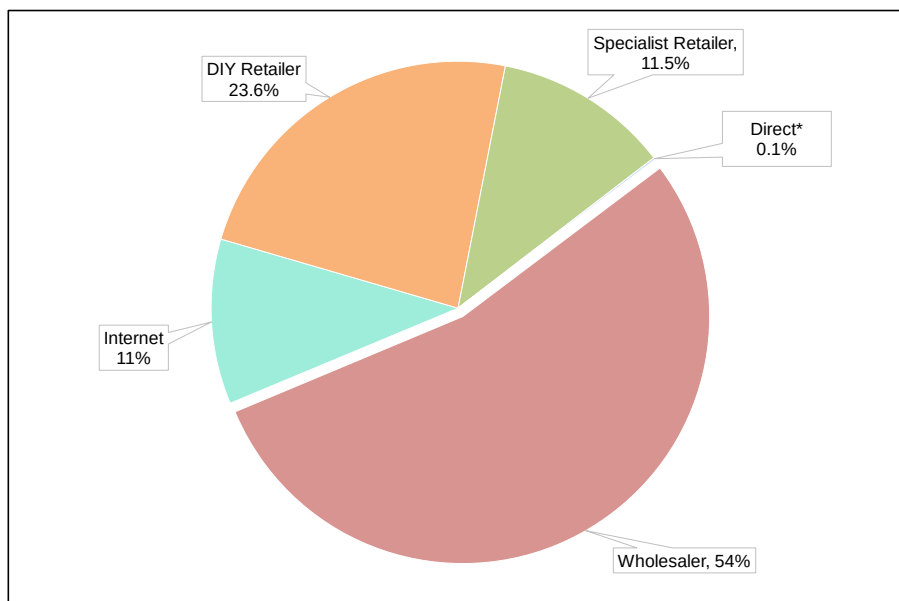
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
54.0%	10.8%	23.6%	11.5%	0.1%	9.2%	6.2%	82.2%	2.3%
100%					15.5%		84.5%	

3A.6.4 Route to Market - Consolidated View : Showers

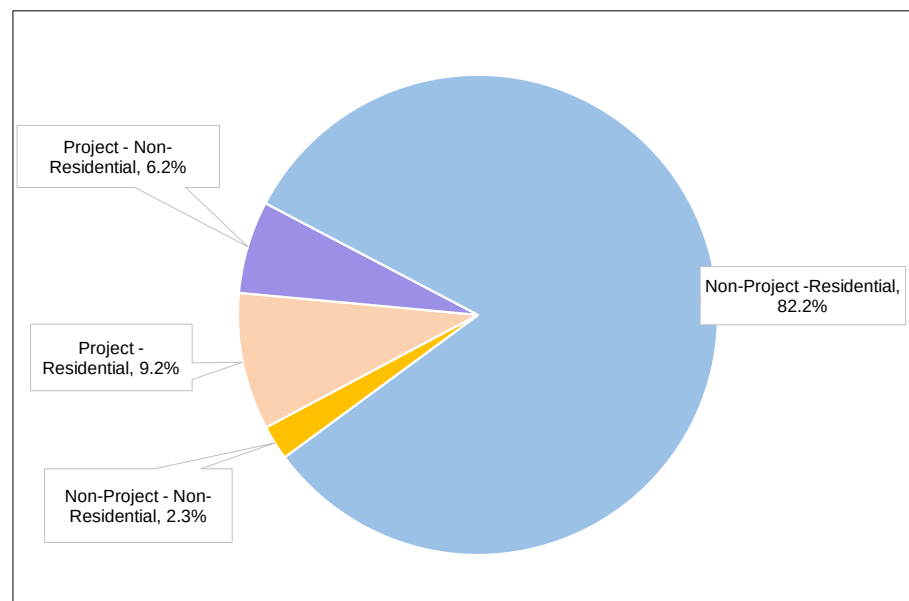
UK - ESTIMATED DISTRIBUTION FOR SHOWERS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
53.8%	12.0%	22.8%	11.3%	0.1%	10.1%	6.3%	81.3%	2.4%
100%					16.4%		83.6%	

UK - SALES OF SHOWERS BY DISTRIBUTION CHANNEL: 2020



UK - SALES OF SHOWERS BY POINT OF DECISION AND END-USE SECTOR: 2020



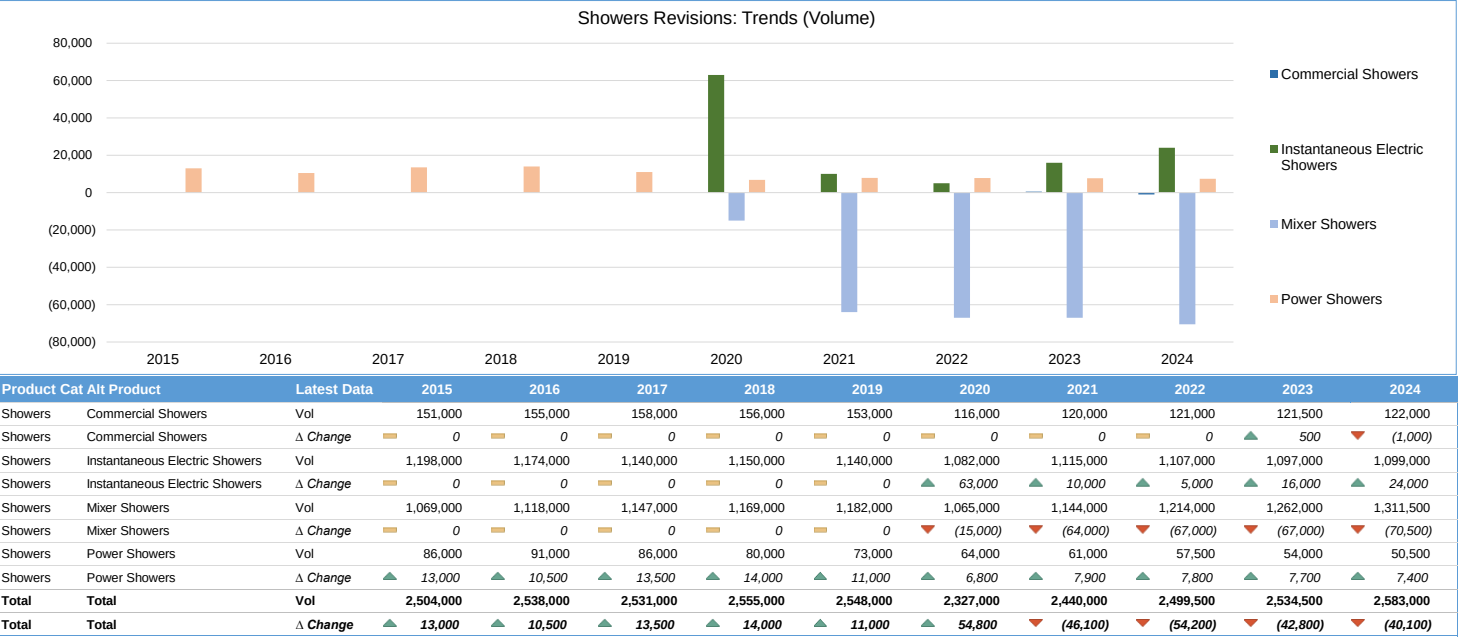
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

3A.7 Revisions in the UK Showers Market (April 2021)

UK - REVISIONS IN THE UK SHOWERS MARKET

Data Comparison: October 2020



Adjustments to sales submissions resulted in an upward historical revision of the power showers market. There was a slight adjustment to sales volumes for the mixer showers market. The overall MSP was decreased, as fewer sales to the lower end segment were made, in line with data revisions.

Due to revisions made to the market shares for mixer showers, the MSP was decreased slightly down due to a reduction in sales to the lower price segment.

UNITED KINGDOM

SHOWER WALL

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The UK shower wall market is driven by a number of distinctive market characteristics. Firstly, the UK residential market's sustained preference in favour of showering over traditional baths. Secondly, the increased inclusions of en suites and secondary bathrooms in the home by the RMI and new build markets. Second bathrooms often will not have sufficient room to allow for a bath so there has been a trend towards installing shower rooms, which feature enclosures or wet rooms. In the new housing market, most apartments are fitted with a shower due, primarily, to the convenience and space saving benefits offered by showers over baths. Wet shower rooms have recently begun to become increasingly popular. As a result, manufacturers are increasingly introducing an enclosure to suit this new modern theme. A growth in new build may also stimulate this trend.

These factors have contributed to the increase in choices of shower wall products, lending more opportunity for both existing suppliers and new importers. Due to the relative ease of manufacturing and bulk transportation, OEM imports have taken up a far greater share of the market over the last few years, gaining significant contracts with major DIY and wholesale distributors. In recent years, an increase in the number of showers per dwelling and renewed demand favours the market over the long term. Sales of conventional shower enclosures have suffered in recent years, as the market increasingly favours shower enclosures with door or side wall units, mostly for their space-saving benefits. Furthermore, conventional shower cubicles are not easily modified and, thus, are seeing significantly less uptake from contractors, who prefer units that can be measured and altered to fit both new and existing dwellings.

Recent Market Trends

The overall UK shower wall market saw a strong reduction of sales in 2020, due to the onset of the COVID-19 outbreak from early in the year, with sales virtually ceasing for the majority of Q2. Sales to all end-use segments were markedly down due to the first national lockdown and, with a few key players relying on the performance of the national merchants which had been shut for most of the year, negatively impacting market development. Given most players in the marketplace import from China, this subsequently had a further negative bearing on the market as a number of players couldn't get products in to supply the market. The market did begin to see a recovery in the second half of the year with pent up demand gradually being met as restrictions were eased and supply became less of an issue.

There wasn't much change in terms of trends for shower wall products in 2020 with matte black framed enclosures and bath screens remaining a popular theme in the market. Fluted glass, which remains miniscule in the grand scheme of things, saw some uptake in the much upscale and exclusive hotels, with retail numbers remaining quite niche. The market has been seeing thinner glass coming in as

consumers seek the more minimalist look they desire as they perceive it to be better quality, with some homeowners installing these in their bathroom refurbishments.

Cheaper bath screens being offered in the DIY and internet channels have helped to drive the market, making this product considerably polarised; however, due to a number of players having issues importing products, there were not as many going through the DIY channels compared to online which was very robust. Most players in the market, such as merchants, all have the same product and are just constantly undercutting one another in terms of price, adding no value to the market and this can only be done for so long. This trend, however, was not present in the market in 2020 as these players couldn't afford to undercut due to the sheer volumes they had lost in being forced to shut and having supply issues for most of the year.

The penetration of walk-in showers continued to rise in 2020 despite overall volume declines as homeowners with a feel for the minimalist look took to upgrading to this when carrying out their bathroom refurbishment. The uptake is largely due to the appealing aesthetics viewed by the end consumer and it looks set to continue growing well over the forecast period with it being consumer and developer driven. It is currently very hotel driven, although, the development of wet rooms on the residential side continues to pick up in family homes and homes in retirement villages. With the UK economy expected to recover in 2021 and consumer consumption being present, shower enclosure manufacturers are adapting developments of their products to meet the demands.

Prices and Market Values

Overall manufacturers' selling prices (MSPs) saw an increase for all shower wall products in 2020, except shower cubicles which saw a slight decline due to it being a declining market. Despite a strong uptake of sales via the internet channel, which tends to be quite price driven in the low end, prices were up for bath screens and enclosures. This increase was due to the 'container surcharges' Chinese importers were putting in, on top of general price increases, due to container costs from China seeing a phenomenal leap. This led to an increase in the economy/lower price segments, bringing the overall MSP up slightly and there is a possibility of these players not dropping prices once the market stabilises.

New Housing

The new housing segment remains a key source of growth for shower wall products as, although the penetration of wet shower rooms has increased in the new build segment in the UK, many homes are now built with either two bathrooms; a main bathroom and a secondary shower room or a main bathroom and with an en suite. As a result, the ratio of shower wall products sold in the new build segment to new housing completions is almost one for one. New housing demand waned strongly in 2020 as both private residential and social housing construction took a hit amidst the COVID-19 pandemic, negatively impacting shower wall products going into new build complexes. Furthermore, the specification market for

shower wall products tends to produce very low margins for manufacturers, as bulk purchase by contractors often requires manufacturers to make certain discounts.

Housing RMI

The RMI market remains the main end-use segment for shower wall products in the UK, as the UK is a highly mature and developed market, with the vast majority of sales consisting of replacements. Despite a resurgence in consumers doing home renovations, the RMI segment was markedly down in 2020 due to there simply not being enough supply to meet the demand in the marketplace. Design type products like fluted glass saw marginal uptake in hotels, albeit these volumes remain considerably marginal but continue to grow. RMI demand is expected to return to growth in 2021 and be the key driver for growth over the forecast period as new build construction looks to slow down in the medium term.

Non-Housing

Demand from the non-housing sector was markedly down in 2020 as construction and renovation took a hit for the majority of the year. Hotels and accommodation facilities such as university halls prove to be the key commercial segments as most commercial buildings do not require shower units, meaning shower wall products that are sold into commercial applications are very specific. Hotels saw more renovation for hygienic type products, whereas university halls for the most part did not have students living in there to have many upgrades or work needing to be done. The trend does remain in hotels putting in more bath screens than curtains for both new build and renovations, a trend expected to pick back up in 2021 as commercial construction picks back up. Demand from the non-housing sector is expected to be positive over the forecast period; however, strong growth could be limited given that the application of non-housing shower walls is limited and very specific, especially when compared to other bathroom products.

Supply Structure

The majority of successful players in the UK shower wall market benefit from low cost importing of mid- to low-priced Chinese-sourced ranges. The main manufacturers supply mostly wholesalers and independent merchants, with some major DIY retailers importing their own branded products directly.

The UK shower enclosures market follows a similar trend to that of the hydrotherapy market in that it is dominated by single-product suppliers, large bathroom product manufacturers, with the exception of KOHLER and CORAM. ROMAN, followed by MERLYN, is the largest player in the market and the leader in terms of domestic manufacture, since all production takes place within the UK with known export markets in Ireland, Italy, France, Spain, Malaysia and the Middle East. ROMAN has recently seen growth in their commercial business. MATKI and MAJESTIC whom operate largely in the upper/luxury segment experienced a decline as their product is very expensive and consumers, not being as willing to spend money on luxury items, turned elsewhere to cheaper options.

CORAM have continued to benefit from its contract to supply shower wall products for IMPEY SHOWERS, the UK's leading wet shower room manufacturer. In addition, such supply deals between shower wall and wet room manufacturers are anticipated to occur in the near future, as the penetration of wet rooms in the UK market increases.

Newly founded SCUDO continued to gain share in the shower enclosures market following on from their formation in 2016. They had been competing with the likes of MAJESTIC and SHOWER LAB, with the former going bankrupt and closing in September 2020 as their 'cash transactions only' method and inability to make enough product forced them close. MAJESTIC were bought out by Irish manufacturer FLAIR in January 2021, which actually entered the UK market in late 2020.

AQUALUX, and NOVELLINI and the French manufacturer KINEDO are the major suppliers of the very small shower cubicles market. AQUALUX is known to supply the DIY chains WICKES and B&Q. Other supply deals are hard to detect although the main market is believed to be DIY and smaller merchants. Other OEM, mainly imported private label products, saw a strong contraction of sales in 2020 as a number of players encountered supply issues.

SYSTEM-POOL, which imports from Spain under the PORCELANOSA name, holds the highest branded share in the ever-declining hydrotherapy cubicles market. Together with AQUALUX PRODUCTS and TAB, they remain the only significant players in what is otherwise a largely fragmented market.

Forecasts

The overall shower wall market is expected to see strong recovery in 2021 and reclaim a good chunk of the sales lost in 2020, with construction for both residential and non-residential returning to be a key driver for growth. Given a no deal Brexit was avoided and a free trade deal was struck between the UK and EU at the end of 2020, this should restore some confidence in consumers and prompt them to spend a bit more, with an expected recovery in the RMI segment. Another key and potentially more important factor in restoring confidence into the UK population is the vaccine rollout which has been prevalent as of December 2020, with more UK citizens getting the jab. On the other hand, with more people getting vaccinated and lockdown restrictions slowly being lifted, this could ultimately lead to more people wanting to travel rather than staying home or some homeowners could still be apprehensive about travelling and choose to delay travelling. Nonetheless, irrespective of what most of the UK population choose to do, the overall market is expected to return to growth, largely driven by a recovery in new build residential and non-residential construction.

Given the continued supply chain disruptions and over reliance on imported goods from China, the level of growth is not expected to be as high when compared to other markets. The shower wall market presently doesn't have enough product in

the marketplace to supply; however, this development should subside in the second half of 2021. The new build sector is likely to favour manufacturers which produce multiple bathroom products, as they tend to be preferred by housing contractors for their ability to equip an entire bathroom in a new build home with their products at a bulk discount rate. The one downside of the market could be the devaluation of the market given the continued decrease of prices of lower priced segments and continued high sales into this market. On this notion, although it is just in talks, parliament is working on shifting the market towards compliance to the market, with products having to go through tests and checks to determine whether they can be sold in the market. This would potentially result in a reduced market for lower cost imported products, resulting in an increase of the market value.

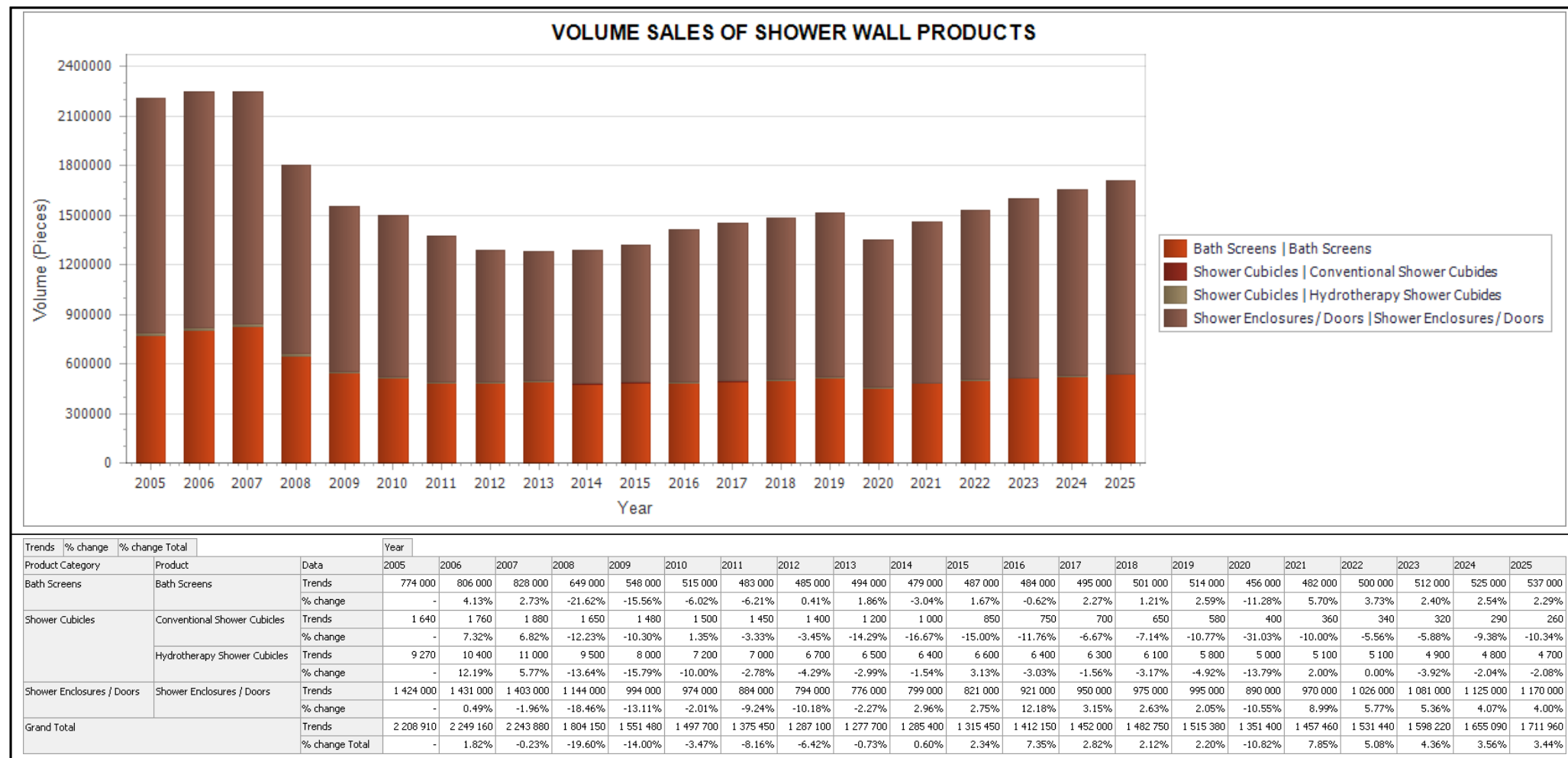
The UK shower wall market is returning to cyclical replacement patterns. This, coupled with discretionary RMI demand, should ensure that housing RMI accounts for the majority of sales and is the main driver of market growth over the forecast period. Indeed, the RMI segment will additionally become increasingly important as growth looks set to slow down in the medium term for new build completions. Replacement and remodelling sales are additionally anticipated to shift toward design-oriented products, in line with UK consumers' increasing demand for aesthetically pleasing products and the upswing in showroom distribution. The increase in internet distribution is likely to enable consumers to obtain higher quality products at lower prices which will put pressure on traditional distribution channels, such as independent merchants and DIY. However, this is counteracted by the more expensive importation cost in the UK, so local manufacturers are benefiting from this at the moment and can compete with the lowering of prices.

It is unlikely that the popularity of hydrotherapy products will recover to levels seen prior to the recession over the forecast period. This is not only due to the high cost of hydrotherapy products, but also due to the fact that conventional shower and bath technology has improved, incorporating more features and offering great price variants that satisfy the luxury market. As a result, the hydrotherapy market is likely to offer very weak growth potential over the long term, despite the forecast uptake in care homes and spas.

With the UK and EU agreeing on a free trade deal, exports appear to have been hit harder than imports in the first few months of 2021; however, as firms on both sides of the channel grow accustomed to new trading agreements, this disruption is expected to dissipate. In the long term, the UK and EU relationship will be mired by uncertainty and possible instability and with a review clause in 2024, this certainly means the issue of EU trade will play a role in the election that year. The hot topic is whether the UK-EU deal will stand the test of time and so long as the UK sticks to its commitments, the overall economy and UK bath and shower trays markets should recover well and be driven by recovering consumer consumption, real term earnings and other macroeconomic factors.

4.2 Historical Trends and Forecasts : Shower Wall

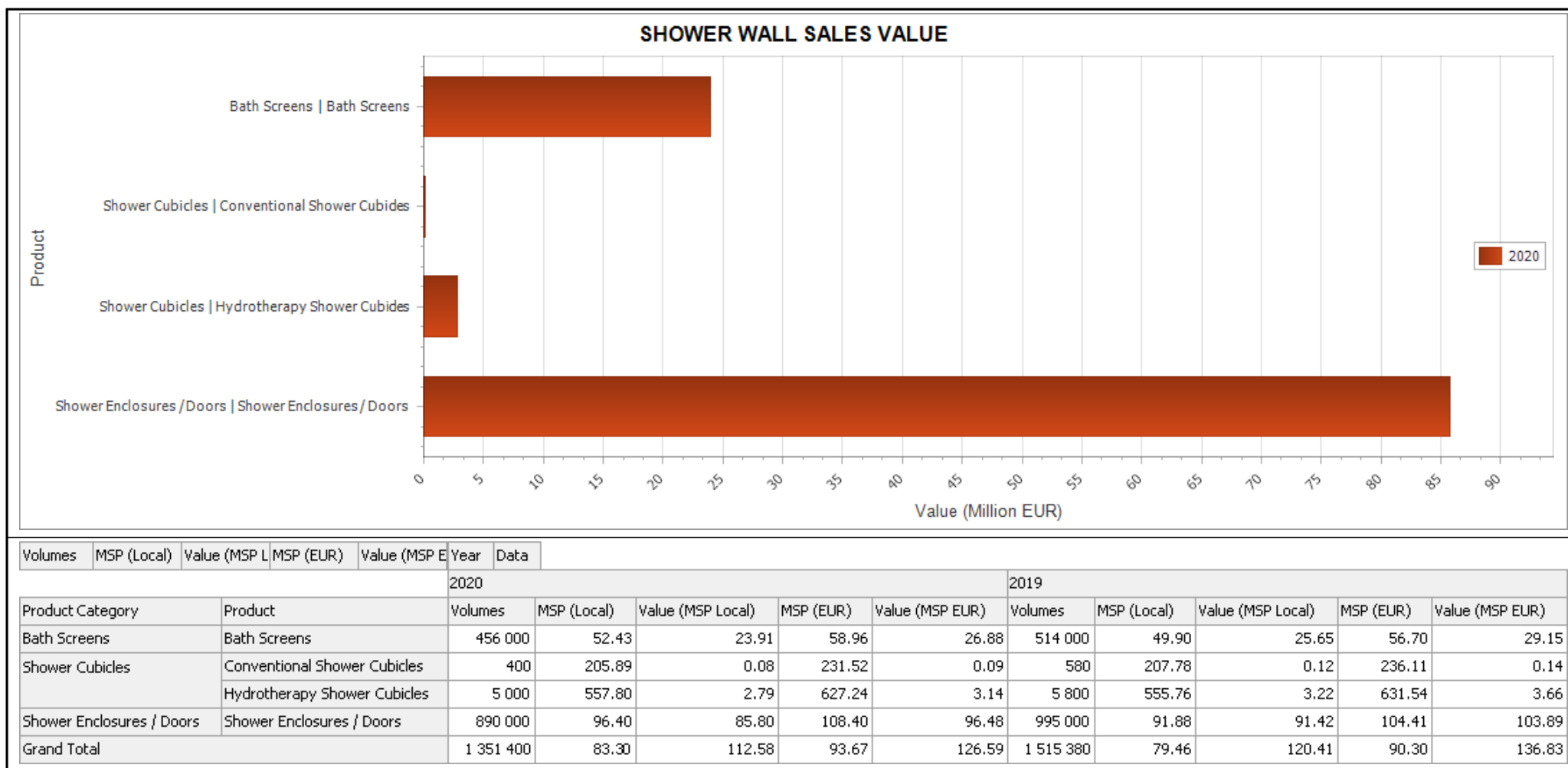
UK - SUMMARY OF TRENDS IN THE SHOWER WALL MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

4.3.1 Prices and Market Values : Shower Wall

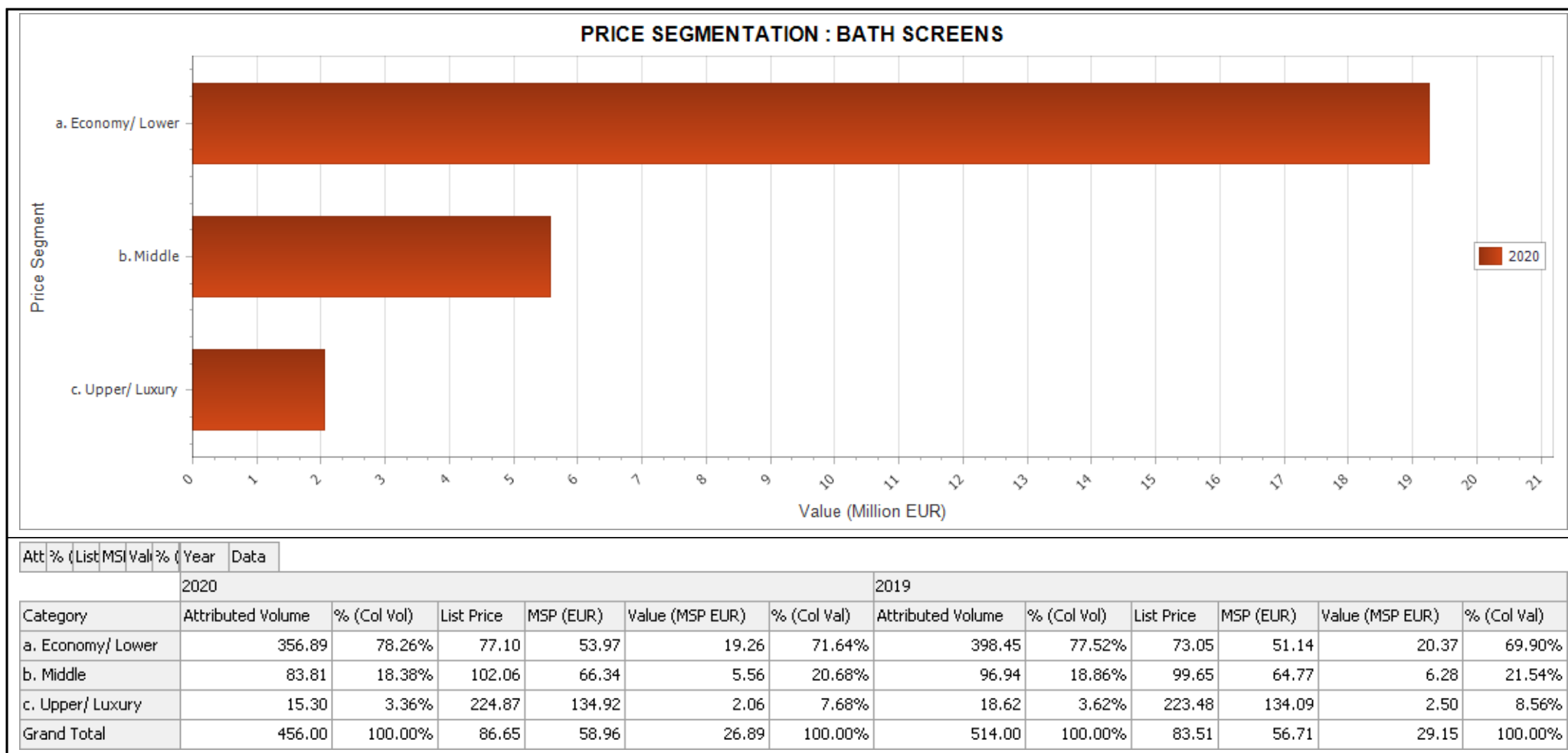
UK - ESTIMATED VALUES OF THE SHOWER WALL MARKET



Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

4.3.2 Price Segmentation : Bath Screens

UK - ESTIMATED PRICE SEGMENTATION FOR BATH SCREENS

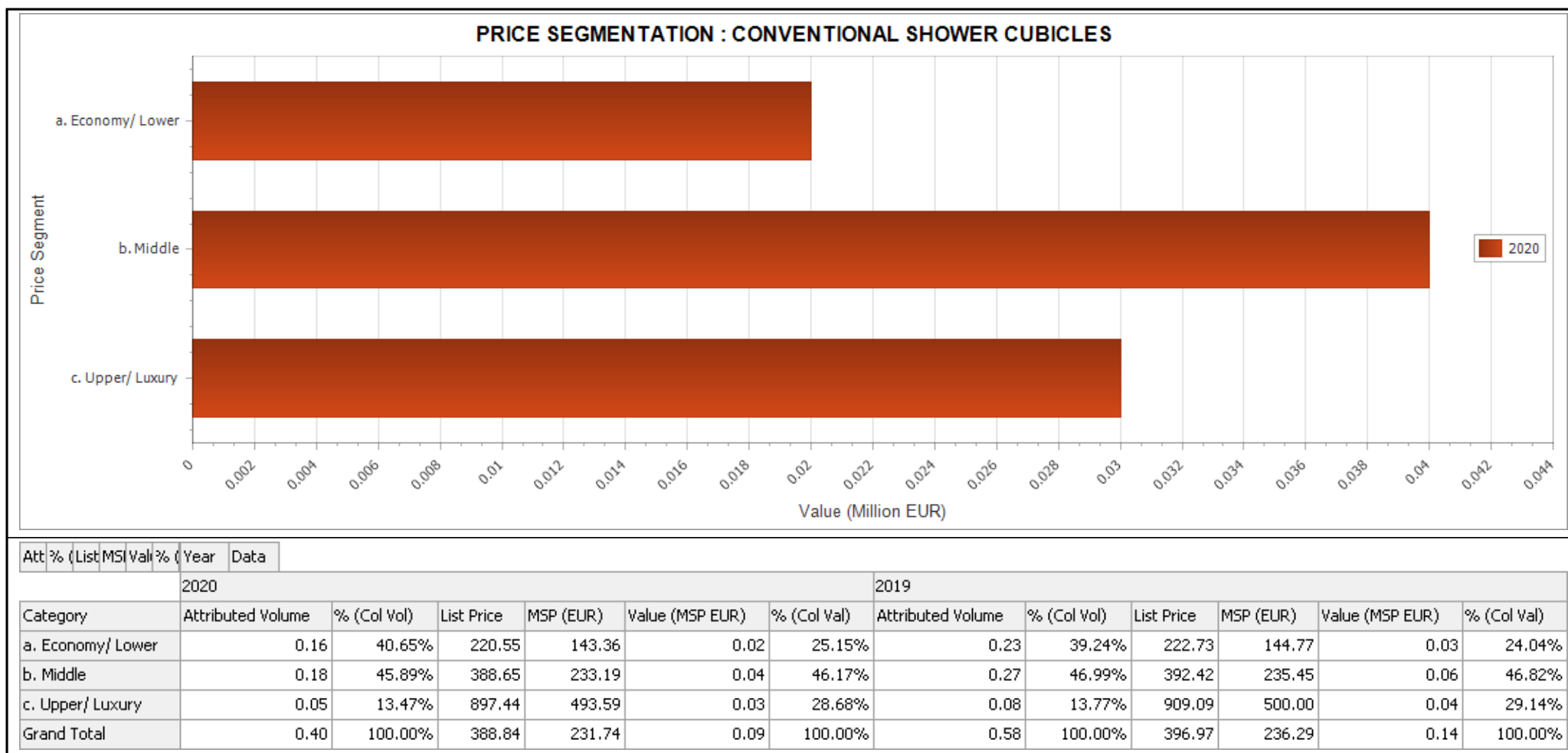


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€60, Middle €60-€100, Upper/ Luxury >€100

4.3.3 Price Segmentation : Conventional Shower Cubicles

UK - ESTIMATED PRICE SEGMENTATION FOR CONVENTIONAL SHOWER CUBICLES

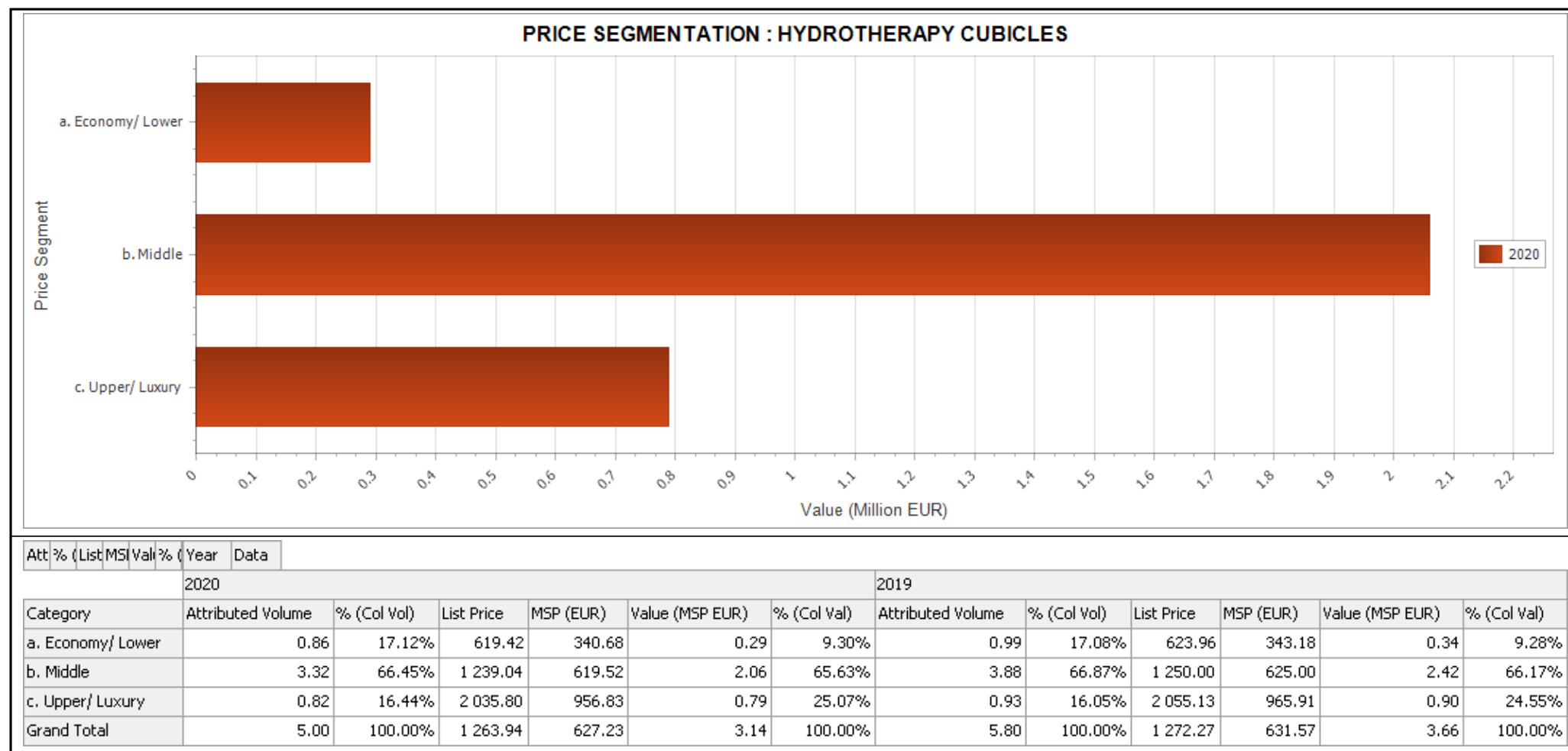


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€200, Middle €200-€300, Upper/ Luxury >€300

4.3.4 Price Segmentation : Hydrotherapy Shower Cubicles

UK - ESTIMATED PRICE SEGMENTATION FOR HYDROTHERAPY CUBICLES

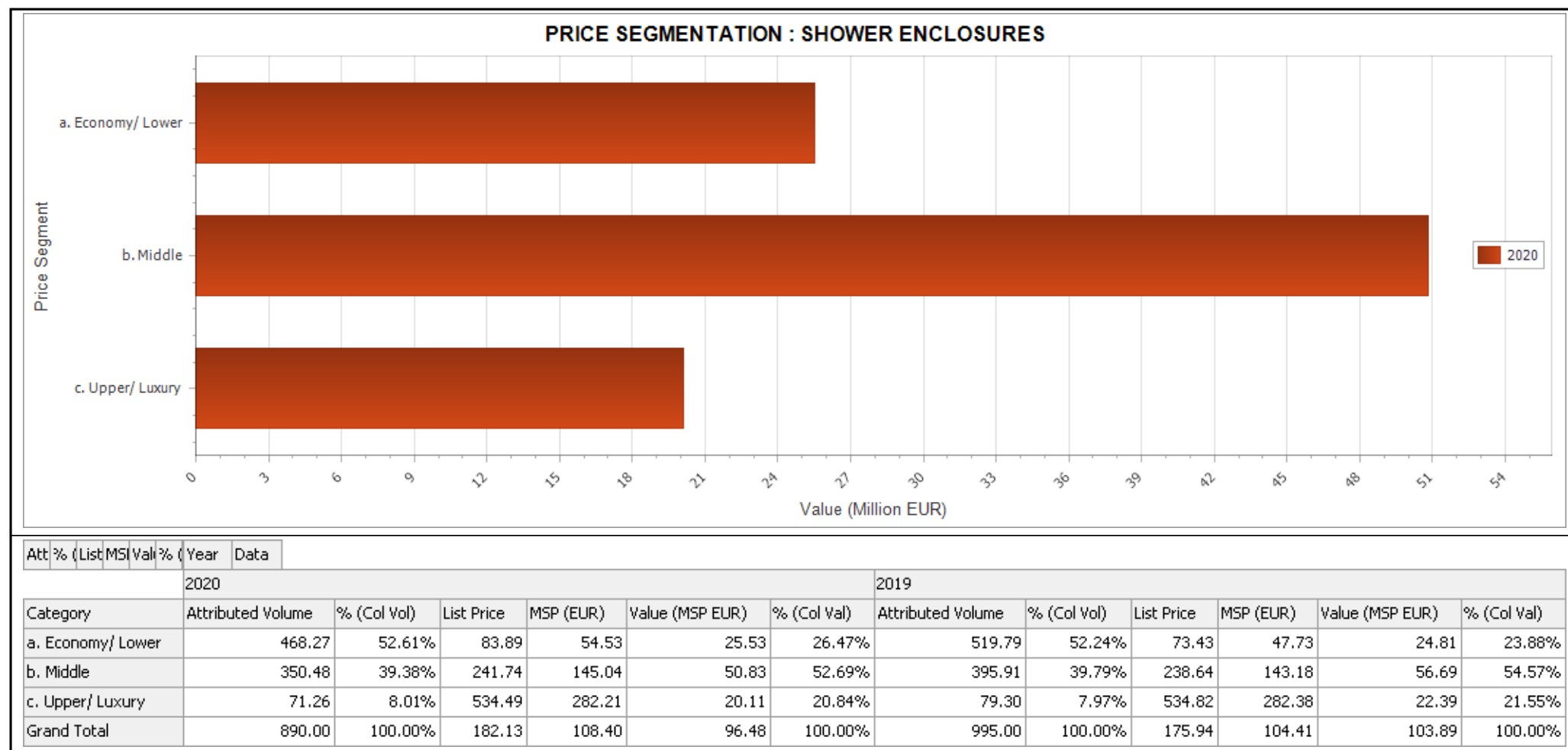


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€400, Middle €400-€800, Upper/ Luxury >€800

4.3.5 Price Segmentation : Shower Enclosures

UK - ESTIMATED PRICE SEGMENTATION FOR SHOWER ENCLOSURES

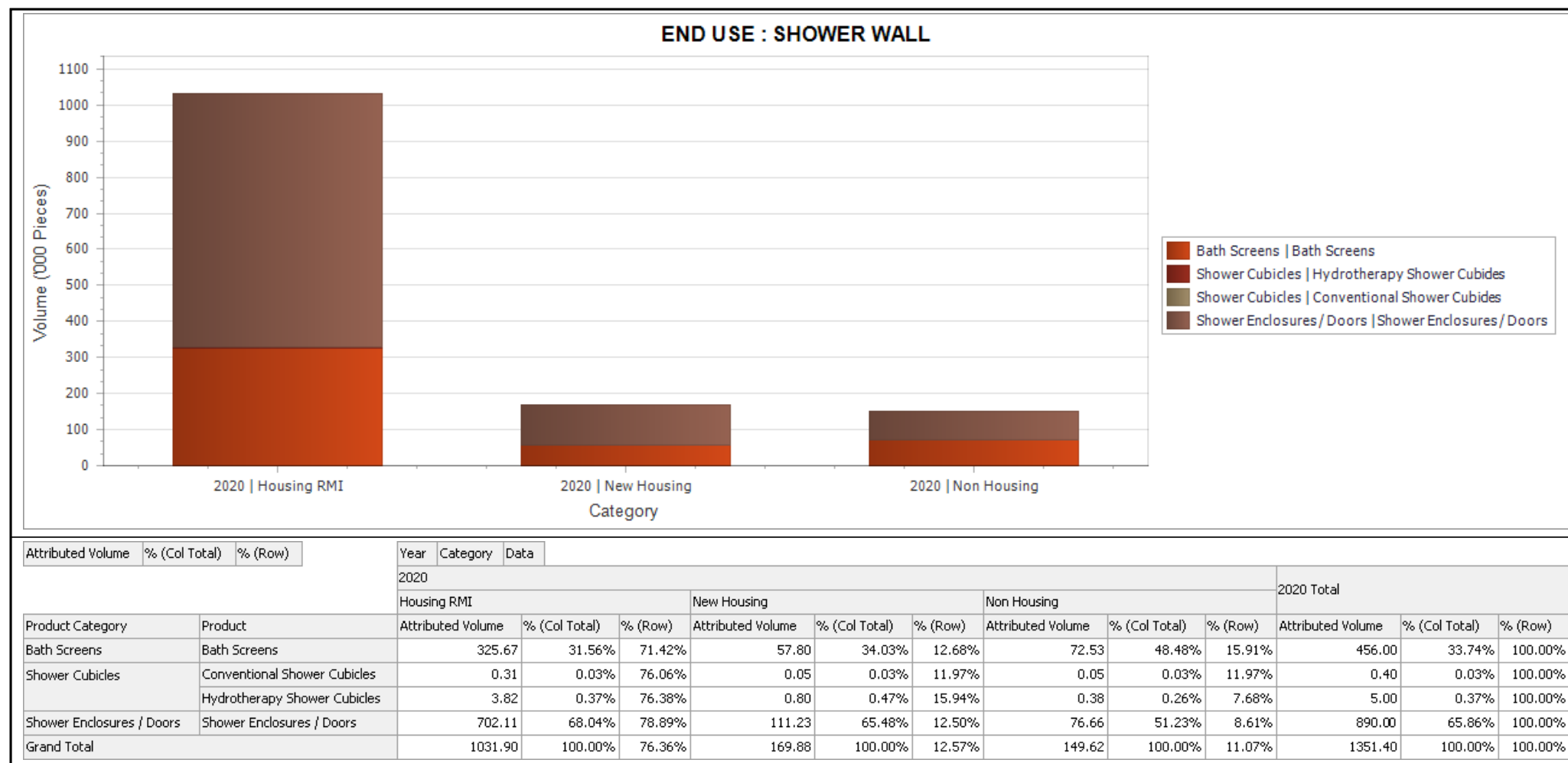


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€200, Upper/ Luxury >€200

4.4.1 End Use : Base Year

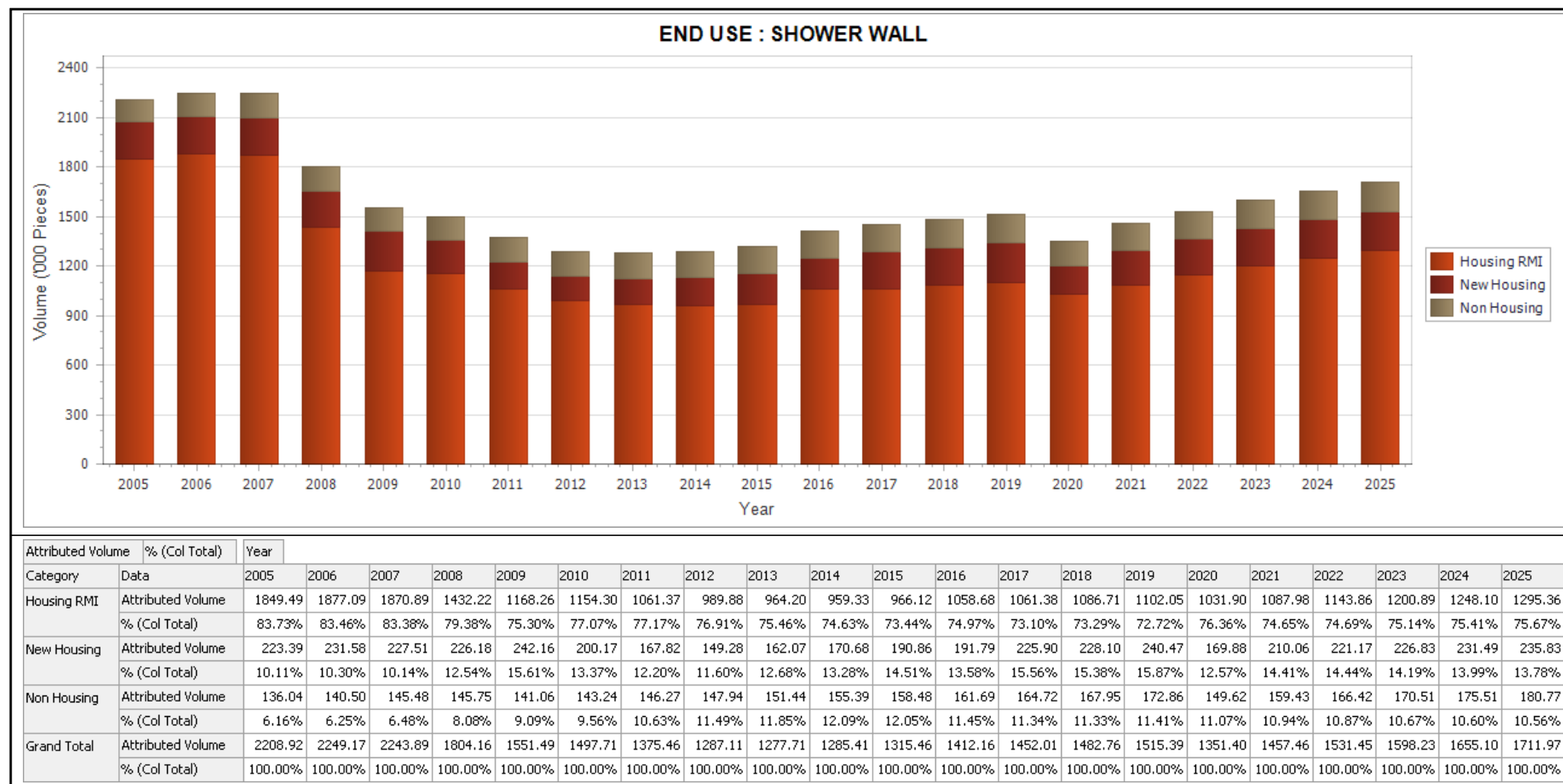
UK - SALES OF SHOWER WALL BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.2 End Use : Historical and Forecasts

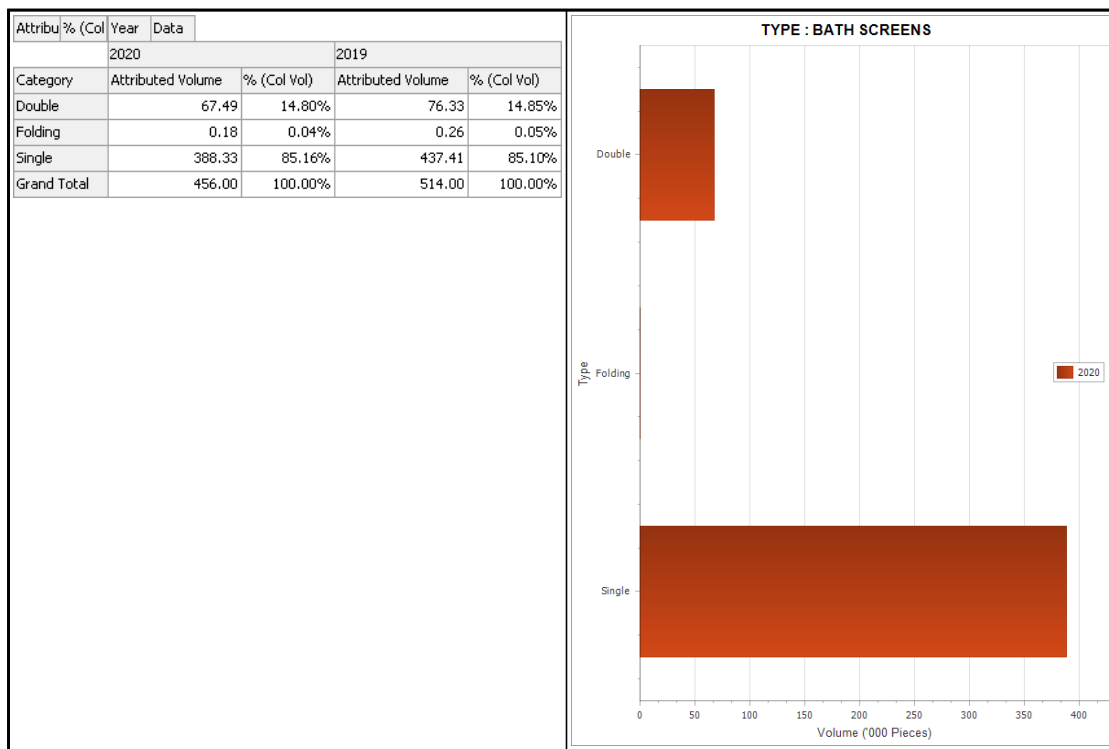
UK - SALES OF SHOWER WALL PRODUCTS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.3 Sales by Type : Bath Screens

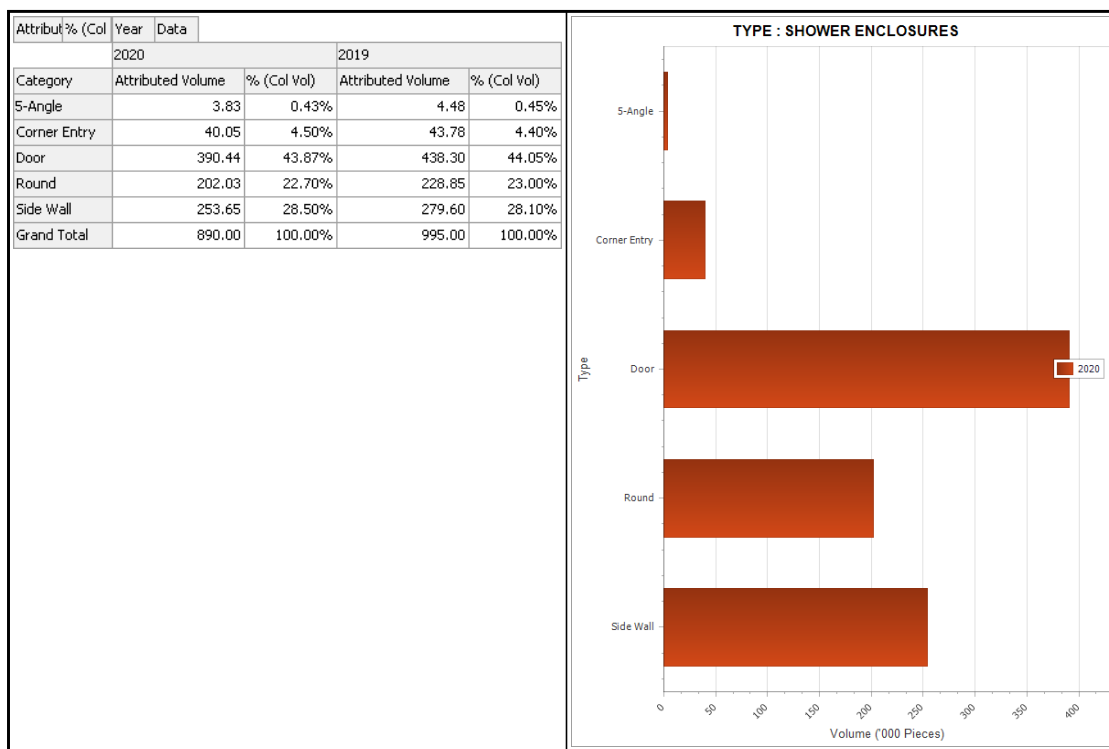
UK - BATH SCREEN SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.4 Sales by Type : Shower Enclosures

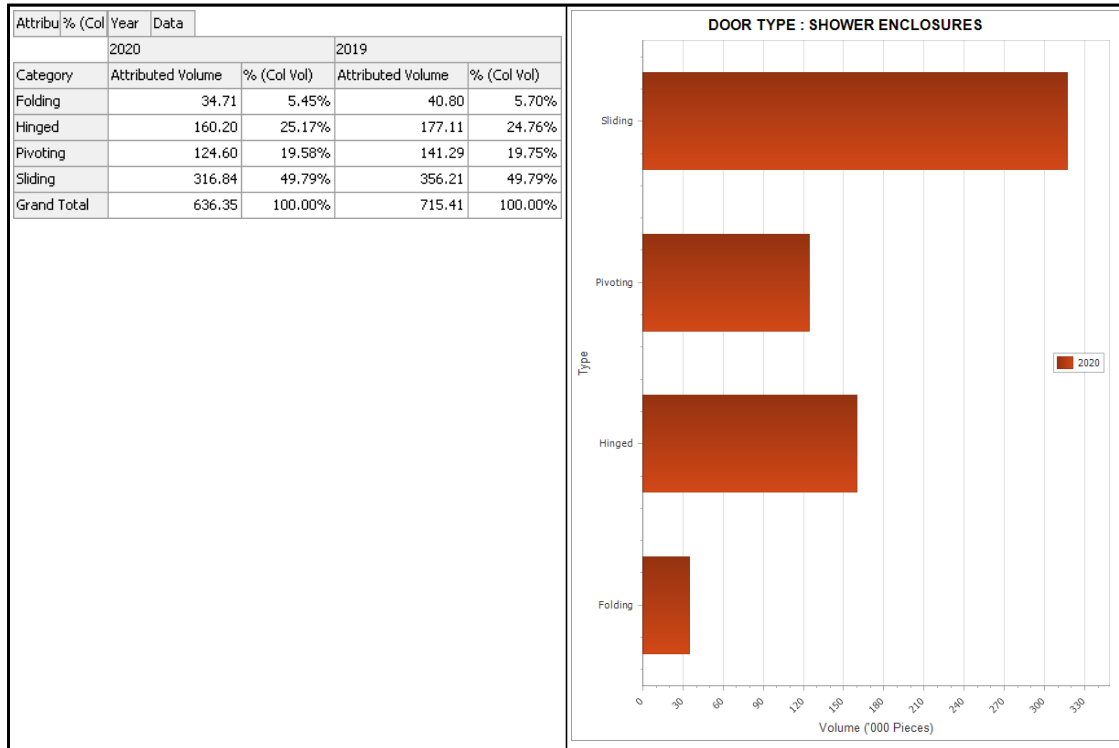
UK - SHOWER ENCLOSURE SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews

4.4.5 Sales by Type of Door : Shower Enclosures

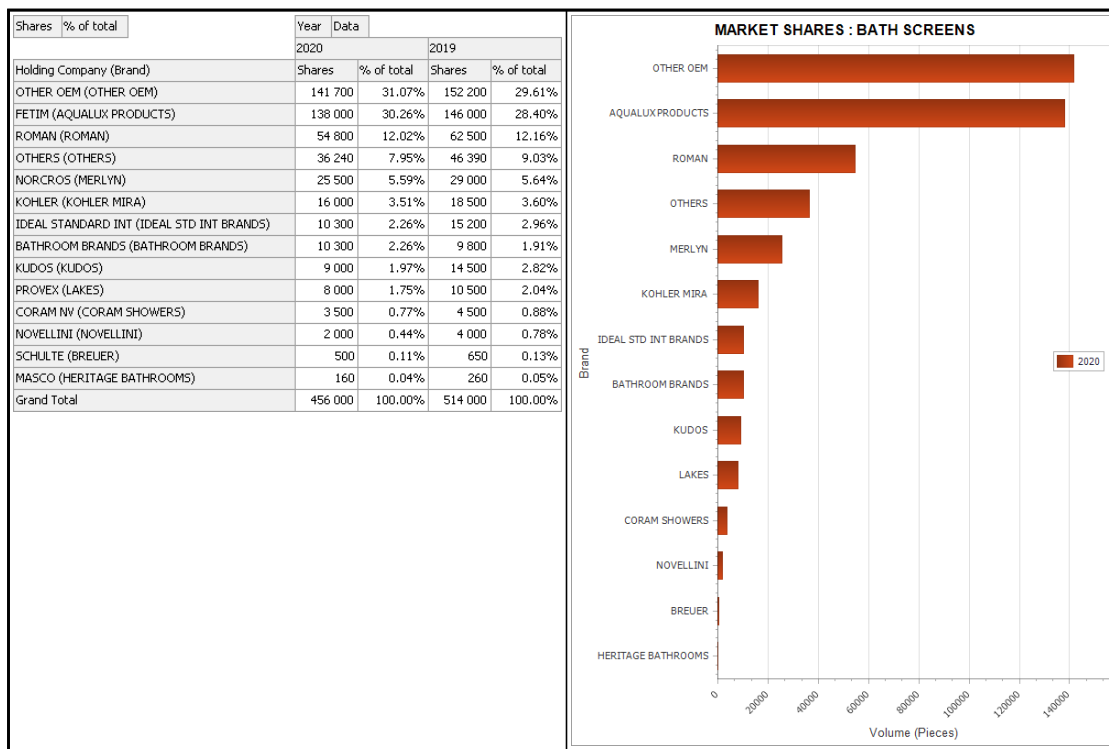
UK - SHOWER ENCLOSURE SALES BY DOOR TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.5.1 Market Shares : Bath Screens

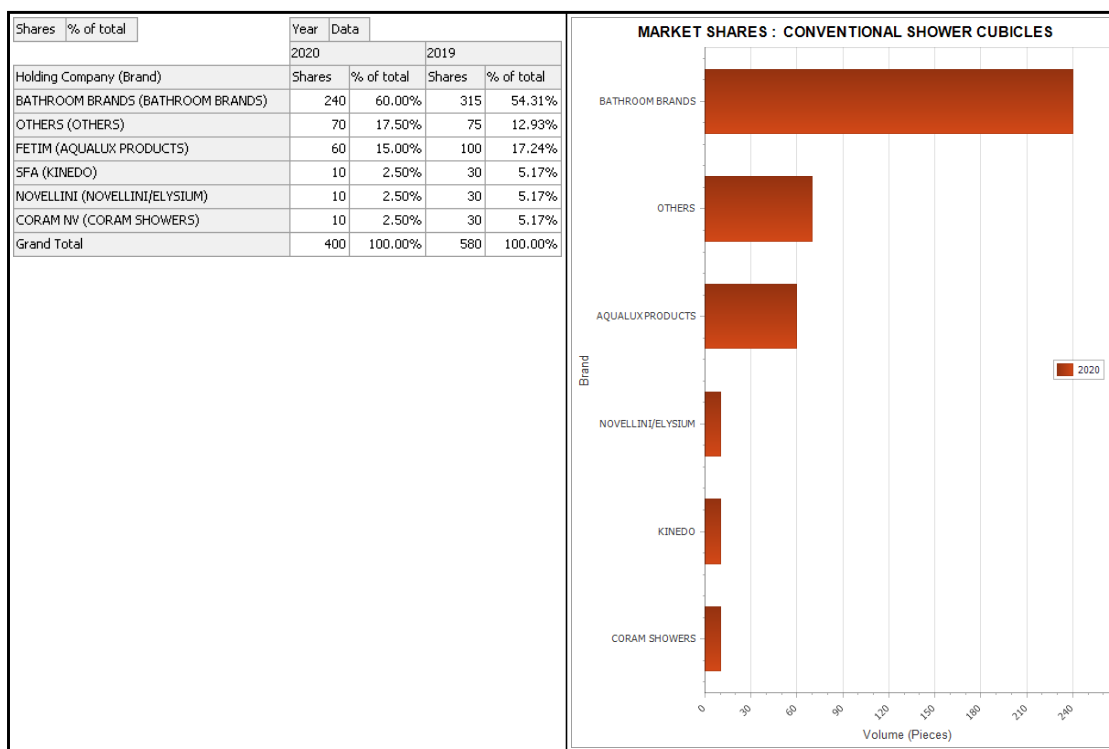
UK - ESTIMATED MARKET SHARES FOR BATH SCREENS



Source: BRG based on industry interviews.

4.5.2 Market Shares : Conventional Shower Cubicles

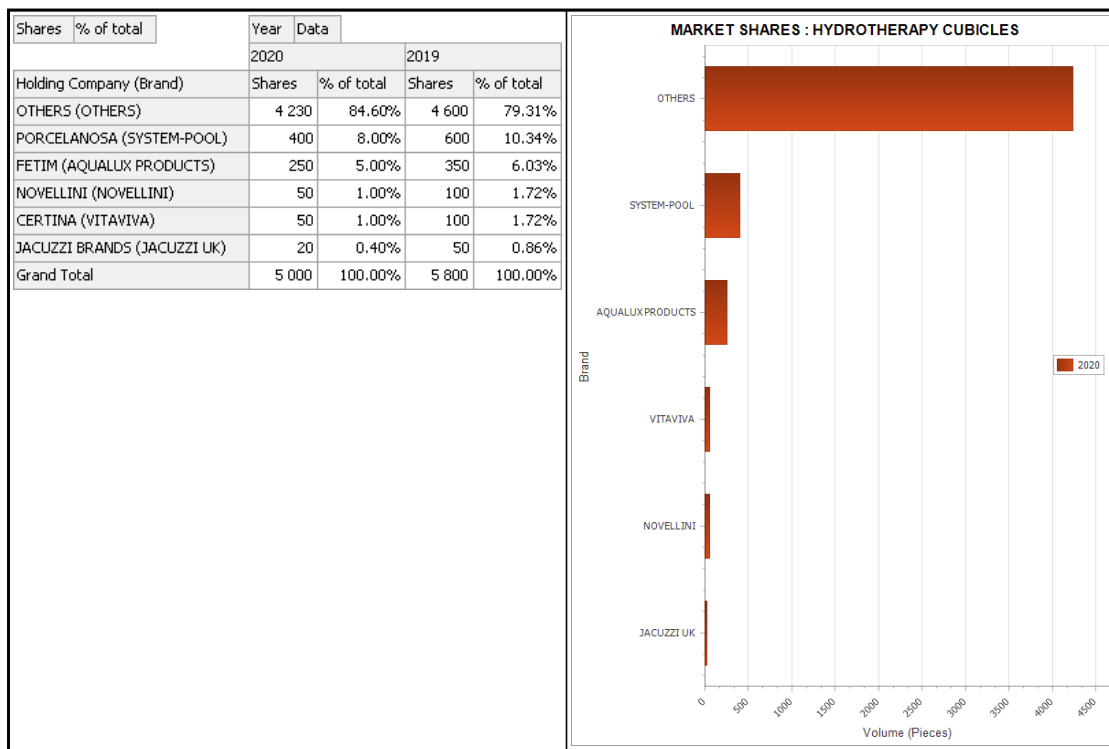
UK - ESTIMATED MARKET SHARES FOR CONVENTIONAL SHOWER CUBICLES



Source: BRG based on industry interviews.

4.5.3 Market Shares : Hydrotherapy Shower Cubicles

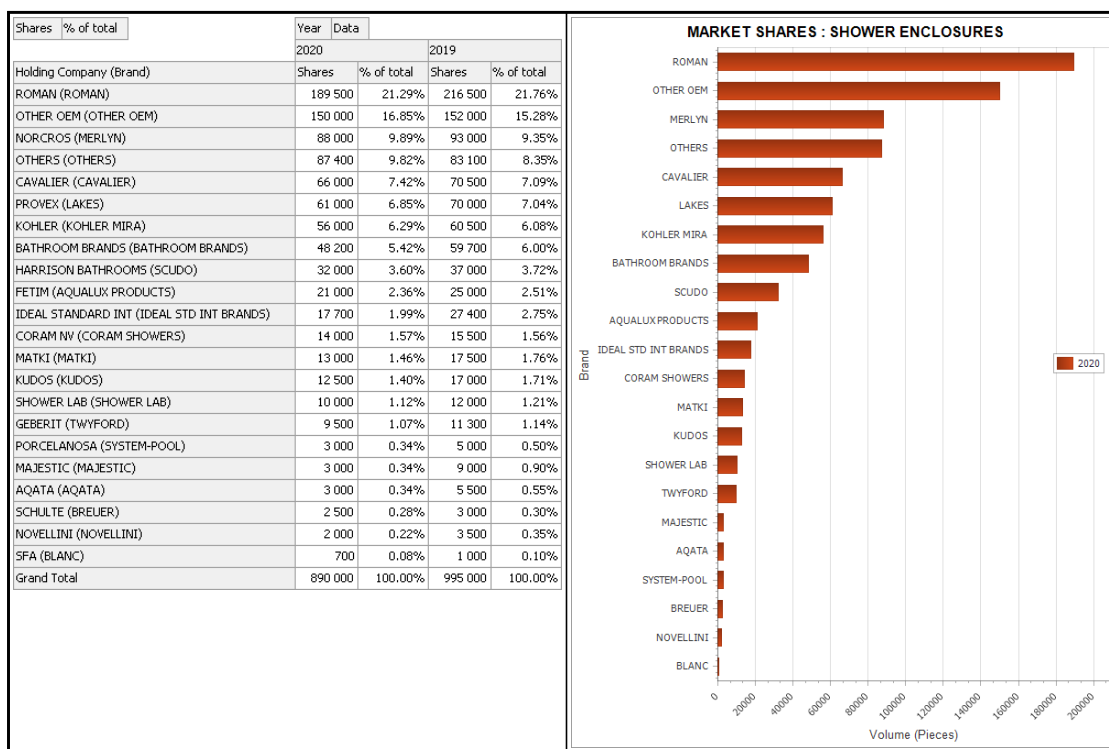
UK - ESTIMATED MARKET SHARES FOR HYDROTHERAPY CUBICLES



Source: BRG based on industry interviews.

4.5.4 Market Shares : Shower Enclosures

UK - ESTIMATED MARKET SHARES FOR SHOWER ENCLOSURES



Source: BRG based on industry interviews.

4.6.1 Route to Market: Shower Wall
UK - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2020

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	78.8%
	Wholesalers / Merchants
	78.8%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	4.7%	5.4%	11.6%	8.0%	4.9%	18.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	10.1%		19.6%		22.9%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	35.5%	1.2%	3.9%	5.6%
Installers				
46.2%				

End Use Level	Manufacturer		Wholesaler		Internet		DIY		Specialist		Installer	
	0.0%		11.6%		8.8%		15.5%		17.2%		35.7%	
	Residential											
	88.9%											
	New Build				Residential RMI							
	12.6%				76.4%							
	Project		Non-Project		Project		Non-Project		Project		Non-Project	
	9.4%		3.1%		5.3%		71.0%		2.2%		1.2%	

Manufacturer		Wholesaler		Internet		DIY		Specialist		Installer		
0.0%		0.3%		0.1%		0.1%		0.1%		10.5%		
Non-Residential												
11.1%												
	New Build				Non-Residential RMI							
	7.8%				3.3%							
	Project		Non-Project		Project		Non-Project		Project		Non-Project	
	5.9%		1.9%		2.2%		1.2%		2.2%		1.2%	

4.6.2 Route to Market: Shower Wall
UK - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2025

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	78.0%
	Wholesalers / Merchants
	78.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	5.8%	5.9%	11.5%	7.8%	4.7%	17.5%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	11.7%		19.3%		22.2%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	35.2%	1.3%	3.9%	5.6%
Installers				
45.9%				

End Use Level	Manufacturer		Wholesaler		Internet		DIY		Specialist		Installer	
	0.0%		11.4%		10.3%		15.4%		16.7%		35.7%	
	Residential											
	89.4%											
	Manufacturer		Wholesaler		Internet		DIY		Specialist		Installer	
	0.0%		0.2%		0.1%		0.0%		0.0%		10.3%	
	Non-Residential											
	10.6%											
	New Build						Residential RMI					
	13.8%						75.7%					
	Project			Non-Project			Project			Non-Project		
	10.3%			3.4%			5.3%			70.4%		

New Build						Non-Residential RMI					
7.4%						3.2%					
Project			Non-Project			Project			Non-Project		
5.6%			1.8%			2.1%			1.1%		

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

4.6.3 Route to Market - Consolidated View : Shower Wall

UK - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2020

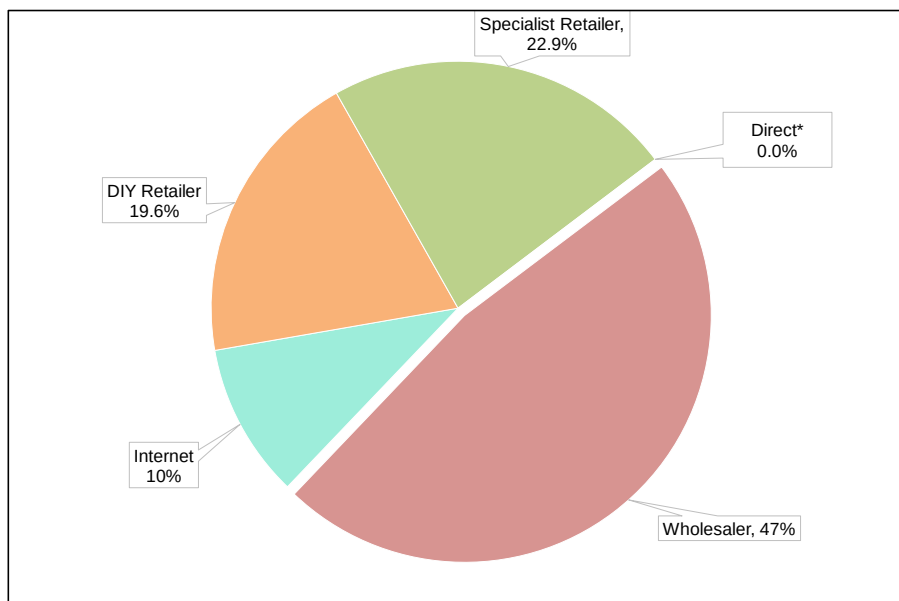
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
47.4%	10.1%	19.6%	22.9%	0.0%	14.8%	8.0%	74.2%	3.0%
100%					22.8%		77.2%	

4.6.4 Route to Market - Consolidated View : Shower Wall

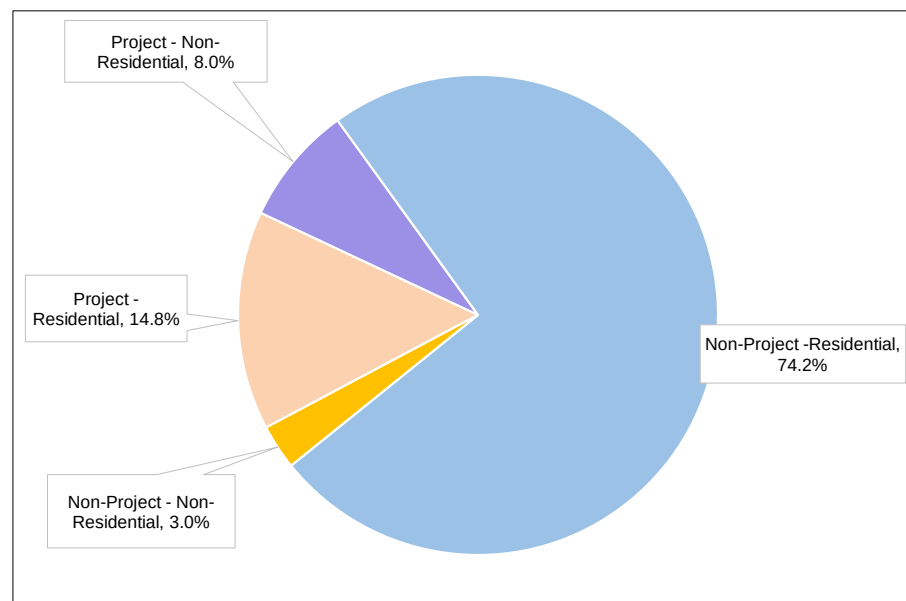
UK - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
46.8%	11.6%	19.3%	22.2%	0.1%	15.6%	7.7%	73.8%	2.9%
100%					23.3%		76.7%	

UK - SALES OF SHOWER WALL BY DISTRIBUTION CHANNEL: 2020



UK - SALES OF SHOWER WALL BY POINT OF DECISION AND END-USE SECTOR: 2020



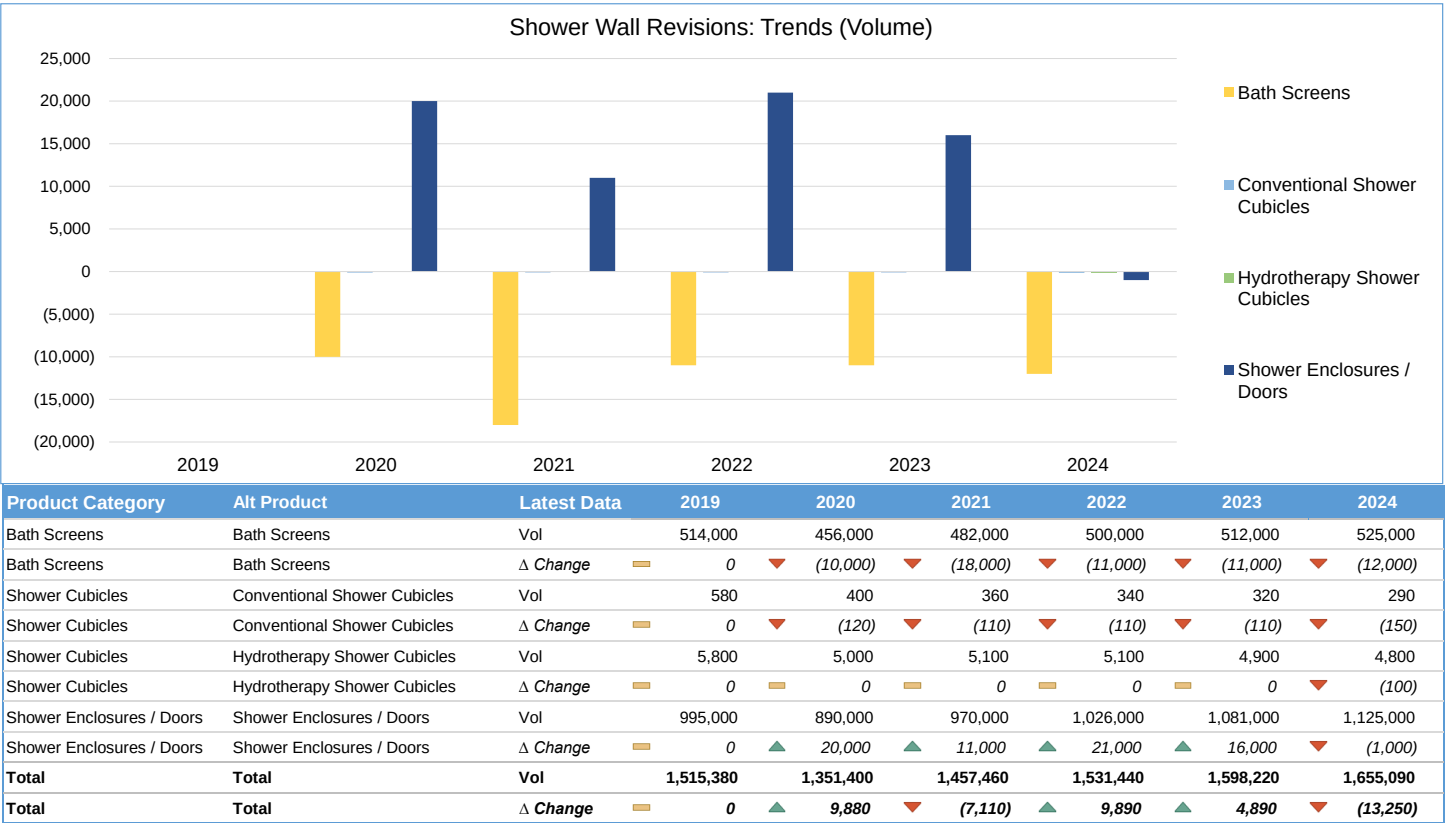
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

4.7 Revisions in the UK Shower Wall Market (April 2021)

UK - REVISIONS IN THE UK SHOWER WALL MARKET

Data Comparison: October 2020



No revisions have been made to historical volumes and values for this market.

UNITED KINGDOM

BATHROOM FURNITURE

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The UK bathroom furniture market, previously a niche segment of the overall bathroom products market, has evolved significantly over the past two decades to become one of the strongest performing product segments. Uptake of bathroom furniture began in the mid-1990s, as the national perception of the bathroom shifted from a functional space to an aesthetic feature of the home that could add value to a property.

Although growth and product developments in the bathroom furniture market have been primarily driven by design trends, increased distribution of bathroom catalogues and showroom distribution, bathroom furniture has also become increasingly popular as the average size of UK bathrooms began to shrink early last decade. Bathroom furniture manufacturers have thus increasingly focused on developing furniture that makes the best use of limited space. Contemporary wall hung bathroom furniture and modular units have grown in popularity and are currently complemented by advances in stud wall technology in modern housing. Vanity units with a washbasin and attached WC have become increasingly popular over the past two years. Base units/vanities have become increasingly popular in more recent times with a large amount of manufacturers, non-bathroom furniture included, now offering some sort of furniture in their product range, compared to 15+ years ago, making it more readily available to the masses.

Many townhouses in urban centres have been converted into multiple flats, producing a large number of very small new bathrooms that have proved popular for these units. Mirror cabinets have also become more sophisticated incorporating sensor activated LED lighting and more modern looking designs. Various materials and sizes have also been utilised to create separate cupboard units that can fit into small tight spaces to provide extra bathroom storage.

Recent Market Trends

The overall UK bathroom furniture market contracted strongly in 2020, due to the onset of the COVID-19 outbreak from early in the year, with sales virtually ceasing for the majority of Q2. Sales to all end-use segments were markedly down due to the first national lockdown and several manufacturers having issues getting stock into the market, with the main issue becoming supply and stocking. Bathroom furniture trends remained quite consistent in 2020 with metallic and black frames continuing their popular trend and demand was up from consumers who took to do second bathroom refurbishments or upgrades. Concrete coloured furniture saw an uptake also, as the industrial look compliments the black framed products.

For aesthetic purposes, base units/vanities paired with concealed cisterns (also called 'WC units' or 'tombstones') and wall hung or back-to-wall WCs remained quite popular in 2020; although these installations were originally favoured as the base unit could be fitted with a countertop washbasin to save on space, consumers

are now opting for this type of installation as it provides a cleaner, more 'minimalist' look. Base units/vanities hold the biggest market share and have become more affordable in recent years, with more consumers opting for the most popular countertop basins and with an MDF casing material, which continues to remain the most popular due to its low cost. There was a small number of consumers opting for a twin basin whilst sacrificing having a tall storage unit and this was particularly in the middle to upper/luxury market, to create a family friendly environment in the much bigger bathrooms. This trend should see more of an uptake in 2021 as the economy stabilises and showrooms open back up. Overall sales of separate cabinets waned, with wall hung types further increasing their share in 2020 and demand for lighted mirrors remained stagnant, in line with the present popularity for wall hung cabinetry.

Mirror cabinets remain much favourable in smaller bathrooms compared to larger bathrooms as consumers tend to have large storage units in their base units. With showrooms remaining closed for the majority of 2020, this had quite a negative bearing on sales to the upper end of the market. Manufacturers took to creating videos of their products, starting campaigns and being more active online to help drive sales and recover the strong value lost, from lack of upper/luxury sales.

Prices and Market Values

The average MSPs for all products were quite stagnant in 2020 with a slight drop recorded for separate cabinets. The decrease for separate cabinets was present due to minimal price increases per price segment coupled with a strong increase of sales to the economy/lower segments, courtesy of the upsurge in internet sales. Despite a drop in imports of ceramic countertops, they continued to be available at low prices, with low productive costs. Manufacturers broadly were being sensible with pricing, particularly on new product ranges introduced to portfolios with more people becoming price sensitive.

New Housing

The new build sector which has been a key segment for growth, proved to be considerably down in 2020 for bathroom furniture. It is worth noting that not every apartment or family house will have a base unit, mirror or separate cabinet, as the equipment rate of bathroom furniture is not as high in new housing in comparison to the likes of shower trays, WCs, kitchen sinks etc. Despite it being a lot more difficult to source products, market value saw some pressures as house builders continued to opt for cheaper products and bulk purchases by contractors often necessitate significant discounts and, therefore, produce low margins. Vanity units and wall hung cabinets continue to be favoured in this sector as they offer optimal space-saving benefits

Housing RMI

RMI activity represents the bulk of sales in the UK bathroom furniture market, due to the mature nature of the housing stock. Despite consumers having more

disposable income, RMI development remained depressed in 2020 due a lack of supply into the marketplace; however, there were a number of homeowners that had done bathroom refurbishments and typically when furniture is bought consumers opt for the complete package. This bathroom upgrade/renovation trend prevented RMI from performing even worse and with the economy and supply issues expected to stabilise in 2021, the RMI segment should return to good growth and be a key driver in the development of the market over the forecast period.

Non-Housing

In terms of the bathroom furniture product mix, installations of base units/vanities are presently popular in the non-housing segment due to the strength of office and hotel construction and refurbishment, in particular in comparison to other segments of the non-housing market. Base units/vanities installed with concealed cisterns, wall hung WCs and countertop washbasins remain extremely popular in these applications and remain the bulk of demand despite a strong contraction in the overall development of bathroom furniture into this segment in 2020. Overall sales are expected to return to growth from 2021 as construction looks set to recover; however, there are slight concerns with offices being built and questions being raised as to whether there will much furnishing being placed with more of the UK population working from home. Nonetheless, growth is expected to remain over the forecast period, with bathroom furniture benefiting from a return in construction and renovation works, particularly in hotels.

Supply Structure

Many manufacturers have become equally strong in sales of both base unit sales and separate cabinet unit sales; however, the market is also made up of a significant number of small players and imports, which accounts for the relatively high amounts of 'Others' in the market shares.

COOKE & LEWIS and the UTOPIA GROUP hold the largest combined shares of these two sectors. In general, manufacturers would usually offer the two products in tandem as they complement one another and offer additional storage space. COOKE & LEWIS is sold exclusively through the leading DIY chain B&Q, which accounts for the vast majority of DIY bathroom furniture sales in the UK. With B&Q remaining open for the majority of 2020, it allowed them to maintain their position in the marketplace and saw an uptake in sales, as they profited from their advantage in the marketplace. UTOPIA has significant sales to independent merchants and specialist retailers and has a very strong network of factors/distributors in place throughout the country. There are also some manufacturers that only sell their products directly to the consumer online, an example of this is BURGBAD (ECZACIBASI), which holds strong shares in all three product categories, within the middle/luxury end of the market.

As can be seen from the market shares for mirrors and mirror cabinets, the major players differ from the base units and separate cupboards markets. CROYDEX is the UK's leading supplier of bathroom accessories and fittings. It supplies cheaper

ranges of mirrors and mirror cabinets to the DIY sector, but it also has a premium looking range, focusing on extra storage and furniture solutions. This market is changing, with a growing number of designs of mirrors and mirror cabinets, which are increasingly expensive. CROYDEX has a large distribution network to DIY stores (HOMEBASE and WICKES), high street retailers (including MARKS & SPENCERS and BHS), department stores (JOHN LEWIS, HOUSE OF FRASER and DEBENHAMS), merchants (WOLSELEY, TRAVIS PERKINS), the catalogue store ARGOS and supermarkets (TESCO, ASDA and SAINSBURYS). This enables CROYDEX to have the highest volume of sales in this sector. HIB (HOME IMPROVEMENT BUREAU) imports a range of products from various companies, which it then sells under their own brand names, as well as those of HIB.

Forecasts

The overall bathroom furniture market is expected to see good recovery in 2021 and reclaim a good chunk of the sales lost in 2020, with construction for both residential and non-residential returning to be a key driver for growth. Given a no deal Brexit was avoided and a free trade deal was struck between the UK and EU at the end of 2020, this should restore some confidence in consumers and prompt them to spend a bit more, with an expected recovery in the RMI segment. Another key and potentially more important factor in restoring confidence into the UK population is the vaccine rollout which has been prevalent as of December 2020, with more UK citizens getting the jab. On the other hand, with more people getting vaccinated and lockdown restrictions slowly being lifted, this could ultimately lead to more people wanting to travel rather than staying home or some homeowners could still be apprehensive about travelling and choose to delay travelling. Nonetheless, irrespective of what most of the UK population choose to do, the overall market is expected to return to growth, largely driven by a recovery in new build residential and non-residential construction.

So far, 2021 has seen a number of European players encounter some hurdles due to the new UK and EU trade deal, as more paperwork, longer checks and importing has caused a number of issues. However, these problems are not expected to be present in the market for the whole year and should dissipate as the year goes on. With showrooms looking set to reopen as the year goes on, value shall be reinstalled into the marketplace with an expected market recovery of bathroom furniture sales to the upper/luxury segments.

Mirrors and mirror/medicine cabinets and separate cabinets are anticipated to account for a greater proportion of sales, although base units/vanities will remain the bulk of the market. Separate cabinets are typically sold in larger bathrooms with tall units not generally considered in the middle market and, with the majority of homes in the UK getting smaller, growth is not expected to be as buoyant for these cabinets when compared to other furniture materials. Solid wood base unit materials are expected to see some uptake over the forecast period, albeit from a small base. This material type can have different textures added to it and is quite versatile, with the organic feel it brings expected to help drive it. Base units as a whole will see good levels of growth over the forecast period and will be boosted by

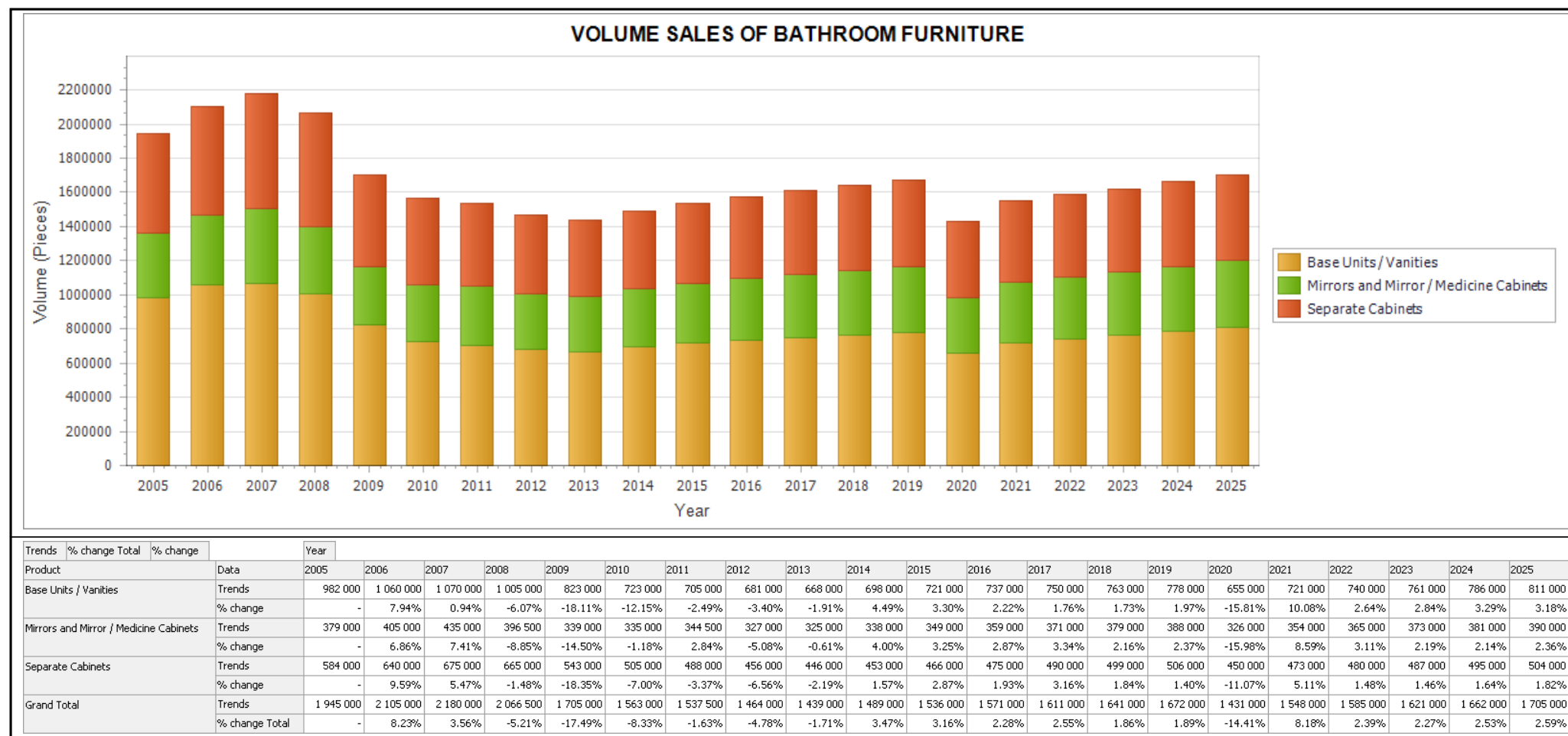
a recovering construction market as this product slowly becomes more required in development by developers and architects as it adds value to their development and getting more out of their client.

Given the maturity of the market, the housing RMI segment will be key in determining how well the overall market develops, with RMI activity expected to return to be the key driver for growth towards the latter stages of the forecast period. This is likely to be driven by the recovery in consumer discretionary spending and macroeconomic recovery taking shape, coupled with an expected slowdown in new housing construction in the medium term. The increase in internet distribution should continue to enable consumers to obtain higher quality products at lower prices, which will put pressure on traditional distribution channels such as independent merchants and DIY. This development of online sales, in hindsight, could impact the overall value of the market, taking away from luxury sales.

With the UK and EU agreeing on a free trade deal, exports appear to have been hit harder than imports in the first few months of 2021; however, as firms on both sides of the channel grow accustomed to new trading agreements, this disruption is expected to dissipate. In the long term, the UK and EU relationship will be mired by uncertainty and possible instability and, with a review clause in 2024, this certainly means the issue of EU trade will play a role in the election that year. The hot topic is whether the UK-EU deal will stand the test of time and, so long as the UK sticks to its commitments, the overall economy and UK bath and shower trays markets should recover well and be driven by recovering consumer consumption, real term earnings and other macroeconomic factors.

5.2 Historical Trends & Forecasts : Bathroom Furniture

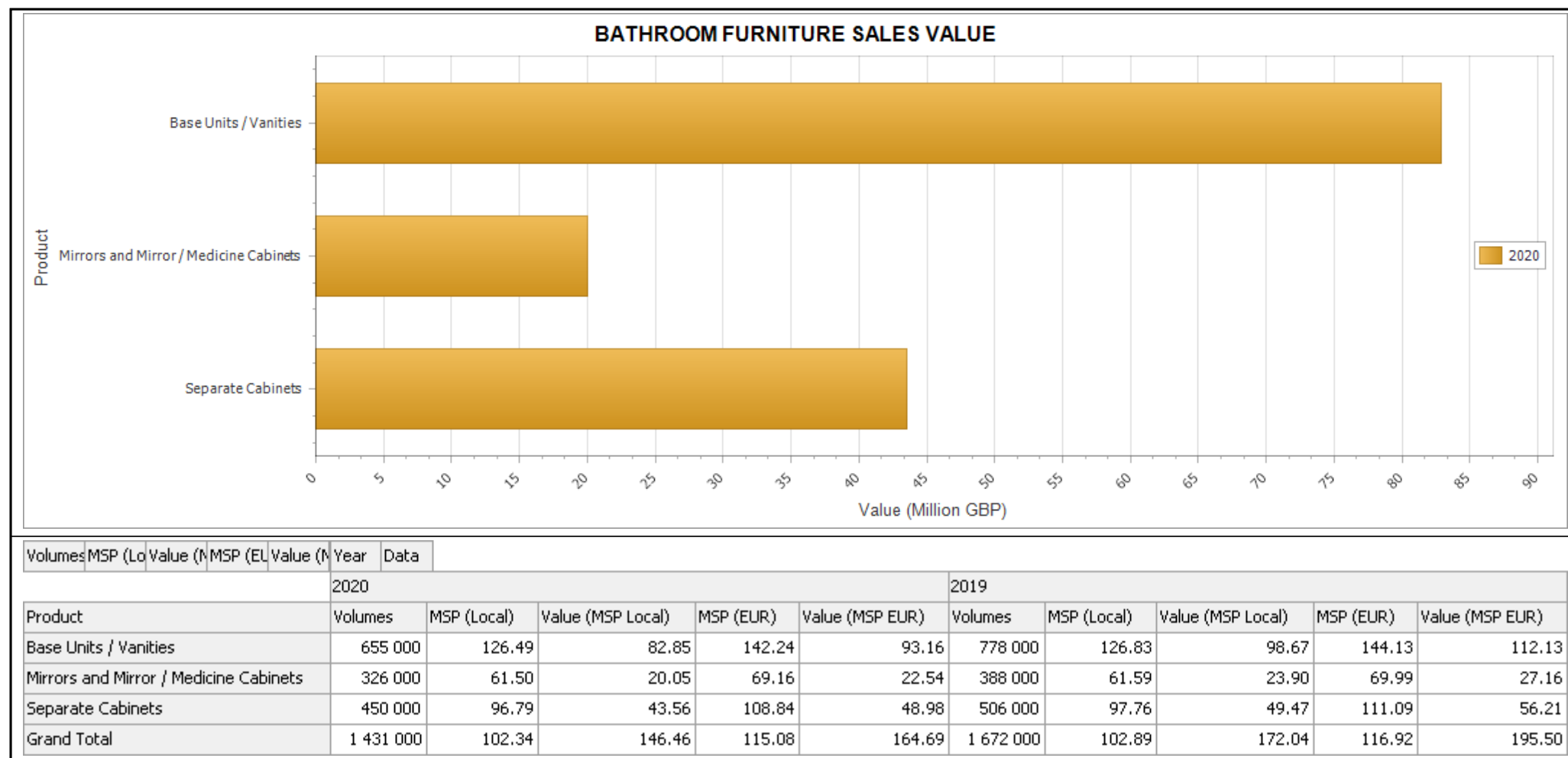
UK - SUMMARY OF TRENDS IN THE BATHROOM FURNITURE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

5.3.1 Prices and Market Values : Bathroom Furniture

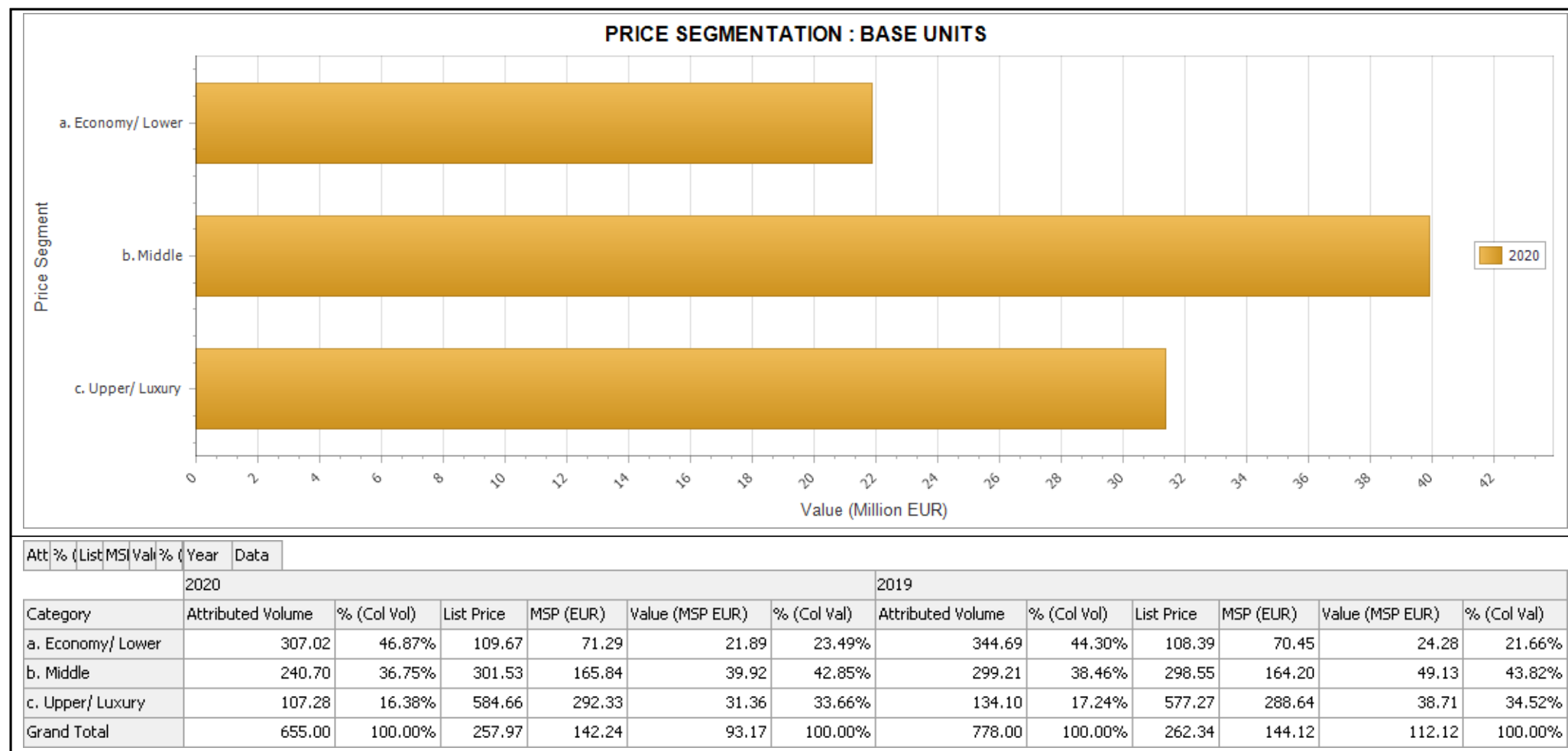
UK - ESTIMATED VALUES OF THE BATHROOM FURNITURE MARKET



Source: BRG based on industry interviews. Local Prices Shown in GBP. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

5.3.2 Price Segmentation : Base Units

UK - ESTIMATED PRICE SEGMENTATION FOR BASE UNITS

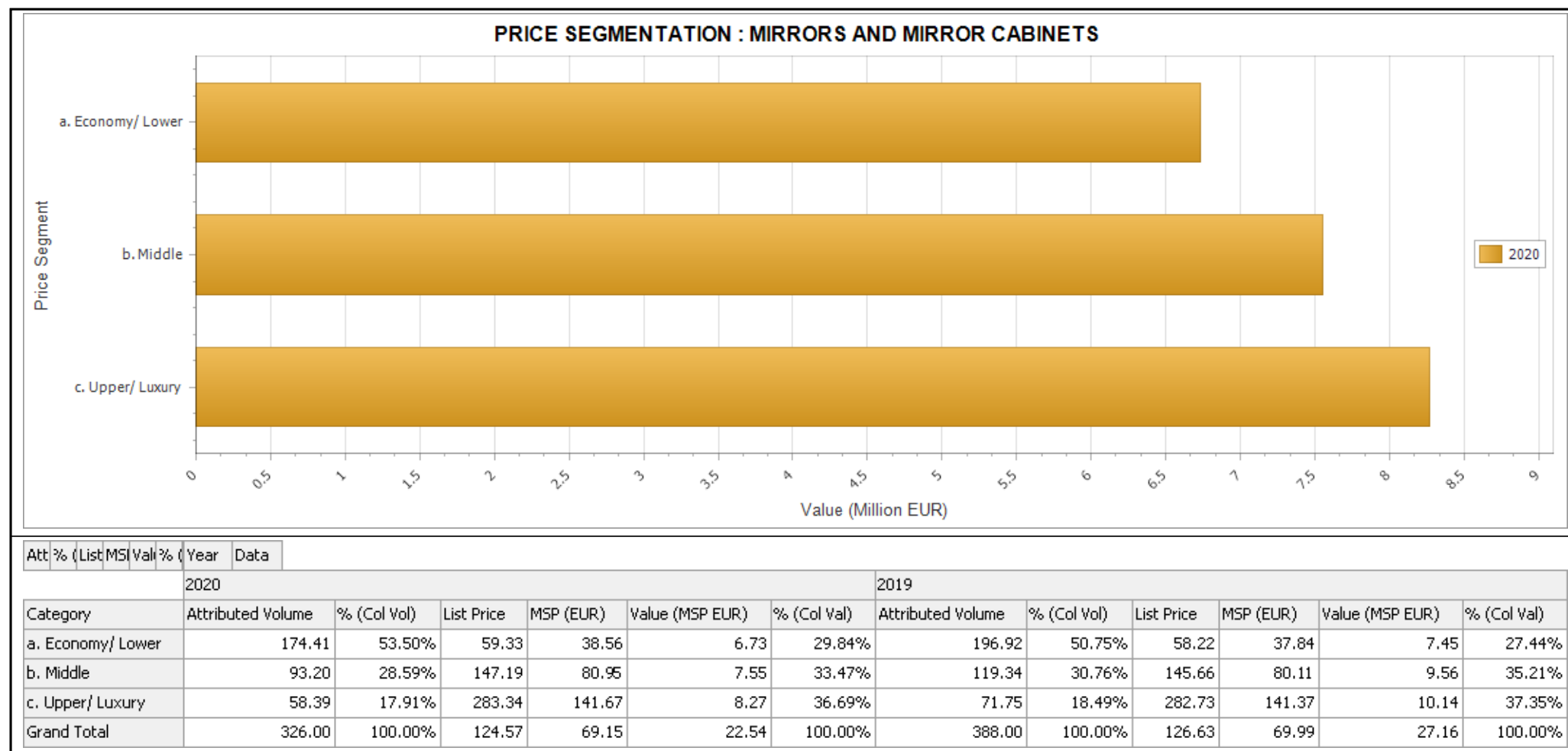


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€200, Upper/ Luxury >€200

5.3.3 Price Segmentation : Mirrors and Mirror Cabinets

UK - ESTIMATED PRICE SEGMENTATION FOR MIRRORS AND MIRROR CABINETS

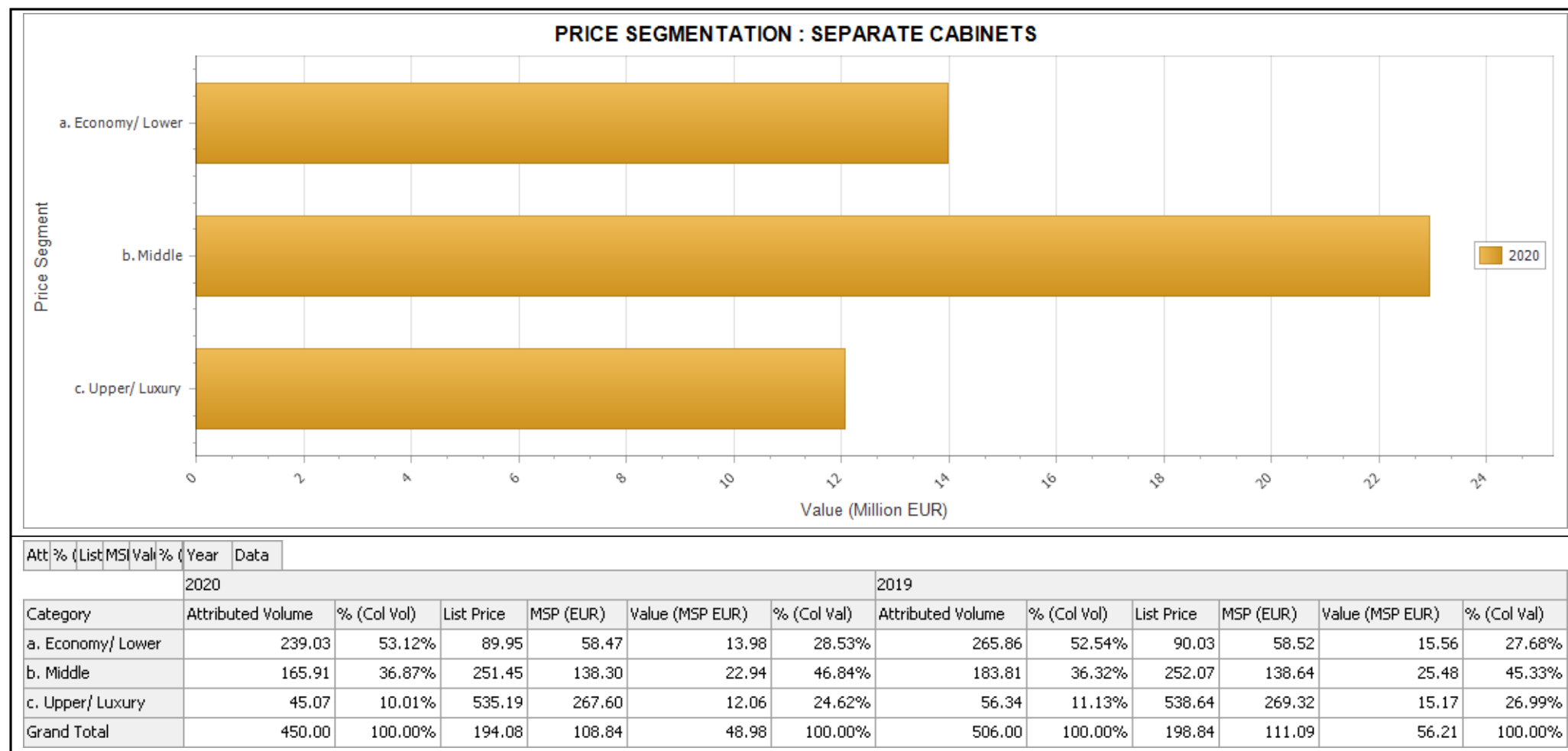


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€50, Middle €50-€100, Upper/ Luxury >€100

5.3.4 Price Segmentation : Separate Cabinets

UK - ESTIMATED PRICE SEGMENTATION FOR SEPARATE CABINETS

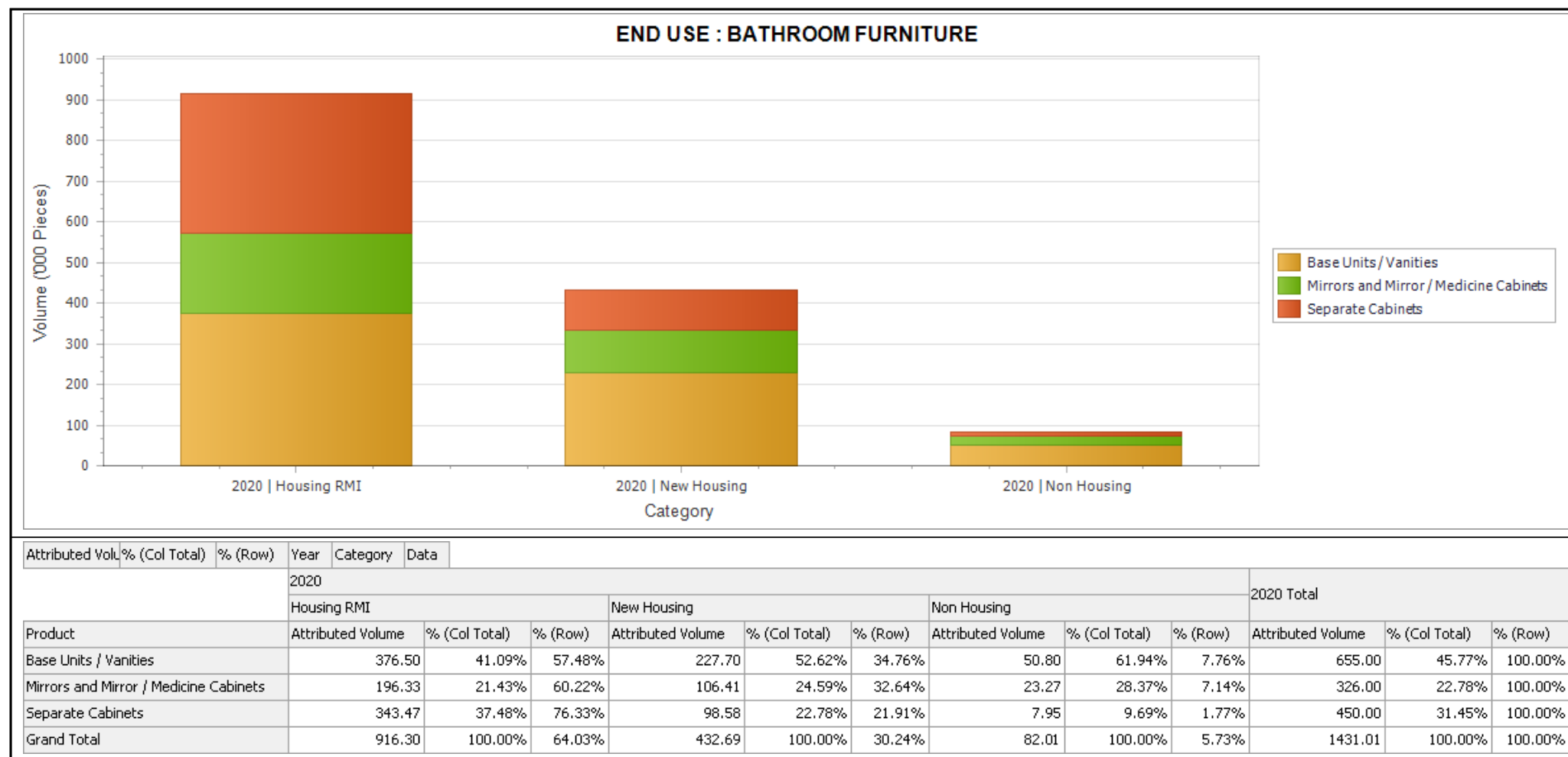


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€90, Middle €90-€180, Upper/ Luxury >€180

5.4.1 End Use : Base Year

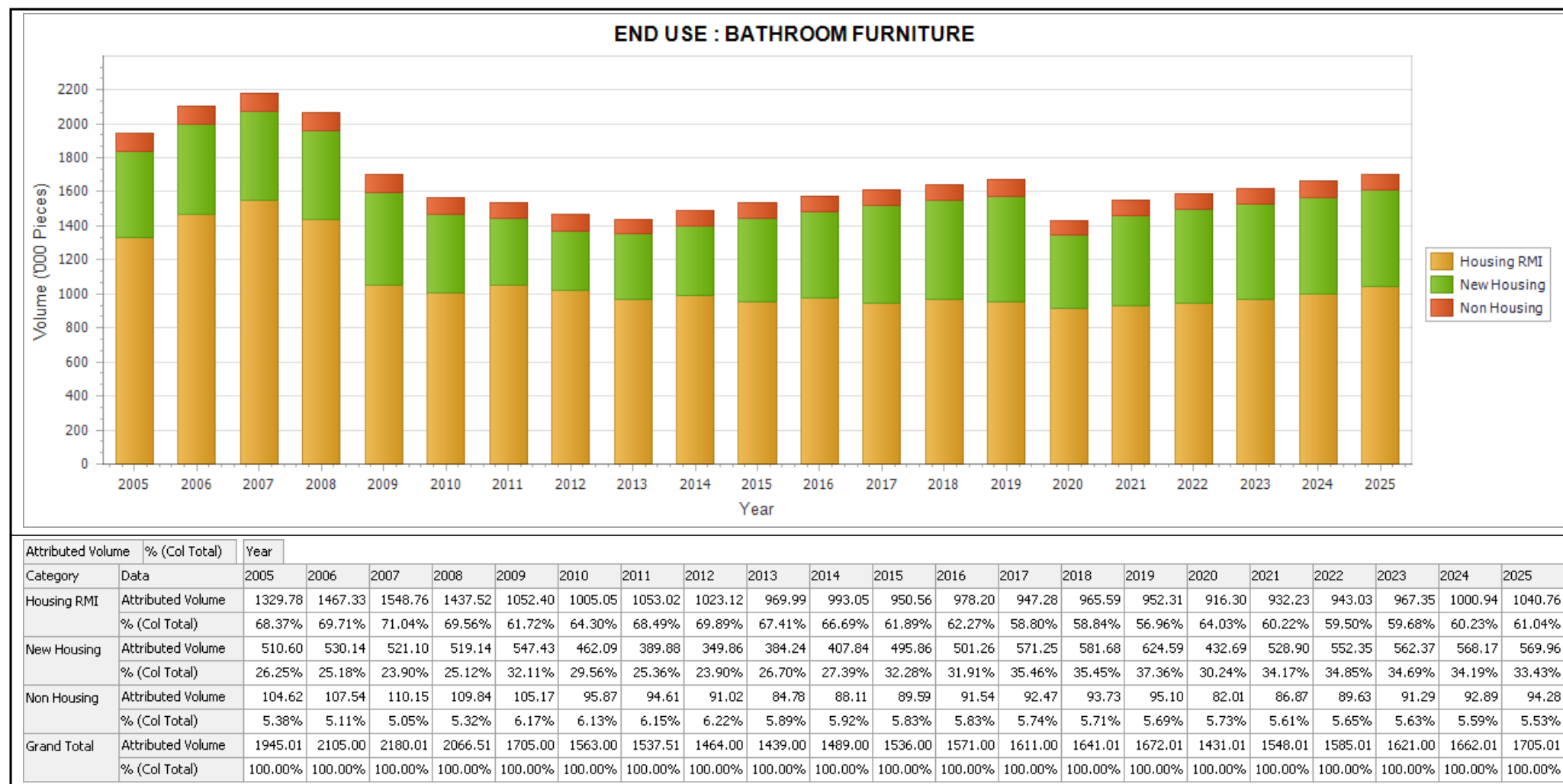
UK - SALES OF BATHROOM FURNITURE BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.2 End Use : Historical and Forecasts

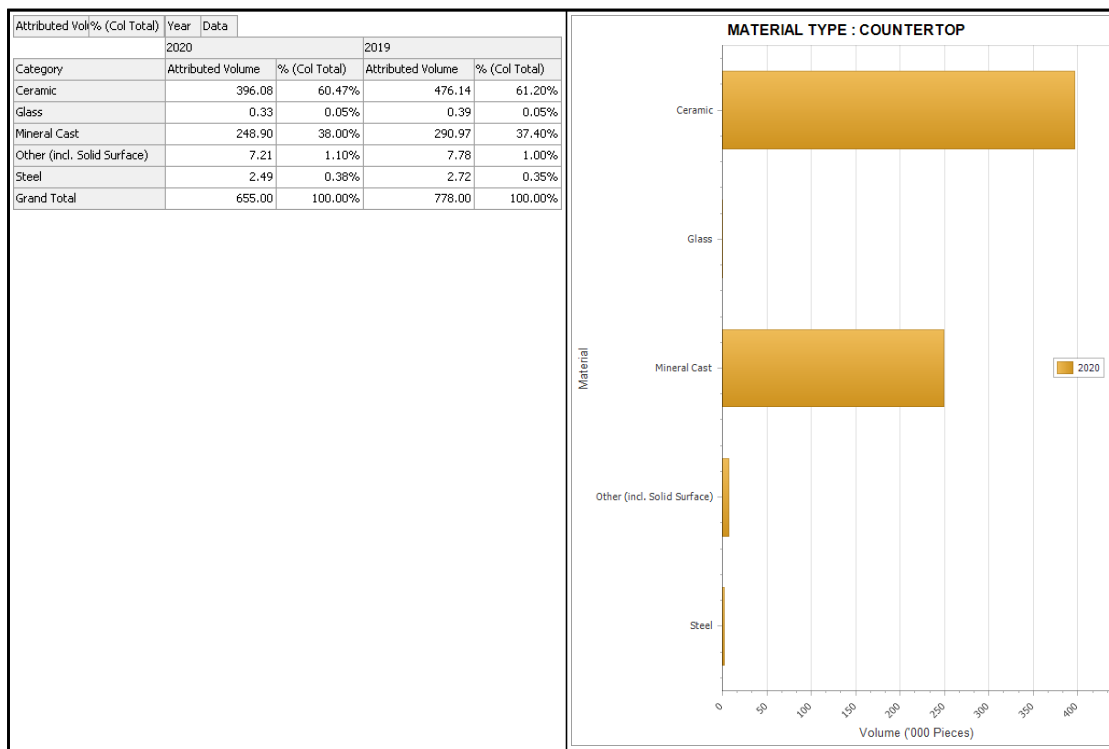
UK - SALES OF BATHROOM FURNITURE BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.3 Sales by Type of Washbasin Material : Base Units

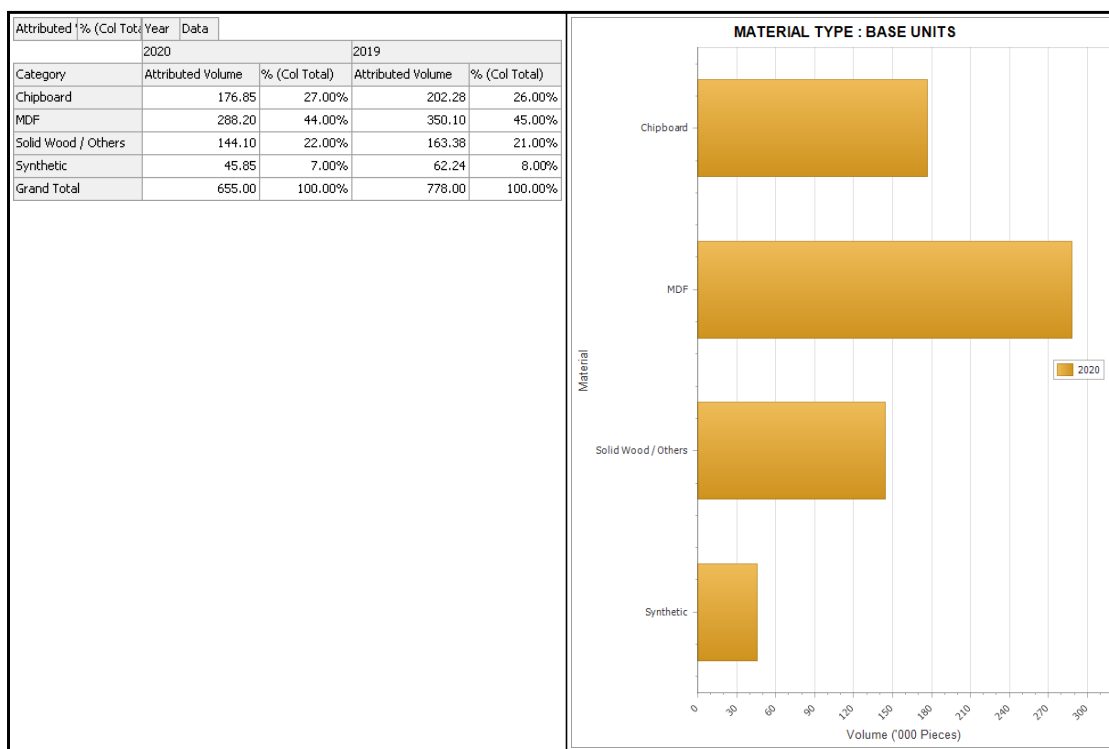
UK - BASE UNIT SALES BY WASHBASIN MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews

5.4.4 Sales by Type of Material : Base Units

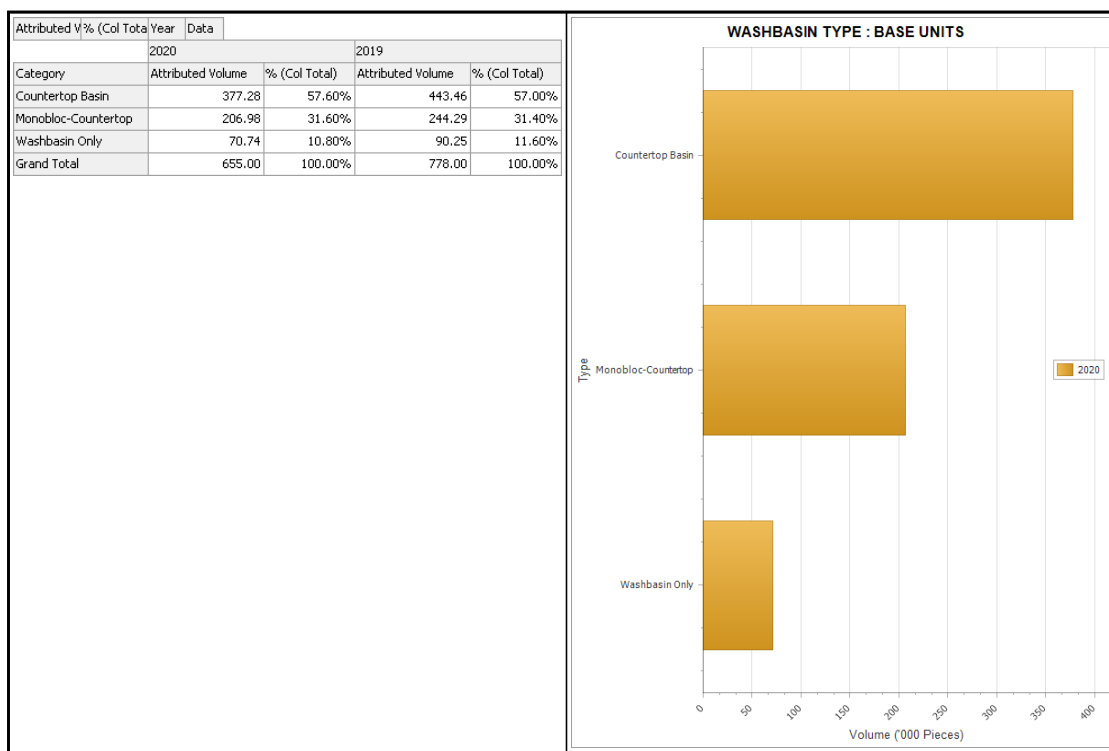
UK - BASE UNIT SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.5 Sales by Type of Washbasin : Base Units

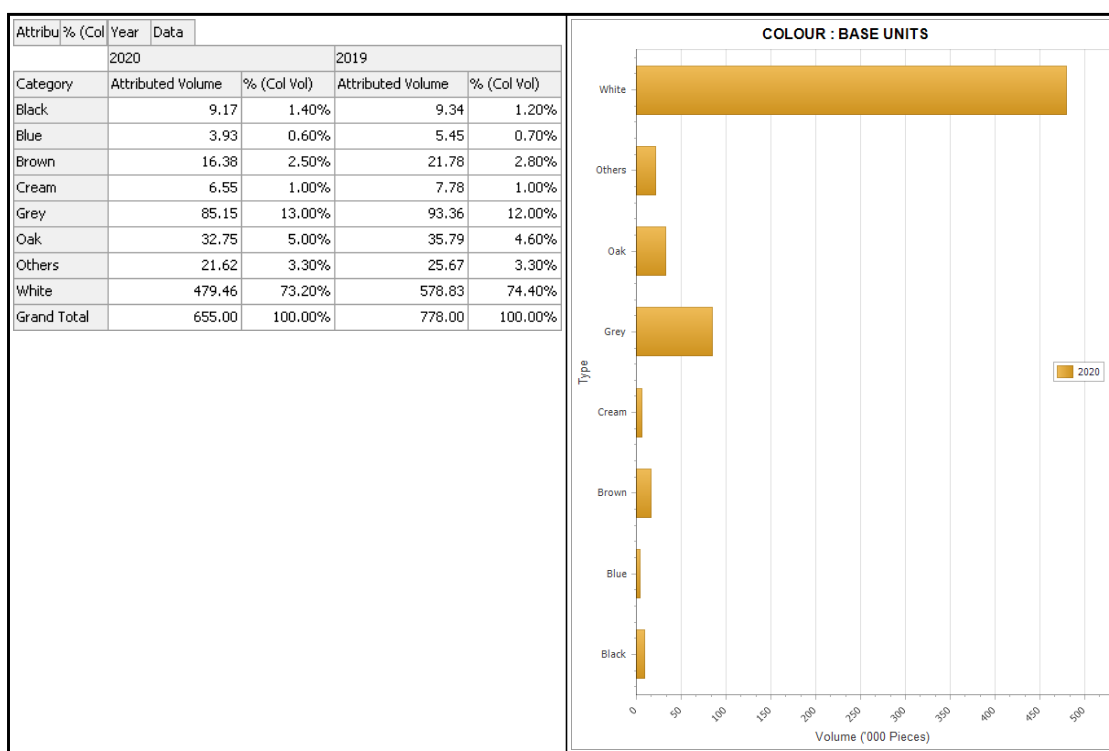
UK - BASE UNIT SALES BY WASHBASIN TYPE ('000 PIECES)



N.B. Washbasins only (non-countertop) are included in the above volumes for purposes of completeness.

5.4.6 Sales by Type of Colour : Base Units

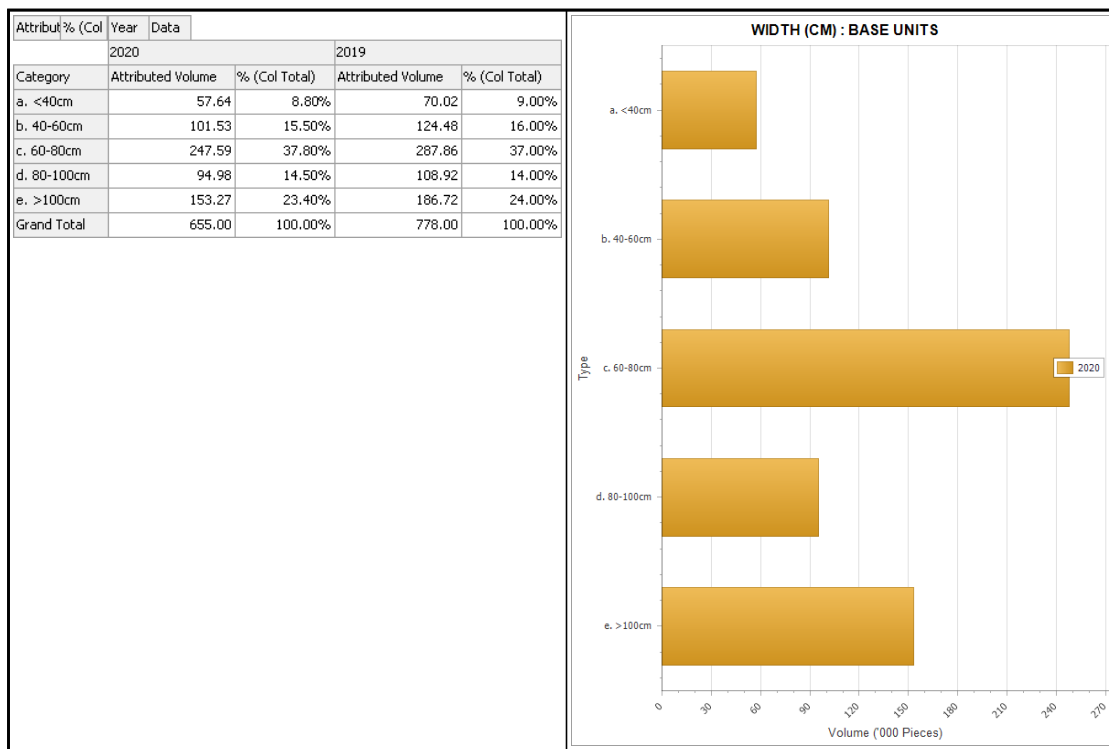
UK - BASE UNIT SALES BY COLOUR ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.7 Sales by Width : Base Units

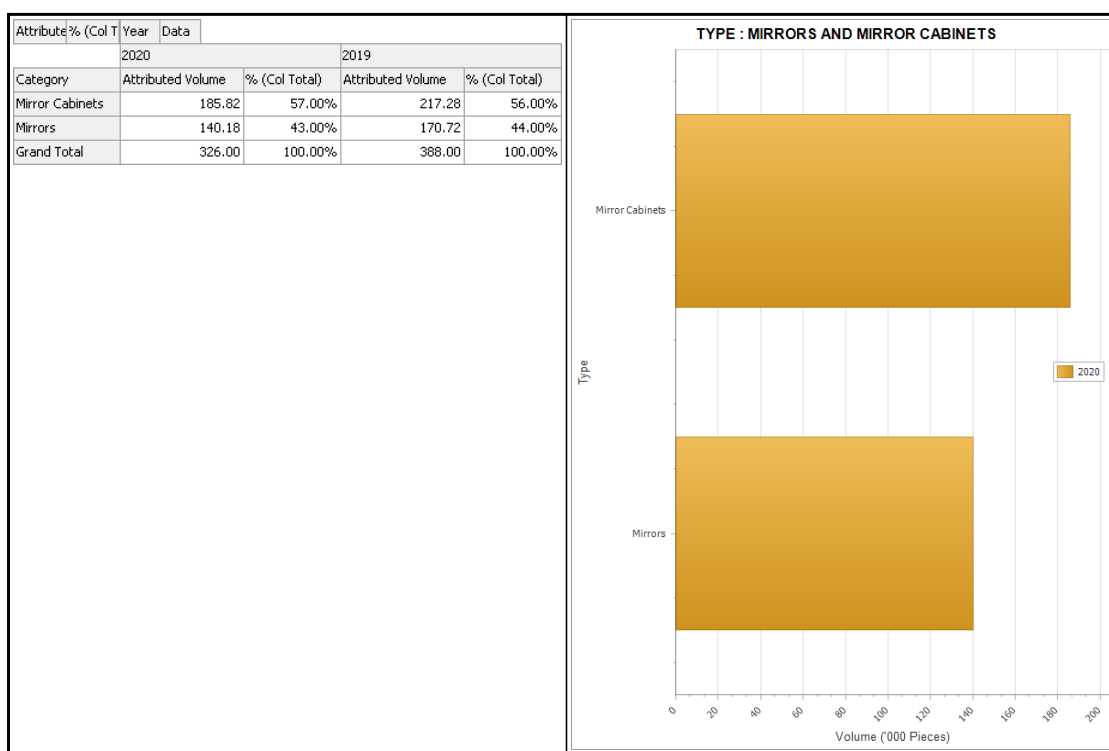
UK - BASE UNIT SALES BY WIDTH ('000 PIECES)



Source: BRG based on industry interviews

5.4.8 Sales by Type : Mirror and Mirror Cabinets

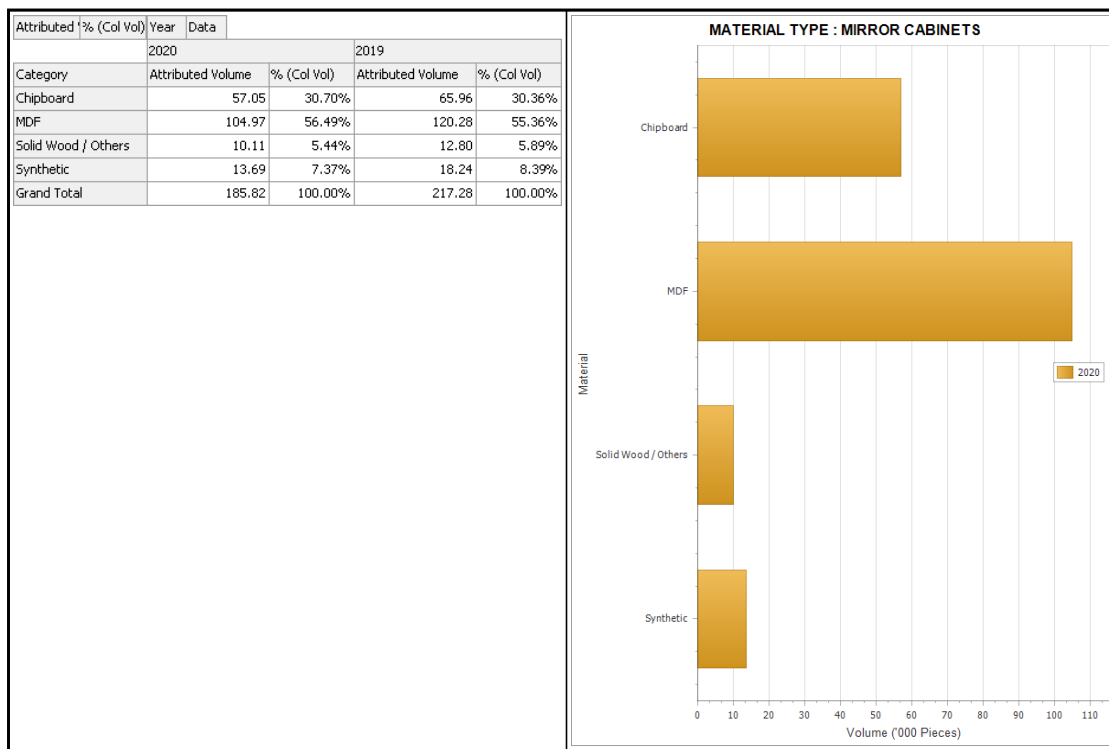
UK - MIRROR AND MIRROR CABINET SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.9 Sales by Type of Material : Mirror Cabinets

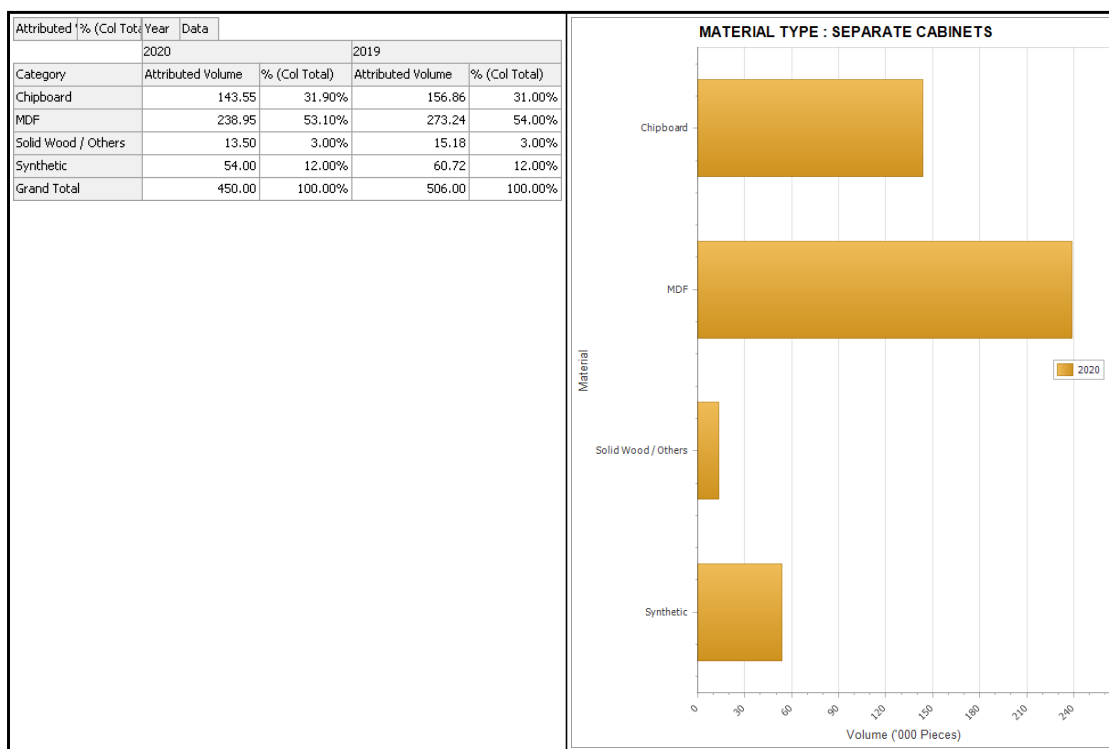
UK - MIRROR CABINET SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews

5.4.10 Sales by Type of Material : Separate Cabinets

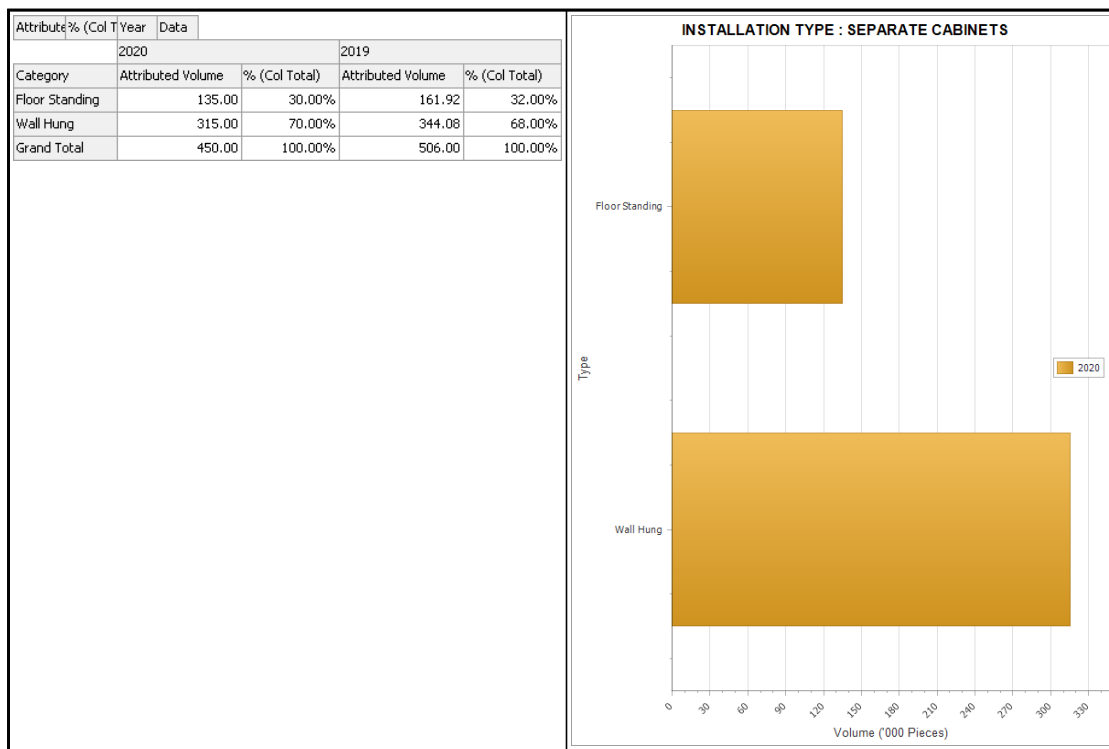
UK - SEPARATE CABINET SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.11 Sales by Type of Installation : Separate Cabinets

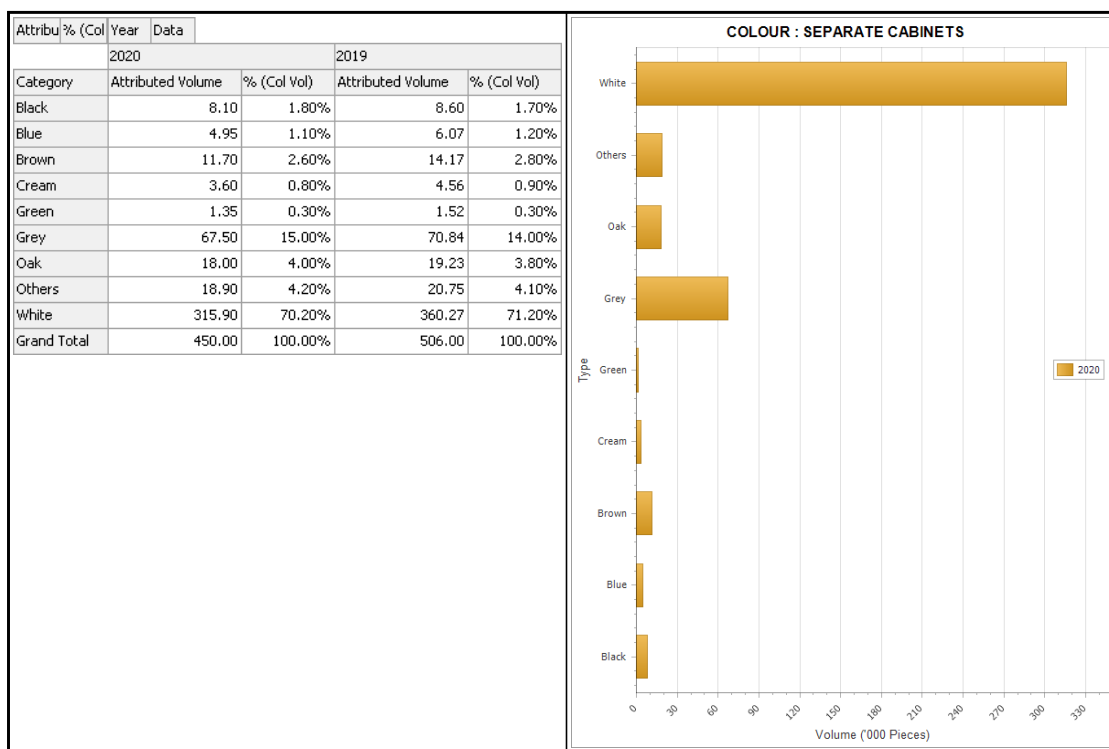
UK - SEPARATE CABINET SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews

5.4.12 Sales by Type of Colour : Separate Cabinets

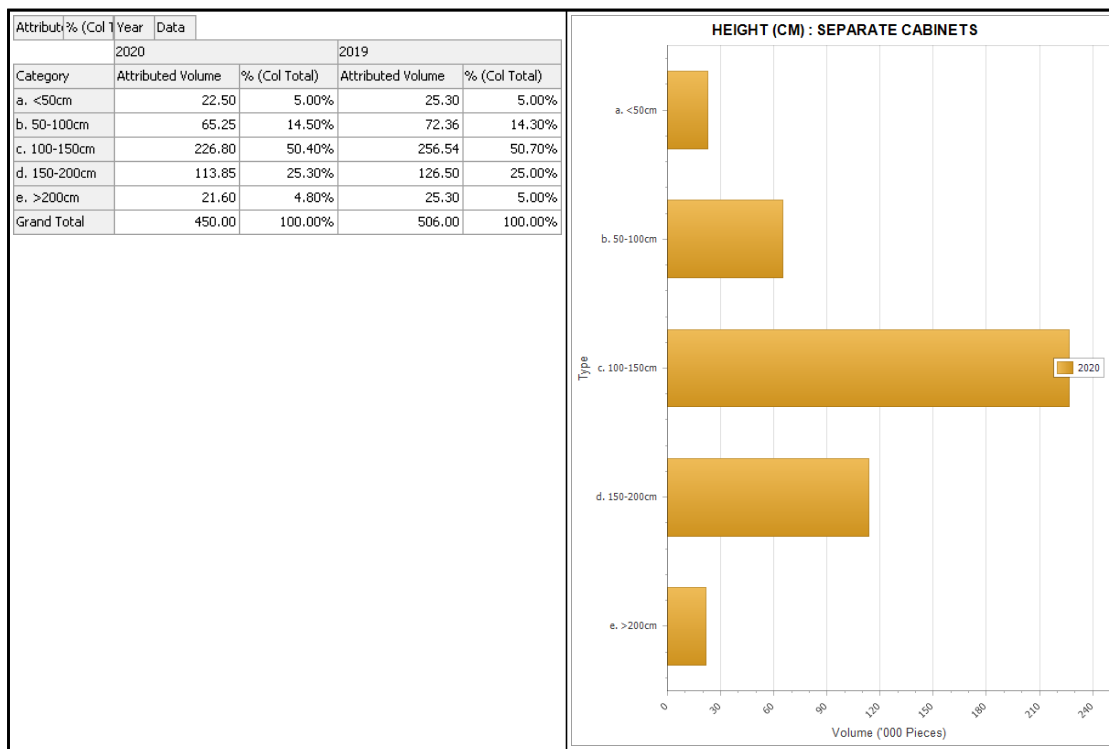
UK - SEPARATE CABINET SALES BY COLOUR ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.13 Sales by Height : Separate Cabinets

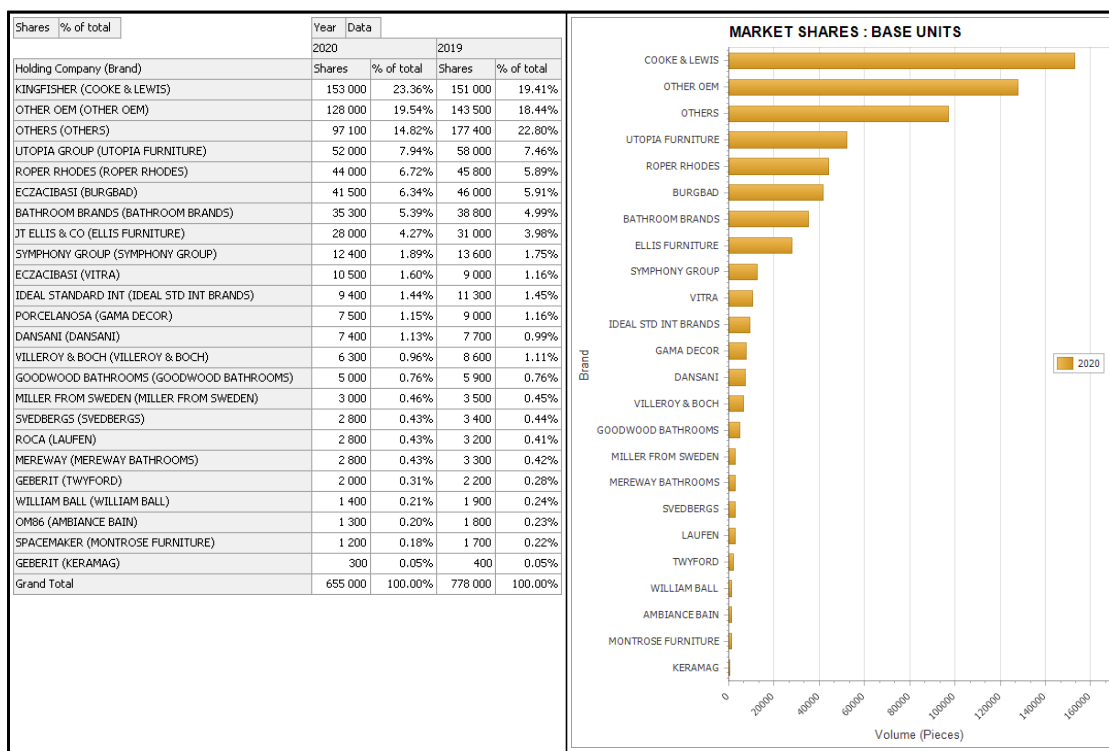
UK - SEPARATE CABINET SALES BY HEIGHT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.5.1 Market Shares : Base Units

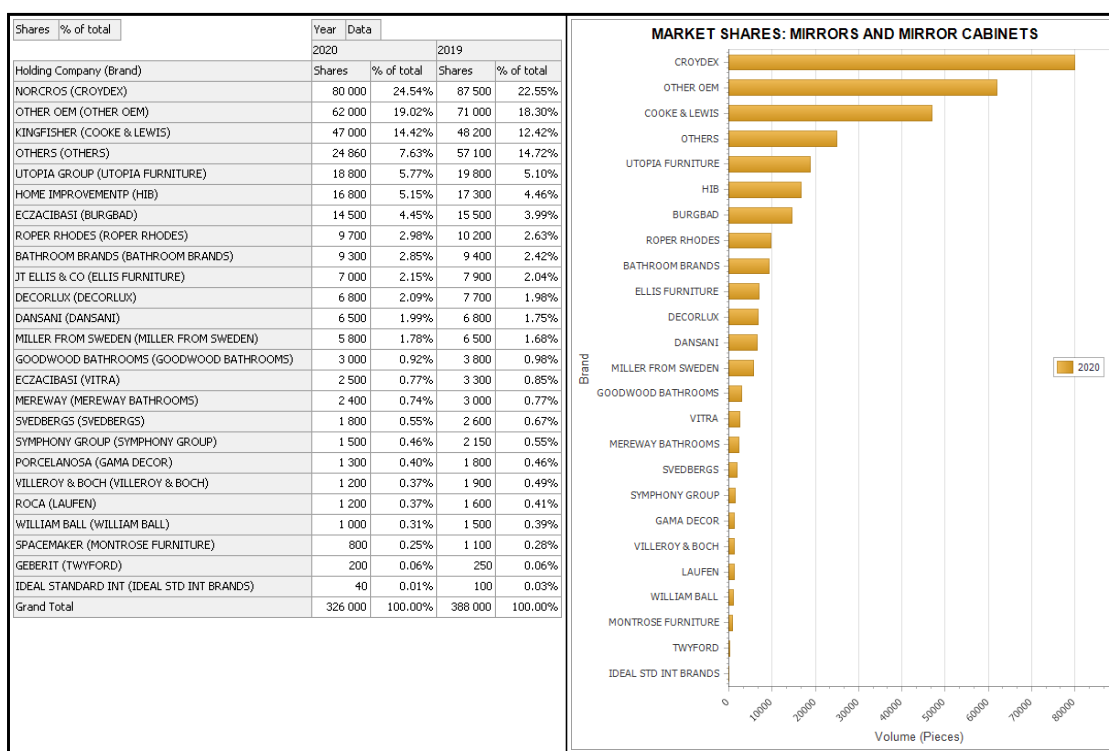
UK - ESTIMATED MARKET SHARES FOR BASE UNITS



Source: BRG based on industry interviews.

5.5.2 Market Shares : Mirror and Mirror Cabinets

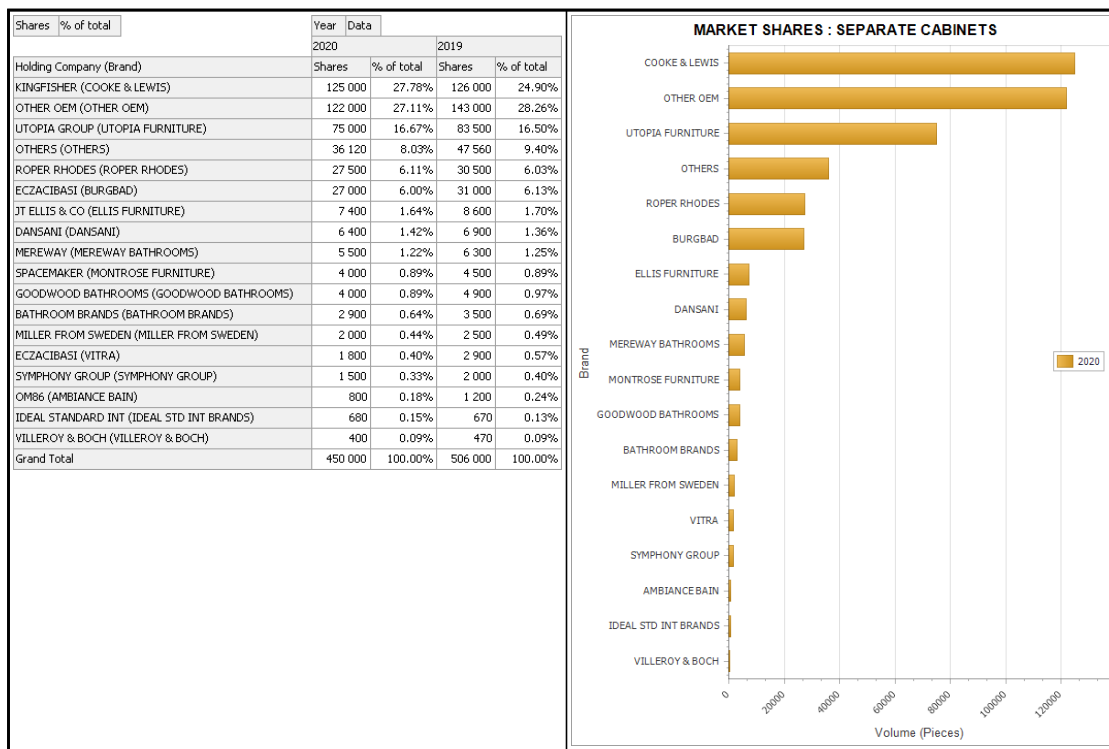
UK - ESTIMATED MARKET SHARES FOR MIRRORS AND MIRROR CABINETS



Source: BRG based on industry interviews.

5.5.3 Market Shares : Separate Cabinets

UK - ESTIMATED MARKET SHARES FOR SEPARATE CABINETS



Source: BRG based on industry interviews.

5.6.3 Route to Market - Consolidated View : Bathroom Furniture

UK - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE : 2020

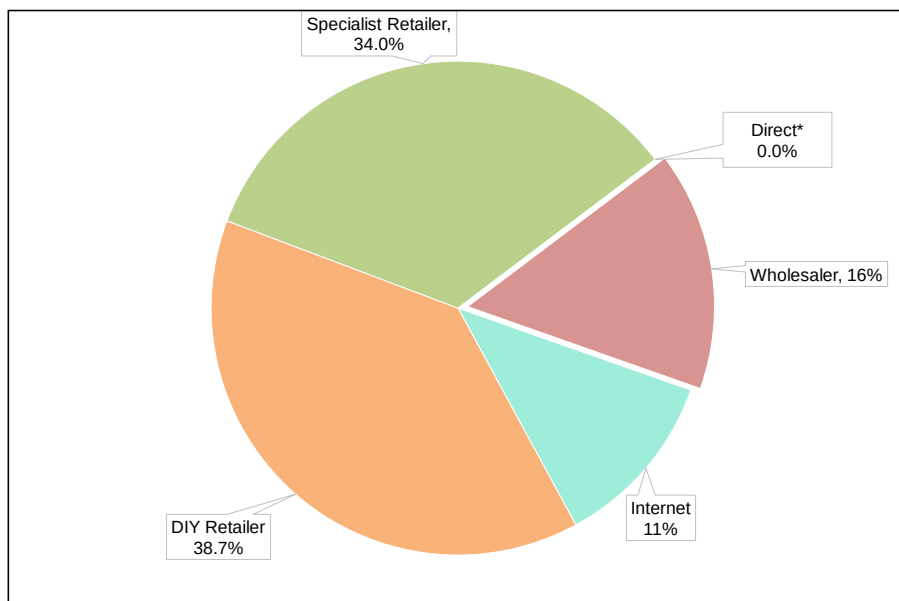
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
15.7%	11.7%	38.7%	34.0%	0.0%	27.2%	4.2%	67.1%	1.6%
100%					31.3%		68.7%	

5.6.4 Route to Market - Consolidated View : Bathroom Furniture

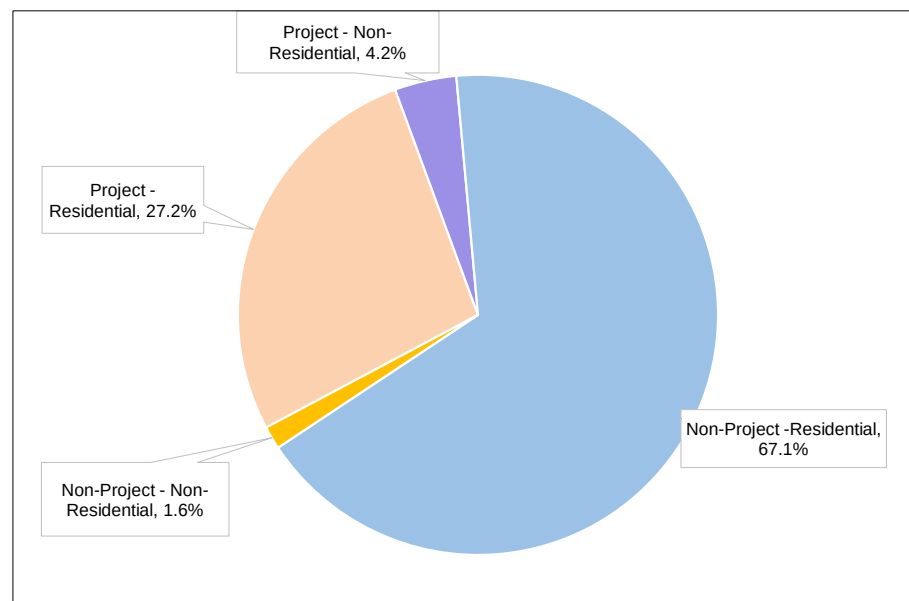
UK - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
15.1%	13.0%	38.3%	33.6%	0.0%	29.3%	4.0%	65.1%	1.5%
100%					33.4%		66.6%	

UK - SALES OF BATHROOM FURNITURE BY DISTRIBUTION CHANNEL: 2020



UK - SALES OF BATHROOM FURNITURE BY POINT OF DECISION AND END-USE SECTOR: 2020



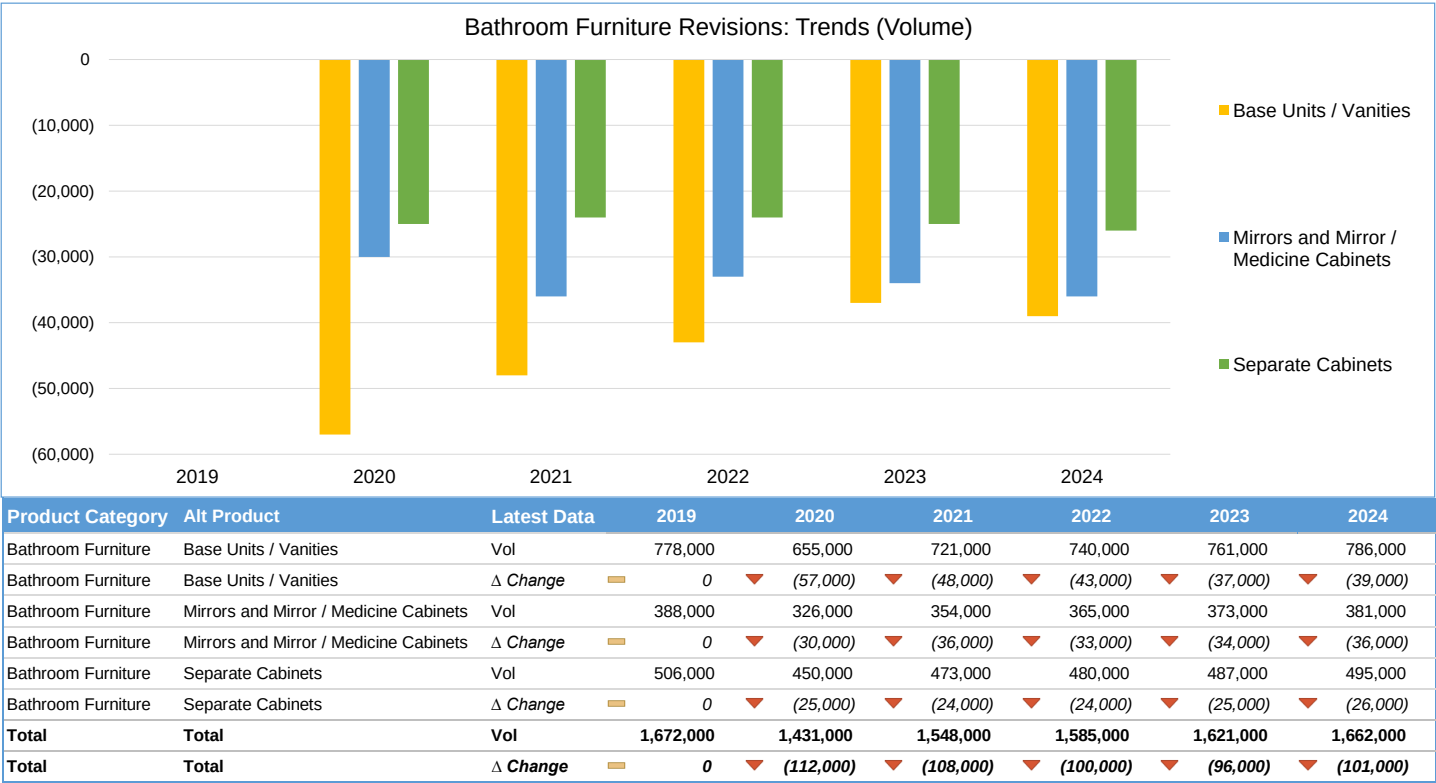
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

5.7 Revisions in the UK Bathroom Furniture Market (April 2021)

UK - REVISIONS IN THE UK BATHROOM FURNITURE MARKET

Data Comparison: October 2020



No revisions have been made to historical volumes and values for this market.

UNITED KINGDOM

BATHROOM ACCESSORIES

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The UK market for bathroom accessories suffered substantially in the early stages of the recession due to a massive decline in the overall number of new bathroom suites. This decline reflects the extent of the reduction in consumer bathroom RMI activity, which is the primary market driver; however, in recent years the bathroom accessories market has held up better than the overall bathroom products market. This is largely because bathroom accessories have been the cheapest way of remodelling an existing bathroom. Although the quality, price and variety of bathroom accessories have increased since the start of the recession, the overall market declined significantly during the financial crisis.

Over the years the distribution of bathroom accessories has changed quite significantly with the DIY market losing share to the ever-growing internet channel and some specialist showrooms. This is down to the fact that first time house owners often lack practical DIY skills for installation but are highly attuned to the growing digital retail market with DIY being replaced by “BIY” (buy it yourself). Showrooms that offer competitive priced quality products has ensured some good amount of sales over the years, as there still remains a number of consumers that have a desire to closely inspect a bathroom accessory before purchase.

Recent Market Trends

The overall UK bathroom accessories market saw a reduction in value in 2020, due to the onset of the COVID-19 outbreak from early in the year, with sales virtually ceasing for the majority of Q2. Sales to all end-use segments were markedly down due to the first national lockdown and several manufacturers having issues getting stock into the market, with the main issue becoming supply and stocking. It is important to note that in this report bathroom accessories sales are counted in euro and, with the pound continuing to recover, the decline experienced wasn't so exaggerated. With most of the products that sit in this category being relatively small and easy to obtain through the strong performing internet channel, the market did not contract as severely as other markets. On the other hand, the ever-growing preference in the concealment of bathroom sanitary ware continues to inhibit the sales and importance of bathroom accessories in the UK, as it limits the space to display accessories; this is exacerbated by the decreasing size of bathrooms. With several homeowners upgrading their bathrooms and opting for concealed sanitary ware, this in turn slightly further inhibited the development of this market. With this trend expected to continue, the scope for potential growth in this market remains curbed.

Prices and Market Values

The average MSPs for bathroom accessories (in GBP) saw a marginal increase in 2020, with prices for smaller items rising in line with inflation. Importation costs also contributed to the overall increase; however, merchants and DIY stores that source

from domestic manufacturers remain at an advantage in the UK as, in the medium term, domestic producers of bathroom accessories are likely to see stronger value growth than importers. Price growth did remain slightly restricted with an increase in online sales, boosting sales of accessories in the lower segments.

New Housing

Sales of bathroom accessories into the new build segment waned in 2020, in line with the decline in new housing completions. It is worth noting that demand for bathroom accessories in new housing remains low compared to the RMI and non-housing sectors. Many homes are not fitted with accessories upon their completion, and those homes which do tend to only include essential products such as towel rails and toilet paper holders. As a result, the number of accessories in newly built homes is less than in the average UK bathroom.

Housing RMI

The housing RMI segment, despite being the least impacted out of the end-use segments, saw reduced RMI levels in 2020. RMI was not as greatly impacted as consumers were able to go into DIY stores to purchase items such as toilet paper holders and toilet brushes which may have needed replacing. DIY retail stores remained open for the majority of the year, aside from most closing for around a month before slowly reopening branches across the UK. Homeowner's focus was, however, mainly on bigger refurbs rather than accessories, which limited RMI development further, as supply into the market was quite restricted. The number of accessories being sold into existing homes remains quite stable which too was a contributing factor to consumers not spending as much on accessories. Nevertheless, bathroom remodelling activity in existing homes is the main driver of bathroom accessory sales in the UK. As a result, the UK market is focused on providing to the end user rather than contractors.

Non-Housing

Sales of bathroom accessories into the non-housing sector were negative for 2020. The weaker performance of commercial RMI, particularly in hotels, had a negative impact on products such as ceramic soap holders, tissue boxes and liquid soap dispensers, as these are geared more to hotels and rely on commercial remodelling as opposed to domestic RMI activity. Hotel construction and renovations are expected to return to growth from 2021 onwards, particularly from the second half of the year as travel is still currently restricted, with overall non-housing sales expected to remain positive over the forecast period.

Supply Structure

Almost half of the market value is captured by three companies, namely CROYDEX, ROPER RHODES and SAMUEL HEATH & SONS.

The remainder of the market value is divided among over 20 identified companies and other unidentified ones (part of 'Others'). The overall market is mainly reliant on supply from UK manufacturers; however, there has been an increase in recent years in the number of cheaper products sold through the DIY channel. Four forms of supply can be identified: domestic manufacturers, importers, OEM suppliers (original equipment manufacturers) that sell branded products specially made for them by an original manufacturer, and distributors of own label products.

Domestic production remains key to the supply of the UK bathroom accessories market. CROYDEX is considered the market leader in the UK and has been producing bathroom accessories for the UK market for over 90 years. ROPER RHODES is the second-largest player, while the third largest, SAMUEL HEATH & SONS, manufactures bathroom accessories, taps and showers in a variety of finishes, including chrome. The company sells only to a limited number of exclusive distributors in the UK.

Other importers include KEUCO (Germany), ALESSI (Italy) and POM D'OR (Spain).

A large number of companies involved in the UK bathroom products market actually sell some products sourced via an OEM partner, rather than producing such products themselves. Bathroom accessories are no exception to this rule.

The DIY outlets in the UK also sell their own brands of bathroom accessories. HOMEBASE has two ranges of products, ELEGANCE for the upper to luxury range and BASICS for the products using lower quality materials. B&Q offers its own brand of bathroom accessories, ranging across all the price levels, including luxury items. B&Q is the UK's largest DIY retailer, with product areas substantially covering bathroom and kitchen equipment.

Forecasts

The overall bathroom accessories market is expected to see strong recovery in 2021 and reclaim a good chunk of the sales lost in 2020, with construction for both residential and non-residential returning to be a key driver for growth. Given a no deal Brexit was avoided and a free trade deal was struck between the UK and EU at the end of 2020, this should restore some confidence in consumers and prompt them to spend a bit more, with an expected recovery in the RMI segment. Another key and potentially more important factor in restoring confidence into the UK population is the vaccine rollout which has been prevalent as of December 2020, with more UK citizens getting the jab. On the other hand, with more people getting vaccinated and lockdown restrictions slowly being lifted, this could ultimately lead to more people wanting to travel rather than staying home or some homeowners could still be apprehensive about travelling and choose to delay travelling. Nonetheless, irrespective of what most of the UK population choose to do, the overall market is expected to return to growth, largely driven by a recovery in new build residential and non-residential construction.

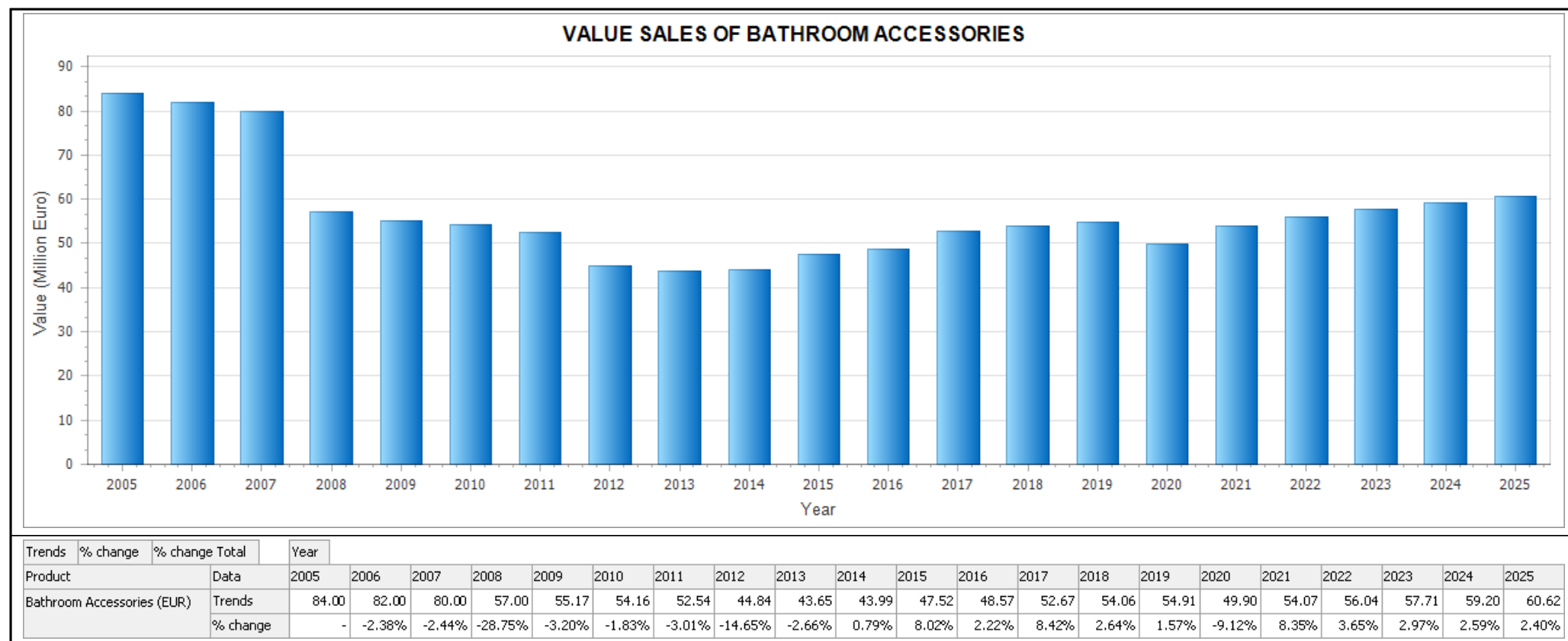
With a recovery in consumer consumption expected, consumers should be more willing to spend and have access to higher quality, through cheaper alternatives via internet channels which will subsequently put pressure on traditional distribution channels such as independent merchants and DIY. The RMI sector is expected to develop in line with consumer confidence, with uptake in bathroom suites in particular likely to boost overall sales of bathroom accessories. The overall value of the bathroom products market is likely to increase at a lower rate compared to the volume. This is because cheap imports sold via internet retailers are likely to result in the continuing decline in the average MSP of some bathroom accessories.

The specification market will be more lucrative, with new housing likely to play a more important part in the overall market growth in the medium term; however, the recovery in bathroom RMI activity remains the most important market driver and, although the anticipated increase in new housing will aid the accessory market, improved consumer confidence and earnings remain the most important drivers. The mix of bathroom accessories is unlikely to change substantially, although the number of accessories per bathroom may continue to decline as UK bathrooms continue to become smaller.

With the UK and EU agreeing on a free trade deal, exports appear to have been hit harder than imports in the first few months of 2021; however, as firms on both sides of the channel grow accustomed to new trading agreements, this disruption is expected to dissipate. In the long term, the UK and EU relationship will be mired by uncertainty and possible instability and, with a review clause in 2024, this certainly means the issue of EU trade will play a role in the election that year. The hot topic is whether the UK-EU deal will stand the test of time and, so long as the UK sticks to its commitments, the overall economy and UK bath and shower trays markets should recover well and be driven by recovering consumer consumption, real term earnings and other macroeconomic factors.

6.2 Historical Trends and Forecasts

UK - SUMMARY OF TRENDS IN THE BATHROOM ACCESSORIES MARKET : HISTORICAL AND FORECASTS (MILLION EURO)



Source: BRG based on industry interviews.

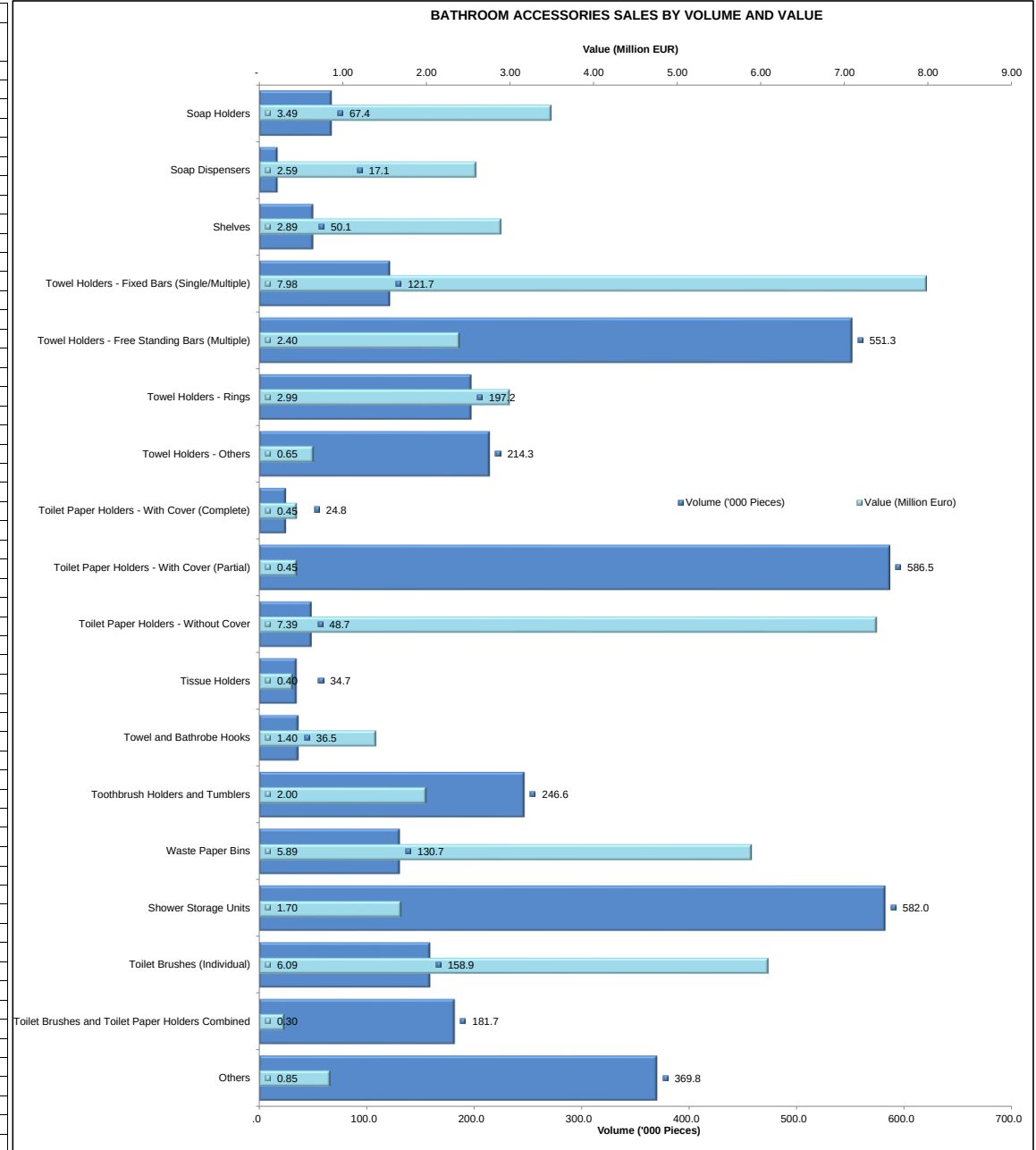
6.3 Prices and Market Values : Bathroom Accessories

UK - ESTIMATED VALUES OF THE BATHROOM ACCESSORIES MARKET BY TYPE OF PRODUCT

Market Value		2020		
		Volume ('000 Pieces)	Value (Million GBP)	Value (Million EUR)
Soap Holders	Volume / Value	369.8	3.1	3.5
	Share	10.2%	7.0%	7.0%
	Average Price (GBP/EUR)		8.4	9.4
Soap Dispensers	Volume / Value	181.7	2.3	2.6
	Share	5.0%	5.2%	5.2%
	Average Price (GBP/EUR)		12.7	14.3
Shelves	Volume / Value	158.9	2.6	2.9
	Share	4.4%	5.8%	5.8%
	Average Price (GBP/EUR)		16.2	18.2
Towel Holders: Fixed Bars (Single/Multiple)	Volume / Value	582.0	7.1	8.0
	Share	16.1%	16.0%	16.0%
	Average Price (GBP/EUR)		12.2	13.7
Towel Holders: Free Standing Bars (Multiple)	Volume / Value	130.7	2.1	2.4
	Share	3.6%	4.8%	4.8%
	Average Price (GBP/EUR)		16.3	18.3
Towel Holders: Rings	Volume / Value	246.6	2.7	3.0
	Share	6.8%	6.0%	6.0%
	Average Price (GBP/EUR)		10.8	12.1
Towel Holders: Others	Volume / Value	36.5	0.6	0.6
	Share	1.0%	1.3%	1.3%
	Average Price (GBP/EUR)		15.8	17.8
Toilet Paper Holders: With Cover (Complete)	Volume / Value	34.7	0.4	0.4
	Share	1.0%	0.9%	0.9%
	Average Price (GBP/EUR)		11.5	12.9
Toilet Paper Holders: With Cover (Partial)	Volume / Value	48.7	0.4	0.4
	Share	1.3%	0.9%	0.9%
	Average Price (GBP/EUR)		8.2	9.2
Toilet Paper Holders: Without Cover	Volume / Value	586.5	6.6	7.4
	Share	16.2%	14.8%	14.8%
	Average Price (GBP/EUR)		11.2	12.6
Tissue Holders	Volume / Value	24.8	0.4	0.4
	Share	0.7%	0.8%	0.8%
	Average Price (GBP/EUR)		14.3	16.1
Towel and Bathrobe Hooks	Volume / Value	214.3	1.2	1.4
	Share	5.9%	2.8%	2.8%
	Average Price (GBP/EUR)		5.8	6.5
Toothbrush Holders and Tumblers	Volume / Value	197.2	1.8	2.0
	Share	5.4%	4.0%	4.0%
	Average Price (GBP/EUR)		9.0	10.1
Waste Paper Bins	Volume / Value	551.3	5.2	5.9
	Share	15.2%	11.8%	11.8%
	Average Price (GBP/EUR)		9.5	10.7
Shower Storage Units	Volume / Value	121.7	1.5	1.7
	Share	3.4%	3.4%	3.4%
	Average Price (GBP/EUR)		12.4	13.9
Toilet Brushes (Individual)	Volume / Value	50.1	5.4	6.1
	Share	1.4%	12.2%	12.2%
	Average Price (GBP/EUR)		108.0	121.4
Toilet Brushes and Toilet Paper Holders Combined	Volume / Value	17.1	0.3	0.3
	Share	0.5%	0.6%	0.6%
	Average Price (GBP/EUR)		15.6	17.5
Others	Volume / Value	67.4	0.8	0.8
	Share	1.9%	1.7%	1.7%
	Average Price (GBP/EUR)		11.2	12.6
TOTAL	Volume in '000/Value in Million	3620.0	44.4	49.9
	Share	100.0%	100.0%	100.0%
	Average Price (GBP/EUR)		12.3	13.8

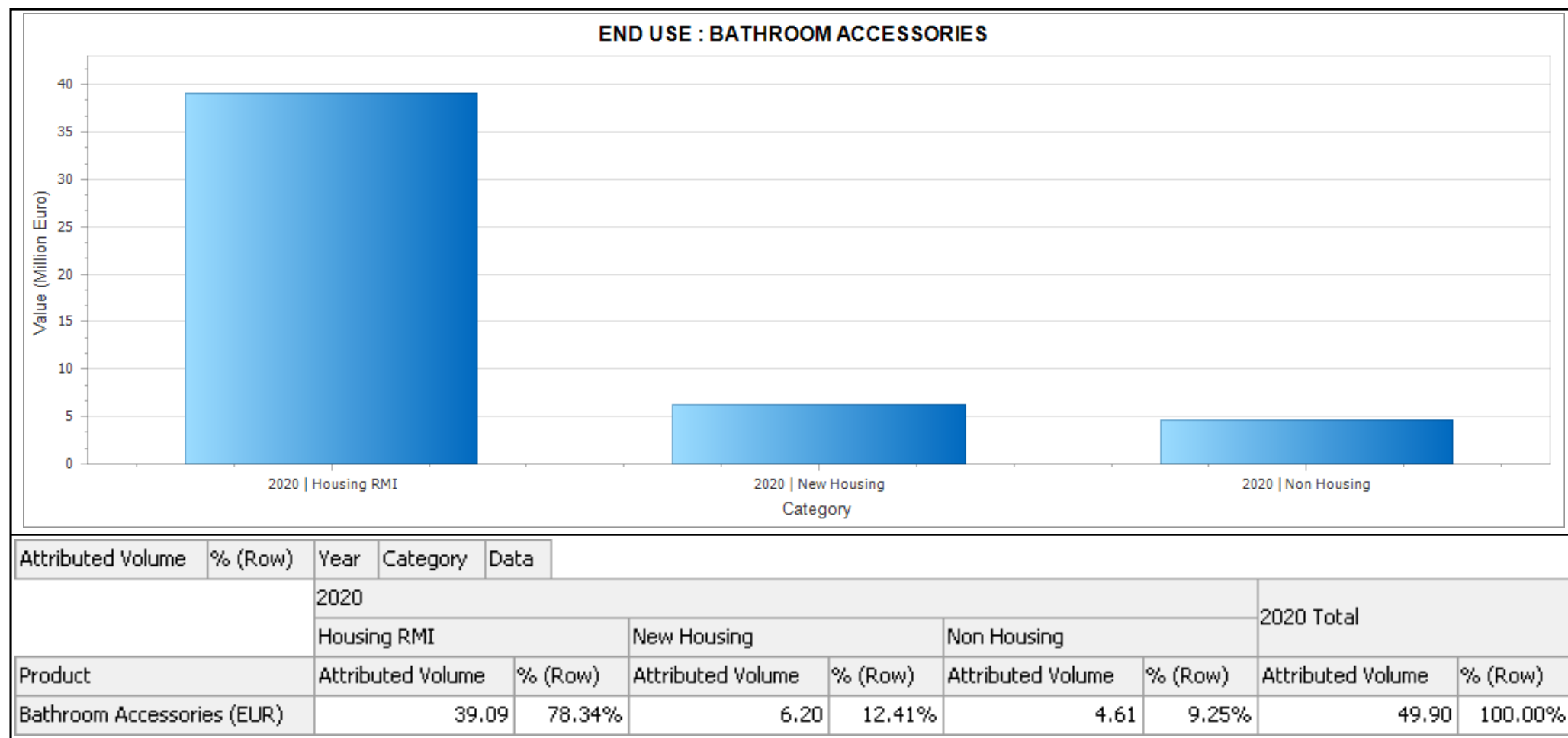
Source: BRG based on industry interviews

N.B. Prices Shown at MSP (= Manufacturers' Selling Price).



6.4.1 End Use : Base Year

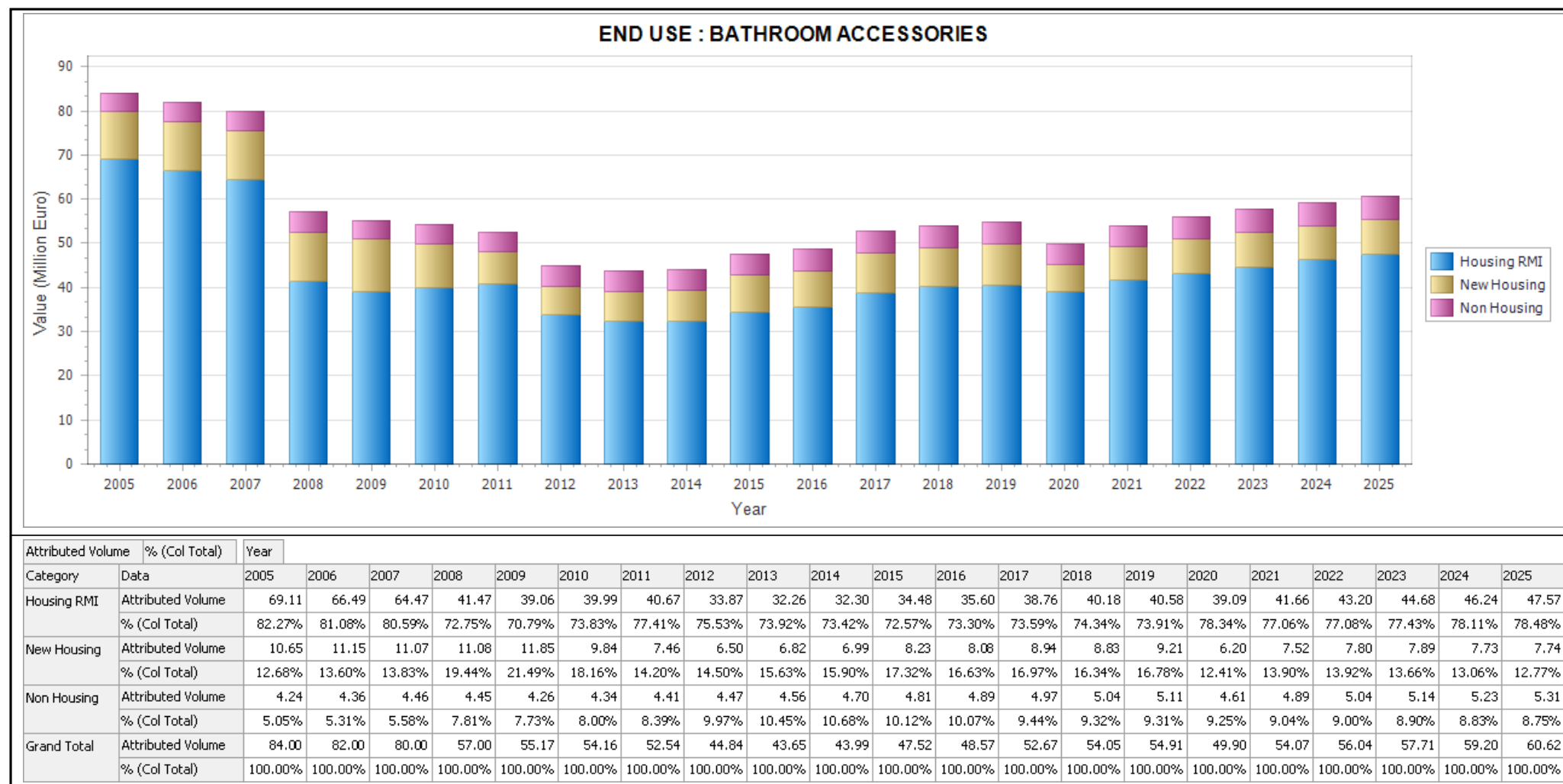
UK - SALES OF BATHROOM ACCESSORIES BY END USE SEGMENT (MILLION EURO)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

6.4.2 End Use : Historical and Forecasts

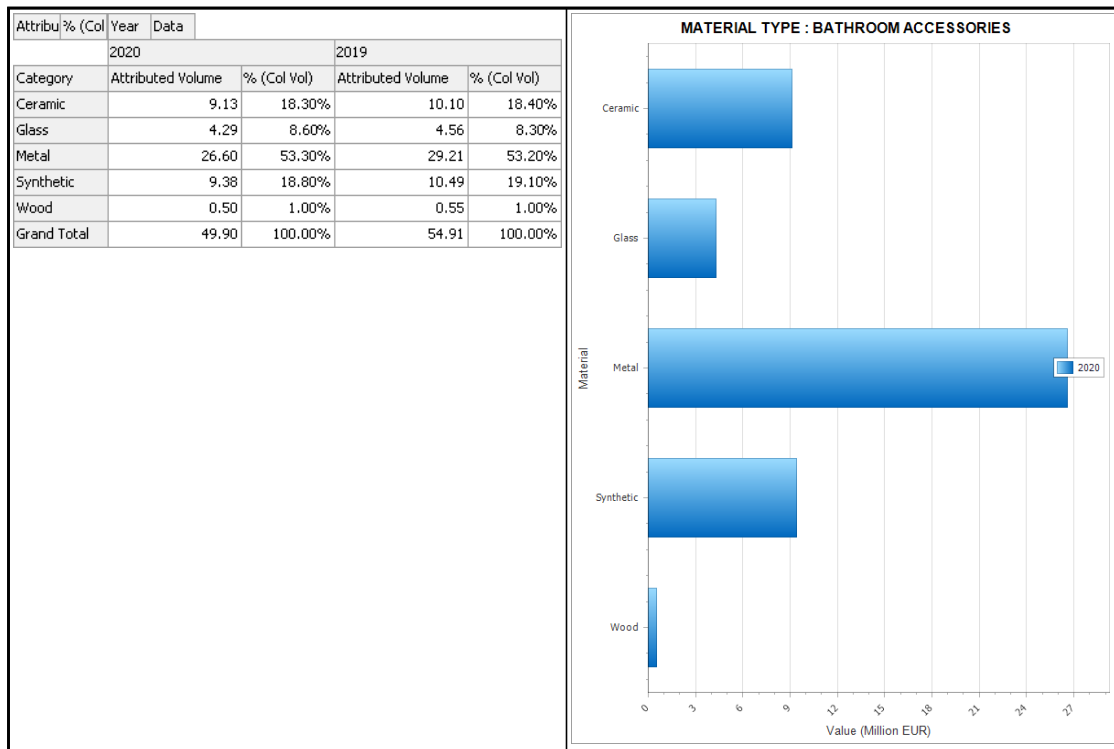
UK - SALES OF BATHROOM ACCESSORIES BY END USE SEGMENT (MILLION EURO)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

6.4.3 Sales by Type of Material : Bathroom Accessories

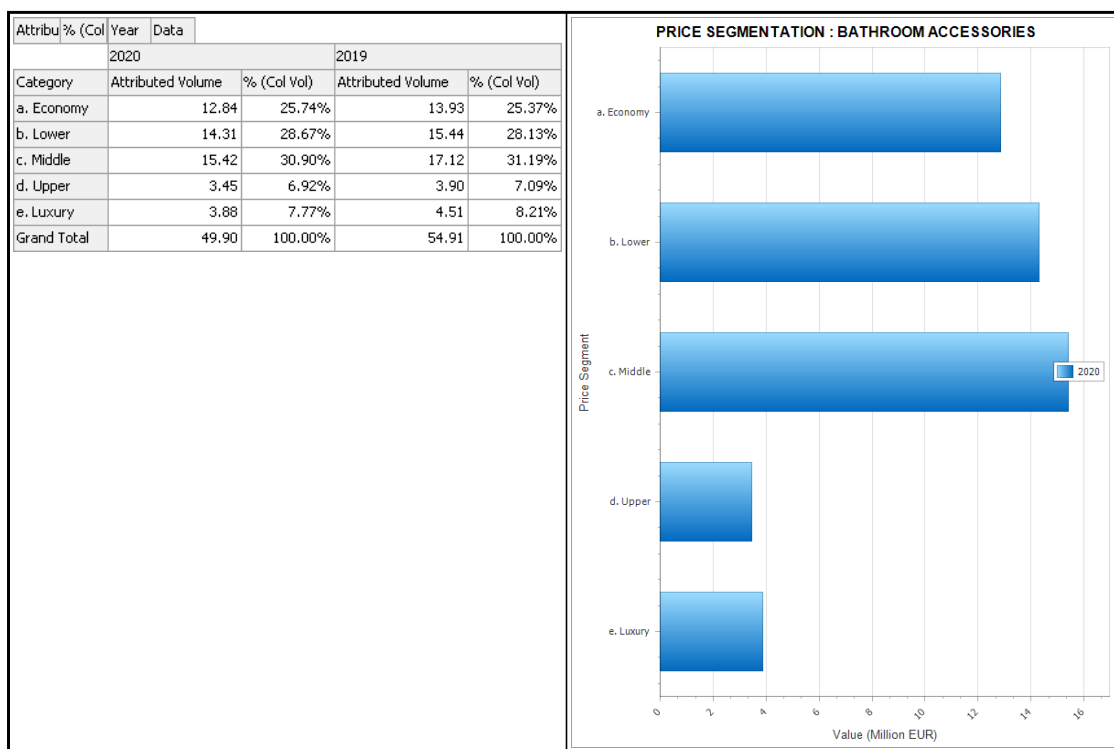
UK - BATHROOM ACCESSORY SALES BY MAIN MATERIAL TYPE (MILLION EUR)



Source: BRG based on industry interviews

6.4.4 Sales by Price Segment : Bathroom Accessories

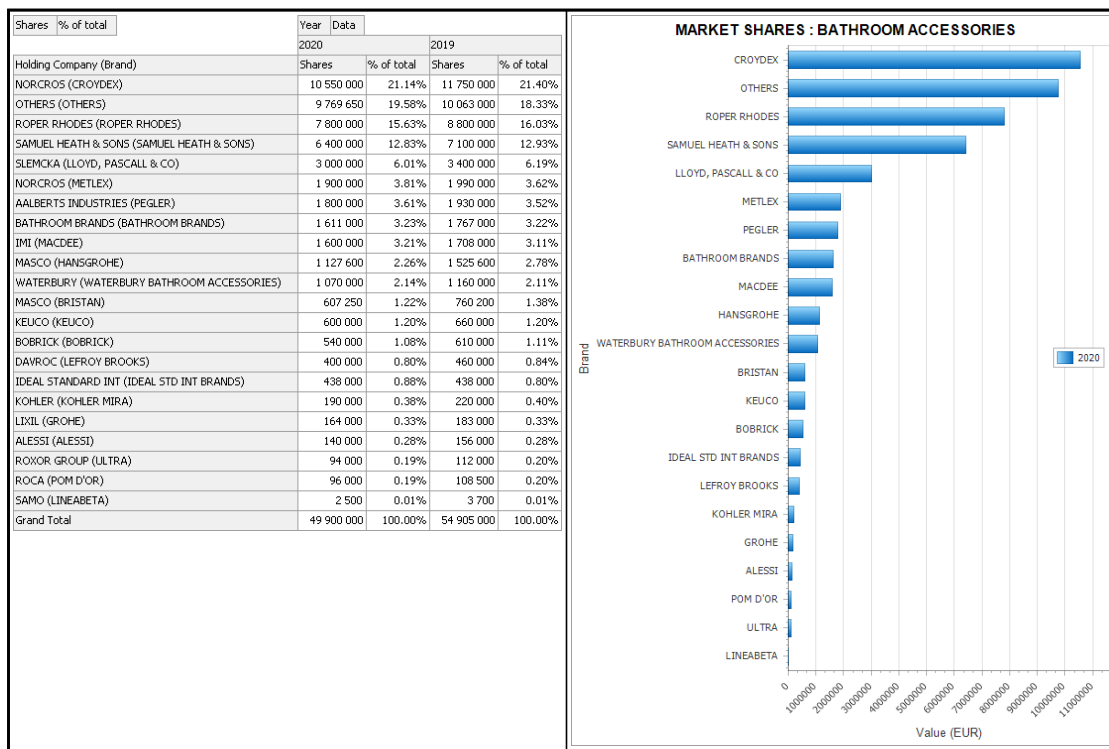
UK - BATHROOM ACCESSORY SALES BY PRICE SEGMENT (MILLION EUR)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

6.5 Market Shares : Bathroom Accessories

UK - ESTIMATED MARKET SHARES FOR BATHROOM ACCESSORIES (EUR)



Source: BRG based on industry interviews.

6.6.1 Route to Market: Bathroom Accessories (EUR)
UK - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES (EUR): 2020

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	43.5%
	Wholesalers / Merchants
	43.5%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	14.2%	4.7%	34.5%	5.5%	7.8%	5.5%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	18.9%		40.0%		13.3%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	25.2%	1.3%	6.0%	3.1%
Installers				
35.7%				

End Use Level	Manufacturer		Wholesaler		Internet		DIY		Specialist		Installer	
	0.0%		0.9%		17.5%		33.8%		10.0%		28.6%	
	Residential											
	90.8%											
	New Build				Residential RMI							
	12.4%				78.3%							
	Project		Non-Project		Project		Non-Project		Project		Non-Project	
	3.1%		9.3%		5.5%		72.9%		0.4%		2.4%	

Manufacturer		Wholesaler		Internet		DIY		Specialist		Installer		
0.0%		1.7%		0.1%		0.2%		0.2%		7.0%		
Non-Residential												
9.2%												
	New Build				Non-Residential RMI							
	6.5%				2.8%							
	Project		Non-Project		Project		Non-Project		Project		Non-Project	
	1.7%		4.8%		0.4%		2.4%		0.4%		2.4%	

6.6.2 Route to Market: Bathroom Accessories (EUR)
UK - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES (EUR): 2025

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	42.7%
	Wholesalers / Merchants
	42.7%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	14.5%	4.9%	34.3%	5.3%	7.6%	5.5%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	19.4%		39.6%		13.1%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	24.8%	1.4%	5.9%	3.2%
Installers				
35.2%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.9%	0.7%	17.9%	33.6%	9.8%	28.3%
	Residential					
	91.2%					
	New Build			Residential RMI		
	12.8%		78.5%			
	Project	Non-Project	Project	Non-Project		
	3.2%	9.6%	5.5%	73.0%		
	New Build			Non-Residential RMI		
	6.1%		2.6%			
	Project	Non-Project	Project	Non-Project		
	1.6%	4.5%	0.4%	2.2%		

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

6.6.3 Route to Market - Consolidated View : Bathroom Accessories

UK - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES : 2020

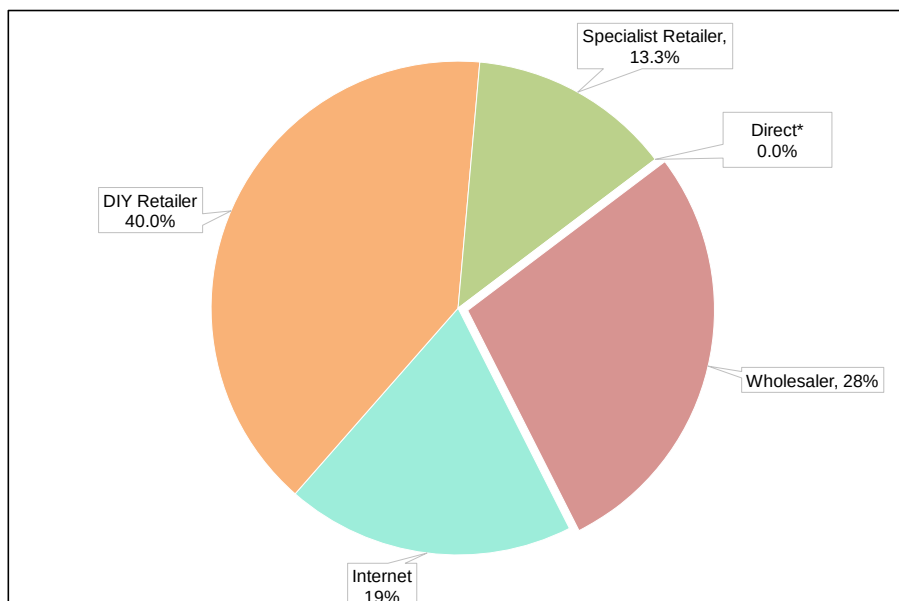
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
27.8%	18.9%	40.0%	13.3%	0.0%	8.6%	2.1%	82.2%	7.1%
100%					10.7%		89.3%	

6.6.4 Route to Market - Consolidated View : Bathroom Accessories

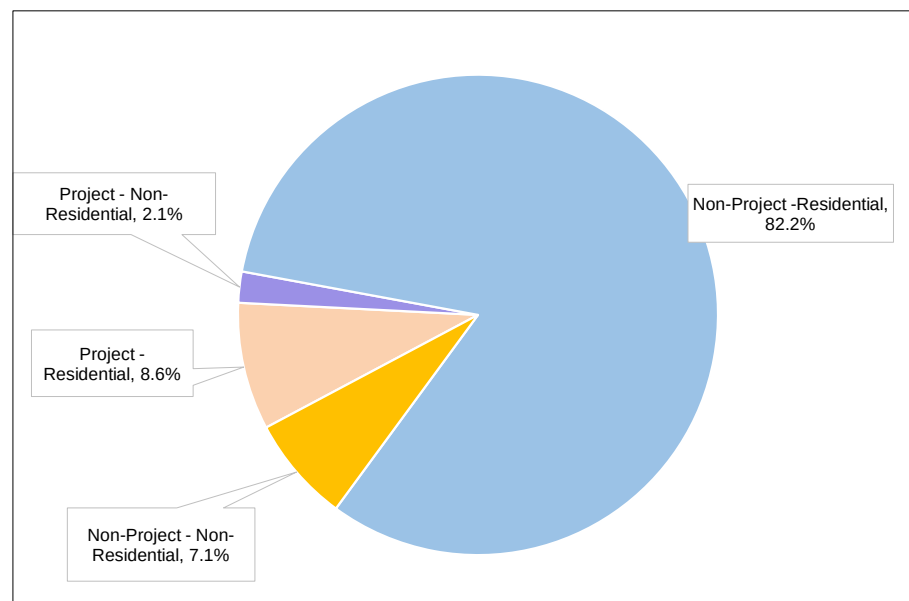
UK - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
27.0%	19.4%	39.6%	13.1%	0.9%	8.7%	2.0%	82.6%	6.8%
100%					10.7%		89.3%	

UK - SALES OF BATHROOM ACCESSORIES BY DISTRIBUTION CHANNEL: 2020



UK - SALES OF BATHROOM ACCESSORIES BY POINT OF DECISION AND END-USE SECTOR: 2020



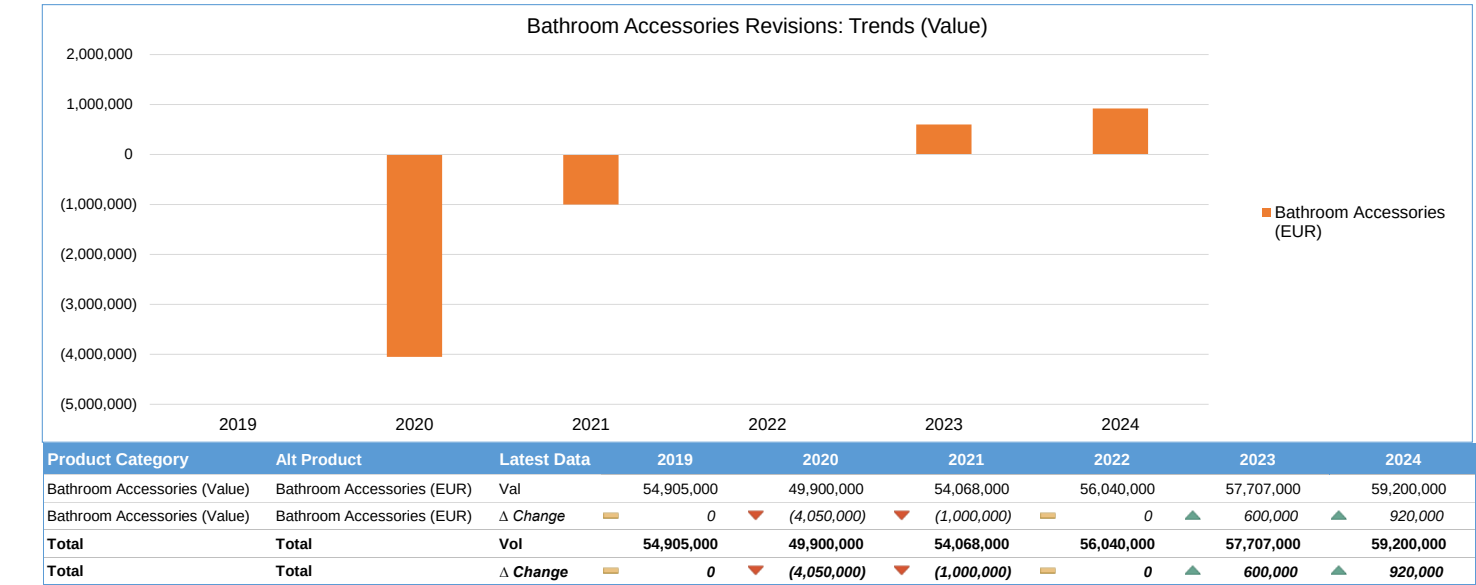
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

6.7 Revisions in the UK Bathroom Accessories Market (April 2021)

UK - REVISIONS IN THE UK BATHROOM ACCESSORIES MARKET

Data Comparison: October 2020



No revisions have been made to historical values for this market.

UNITED KINGDOM

SHOWER ACCESSORIES

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The UK shower accessories market has traditionally been driven by like-for-like replacement sales. Shower heads have a higher replacement rate than shower supports and flexible hoses and, as a result, the market for shower heads is the largest of all shower accessories products. This is because shower heads are particularly susceptible to damage from the high mineral content of the water in the UK, with some regions of the country requiring shower heads to be replaced on an annual basis.

Shower accessories continue to generally be purchased as a necessity rather than a luxury and has allowed RMI demand to be somewhat stable over the years. Replacing individual shower accessories is the cheapest means of maintaining shower systems and, due to the perceived necessity of a shower system in most UK homes, demand for shower accessories was higher over the course of the recession than for other, more discretionary bathroom products.

Since the UK economy's return to growth in mid-2013, manufacturers have focused on producing increasingly sophisticated shower accessories, such as jet crashing shower heads and slimline shower sets. The shower accessories market has also benefited from the expansion of the UK's shower park over the course of the recession, as the trend toward second shower rooms in both new build and existing properties has increased the potential park for replacement sales. Shower sets, comprising a shower head, flexible hose and shower support, have proved popular over the course of the recession, as consumers focused on the replacement of existing accessories over full-scale bathroom remodelling.

Please note that this report refers only to flexible hoses and shower heads that have been sold separately from a shower controller – for instance, as a replacement or an upgrade purchase. Most flexible hoses and shower heads that are purchased with a shower, when it is first installed, are included with the shower in a single unit price and, for that reason, are instead included in BRG's UK Shower Control report.

Recent Market Trends

The overall UK shower accessories market saw reduced volume sales in 2020, due to the onset of the COVID-19 outbreak from early in the year, with sales virtually ceasing for the majority of Q2. Sales to all end-use segments were markedly down due to the first national lockdown and several manufacturers having issues getting stock into the market, with the main issue becoming supply and stocking. When compared to other product groups, overall sales were not as badly impacted due to consumers being able to obtain some stock from DIY stores and online, for most of the year. A decline in the RMI segment was felt across most products as well as shower heads despite their high replacement rate, with sales of flexible hoses being further limited due to a continued shift towards the 'minimalist' bathroom

aesthetic, which favours the pairing of a fixed shower head with a concealed shower valve. Shower heads saw an increased number of sales via the internet channel due to their cheap offering and colour remained a key theme in the marketplace. Matte black continues to be the biggest trend for shower heads, with rose gold and copper also developing well in 2020, with homeowners showing that they are being a bit bolder in their colour choices in their en suites.

Shower pipes, known commonly as 'dual outlet showers' in the UK, saw an overall decline in 2020 due to supply issues. Despite this decline, the market remains quite favourable by the end user as it gives them options they desire with a large rain shower above along with a handset. RMI development was slightly positive as the increased popularity of these products allowed the recovery to develop much better than single outlets. Prices coming down made these products even more attractive to homeowners who were carrying out bathroom refurbishments and upgrades, with these products acting as a direct replacement for a standard bar mixer. Furthermore, shower accessories are typically considered more of necessity than a luxury product, capable of adding value to a property; however, the lack of supply into the marketplace and initial lockdown really limited how RMI developed. That being said, the greater focus on bathroom aesthetics and 'the showering experience' has seen increased uptake of shower heads with a wider range of water saving and comfort features, generating stronger value returns for manufacturers producing these products.

The market for shower panels experienced a continuing decline, as UK consumers increasingly opt for sophisticated conventional showering products, such as digital shower controls and shower heads that mix water with air bubbles to save water and improve the comfort of the showering experience. This decline in sales contributed to the overall volume of the hydrotherapy market contracting, with the trend expected to continue over the forecast period.

Prices and Market Values

Prices for shower accessories remained relatively stable in 2020, with MSPs increasing marginally in GBP for some products, in line with inflation; with prices in euro remaining stable also as the value of the pound continues to increase. An increase in coloured finished brought some value to the market but broadly prices remained quite stable. While average prices for flexible hoses and shower supports tend to remain low across most suppliers to the UK market, there is something of a value split in the shower heads market between those produced by shower controller manufacturers and those sold by accessories specialists, importers and other mass retailers such as TESCO and B&Q, although price increases may be on the horizon for the importers due to the increase in importation cost for non-European countries after the UK and EU agreed on a free trade deal. Shower controller manufacturers are now increasingly offering both cheap replacement shower heads aimed at the mass market and more sophisticated products with water saving and comfort features, additionally increasing their margins by branding these higher-end products. Although, in volume terms, these higher-end shower heads remain a fractional proportion of the market, they are likely to

account for a much greater percentage of market value growth over the forecast period.

New Housing

As this report only refers to sales of shower heads and flexible hoses sold independently of a shower controller, sales of these products into the new housing segment are believed to be marginal, as most shower heads and flexible hoses are included within the shower controller price when installed for the first time. Shower pipes have proven to have a strong share in this segment given it is still a new market and subsequently saw a strong contraction of sales into this segment. Overall new housing sales were down, in line with the decline seen in new dwelling completions in 2020. Shower accessories are expected to see a return to growth in this segment from 2021 onwards, benefiting shower pipes largely as they remain in their infancy stage, compared to the very mature markets of shower heads, supports and flexible hoses.

Housing RMI

Bathroom remodelling activity in existing homes is the main driver of shower accessory sales in the UK. This is mainly because most sets are sold to consumers for the distressed replacement of old shower heads and hoses. Since the maintenance of shower systems is not discretionary, demand for shower sets has been supported by this trend during the recession as well as consumer demand for remodelling for aesthetic purposes. Many consumers, however, now also buy new adjustable and volume increasing shower heads and handsets offering greater comfort whilst saving water usage. RMI sales did see a drop overall, despite a strong number of discretionary purchases over the course of 2020, with an expected resurgence of volume sales from 2021 onwards.

Non-Housing

The non-housing sector of the shower accessories market saw contracted volumes in 2020, in line with a decline in new construction and renovation. Although overall volumes were significantly reduced, innovative showers and shower heads were still the preference in the marketplace, particularly over the previously popular luxury hydrotherapy products; however, the non-housing market has not been supported by areas of commercial expansion such as gyms which prefer commercial shower valves or fixed shower units. Overall sales are expected to pick up from 2021 onwards; however, sales into the commercial sector are unlikely to account for much more than 15% of the overall market.

Supply Structure

Four forms of supplier can be identified: domestic manufacturers, importers, OEM supplied companies which sell branded products specially made for them by another (OEM) manufacturer, and distributors of own label products.

The UK market for shower accessories is largely dominated by companies which also supply shower valves and/or taps and mixers. One exception to this is MX INSPIRATIONS, which is merely the brand name for accessories sold by MARLETON CROSS, which also makes showers under the NEPTUNE name. Also, BRAND NEW TECHNOLOGIES (BNT), a company which sources from China on behalf of HOMEBASE (one of the three large DIY chains in the UK), does the same.

MARLETON CROSS, with its core sales coming from MX INSPIRATIONS, supplies WICKES & GRAHAM and the GRAFTON GROUP and is considered one of the top two players in the UK shower accessories market. KOHLER MIRA, much like TRITON, is one of the most widely recognised shower valve manufacturers in the UK. Unlike TRITON, however, the company is much less reliant on the electric shower market for sales and is market leader for both power and mixer showers.

TRITON remains the UK market leader in the electric showers market and, thus, has considerable sales linked to sales of electric shower controllers. The company also supplies replacement shower heads/handsets, etc., but these are a fairly insignificant portion of the company's total sales.

PEGLER YORKSHIRE transferred its taps and mixers business to fellow AALBERTS INDUSTRIES group member COMAP, which commenced the distribution and supply of taps and mixers from 1 January 2019. Towards the latter stages of 2020 the brand was then changed from COMAP to FRANCIS PEGLER and all shower products and taps and mixers are sold under this brand.

Other UK manufacturers include companies such as BRISTAN, AQUALISA, REDRING, RELIANCE WATER CONTROLS, HEATRAE SADIA, DOUGLAS, GALAXY SHOWERS, HORNE ENGINEERING, ALTECNIC and DIMPLEX, which supply shower accessories alongside their various shower valves.

METHVEN operates in a very similar way to BRISTAN and is often seen as BRISTAN's most direct competitor. METHVEN supplies its innovative shower head SATINJET to the UK market, the design of which aims to save water without compromising comfort.

HANSGROHE is the importing UK subsidiary of the German mixers and hydrotherapy products manufacturer, and a major supplier of shower sets with shower pipes in the UK.

MAYFAIR BRASSWARE imports from two factories, one in China, the second in Thailand, with the company holding a stake in both.

ROXOR imports a range of taps and mixers and showers, and then sells them either direct to the end market or on an OEM basis to a range of sanitary ware manufacturers.

Other manufacturers include specialists and bathroom manufacturers who develop showering products. The market is largely ignored by the major shower manufacturers who prefer to focus on the higher volumes generated by the technological innovations in mixer showers. NORCROS/TRITON and BRISTAN/HANSGROHE/MASCO remain the only major shower manufacturers who continue to produce shower panels for the UK market.

KOHLER MIRA occupy the largest share for shower pipes and have introduced a number of these products at a cheaper price, pushing them through several outlets such as; TRAVIS PERKINS, SCREWFIX, TOOLSTATION and online retailers. They are followed by HANSGROHE who brought this product onto the market in 2008 and have retained a strong share, followed by BRISTAN. AQUALISA retain a strong position here and have continued to gain in 2020 off their product launch late in 2019. GROHE have a strong portfolio although at a much higher price point and could potentially introduce cheaper products. Own labels occupy a strong share of others which represent a sizable share of the market. Own labels within merchants have proved to be the fastest growing area of the market, including TRAVIS PERKINS *IFlow*, WOLSELEYS *Navo*, and PHG'S *Instinct*.

Forecasts

The overall shower accessories market is expected to see strong recovery in 2021 and reclaim a good chunk of the sales lost in 2020, with construction for both residential and non-residential returning to be a key driver for growth. Given a no deal Brexit was avoided and a free trade deal was struck between the UK and EU at the end of 2020, this should restore some confidence in consumers and prompt them to spend a bit more, with an expected recovery in the RMI segment. Another key and potentially more important factor in restoring confidence into the UK population is the vaccine rollout which has been prevalent as of December 2020, with more UK citizens getting the jab. On the other hand, with more people getting vaccinated and lockdown restrictions slowly being lifted, this could ultimately lead to more people wanting to travel rather than staying home or some homeowners could still be apprehensive about travelling and choose to delay travelling. Nonetheless, irrespective of what most of the UK population choose to do, the overall market is expected to return to growth, largely driven by a recovery in new build residential and non-residential construction.

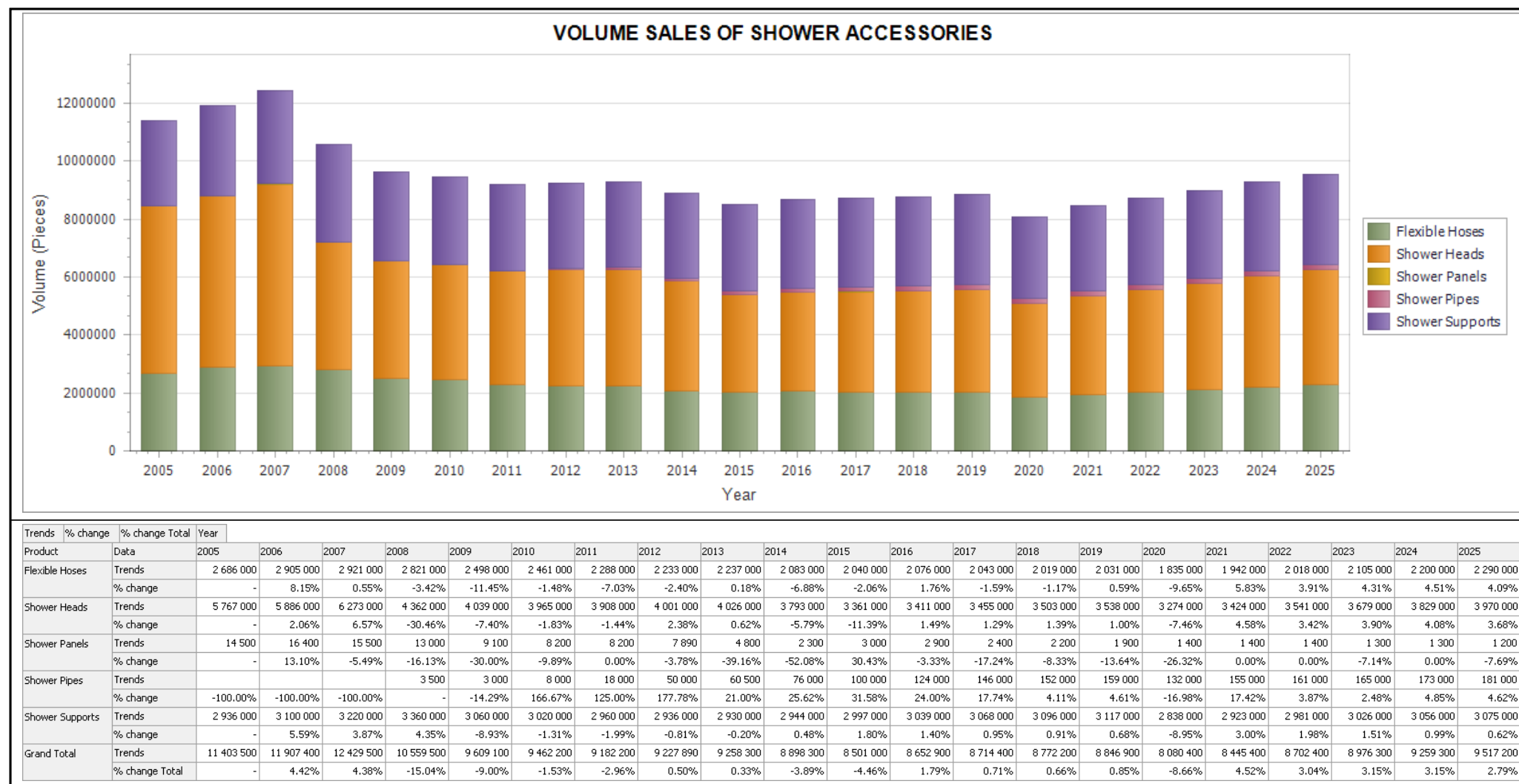
Shower pipe sales are expected to see the strongest return to growth in 2021, albeit from a much smaller base, given their continued popularity and also benefiting from the expected recovery in new build completions. Product innovation is expected to help drive RMI development over the forecast period, as the introduction of water labelling is a key means of engaging consumer interest and shifting the market toward higher value products. The shower accessories market recovery is likely to be sustained and supported by the increased popularity of showering over baths. The increase in internet distribution is likely to enable consumers to obtain higher quality products at lower prices, which will put pressure on traditional distribution channels such as independent merchants and DIY. The

shower heads and handsets markets are also likely to be substantially influenced by a possible legislative EU water labelling scheme. This will benefit the sale of adjustable water heads that decrease water consumption without compromising comfort.

With the UK and EU agreeing on a free trade deal, exports appear to have been hit harder than imports in the first few months of 2021; however, as firms on both sides of the channel grow accustomed to new trading agreements, this disruption is expected to dissipate. In the long term, the UK and EU relationship will be mired by uncertainty and possible instability and, with a review clause in 2024, this certainly means the issue of EU trade will play a role in the election that year. The hot topic is whether the UK-EU deal will stand the test of time and, so long as the UK sticks to its commitments, the overall economy and UK bath and shower trays market should recover well and be driven by recovering consumer consumption, real term earnings and other macroeconomic factors.

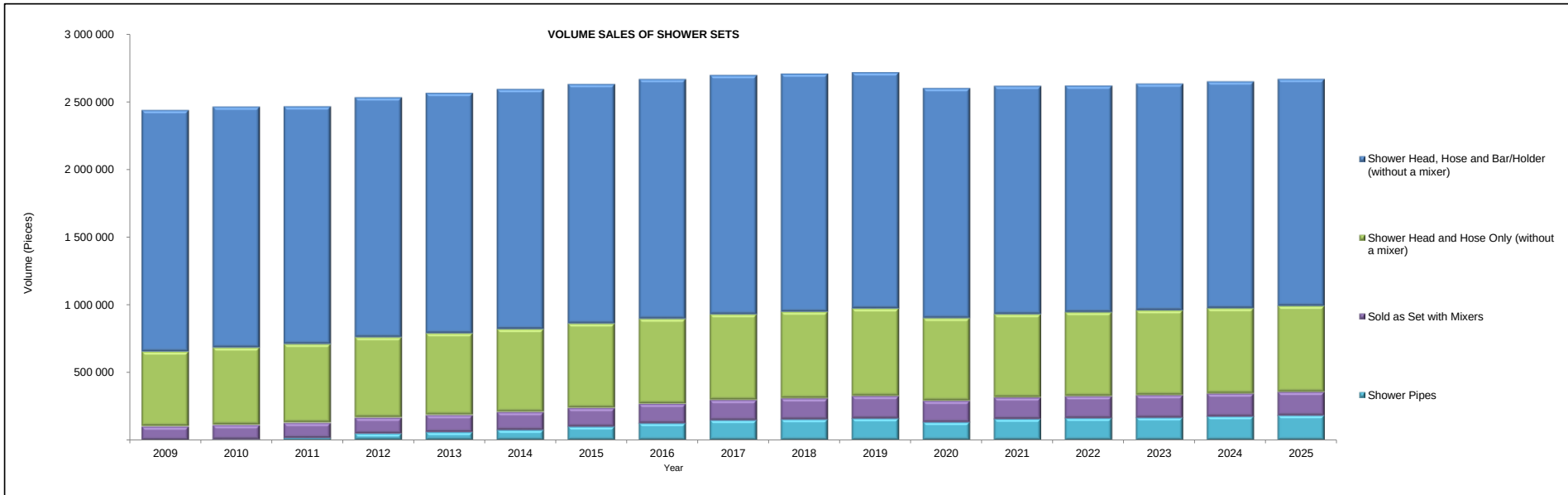
7.2.1 Historical Trends & Forecasts : Shower Accessories

UK - SUMMARY OF TRENDS IN THE SHOWER ACCESSORIES MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

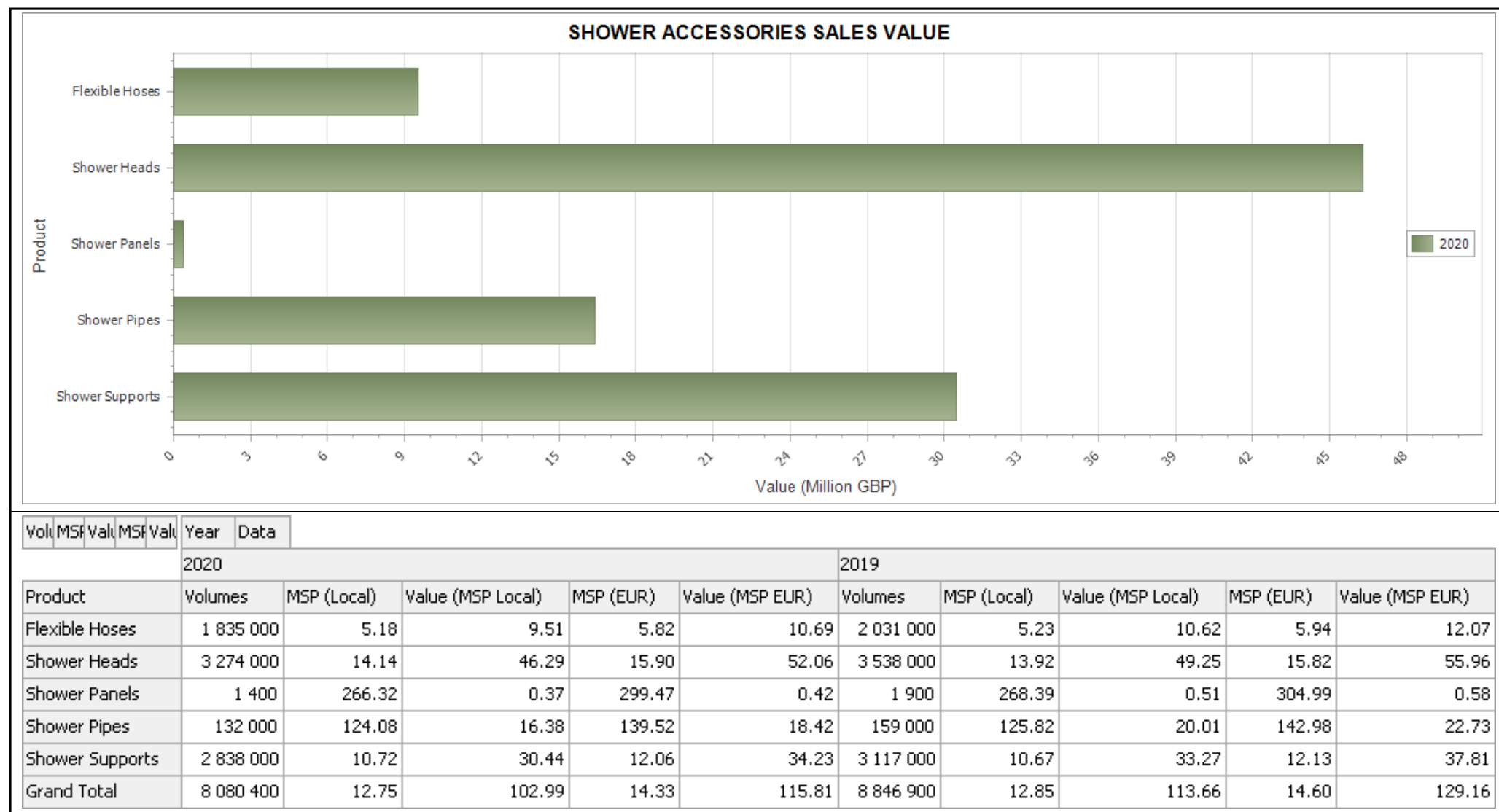
7.2.2 Historical Trends and Forecasts : Shower Sets
GB - SUMMARY OF TRENDS IN THE SHOWER SETS MARKET : HISTORICAL AND FORECASTS



Product Type	Product	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Shower Sets	Shower Head, Hose and Bar/Holder (without a mixer)	1 785 000	1 780 000	1 756 000	1 773 000	1 776 000	1 774 000	1 770 000	1 772 000	1 769 000	1 760 000	1 746 000	1 700 000	1 688 000	1 675 000	1 676 000	1 677 000	1 678 000
	% Change	-	-0.28%	-1.35%	0.97%	0.17%	-0.11%	-0.23%	0.11%	-0.17%	-0.51%	-0.80%	-2.63%	-0.71%	-0.77%	0.06%	0.06%	0.06%
	Shower Head and Hose Only (without a mixer)	550 000	570 000	580 000	592 000	602 000	611 000	622 000	627 000	632 000	639 000	646 000	610 000	614 000	620 000	626 000	630 000	635 000
	% Change	-	3.64%	1.75%	2.07%	1.69%	1.50%	1.80%	0.80%	0.80%	1.11%	1.10%	-5.57%	0.66%	0.98%	0.97%	0.64%	0.79%
	Sold as Set with Mixers	100 000	105 000	111 000	117 000	126 000	132 000	138 000	144 000	150 000	156 000	166 000	158 000	159 500	162 500	166 000	169 500	173 500
	% Change	-	5.00%	5.71%	5.41%	7.69%	4.76%	4.55%	4.35%	4.17%	4.00%	6.41%	-4.82%	0.95%	1.88%	2.15%	2.11%	2.36%
	Shower Pipes	3 000	8 000	18 000	50 000	60 500	76 000	100 000	124 000	146 000	152 000	159 000	132 000	155 000	161 000	165 000	173 000	181 000
	% Change	-	166.67%	125.00%	177.78%	21.00%	25.62%	31.58%	24.00%	17.74%	4.11%	4.61%	-16.98%	17.42%	3.87%	2.48%	4.85%	4.62%
Grand Total		2 438 000	2 463 000	2 465 000	2 532 000	2 564 500	2 593 000	2 630 000	2 667 000	2 697 000	2 707 000	2 717 000	2 600 000	2 616 500	2 618 500	2 633 000	2 649 500	2 667 500
% Change Total		-	1.03%	0.08%	2.72%	1.28%	1.11%	1.43%	1.41%	1.12%	0.37%	0.37%	-4.31%	0.63%	0.08%	0.55%	0.63%	0.68%

Source: BRG based on industry interviews.

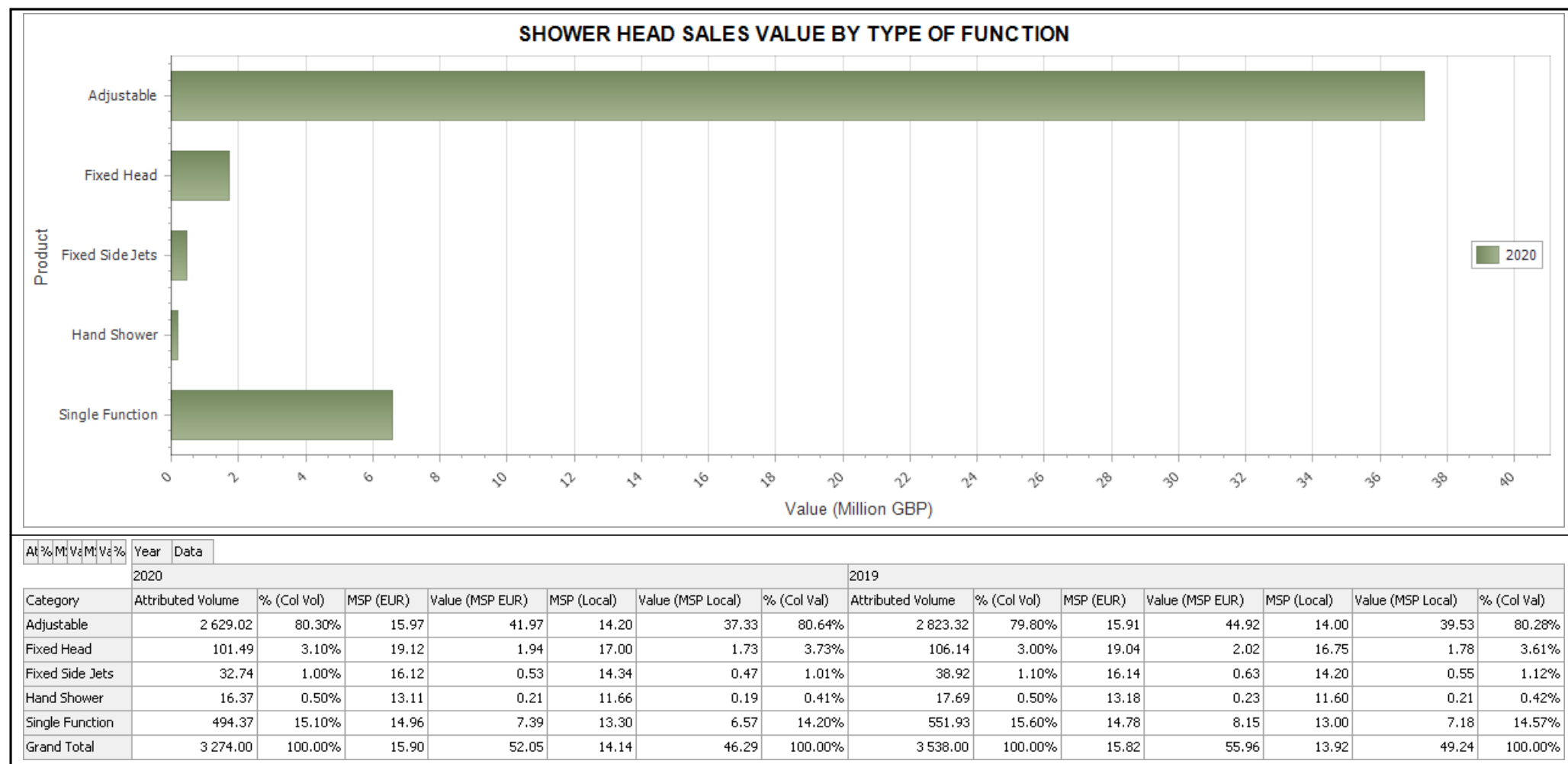
7.3.1 Prices and Market Values : Shower Accessories
UK - ESTIMATED VALUES OF THE SHOWER ACCESSORIES MARKET



Source: BRG based on industry interviews. Local Prices Shown in GBP. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

7.3.2 Prices and Market Values by Type : Shower Heads

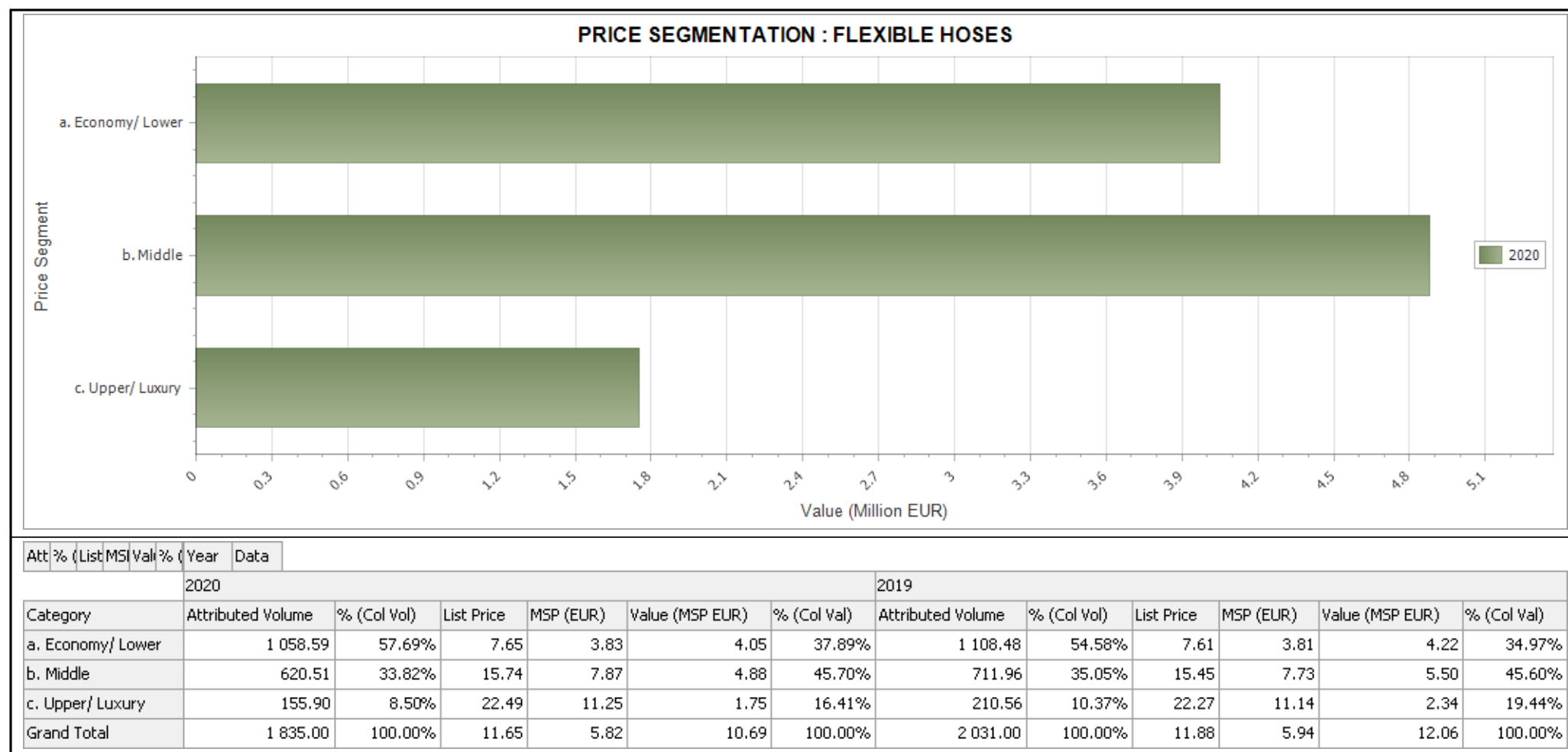
UK - ESTIMATED VALUES OF THE SHOWER HEAD MARKET BY TYPE OF FUNCTION



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in GBP. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

7.3.3 Price Segmentation : Flexible Hoses

UK - ESTIMATED PRICE SEGMENTATION FOR FLEXIBLE HOSES

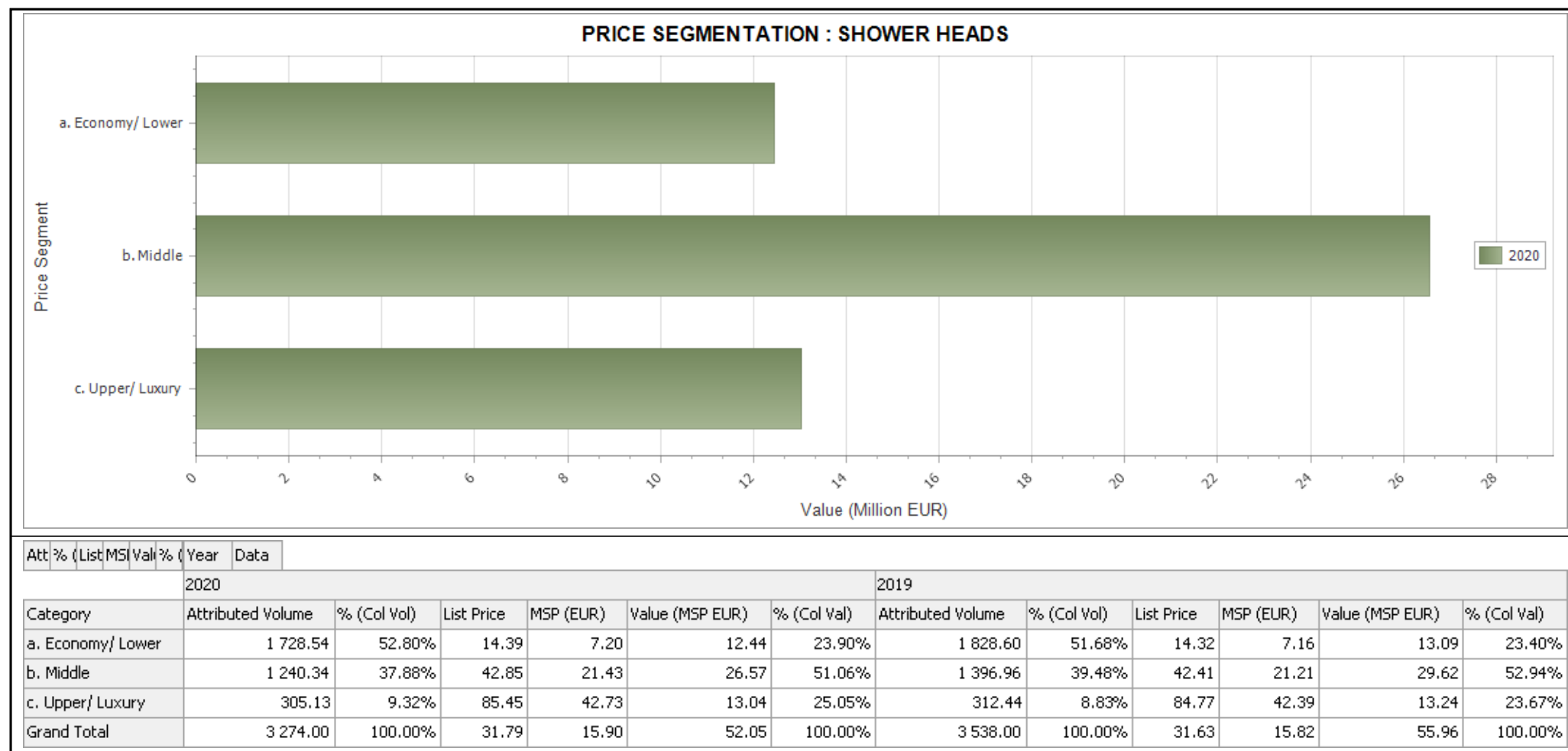


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€5, Middle €5-€10, Upper/ Luxury >€10

7.3.4 Price Segmentation : Shower Heads

UK - ESTIMATED PRICE SEGMENTATION FOR SHOWER HEADS

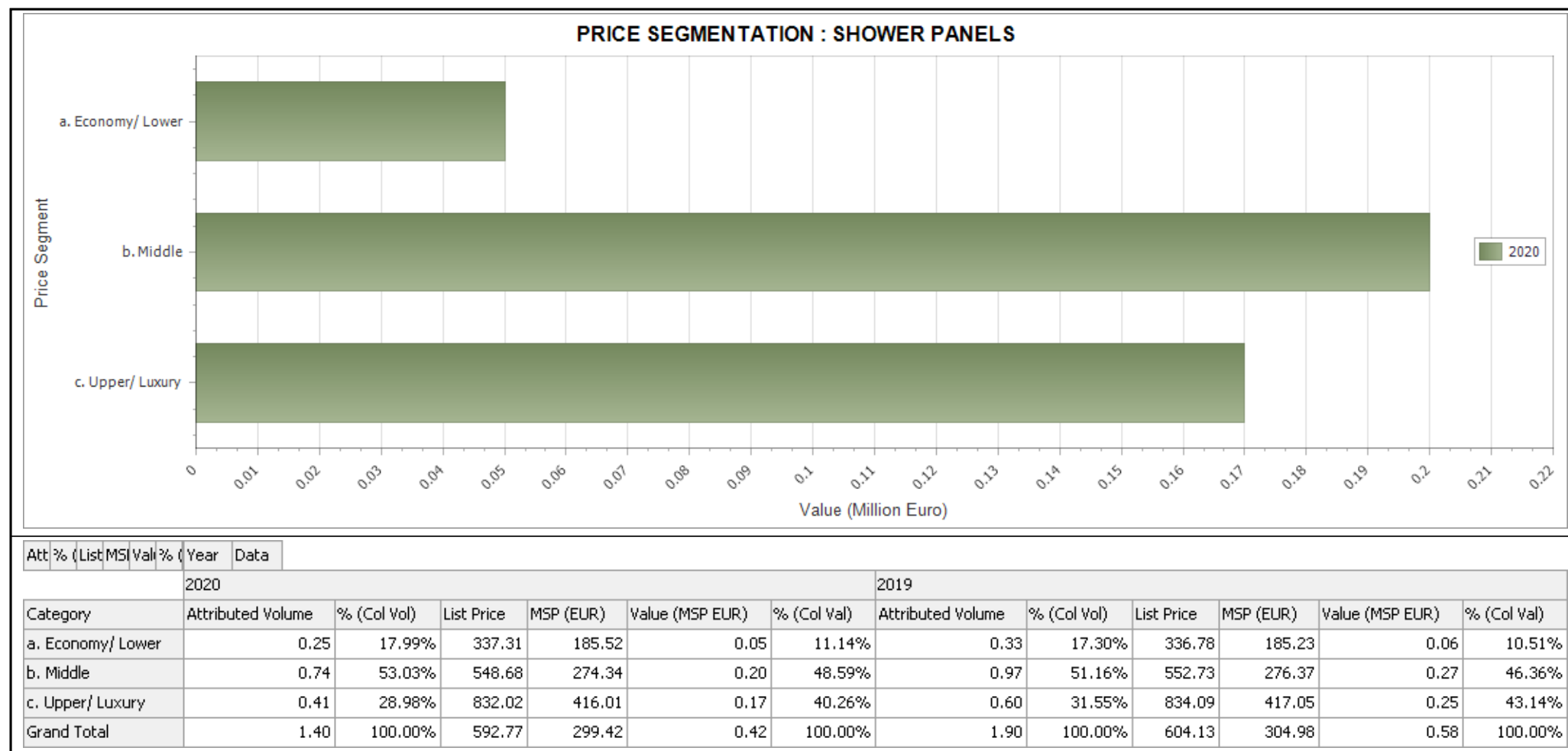


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€15, Middle €15-€30, Upper/ Luxury >€30

7.3.5 Price Segmentation : Shower Panels

UK - ESTIMATED PRICE SEGMENTATION FOR SHOWER PANELS

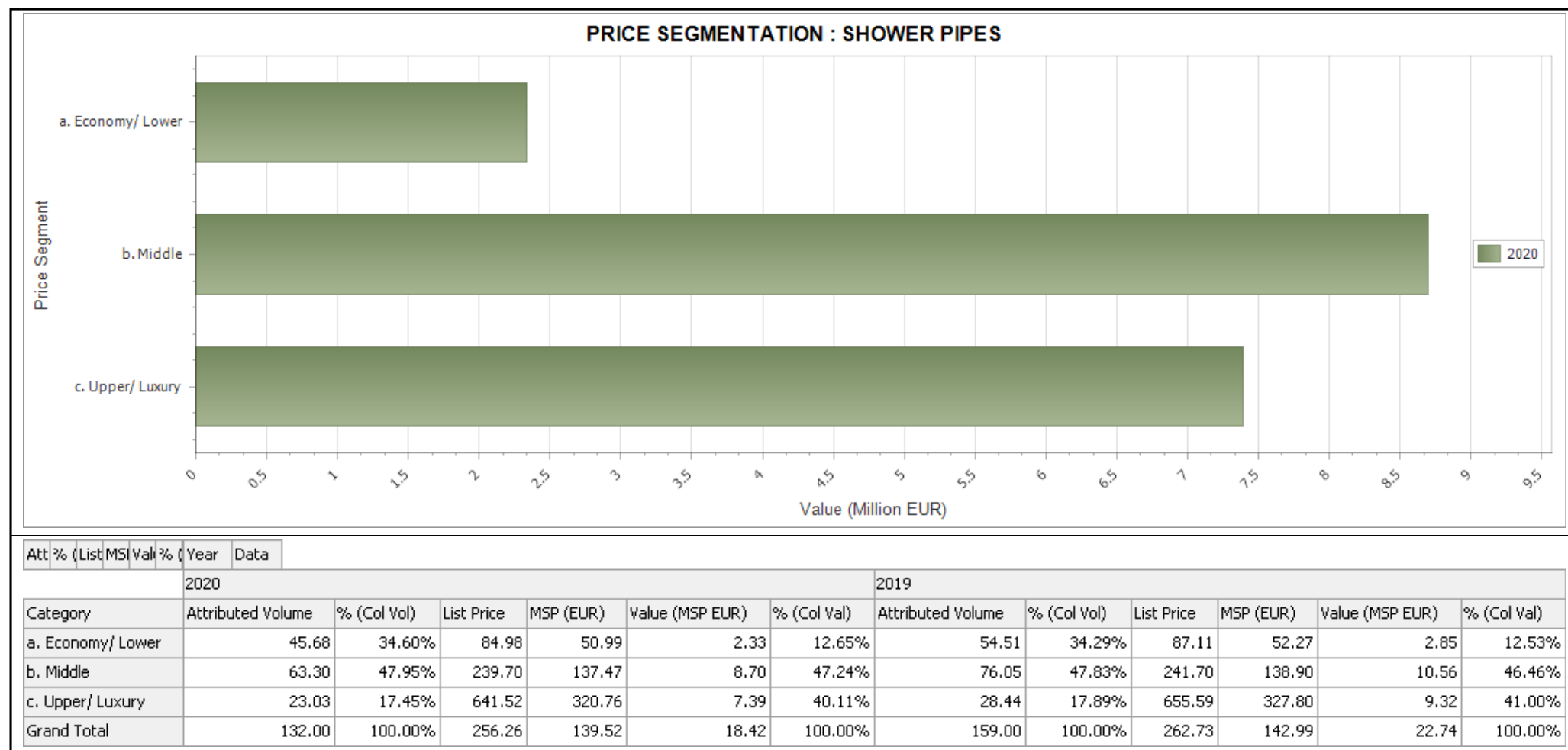


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€250, Middle €250-€350, Upper/ Luxury >€350

7.3.6 Price Segmentation : Shower Pipes

UK - ESTIMATED PRICE SEGMENTATION FOR SHOWER PIPES

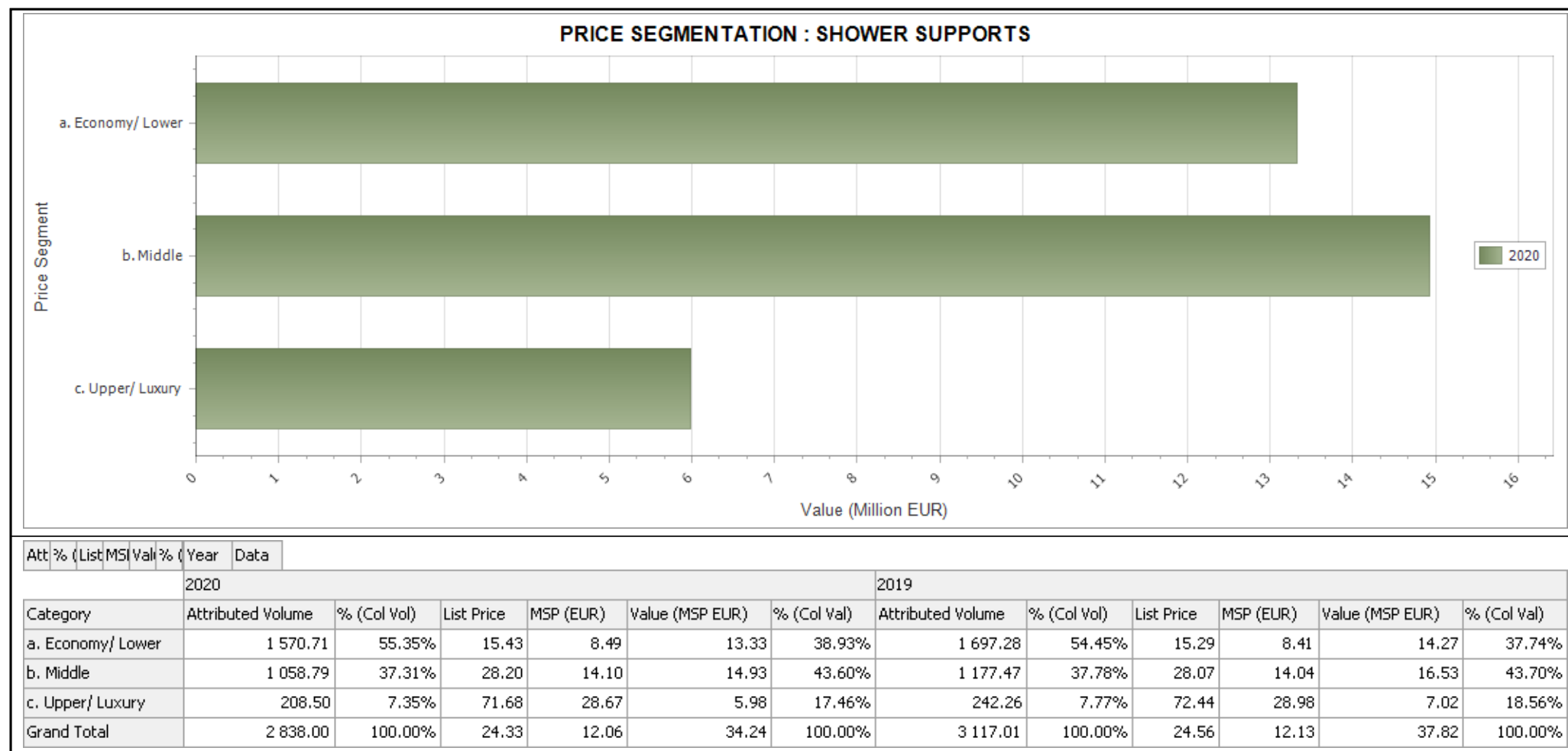


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€200, Upper/ Luxury >€200

7.3.7 Price Segmentation : Shower Supports

UK - ESTIMATED PRICE SEGMENTATION FOR SHOWER SUPPORTS

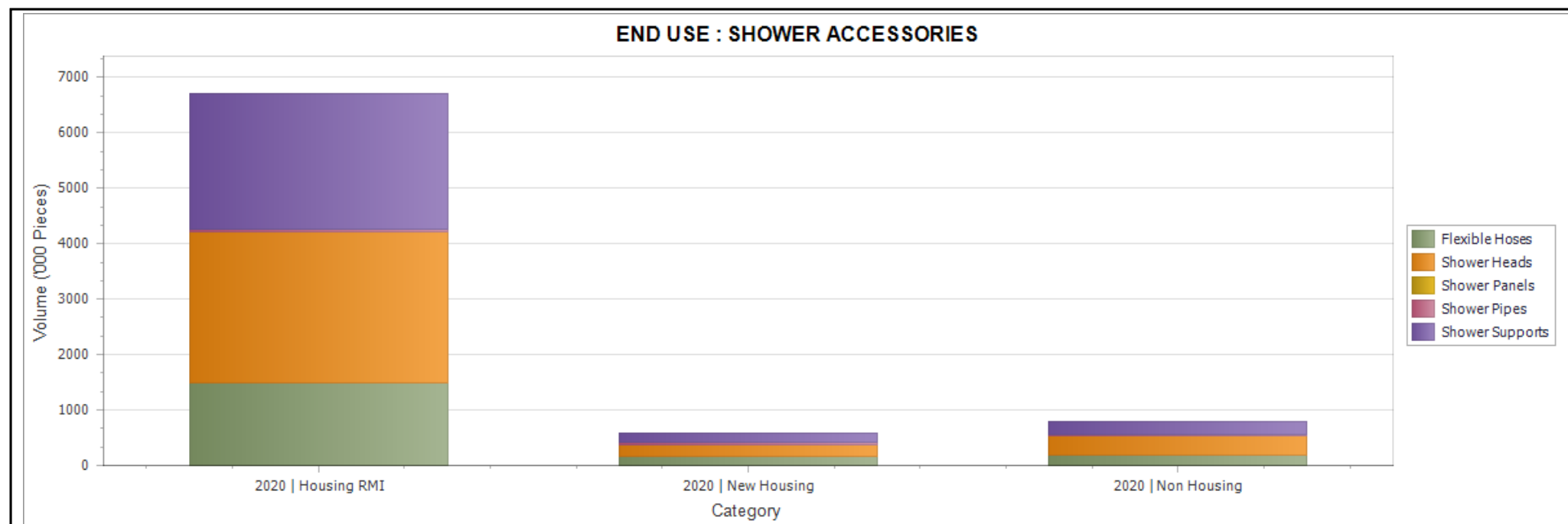


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€10, Middle €10-€20, Upper/ Luxury >€20

7.4.1 End Use : Base Year

UK - SALES OF SHOWER ACCESSORIES BY TYPE AND END USE SEGMENT ('000 PIECES)

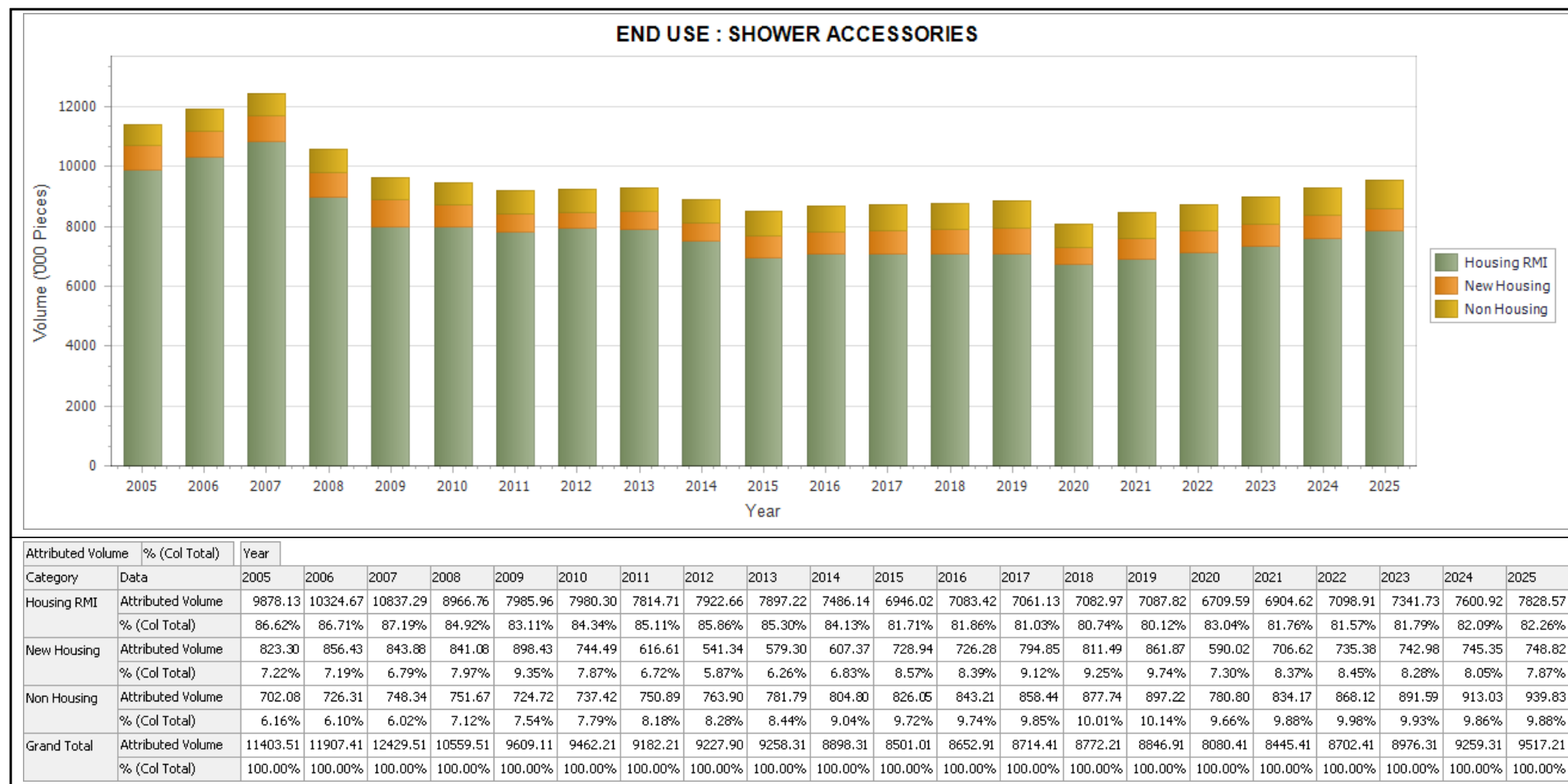


Attribu	% (Co	% (Ro	Year	Category	Data							
2020										2020 Total		
Housing RMI				New Housing			Non Housing					
Product	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)
Flexible Hoses	1496.78	22.31%	81.57%	161.76	27.42%	8.82%	176.46	22.60%	9.62%	1835.00	22.71%	100.00%
Shower Heads	2709.49	40.38%	82.76%	199.77	33.86%	6.10%	364.74	46.71%	11.14%	3274.00	40.52%	100.00%
Shower Panels	0.60	0.01%	42.58%	0.53	0.09%	37.52%	0.28	0.04%	19.90%	1.40	0.02%	100.00%
Shower Pipes	51.00	0.76%	38.64%	67.90	11.51%	51.44%	13.10	1.68%	9.93%	132.00	1.63%	100.00%
Shower Supports	2451.72	36.54%	86.39%	160.06	27.13%	5.64%	226.22	28.97%	7.97%	2838.00	35.12%	100.00%
Grand Total	6709.59	100.00%	83.04%	590.02	100.00%	7.30%	780.80	100.00%	9.66%	8080.41	100.00%	100.00%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.2 End Use : Historical and Forecasts

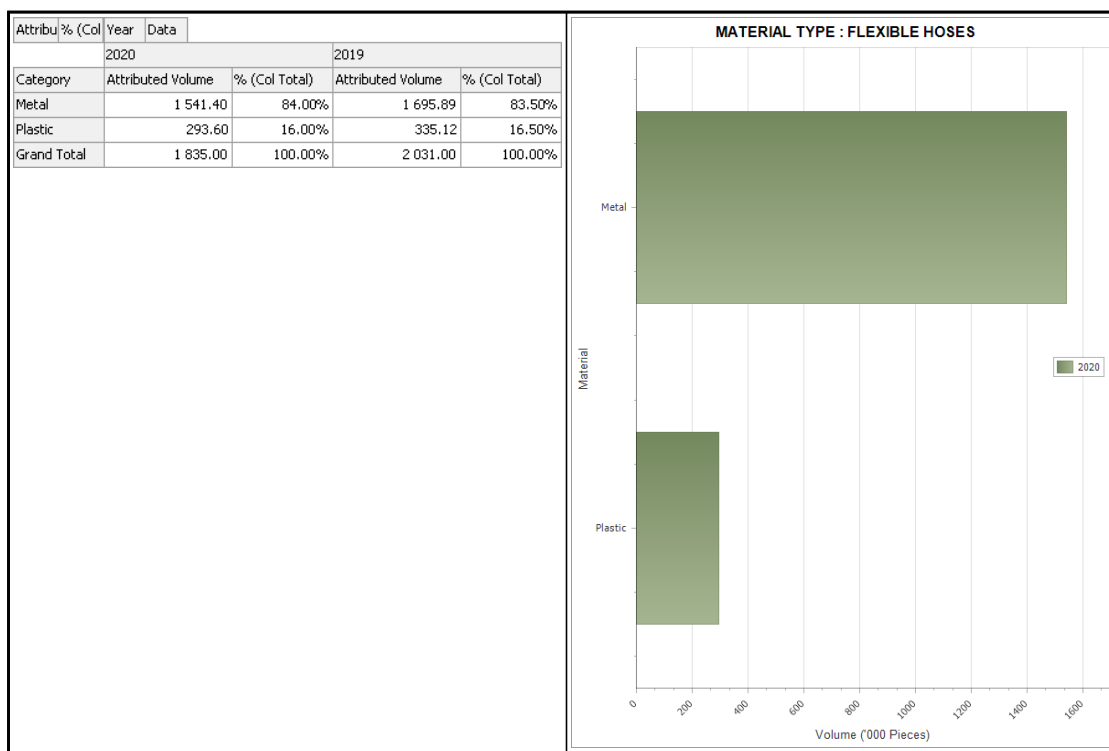
UK - SALES OF SHOWER ACCESSORIES BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.3 Sales By Type of Material : Flexible Hoses

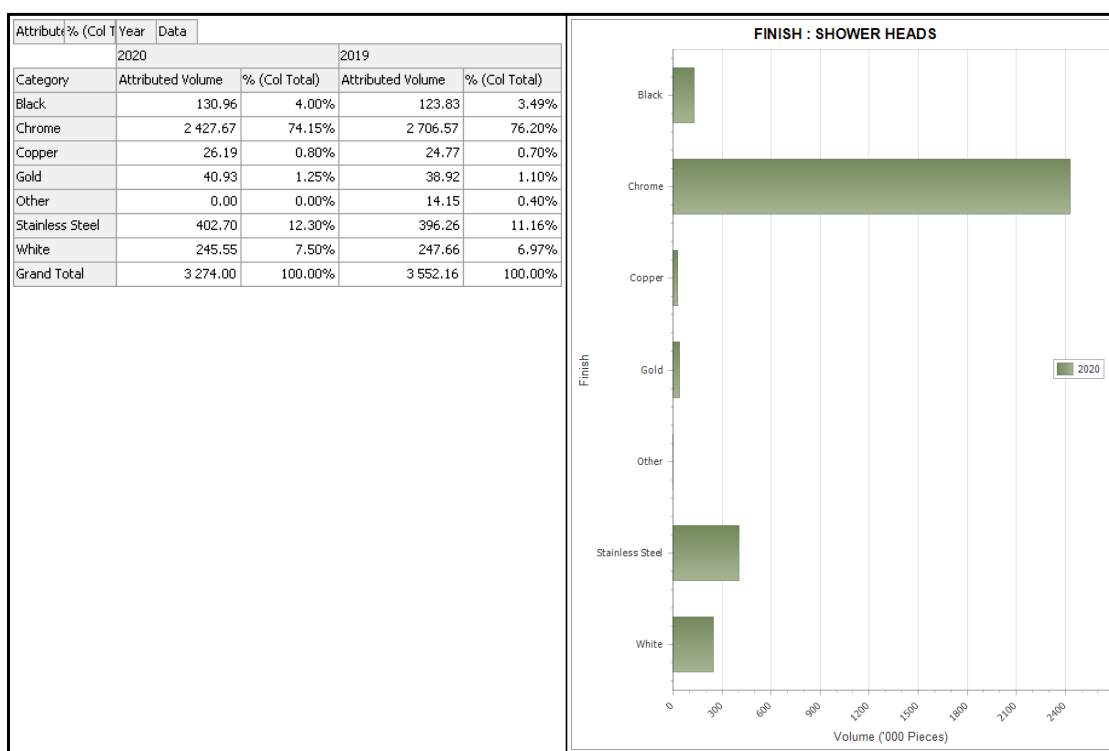
UK - FLEXIBLE HOSE SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews

7.4.4 Sales by Type of Finish : Shower Heads

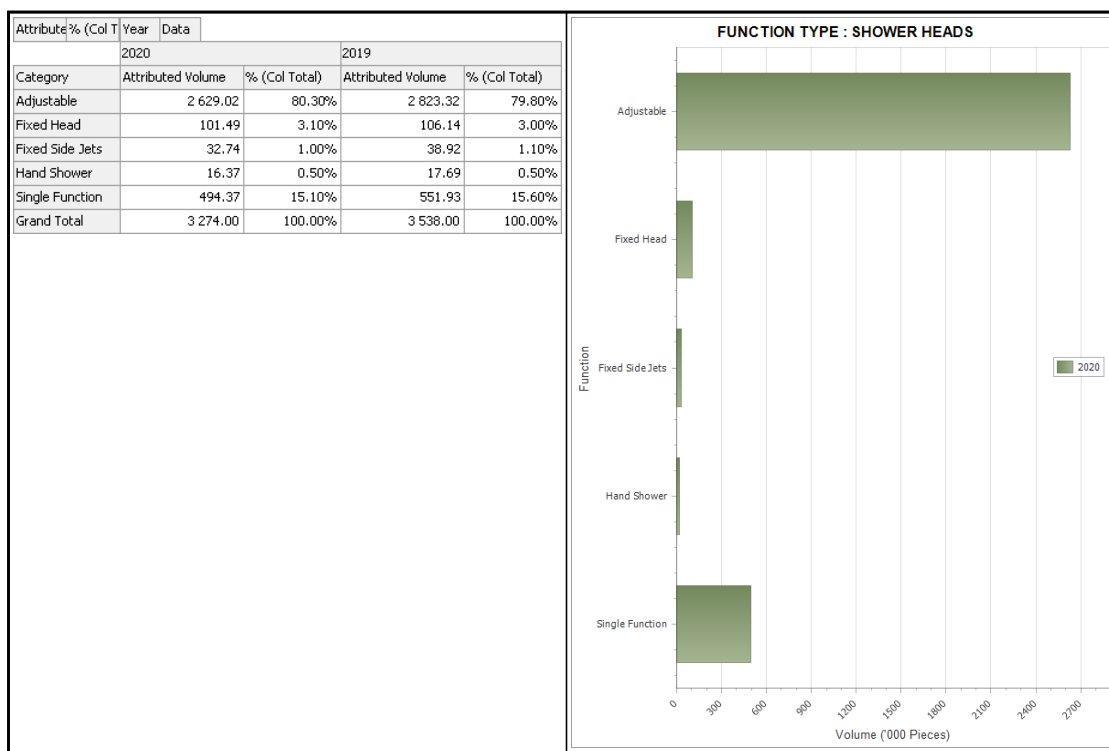
UK - SHOWER HEAD SALES BY FINISH TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.5 Sales By Type of Function : Shower Heads

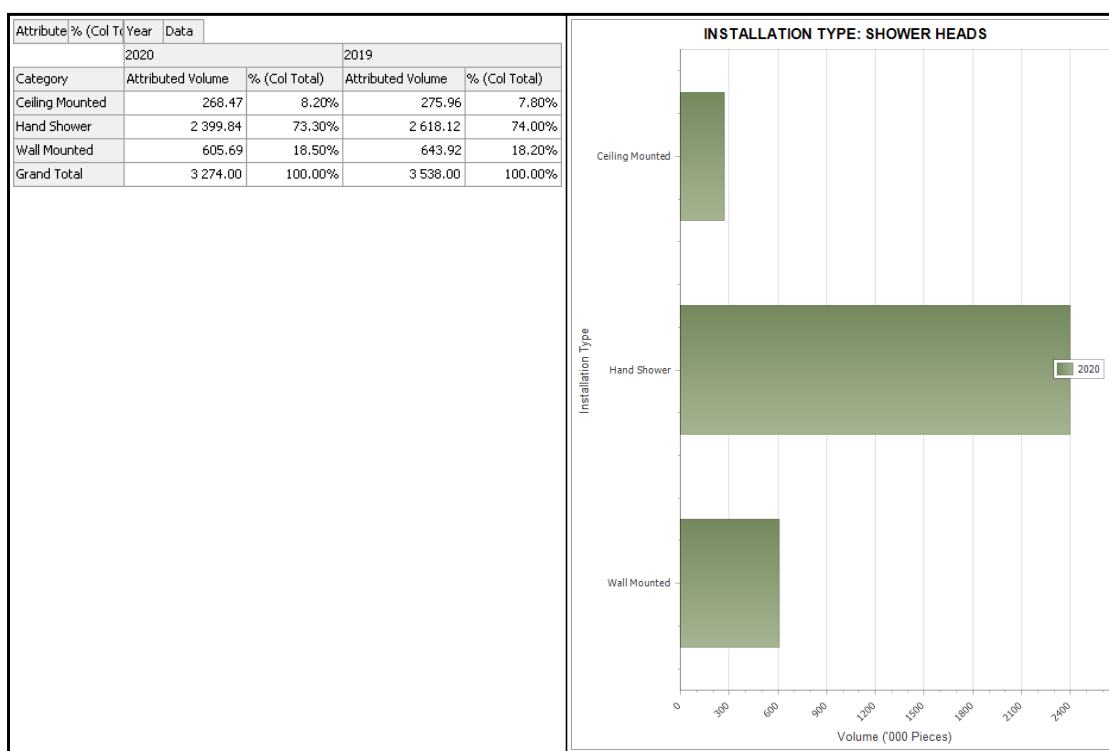
UK - SHOWER HEAD SALES BY FUNCTION TYPE ('000 PIECES)



Source: BRG based on industry interviews

7.4.6 Sales by Type of Installation : Shower Heads

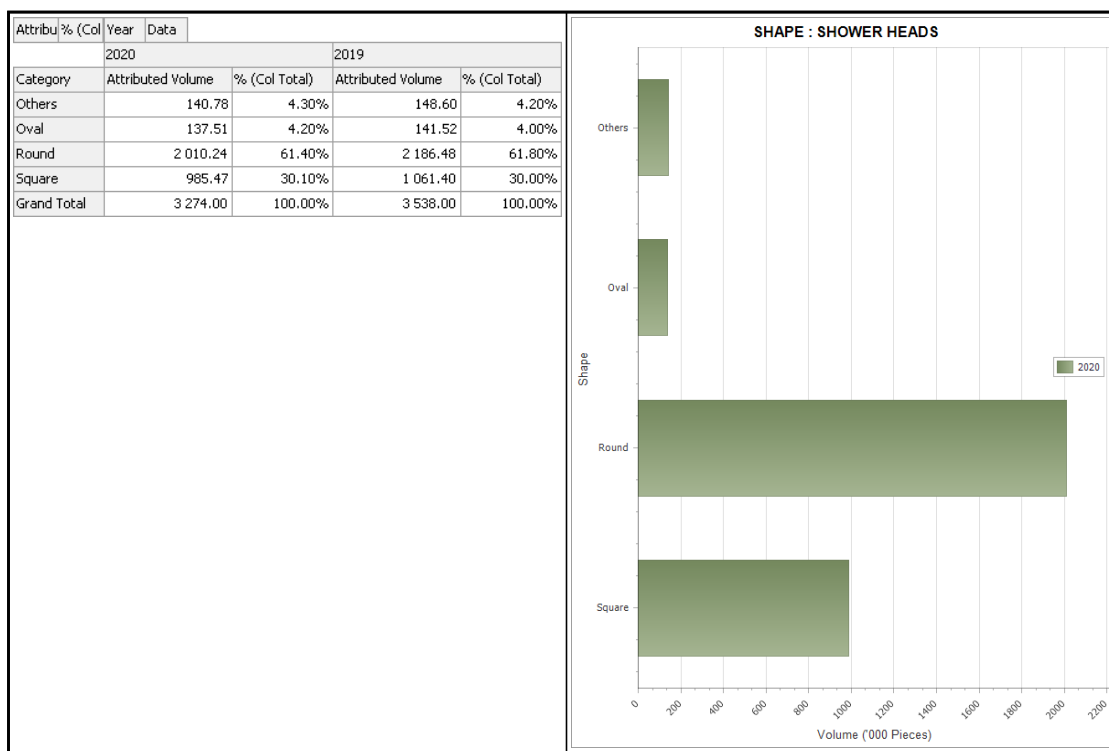
UK - SHOWER HEAD SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.7 Sales By Type of Shape : Shower Heads

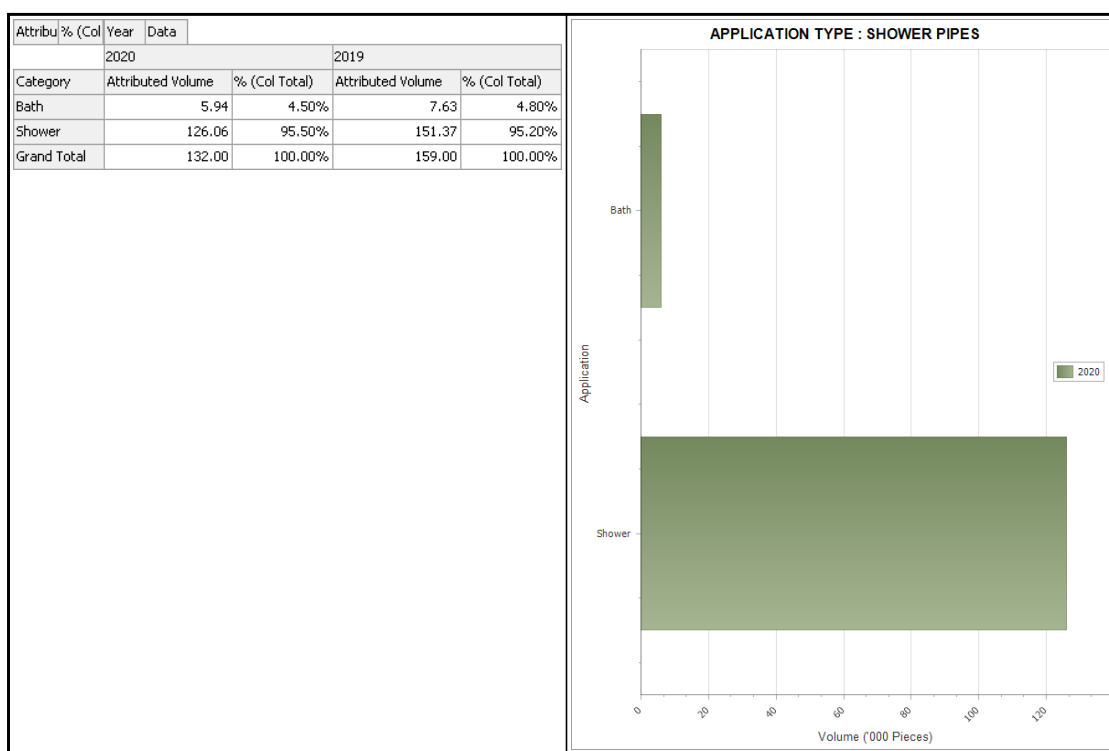
UK - SHOWER HEAD SALES BY SHAPE ('000 PIECES)



Source: BRG based on industry interviews

7.4.8 Sales by Type of Application : Shower Pipes

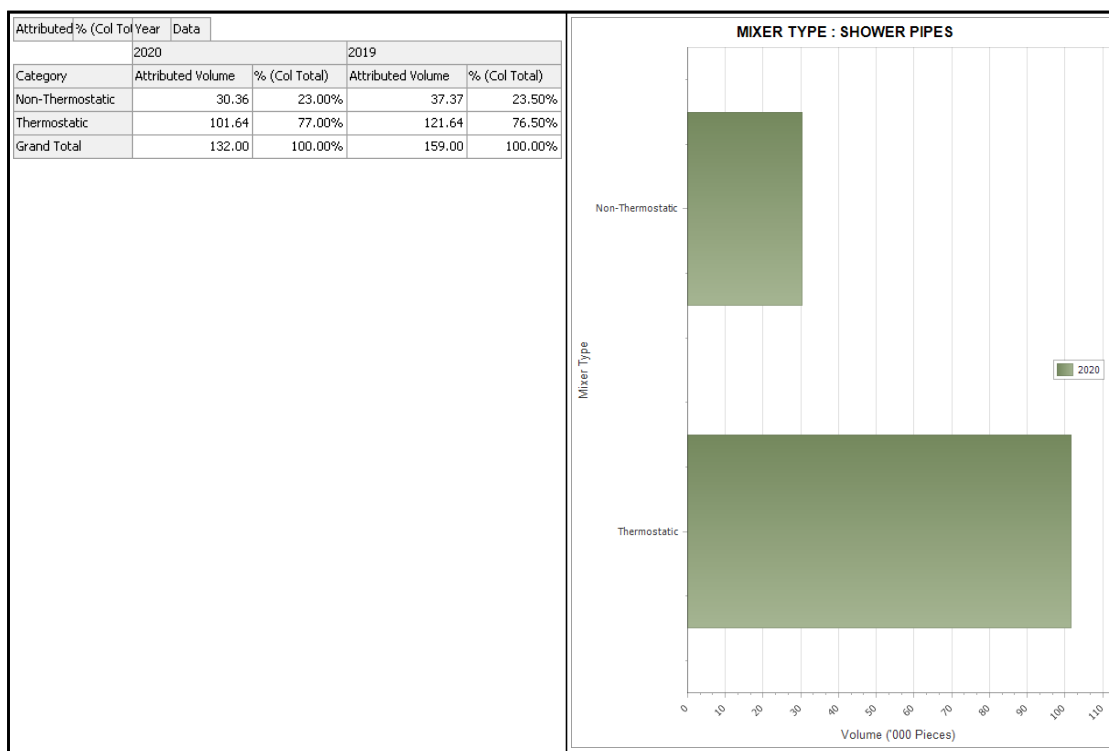
UK - SHOWER PIPE SALES BY APPLICATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.9 Sales by Type of Mixer : Shower Pipes

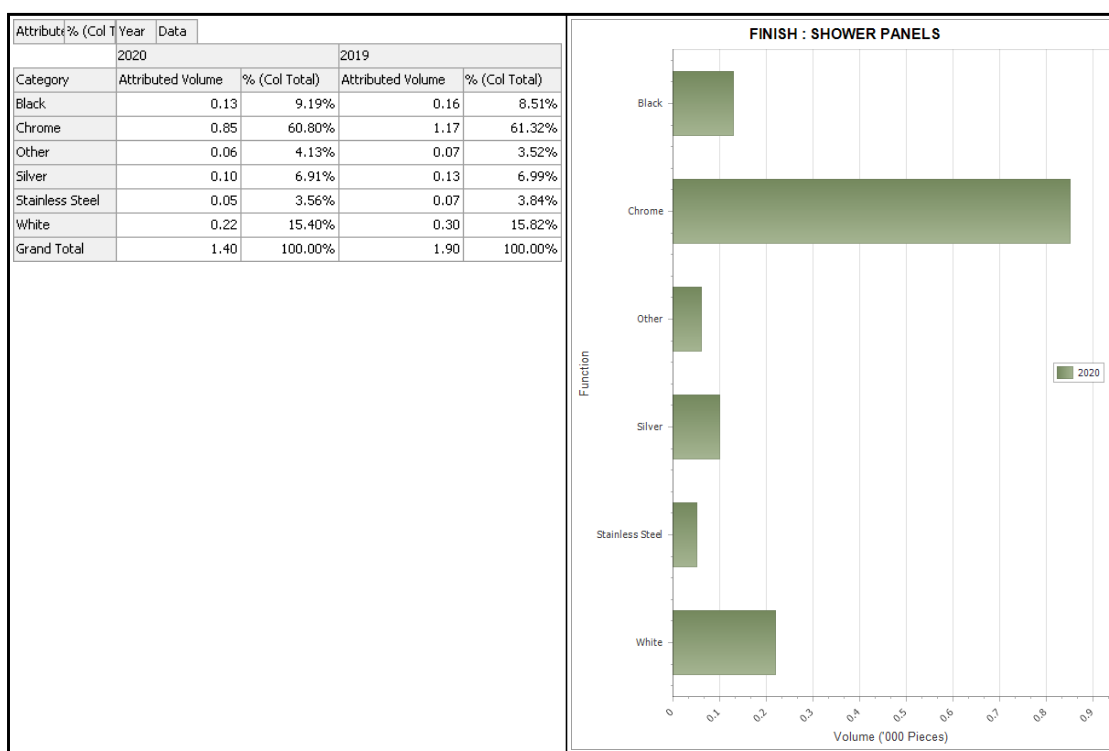
UK - SHOWER PIPE SALES BY MIXER TYPE ('000 PIECES)



Source: BRG based on industry interviews

7.4.10 Sales by Type of Finish: Shower Panels

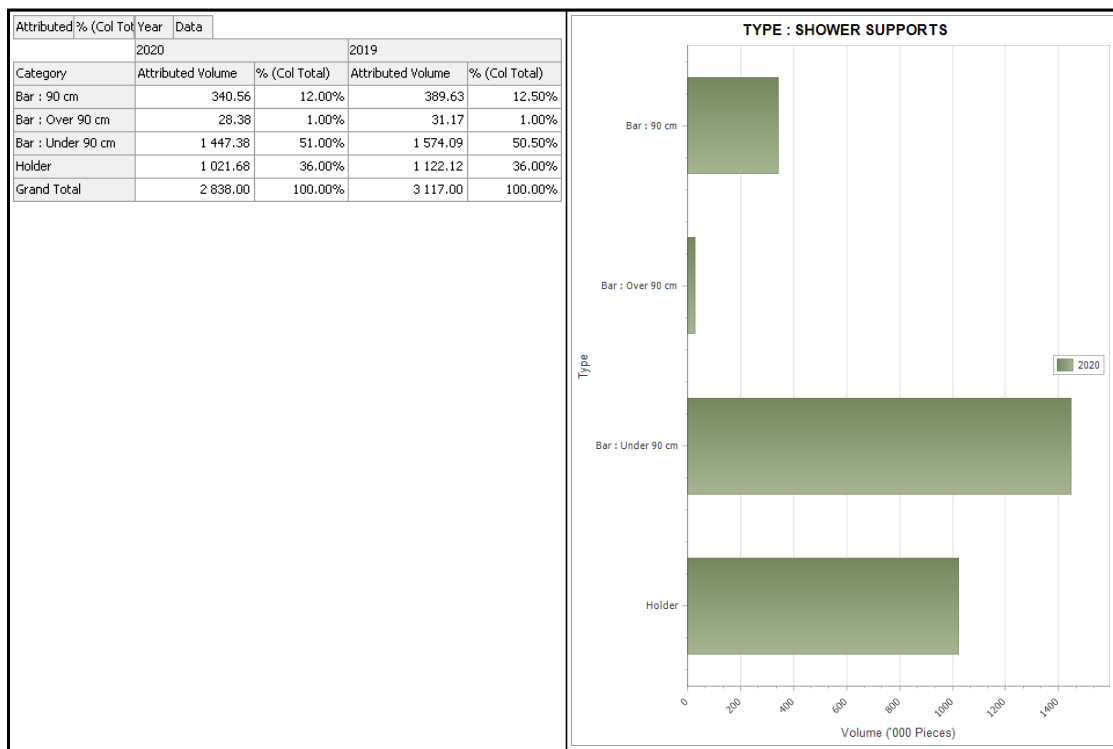
UK - SHOWER PANELS SALES BY FINISH TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.11 Sales By Type : Shower Supports

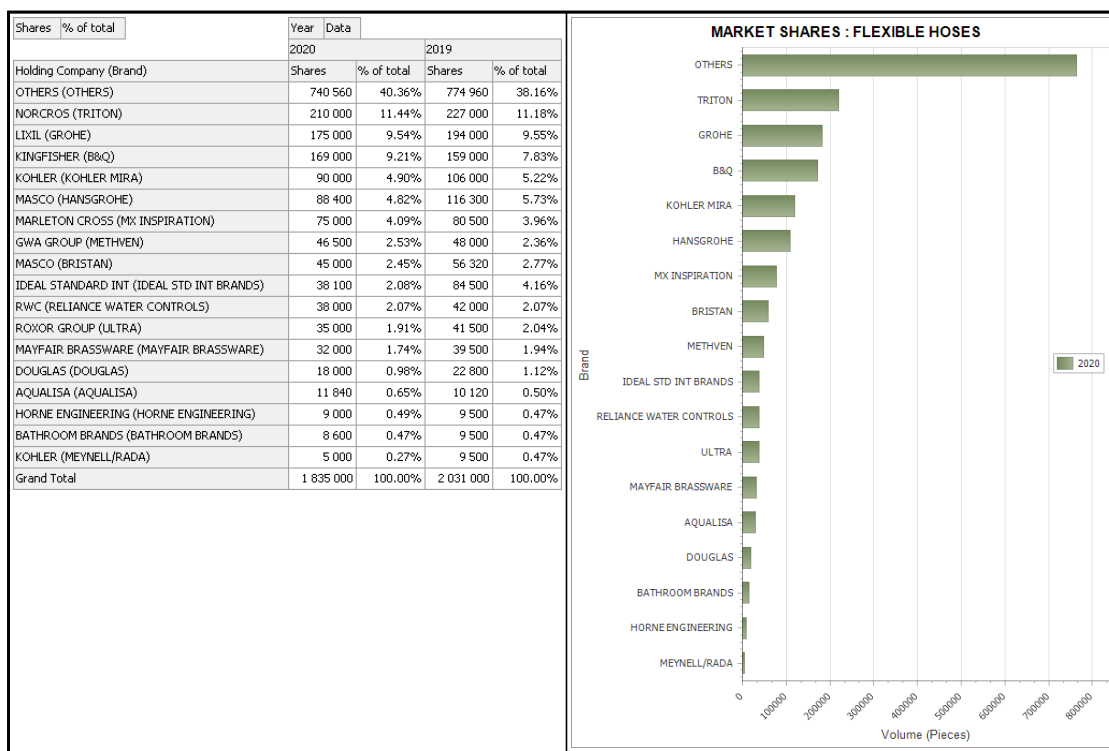
UK - SHOWER SUPPORT SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.5.1 Market Shares : Flexible Hoses

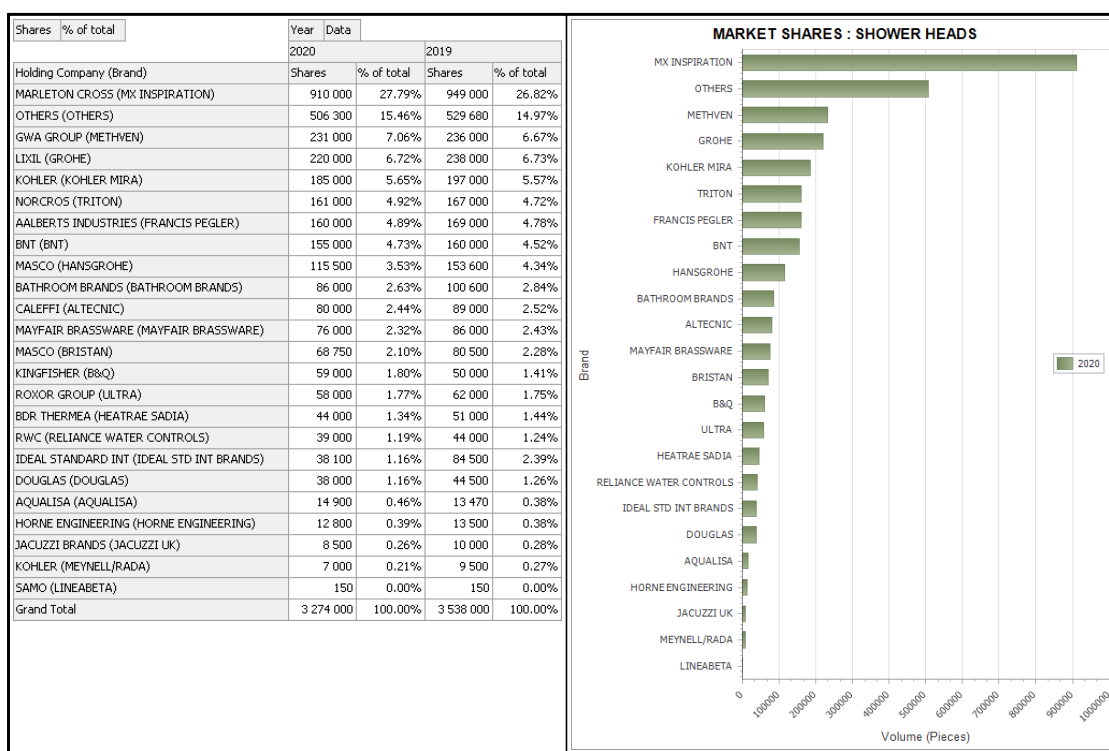
UK - ESTIMATED MARKET SHARES FOR FLEXIBLE HOSES



Source: BRG based on industry interviews.

7.5.2 Market Shares : Shower Heads

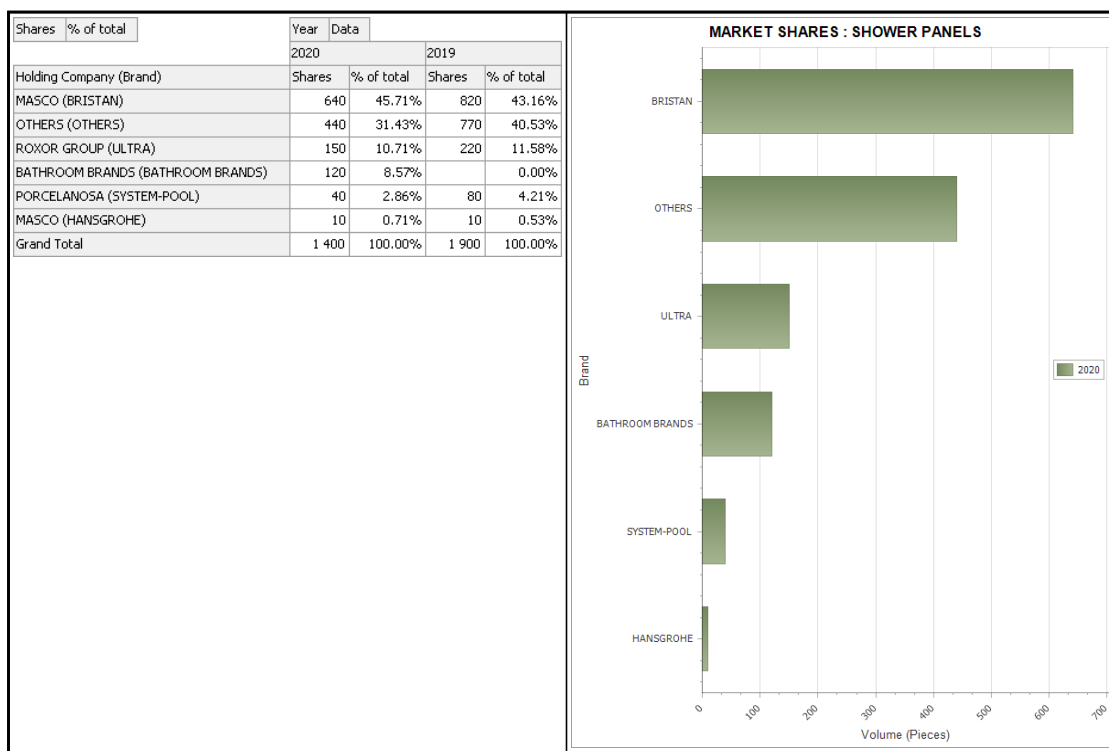
UK - ESTIMATED MARKET SHARES FOR SHOWER HEADS



Source: BRG based on industry interviews.

7.5.3 Market Shares : Shower Panels

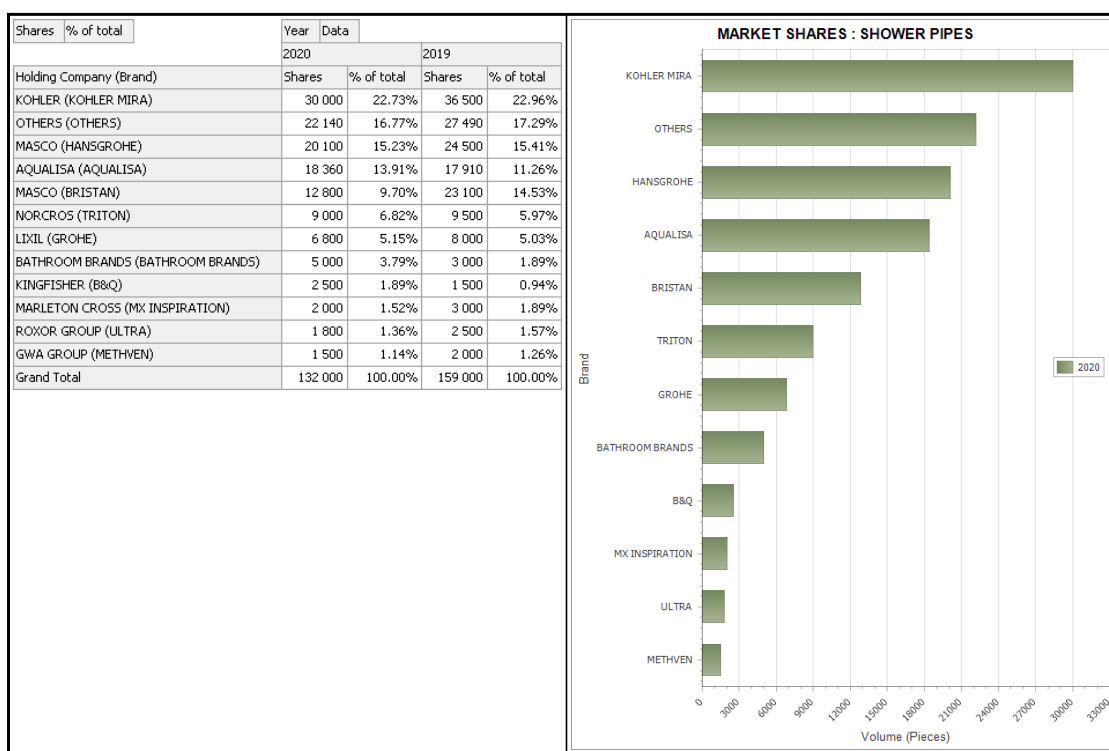
UK - ESTIMATED MARKET SHARES FOR SHOWER PANELS



Source: BRG based on industry interviews.

7.5.4 Market Shares : Shower Pipes

UK - ESTIMATED MARKET SHARES FOR SHOWER PIPES



Source: BRG based on industry interviews.

7.6.1 Route to Market: Shower Accessories
UK - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES: 2020

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	46.6%
	Wholesalers / Merchants
	46.6%

Retail Level	Manufacturer 13.3%	Wholesaler 4.4%	Manufacturer 28.9%	Wholesaler 8.0%	Manufacturer 11.2%	Wholesaler 10.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	17.7%		36.9%		21.2%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	12.0%	5.0%	7.5%	3.2%
Installers				
27.7%				

End Use Level	Manufacturer 0.0%	Wholesaler 11.4%	Internet 10.5%	DIY 28.4%	Specialist 15.0%	Installer 25.0%
	Residential					
	90.3%					
	New Build					
	7.3%					
	Residential RMI					
	83.0%					
	Project	Non-Project	Project	Non-Project		
	5.5%	1.8%	2.5%	80.5%		
	Non-Residential					
	9.7%					
	New Build					
	2.6%					
	Non-Residential RMI					
	7.1%					
	Project	Non-Project	Project	Non-Project		
	0.9%	1.7%	2.1%	4.9%		

7.6.2 Route to Market: Shower Accessories
UK - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES: 2025

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	46.3%
	Wholesalers / Merchants
	46.3%

Retail Level	Manufacturer 14.1%	Wholesaler 5.2%	Manufacturer 28.8%	Wholesaler 7.8%	Manufacturer 10.8%	Wholesaler 9.8%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	19.3%		36.6%		20.6%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	11.5%	5.2%	7.3%	3.7%
Installers				
27.7%				

End Use Level	Manufacturer 0.0%	Wholesaler 11.4%	Internet 11.5%	DIY 28.4%	Specialist 14.0%	Installer 24.9%
	Residential					
	90.1%					
	New Build					
	7.9%					
	Residential RMI					
	82.3%					
	Project	Non-Project	Project	Non-Project		
	5.9%	2.0%	2.5%	79.8%		
	Non-Residential					
	9.9%					
	New Build					
	2.7%					
	Non-Residential RMI					
	7.2%					
	Project	Non-Project	Project	Non-Project		
	0.9%	1.7%	2.2%	5.0%		

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

7.6.3 Route to Market - Consolidated View : Shower Accessories

UK - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES : 2020

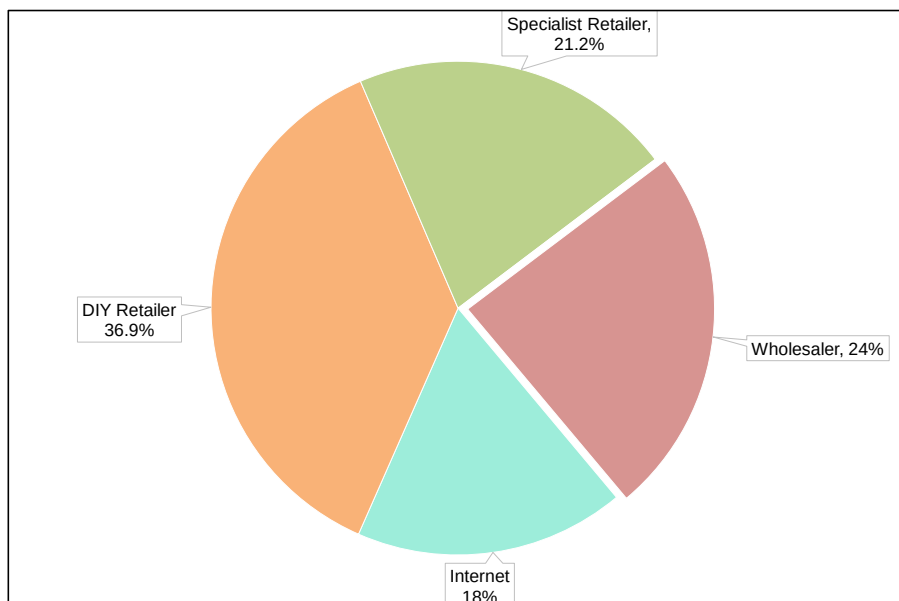
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
24.2%	17.7%	36.9%	21.2%	0.0%	8.0%	3.0%	82.4%	6.6%
100%					11.0%		89.0%	

7.6.4 Route to Market - Consolidated View : Shower Accessories

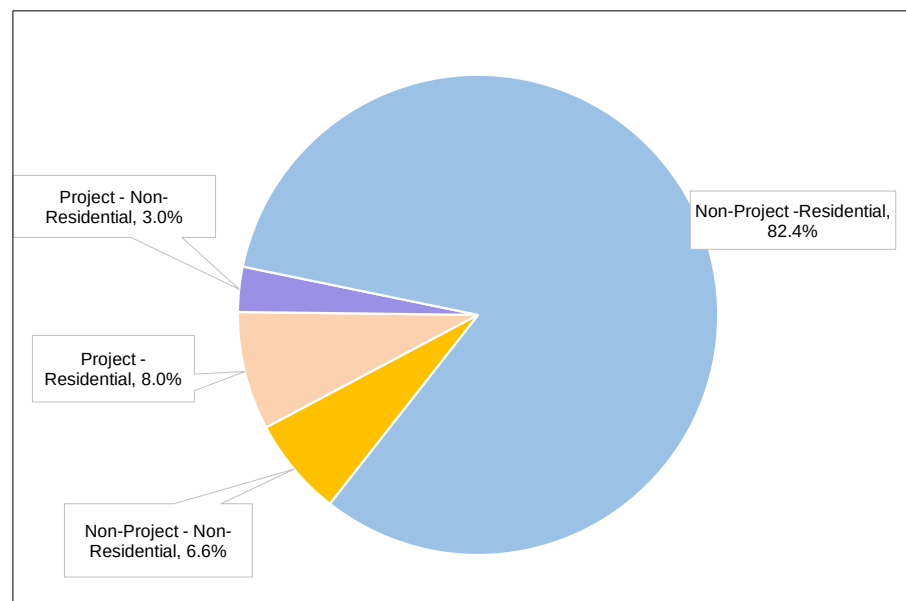
UK - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
23.5%	19.3%	36.6%	20.6%	0.1%	8.4%	3.1%	81.8%	6.8%
100%					11.5%		88.5%	

UK - SALES OF SHOWER ACCESSORIES BY DISTRIBUTION CHANNEL: 2020



UK - SALES OF SHOWER ACCESSORIES BY POINT OF DECISION AND END-USE SECTOR: 2020



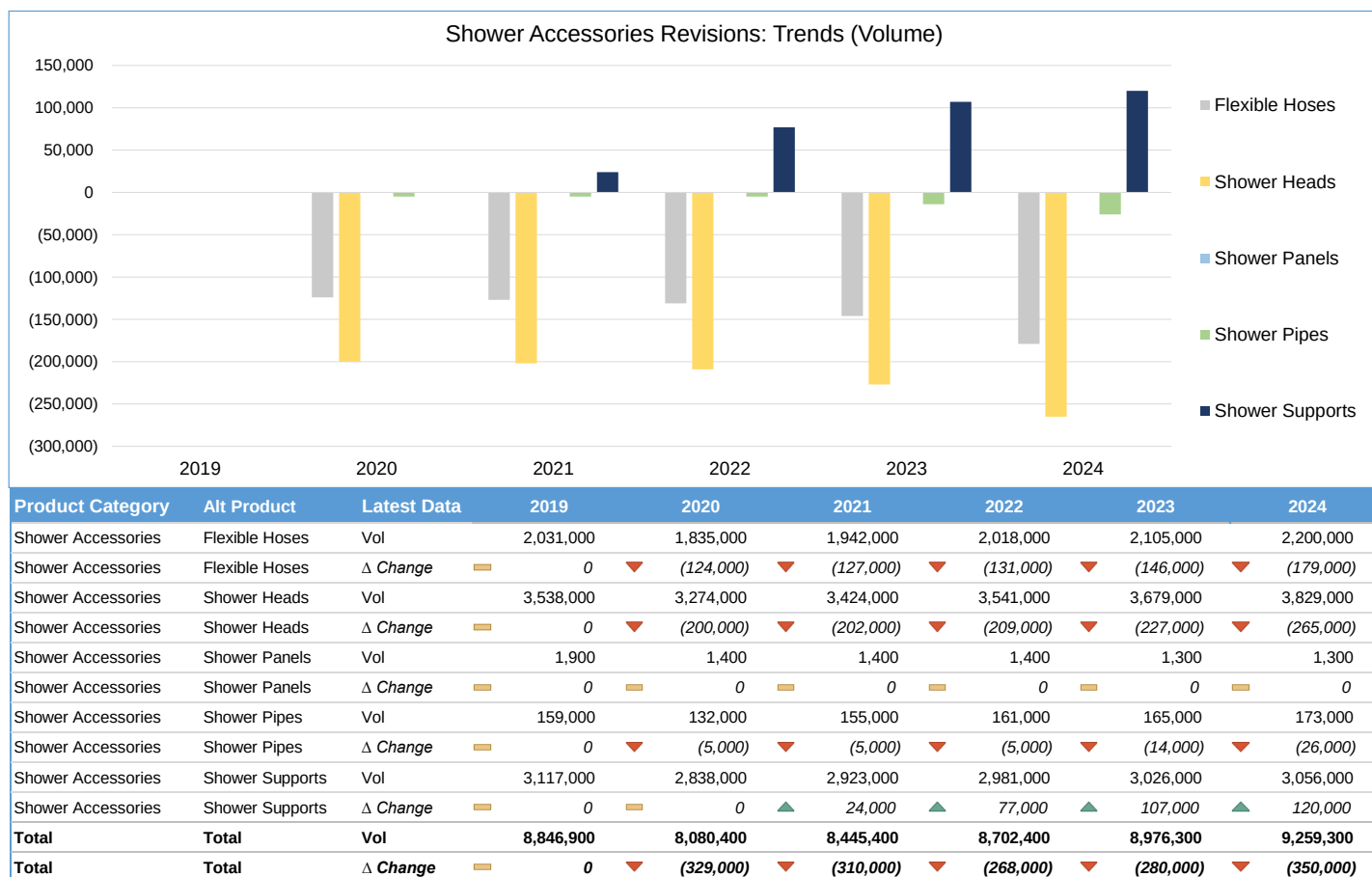
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

7.7 Revisions in the UK Shower Accessories Market (April 2021)

UK - REVISIONS IN THE UK SHOWER ACCESSORIES MARKET

Data Comparison: October 2020



No revisions have been made to historical volumes for this market.

Minor adjustments were made to the price segment split of some manufacturers sales due to their input, with more of a bearing towards the middle and upper segments, which subsequently led to a slight increase in some of the prices.

Shower pipe MSPs were revised downwards considerably for all years. This was largely based on further data from manufacturers as well as analysis of import data. The prices were previously too high for both non-thermostatic and thermostatic types.

UNITED KINGDOM

KITCHEN SINKS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The lack of RMI activity and the decrease in new homes completed during the UK's economic recession, following the global financial crisis, significantly reduced demand for kitchen products from 2008 to 2012. The market has since developed well with stainless steel occupying the majority share with their durability and pricing making them incredibly attractive to housing contractors. In more recent years, consumers have opted for more designer looking sinks in ceramic kitchen sinks.

Historically, enamelled steel sinks have not enjoyed much success in the UK and, at present, have nearly disappeared from the market. The last significant sales of enamelled sinks were estimated to have occurred towards the end of the last decade, and the manufacture of such products within the UK is all but terminated. The vast majority of the kitchen sink park in the UK consists of inset steel sinks, which last for around 25 years (many manufacturers offer a 25-year guarantee). As a result, the major sales driver is kitchen redesign rather than distressed replacement. Therefore, kitchen sink sales trends have aligned closely with macroeconomic trends, especially consumer spending and consumption. One bowl kitchen sinks have remained the bulk of sales for all kitchen types as they offer plenty of space in which to wash big dishes and pots. They have remained favourable over the years as they are typically inset, which occupy the majority share in installation, or surface mounted which are compatible with all types of worktops. Over the years the distribution of kitchen sinks has changed with the DIY market losing share to the growing internet retail sector and some specialist retail stores such as MAGNET as they provide extensive kitchen design services.

Recent Market Trends

The overall UK kitchen sinks market contracted strongly in 2020, due to the onset of the COVID-19 outbreak from early in the year, with sales virtually ceasing for the majority of Q2. Sales to all end-use segments were markedly down due to the first national lockdown and several manufacturers having issues getting stock into the market, with the main issue becoming supply and stocking. Stainless steel sinks saw a strong contraction overall and were not aided in the decline in new build where they are a favoured option, for their durability and rapidly decreasing price point, for housing contractors; although, rising steel costs may influence this. Although the kitchen has become a more social focal point in the UK home over the last few years and the refurbishment of this room has been a higher priority for consumers, they still prefer to spend more money on their kitchen taps and mixers rather than their kitchen sink. As a result, most consumers tend to opt for cheap highly durable steel and ceramic sinks rather than more expensive synthetic variants. A slightly different trend was evident in the marketplace in 2020 with homeowners choosing to spend money on a bathroom refurb rather than a kitchen refurb which generally tends to be more expensive, this in hindsight prevented the RMI segment from performing better.

Prices and Market Values

The average MSP across all kitchen sinks saw a marginal increase in 2020, with stainless steel increasing the most, due to rising steel costs and rising importation prices. With DIY retailers remaining open for most of 2020, this led to an increased number of sales to the economy/lower segment, which subsequently led to restrictions on price growth. Due to volumes being very marginal it did not have much of a bearing on the overall price development; however, coloured synthetic kitchen sinks brought some value into the marketplace in 2020.

New Housing

The new housing market for kitchen sinks saw a strong decline in 2020, in line with the increasing level of housing completions. The new housing segment continues to be an important sector for the kitchen sinks market, as almost every household requires at least one kitchen sink. Steel sinks are preferred in this sector due to their durability and low price point. Kitchen sink sales are expected to return to growth from 2021, with construction expected to recover well for both apartments and family homes.

Housing RMI

Kitchen remodelling activity in existing dwellings remains the most important market, with the vast majority of kitchen sink sales sold into this segment. The RMI market particularly favours the trend towards installation of inset ceramic kitchen sinks, which have become more popular over the last few years. Most consumers, however, still prefer to purchase their kitchen products as part of an overall kitchen plan, which gives companies that offer a complete set the most control when selling into this key market segment. Overall RMI performance of kitchen sinks was quite negative in 2020 due to supply issues and homeowners investing more of their money in bathroom upgrades/refurbs rather than a full kitchen refurb. RMI is expected to recover and return to growth in 2021 as the economy and market stabilises.

Non-Housing

Commercial sales of kitchen sinks remain minimal in the UK, in comparison to sales on the residential market. The vast majority of commercial kitchen sinks are stainless steel, as most non-housing sales are usually into restaurants, office kitchens and hotels where ease of use and durability, as well as ease of cleaning and hygiene advantages, are favoured over design. The commercial market contracted in 2020 due to the impact felt from the national lockdown, imposed due to the COVID-19 pandemic. Overall volumes to the commercial sector are expected to return to growth from 2021 onwards and aid in market development, despite volumes being very minimal here.

Supply Structure

Each segment of the sinks market is dominated by a small number of manufacturers and each has an outright market leader. The ceramic sinks market is particular in that it is supplied by some traditional bathroom ceramic sanitary ware manufacturers such as TWYFORD, FRANKE and CAPLE.

Sink manufacturers tend to supply mixers with some of their sinks, such as FRANKE. This works well when sales are made through independent retailer accounts; however, merchants and DIY retailers who both tend to hold their own stocks of mixers are often reticent to buy mixers from the sink manufacturers. The margins to be made in selling mixers with sinks are significantly advantageous to the sink suppliers. Sinks are increasingly being viewed as the driver of mixer sales by the manufacturers in this market. Mixers are sourced by sink manufacturers from a number of suppliers, with each sink manufacturer likely to buy in from several different mixer manufacturers. As a result, RANGEMASTER and FRANKE have the greatest market share due to their strong range of kitchen mixers as well as sinks.

ASTRACAST went into administration in 2018 and have now left the market.

Possible collaborations between worktop and sink manufacturers are likely to grow in the near future. Particularly with flush mounted sinks, the sink must be compatible with the worktop and vice versa, and specifications often involve both suppliers to join together. Most sinks are manufactured in group production facilities in the UK. Other players in the market include FRANKE and CAPLE.

RANGEMASTER sells mostly direct to large retailing and DIY retailing companies, as well as contractors. The company has forged its name through volume sales to multimillion pound accounts (amongst others: B&Q and WICKES). The company sells only limited volumes through specialist distributors.

FRANKE targets its products mostly at the higher end of the market and sells the majority of its sinks through independent retailers/boutiques. The company has a small logistics infrastructure of its own, selling virtually all of its sinks to specialist distributors which then distribute the products to retail customers trading under the FRANKE brand to the general public. FRANKE sources products from VILLEROY & BOCH and RAK CERAMICS from the UAE. CAPLE's (owned by MAURICE LAY DISTRIBUTORS) products are sold through merchants and retailers alike, as well as to the contract market. Tap manufacturer BRISTAN joined the kitchen sinks market when they brought out a stainless-steel sink towards the backend of 2018, fully entering in 2019. They saw good growth in a declining market, in 2020, benefiting from their distribution channels.

Forecasts

The overall kitchen sinks market is expected to see strong recovery in 2021 and reclaim a good chunk of the sales lost in 2020, with construction for both residential and non-residential returning to be a key driver for growth. Given a no deal Brexit was avoided and a free trade deal was struck between the UK and EU at the end of 2020, this should restore some confidence in consumers and prompt them to spend a bit more, with an expected recovery in the RMI segment. Another key and potentially more important factor in restoring confidence into the UK population is the vaccine rollout which has been prevalent as of December 2020, with more UK citizens getting the jab. On the other hand, with more people getting vaccinated and lockdown restrictions slowly being lifted, this could ultimately lead to more people wanting to travel rather than staying home or some homeowners could still be apprehensive about travelling and choose to delay travelling. Nonetheless, irrespective of what most of the UK population choose to do, the overall market is expected to return to growth, driven by a recovery in new build residential and non-residential construction.

Stainless steel sinks should benefit the most from a recovery in new housing completions, due to their durability and low price point. RMI is expected to be the key driver for growth over the forecast period, particularly from the medium term as new dwelling completions look set to slow down. Ceramic sinks should stay strong in the middle to upper sector of the market, and stainless-steel sinks replacing old products for durability, hygiene and low cost. The UK kitchen sink market recovery is likely to be sustained and supported by the increase in RMI activity, as consumer discretionary spending anticipates recovering and increasing. Coloured synthetic sinks should see an increase in sales, although these volumes are very miniscule in the marketplace.

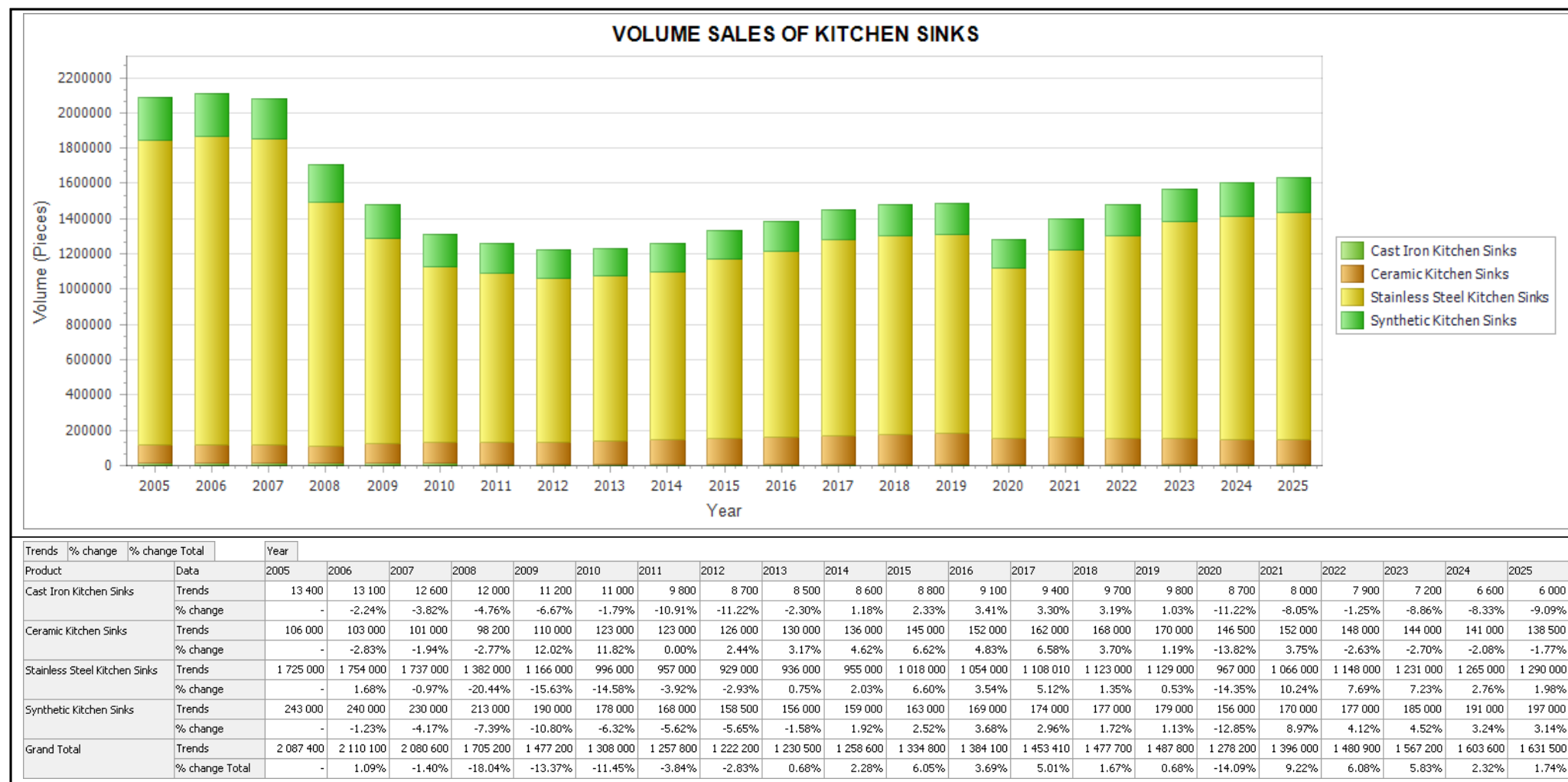
The increase in internet distribution is likely to enable consumers to obtain higher quality products at lower prices, which will put pressure on traditional distribution channels such as independent merchants and DIY. The specification market is expected to see a slowdown in the medium term, making the recovery in RMI even more pivotal as it remains the most important market driver and, with the expected slowdown in new housing completions, improving consuming confidence alongside earnings will remain the most important drivers. It is also worth noting that specialist kitchen retailers such as MAGNET, which provide extensive kitchen design services, will become increasingly appealing to consumers over the coming years. With stainless steel kitchen sinks remaining more affordable than synthetic and ceramic sinks, the former two are expected to still be in growth but to gradually lose share to this dominant product type.

With the UK and EU agreeing on a free trade deal, exports appear to have been hit harder than imports in the first few months of 2021; however, as firms on both sides of the channel grow accustomed to new trading agreements, this disruption is

expected to dissipate. In the long term, the UK and EU relationship will be mired by uncertainty and possible instability and, with a review clause in 2024, this certainly means the issue of EU trade will play a role in the election that year. The hot topic is whether the UK-EU deal will stand the test of time and, so long as the UK sticks to its commitments, the overall economy and UK bath and shower trays markets should recover well and be driven by recovering consumer consumption, real term earnings and other macroeconomic factors.

8.2 Historical Trends and Forecasts : Kitchen Sinks

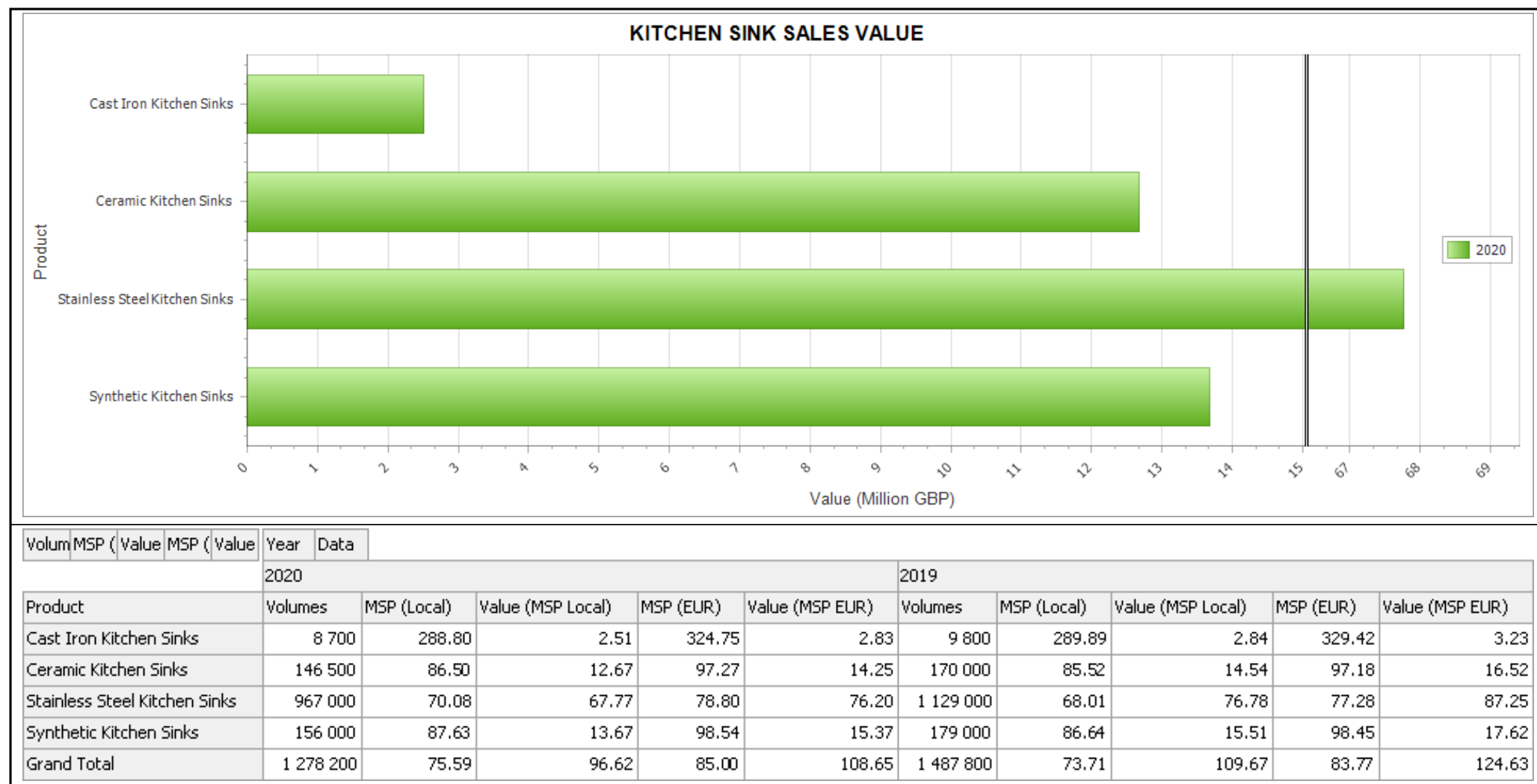
UK - SUMMARY OF TRENDS IN THE KITCHEN SINK MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

8.3.1 Prices and Market Values : Kitchen Sinks

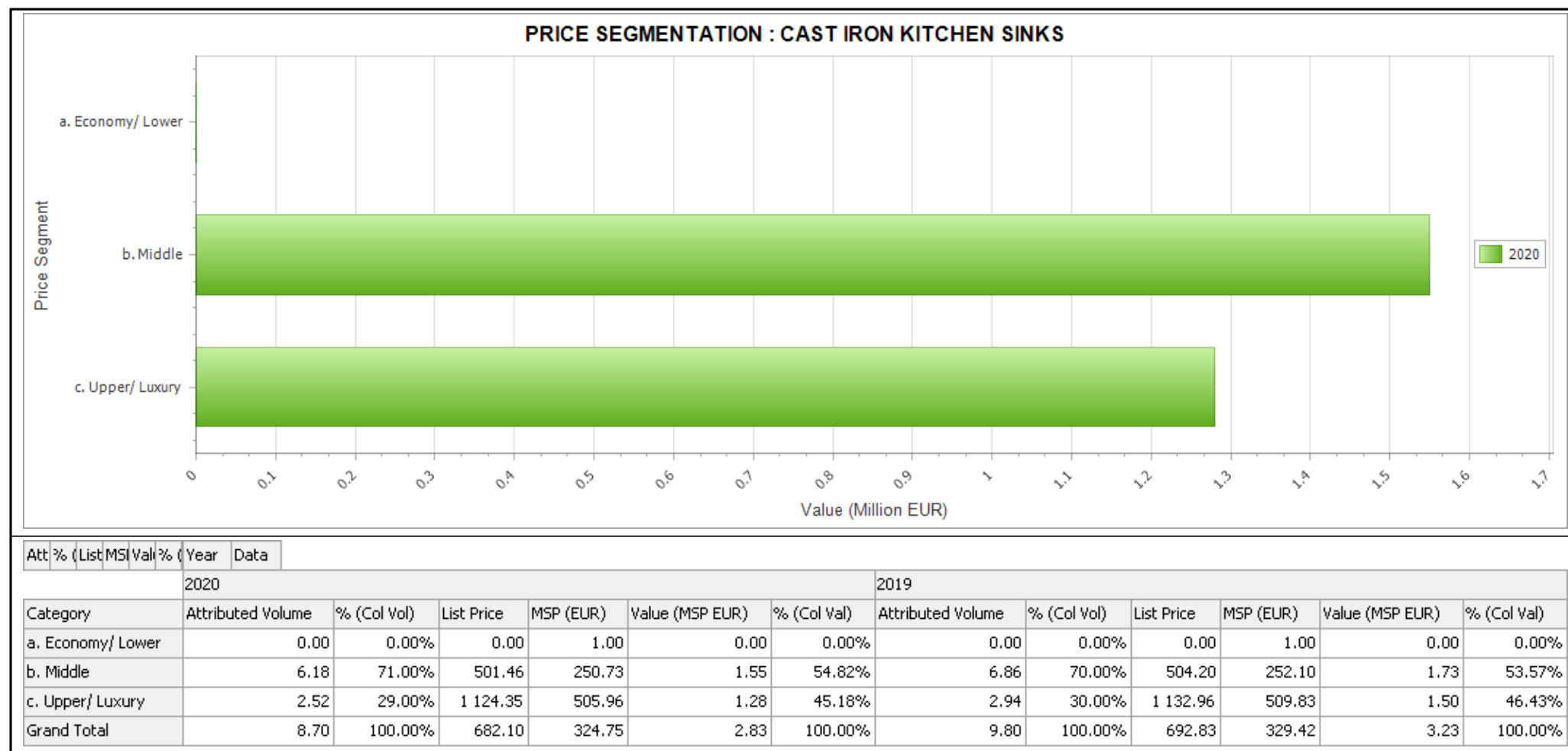
UK - ESTIMATED VALUES OF THE KITCHEN SINK MARKET



Source: BRG based on industry interviews. Local Prices Shown in GBP. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

8.3.2 Price Segmentation : Cast Iron Kitchen Sinks

UK - ESTIMATED PRICE SEGMENTATION FOR CAST IRON KITCHEN SINKS

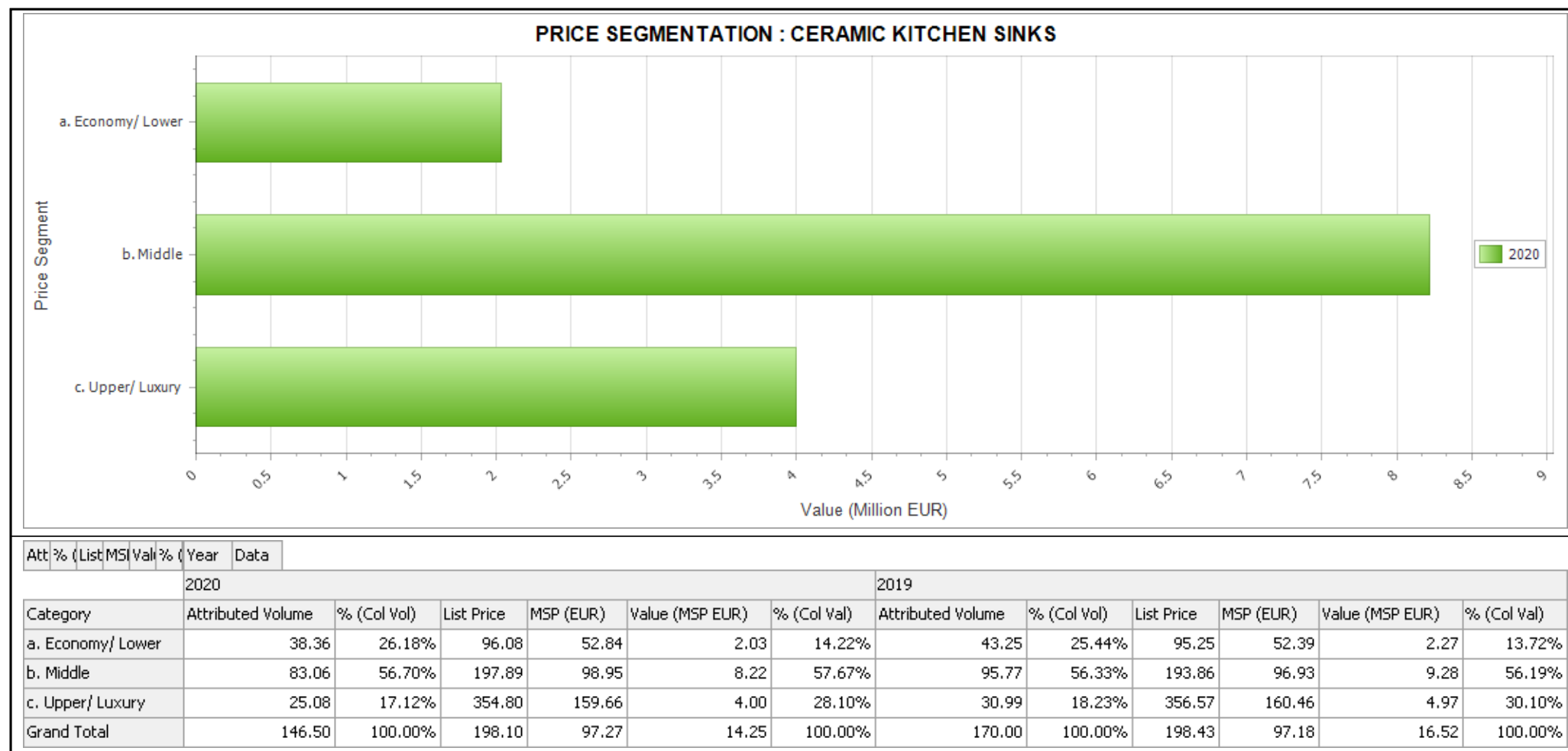


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€200, Middle €200-€400, Upper/ Luxury >€400

8.3.3 Price Segmentation : Ceramic Kitchen Sinks

UK - ESTIMATED PRICE SEGMENTATION FOR CERAMIC KITCHEN SINKS

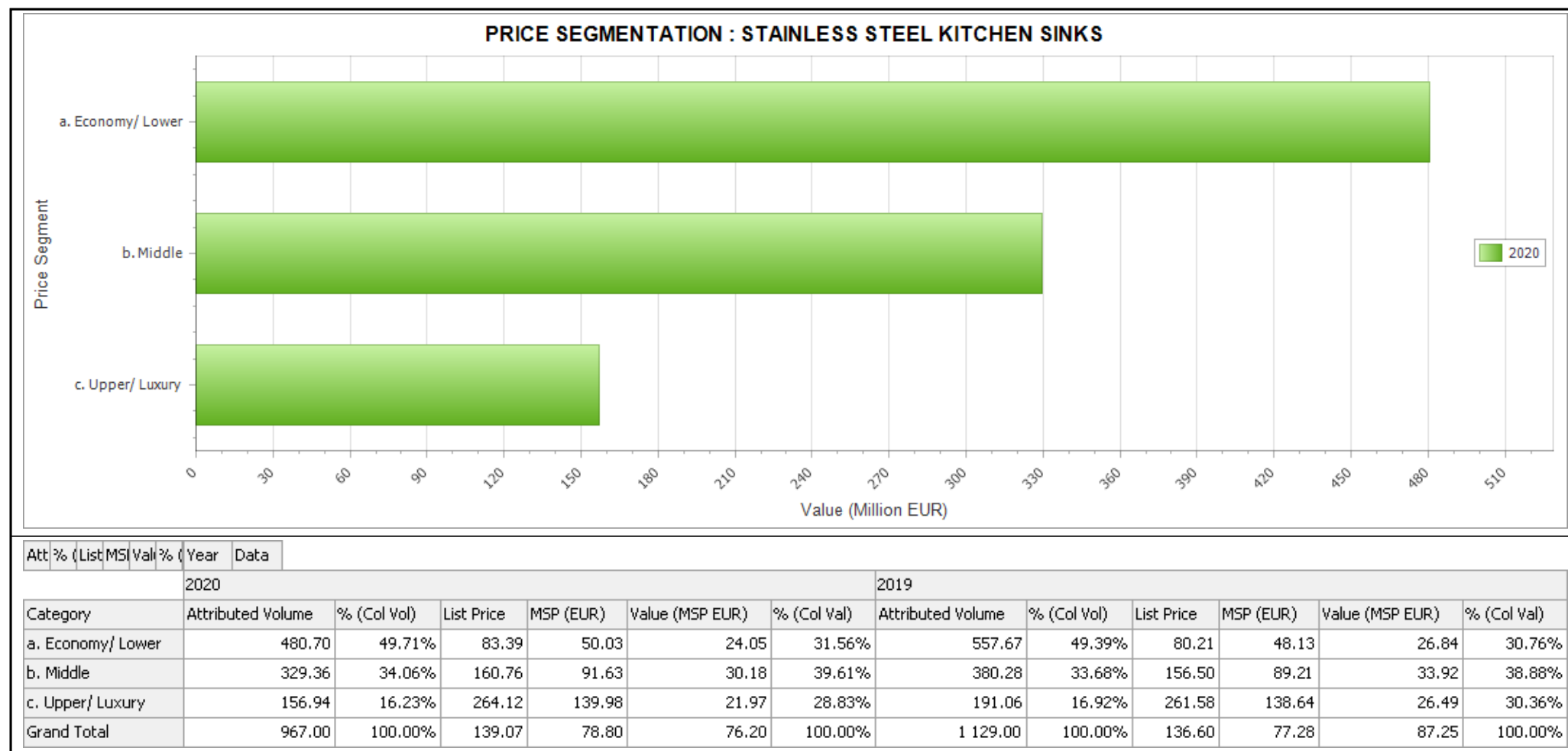


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€70, Middle €70-€140, Upper/ Luxury >€140

8.3.4 Price Segmentation : Stainless Steel Kitchen Sinks

UK - ESTIMATED PRICE SEGMENTATION FOR STAINLESS STEEL KITCHEN SINKS

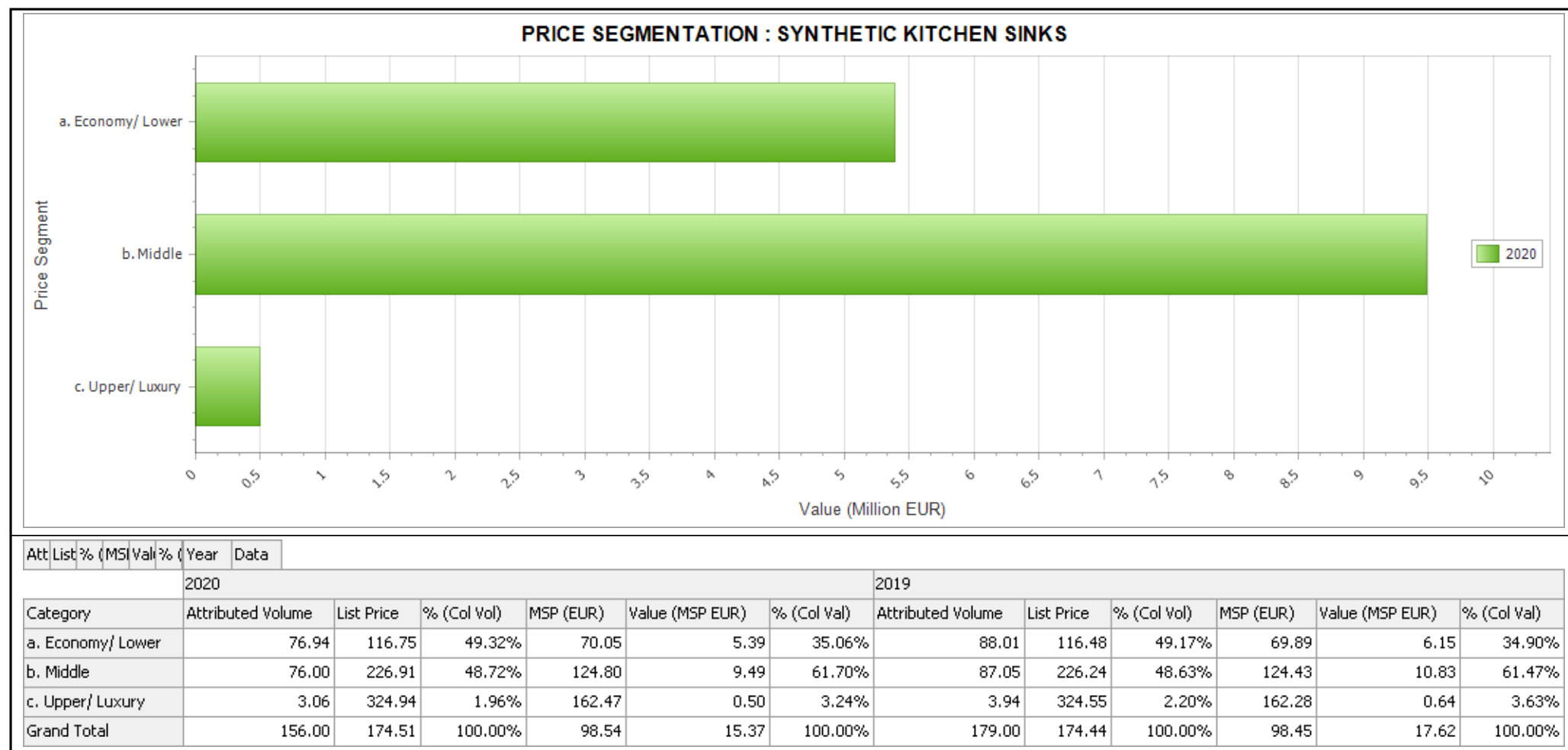


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€60, Middle €60-€120, Upper/ Luxury >€120

8.3.5 Price Segmentation : Synthetic Kitchen Sinks

UK - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC KITCHEN SINKS

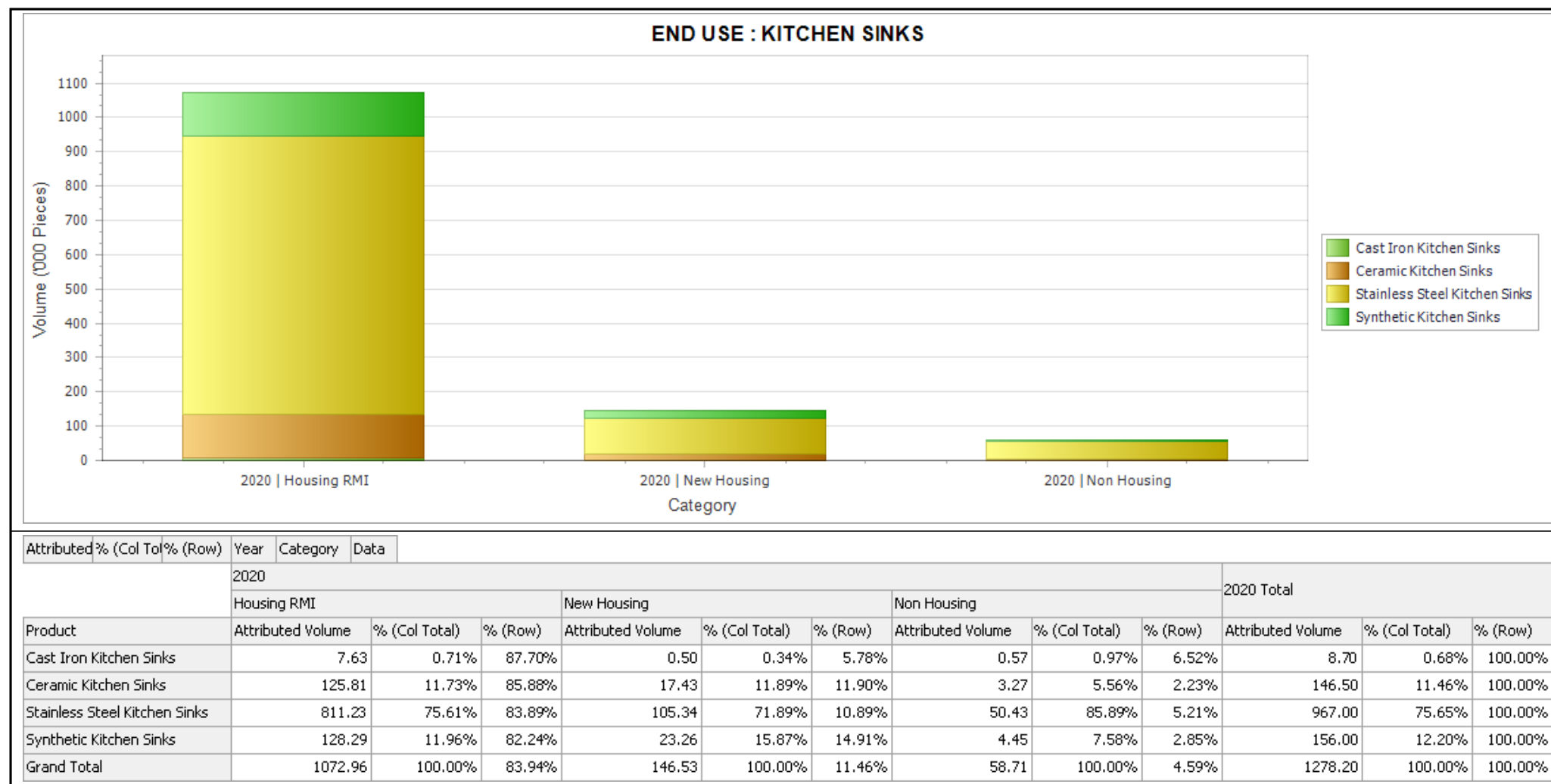


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€75, Middle €75-€150, Upper/ Luxury >€150

8.4.1 End Use : Base Year

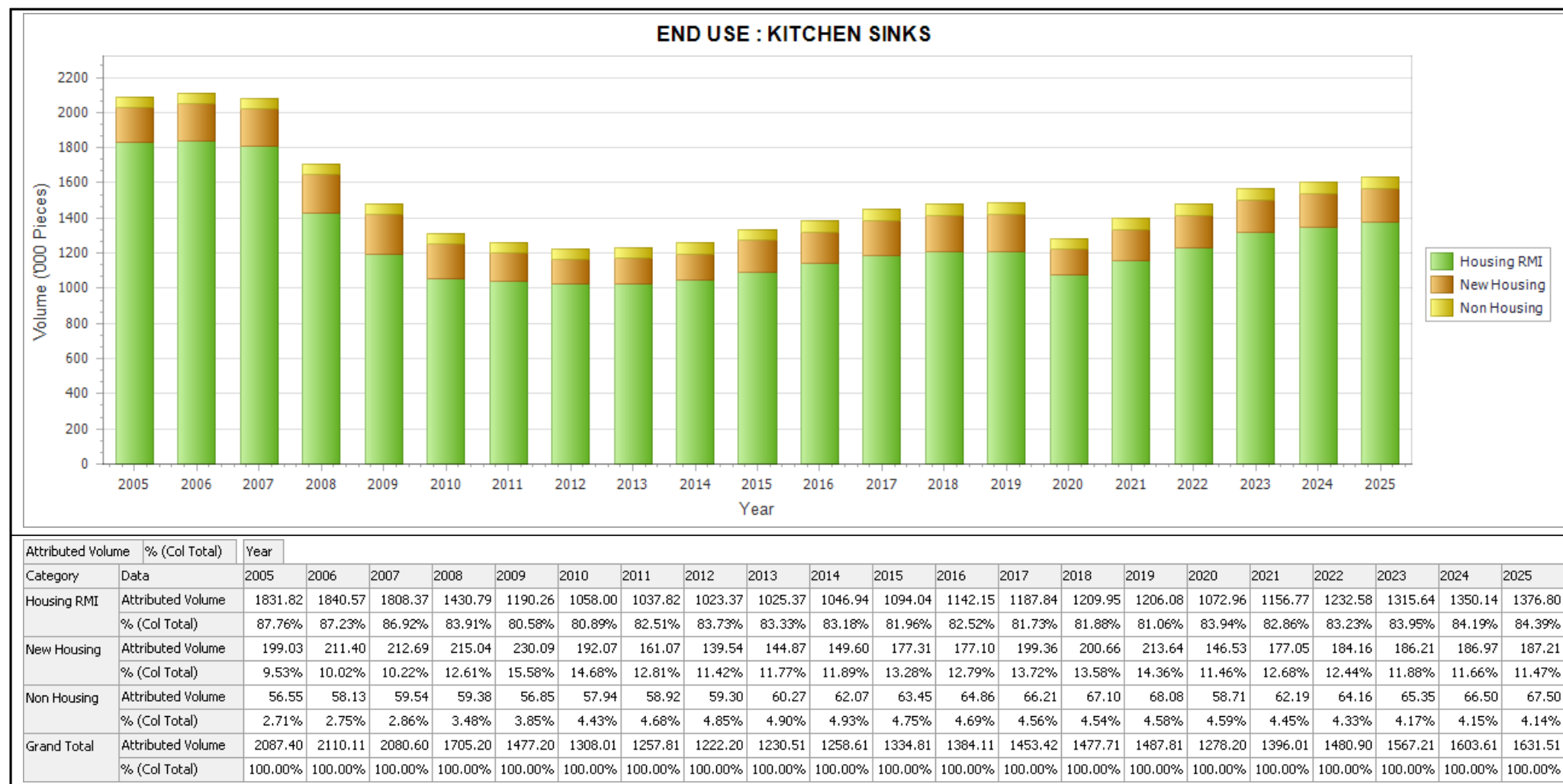
UK - SALES OF KITCHEN SINKS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

8.4.2 End Use : Historical and Forecasts

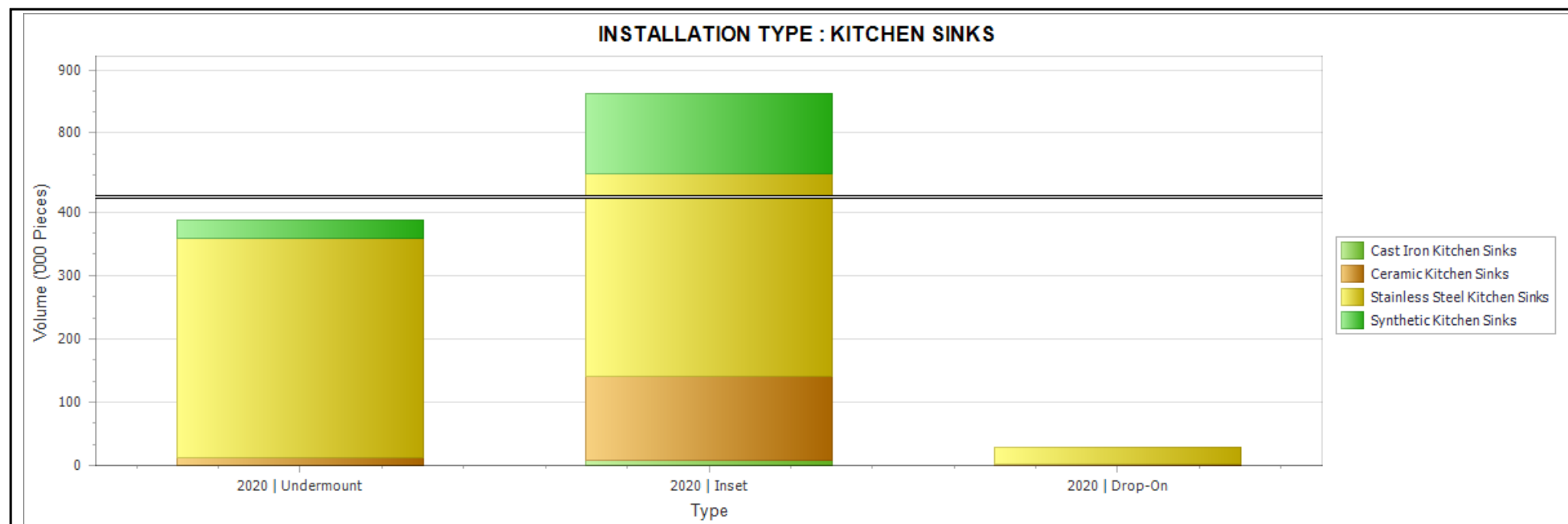
UK - SALES OF KITCHEN SINKS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

8.4.3 Sales by Type of Installation : Kitchen Sinks

UK - SALES OF KITCHEN SINKS BY INSTALLATION TYPE ('000 PIECES)

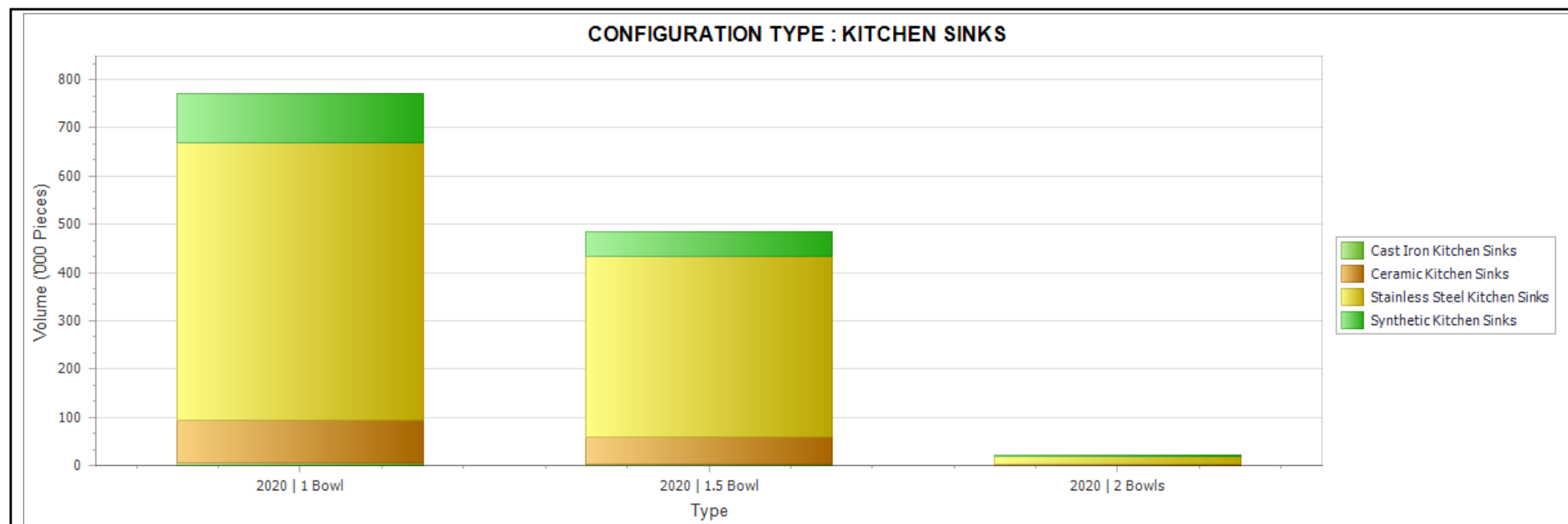


Attributed	% (Col Vol)	% Row	Year	Category	Data									
			2020									2020 Total		
			Drop-On			Inset			Undermount					
Product	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row		
Cast Iron Kitchen Sinks	0.00	0.00%	0.00%	8.70	1.01%	100.00%	0.00	0.00%	0.00%	8.70	0.68%	100.00%		
Ceramic Kitchen Sinks	2.64	9.50%	1.80%	131.12	15.19%	89.50%	12.75	3.29%	8.70%	146.50	11.46%	100.00%		
Stainless Steel Kitchen Sinks	25.14	90.50%	2.60%	595.67	68.99%	61.60%	346.19	89.45%	35.80%	967.00	75.65%	100.00%		
Synthetic Kitchen Sinks	0.00	0.00%	0.00%	127.92	14.82%	82.00%	28.08	7.26%	18.00%	156.00	12.20%	100.00%		
Grand Total	27.78	100.00%	2.17%	863.41	100.00%	67.55%	387.01	100.00%	30.28%	1 278.20	100.00%	100.00%		

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

8.4.4 Sales by Type of Configuration : Kitchen Sinks

UK - KITCHEN SINK SALES BY CONFIGURATION TYPE ('000 PIECES)

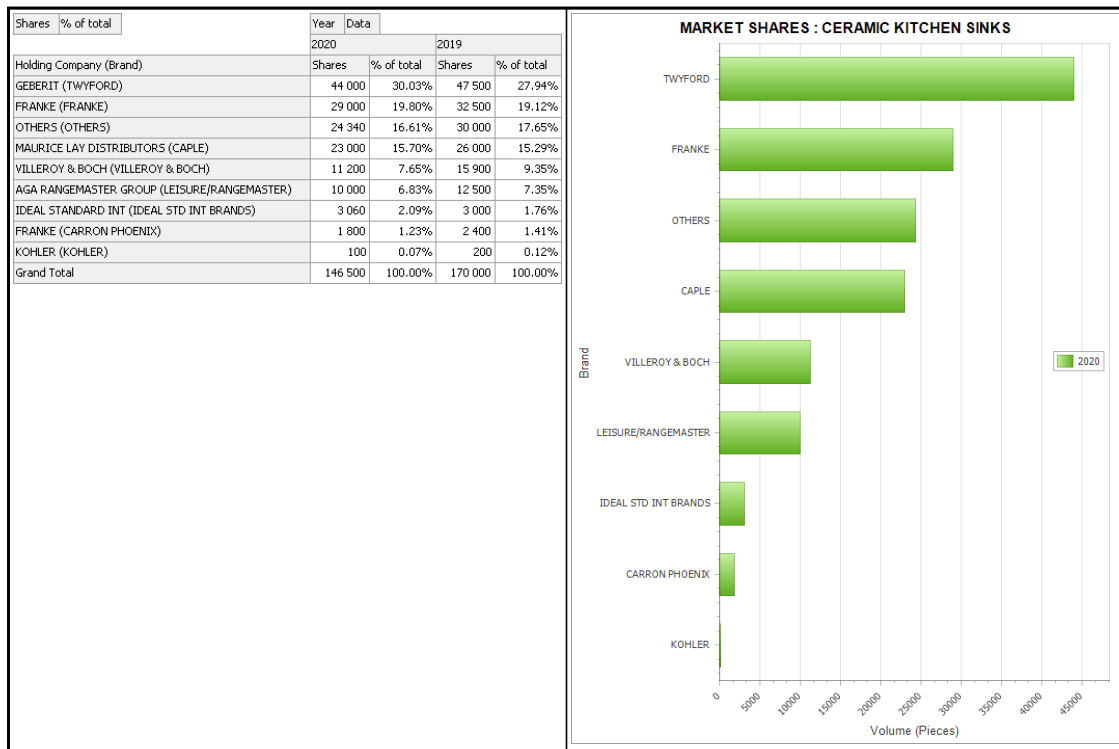


Attributed	% (Col Vol)	% Row	Year	Category	Data									
			2020											
			1 Bowl			1.5 Bowl			2 Bowls			2020 Total		
Product	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row		
Cast Iron Kitchen Sinks	5.82	0.75%	66.89%	2.72	0.56%	31.20%	0.17	0.77%	1.91%	8.70	0.68%	100.00%		
Ceramic Kitchen Sinks	87.90	11.40%	60.00%	54.94	11.32%	37.50%	3.66	16.95%	2.50%	146.50	11.46%	100.00%		
Stainless Steel Kitchen Sinks	575.37	74.60%	59.50%	377.13	77.71%	39.00%	14.51	67.12%	1.50%	967.00	75.65%	100.00%		
Synthetic Kitchen Sinks	102.18	13.25%	65.50%	50.54	10.41%	32.40%	3.28	15.16%	2.10%	156.00	12.20%	100.00%		
Grand Total	771.27	100.00%	60.34%	485.33	100.00%	37.97%	21.61	100.00%	1.69%	1 278.20	100.00%	100.00%		

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

8.5.1 Market Shares : Ceramic Kitchen Sinks

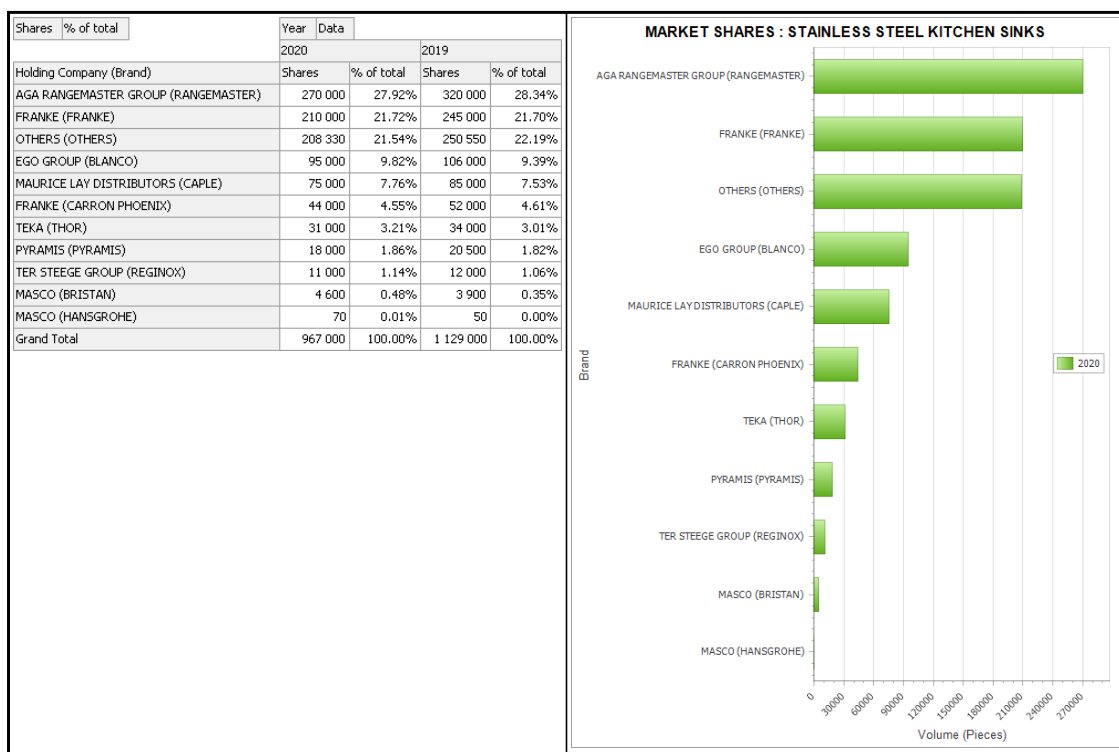
UK - ESTIMATED MARKET SHARES FOR CERAMIC KITCHEN SINKS



Source: BRG based on industry interviews

8.5.2 Market Shares : Stainless Steel Kitchen Sinks

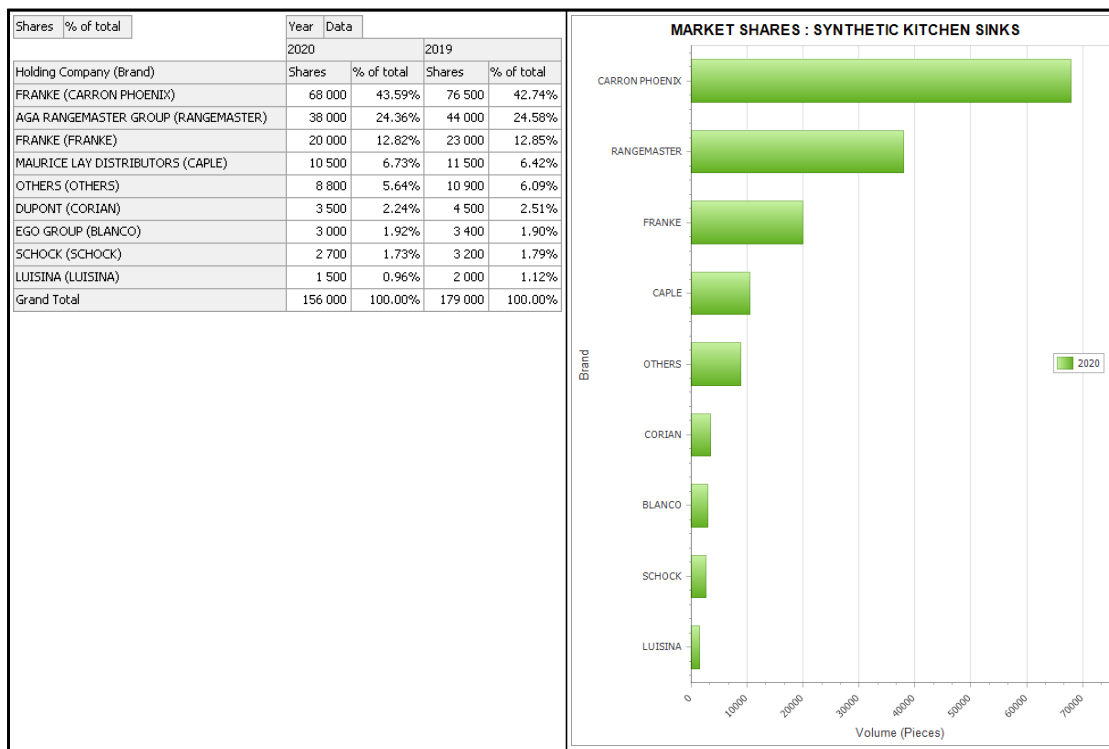
UK - ESTIMATED MARKET SHARES FOR STAINLESS STEEL KITCHEN SINKS



Source: BRG based on industry interviews.

8.5.3 Market Shares : Synthetic Sinks

UK - ESTIMATED MARKET SHARES FOR SYNTHETIC KITCHEN SINKS



Source: BRG based on industry interviews.

8.6.1

Route to Market: Kitchen Sinks
UK - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS: 2020

Manufacturer / Importer

Manufacturers / Importers
100.0%

82.4%
Worktop Manufacturers
82.4%

Wholesale Level

Manufacturers	Worktop Manufacturer
5.4%	21.0%
Wholesalers / Merchants	
26.4%	

Retail Level

Manufacturer	Worktop Manufacturer	Wholesaler
0.0%	2.6%	0.0%
Internet Retailers		
2.6%		

Manufacturer	Worktop Manufacturer	Wholesaler
5.3%	1.1%	8.3%
DIY Retailers		
14.7%		

Manufacturer	Worktop Manufacturer	Wholesaler
6.9%	38.0%	1.0%
Specialist Retailers		
45.9%		

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	11.5%	13.0%	1.0%	1.5%	18.3%
Installers					
45.3%					

End Use Level

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	8.1%	3.9%	1.6%	13.2%	27.5%	41.0%
Residential						
95.4%						
New Build				Residential RMI		
11.5%				83.9%		
Project		Non-Project		Project		Non-Project
8.6%		2.9%		5.9%		78.1%

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.1%	0.2%	0.0%	0.0%	0.0%	4.3%
Non-Residential						
4.6%						
New Build				Non-Residential RMI		
3.2%				1.4%		
Project		Non-Project		Project		Non-Project
2.4%		0.8%		0.9%		0.5%

8.6.2

Route to Market: Kitchen Sinks
UK - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS: 2025

Manufacturer / Importer

Manufacturers / Importers
100.0%

83.0%
Worktop Manufacturers
83.0%

Wholesale Level

Manufacturers	Worktop Manufacturer
5.1%	21.0%
Wholesalers / Merchants	
26.1%	

Manufacturer	Worktop Manufacturer	Wholesaler
0.0%	3.0%	0.0%
Internet Retailers		
3.0%		

Manufacturer	Worktop Manufacturer	Wholesaler
5.1%	1.1%	8.3%
DIY Retailers		
14.5%		

Manufacturer	Worktop Manufacturer	Wholesaler
6.8%	37.8%	2.0%
Specialist Retailers		
46.6%		

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	11.5%	12.7%	1.2%	1.3%	18.6%
Installers					
45.3%					

End Use Level

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	8.5%	3.0%	1.8%	13.2%	27.9%	41.4%
Residential						
95.9%						
New Build				Residential RMI		
11.5%				84.4%		
Project		Non-Project		Project		Non-Project
8.6%		2.9%		5.9%		78.5%

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.1%	0.1%	0.0%	0.0%	0.0%	3.9%
Non-Residential						
4.1%						
New Build				Non-Residential RMI		
2.9%				1.2%		
Project		Non-Project		Project		Non-Project
2.2%		0.7%		0.8%		0.4%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

8.6.3 Route to Market - Consolidated View : Kitchen Sinks

UK - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS : 2020

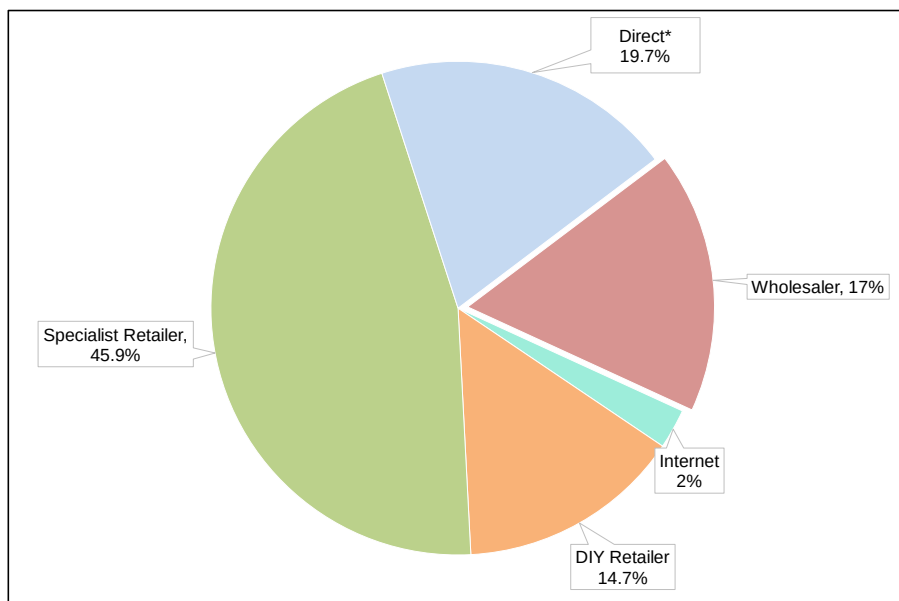
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
17.1%	2.6%	14.7%	45.9%	19.7%	14.5%	3.3%	80.9%	1.3%
100%					17.8%		82.2%	

8.6.4 Route to Market - Consolidated View : Kitchen Sinks

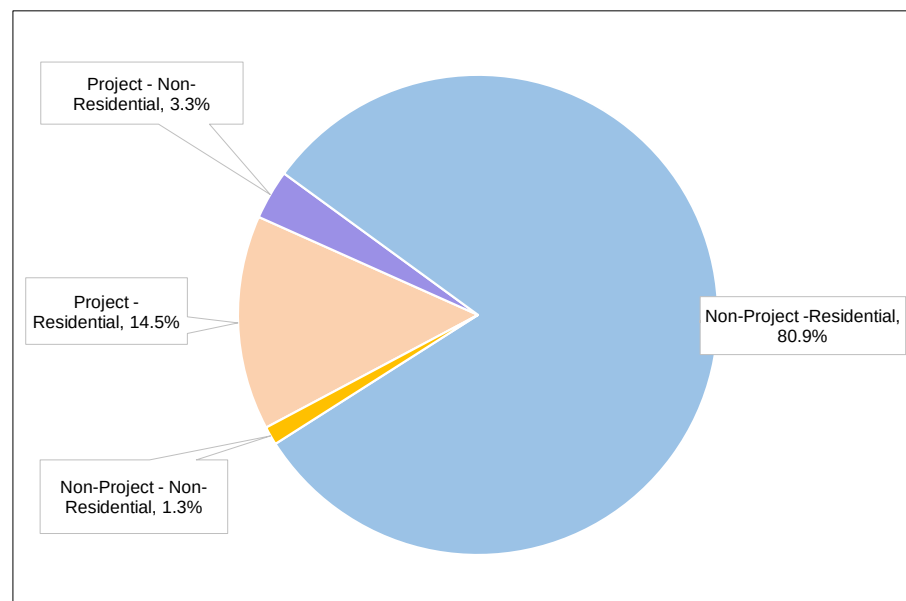
UK - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
15.8%	3.0%	14.5%	46.5%	20.1%	14.5%	3.0%	81.3%	1.1%
100%					17.5%		82.5%	

UK - SALES OF KITCHEN SINKS BY DISTRIBUTION CHANNEL: 2020



UK - SALES OF KITCHEN SINKS BY POINT OF DECISION AND END-USE SECTOR: 2020



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

8.7 Revisions in the UK Kitchen Sinks Market (April 2021)

UK - REVISIONS IN THE UK KITCHEN SINKS MARKET

Data Comparison: October 2020



No revisions have been made to historical volumes and values for this market.

UNITED KINGDOM

KITCHEN TAPS AND MIXERS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The market for kitchen taps and mixers is largely dominated by the distress replacement of taps and mixers. Unlike sanitary taps and mixers which can be maintained for longer by the installation of a water softener this is not possible for kitchen taps and mixers. The kitchen tap and mixers market is also of primary functional importance and is more likely to be replaced quickly if its performance deteriorates.

The wide range of competitive, well-designed brands in the market, however, has led to the emergence of a much more design orientated consumer. The increased share among internet retailers has also enabled consumers to buy mid to luxury range kitchen mixers at affordable retail prices. As a result, sales of kitchen pillar taps are declining at a much quicker pace than seen previously, as mixers both become superior in design and are more competitively priced. Some of the principal drivers behind the growth in the kitchen taps and mixers market include the increased popularity of replacing old fashioned products with more contemporary style ranges, such as one head mixers. This, allied to the increase in popularity for DIY and BIY improvements, leads consumers to spend more time and money on replacement products such as kitchen taps and mixers.

Kitchens are generally more expensive to remodel than bathrooms and, as a result, sales have suffered substantially during the downturn. Despite this, the market remains very broad in terms of quality and price ranges. Although most consumers still opt for cheap mixer taps, hence the increasing amount of Chinese imports on the market, the upper end products have fared reasonably well. New innovations such as instant boiling water taps have witnessed strong sales growth from a very small base over the last five years. Overall, the market has suffered considerably during the economic downturn; however, new opportunities and niche markets have still presented themselves with the most innovative manufacturers continuing to develop their range and market for kitchen taps in challenging conditions.

Recent Market Trends

The overall UK kitchen taps and mixers market contracted strongly in 2020, due to the onset of the COVID-19 outbreak from early in the year, with sales virtually ceasing for the majority of Q2. Sales to all end-use segments were markedly down due to the first national lockdown and with a few key players relying on the performance of the national merchants which had been shut for most of the year, negatively impacting market development. Some product launches, coupled with restrictions being eased in the second half of the year, aided in the market beginning to see an uptake in volume sales.

Although the overall market contracted strongly, distress replacements alongside discretionary changes to taps prevented the market from declining stronger than it did. Given the maturity of this market, the majority of sales of kitchen taps and

mixers comes from the housing RMI segment and demand remained in the marketplace; however, supply was a major issue in the marketplace, and this contributed quite heavily to the decline seen in the RMI segment. Although there was much more of a focus on bathroom refurbs than kitchens due to cost elements, the kitchen remains a social focal point in the homes of UK homeowners. Kitchen taps and mixers did see a strong increase of sales via the internet and DIY channels, which saw the lower segments see an increase of sales at the expense of taps at the upper end of the market.

Although UK consumers continue to seek bargains when remodelling their homes, the kitchen taps and mixers market continues to see increased levels of product development of late, with extendable taps to flexible hoses seeing more of an uptake as well as boiling water taps, which generated increased consumer interest. The lower price points of two heads helped facilitate some sales in 2020 with internet sales seeing an increase; however, the further up the price segments, the more balanced it becomes between one and two heads. The kitchen taps and mixers market has continued seeing the popularity gained of coloured taps as well as boiling hot water taps, with more players entering the market. Kitchen taps can be a standalone tap and this helped drive sales a bit more as homeowners can be braver with the finishes they take as standalone coloured taps are also accepted as they do not always have to blend in with the sink and handles.

Prices and Market Values

Average MSPs for kitchen mixers saw an increase in 2020, in line with inflation, as well as ever rising steel costs and, to a lesser degree given the small bearing it has on the market, was the increase in brass pricing in China. With the variety of designs being offered and brought out into the market, this also proved to drive prices up, with the likes of pull out spouts, hoses and boiling hot water taps. Additionally, the kitchen taps and mixers market has also faced increased price pressure in recent years from the growth of the UK's 'grey market'; namely, the rapidly increasing share of internet retailers supplying the market with inexpensive OEM products that can be delivered cheaply and quickly, which saw an increase 2020 and is expected to continue in growing and taking share over the forecast period. Although the UK market's current preference for mid- to high-end kitchen taps and mixers has countered any drastic dips in MSP as a result of this influx of cheap products, the increasing availability of a range of kitchen tap and mixer designs at very low price points is likely to ensure that market value growth is somewhat constrained over the medium term.

New Housing

Sales of kitchen taps and mixers into the new housing segment saw a strong contraction in 2020, in line with the reduced volumes in new build completions. In terms of demand, kitchen taps and mixers closely followed trends in the sanitary ware market with the bulk of sales going into private housing. Despite an overall decline of sales into the new housing segment, the market preference for mixers over pillar taps remained, favoured due to their aesthetic appeal and diminishing

price point. Pillar taps are historically favoured in social housing and, therefore, saw a strong decline in sales to this segment, in line with the contraction of social housing construction in 2020.

Housing RMI

Kitchen remodelling activity in existing dwellings remains the most important market for kitchen taps and mixers, with the vast majority of sales going into this segment. Kitchen taps and mixers demand in the RMI sector comprises a distinct dichotomy, with consumers at one end opting for cheap like-for-like replacements (typically due to distress from the high mineral content of the UK's water supply) and consumers at the other end purchasing luxury taps and mixers. As kitchen taps and mixers are frequently remodelled on their own (i.e. not an entire kitchen refurbishment), consumers are willing to spend more on their kitchen taps and mixers than kitchen sinks, with style and fashion playing a much more important role. The bulk of luxury kitchen taps and mixers sales, therefore, go into this sector, which contracted heavily due to the closure of showrooms, where most of these products are sold. Ultimately, the overall RMI development of kitchen taps and mixers proved to be down, despite home renovations remaining strong throughout the second half of 2020.

Non-Housing

Non-housing sales of kitchen taps and mixers prove to be quite small when compared to new housing sales. Although the overall park is smaller, the replacement rate is slightly higher due to an increased rate of use. As a result, most commercial applications (i.e., restaurants, cafes, hotels) tend to opt for cheap pillar taps or cheap mixers since it does not make economic sense to have a more expensive kitchen tap in a purely functional facility. In 2020, sales of taps and mixers into the non-housing sector were down given the decline seen in new dwelling construction.

Supply Structure

Kitchen taps and mixers are distributed either as part of a sink pack, in which case they are included in the same box as the sink, or they are distributed separately. Domestic manufacturers and UK importers do not specialise in supplying any one sector in particular but offer a diverse range of products through multiple channels.

UK importers traditionally account for at least a quarter of the market, although this has increased significantly over the last three years. BRISTAN, the market leader of the overall taps and mixers market in the UK, was also the leader in the kitchen taps and mixers market. BRISTAN's principal channels are through HOMEBASE on the DIY front, following the loss of FOCUS DIY and national and independent merchants, where the company is particularly strong. BRISTAN has leading positions in GRAHAM and PLUMBASE, and also supplies PLUMB CENTER and PTS. BRISTAN has not traditionally been linked with kitchen taps and mixers but has fully utilised its supply strength in the UK to rapidly introduce its products to the

market, despite the overall market downturn.

Given their administration midway through 2018, ASTRACAST had some sale volumes, for kitchen taps and mixers, but were fully exempt from the market in 2019, with their lost share being picked up by the likes of BRISTAN, RANGEMASTER and COMAP.

METHVEN sells largely to the DIY sector, including WICKES, as well as merchants including TRAVIS PERKINS, JAYHARDS and PLUMB CENTER. ULTRA FINISHING products are sold mainly to independent retailers, regional distributors to the retail sector and a small volume to merchants. The ULTRA GROUP offers another brand, HUDSON REED. It covers the middle to high end of the market.

Other companies known to import taps and mixers into the UK include TAPS INTERNATIONAL, B&P WYNN, ZENITH and MAYFAIR BRASSWARE, which imports products from its own factory in Taiwan.

QUOOKER, INSINKERATOR and FRANKE ZIP all sell their instant boiling water taps through a variety of channels in the UK. All three companies sell particularly through small specialist kitchen showrooms, since this is the key supply route to their target market. As the market expands, merchants, DIY and general retailers will likely take greater share of these relatively newly popular products. Notably, the UK heating manufacturer HEATRAE SADIA re-launched its instant boiling water tap AQUATAP in 2014 with the intention to focus on the residential sector but have also attained contracts from hospitals and offices. Other manufacturers, traditionally focused on the HVAC sector, are predicted to enter this market over the forecast period. Overall these multifunction taps are most definitely the growing part of the taps market which has more and more entries from players on the appliance market getting on the wagon, including the likes of the ELECTROLUX GROUP, INSINKERATOR and also BOSCH, who are actually yet to have a product, and more of these are to enter the market.

Forecasts

The overall kitchen taps and mixers market is expected to see good recovery in 2021 and reclaim a good chunk of the sales lost in 2020, with construction for both residential and non-residential returning to be a key driver for growth. Given a no deal Brexit was avoided and a free trade deal was struck between the UK and EU at the end of 2020, this should restore some confidence in consumers and prompt them to spend a bit more, with an expected recovery in the RMI segment. Another key and potentially more important factor in restoring confidence into the UK population is the vaccine rollout which has been prevalent as of December 2020, with more UK citizens getting the jab. On the other hand, with more people getting vaccinated and lockdown restrictions slowly being lifted, this could ultimately lead to more people wanting to travel rather than staying home or some homeowners could still be apprehensive about travelling and choose to delay travelling. Nonetheless, irrespective of what most of the UK population choose to do, the overall market is expected to recover well, largely driven by a recovery in new build

residential and non-residential construction.

The overall UK kitchen taps and mixers market is expected to remain largely positive over the forecast period, driven by a recovered economy coupled with product development. Internet distribution is not expected to be as robust as it was in 2020; however, it is expected to continue growing and the growth of this channel will enable consumers to obtain higher quality products and lower prices which will put pressure on traditional distribution channels, such as independent merchants and DIY. Although the UK's recovering housing completions will ensure new build is a key sector of demand in the short term, RMI demand is predicted to play a greater part in market growth over the medium term as new completions are expected to slow down.

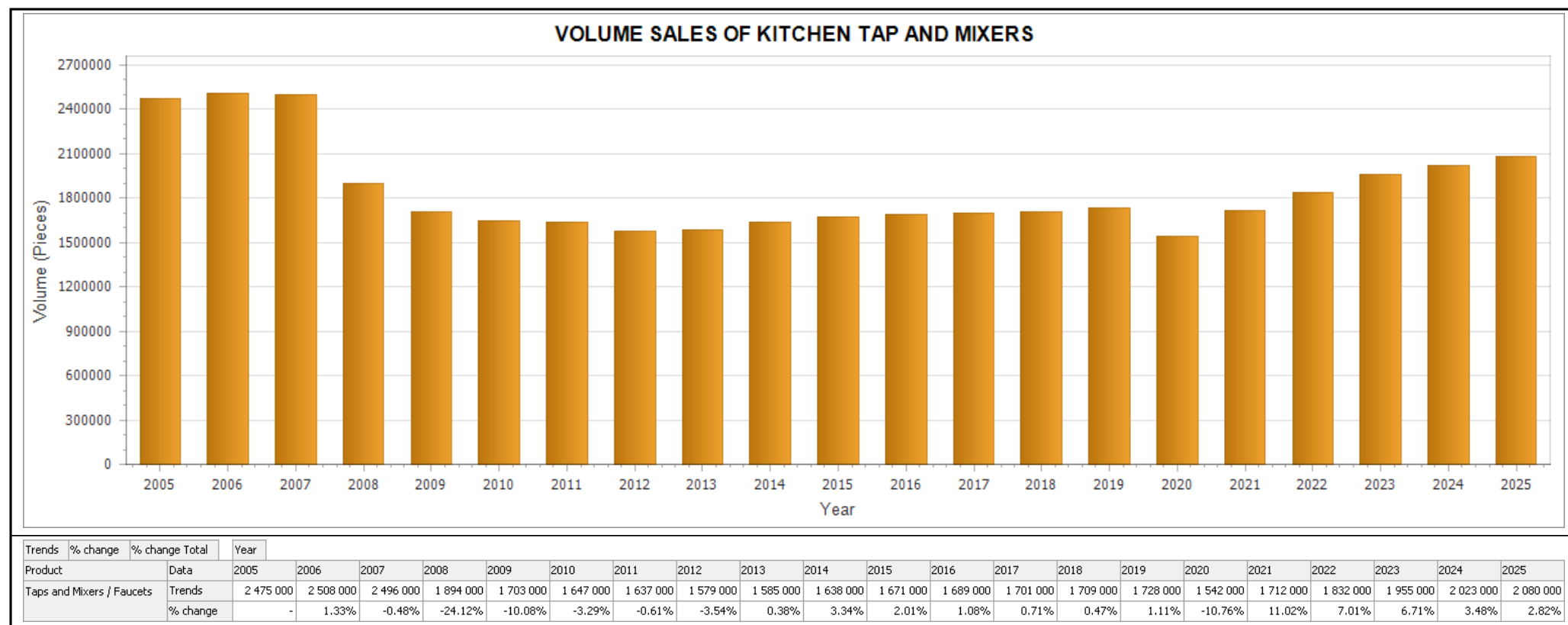
The uptake of luxury and innovative products is expected to return and increase over the forecast period – in particular, boiling water taps - as more manufacturers enter this market and drive prices down through competition. Consumers becoming more conscious of water consumption should help drive the market. Another factor to consider is the introduction of cold start cartridges which avoid the unnecessary heating of water for washbasin and kitchen mixers. This is a relatively new technology in the market, but there is a feeling within the industry that this may become a standard technology in the coming years.

The increase in internet distribution is likely to enable consumers to obtain higher quality products at lower prices which will put pressure on traditional distribution channels, such as independent merchants and DIY stores. The specification market will be more lucrative, with new housing likely to play a more important part in the overall market growth; however, the recovery in kitchen RMI activity remains the most important market driver and, although the anticipated increase in new housing will aid the accessory market, improved consumer confidence and earnings remain the most important drivers. It is also worth noting that specialist kitchen retailers such as MAGNET, which provide extensive kitchen design services, will become increasingly appealing to consumers over the coming years. The strong demand for kitchen mixer replacements in existing dwellings, is likely to result in substantial recovery over the next five years.

With the UK and EU agreeing on a free trade deal, exports appear to have been hit harder than imports in the first few months of 2021; however, as firms on both sides of the channel grow accustomed to new trading agreements, this disruption is expected to dissipate. In the long term, the UK and EU relationship will be mired by uncertainty and possible instability and, with a review clause in 2024, this certainly means the issue of EU trade will play a role in the election that year. The hot topic is whether the UK-EU deal will stand the test of time and, so long as the UK sticks to its commitments, the overall economy and UK bath and shower trays markets should recover well and be driven by recovering consumer consumption, real term earnings and other macroeconomic factors.

9.2 Historical Trends and Forecasts : Kitchen TM

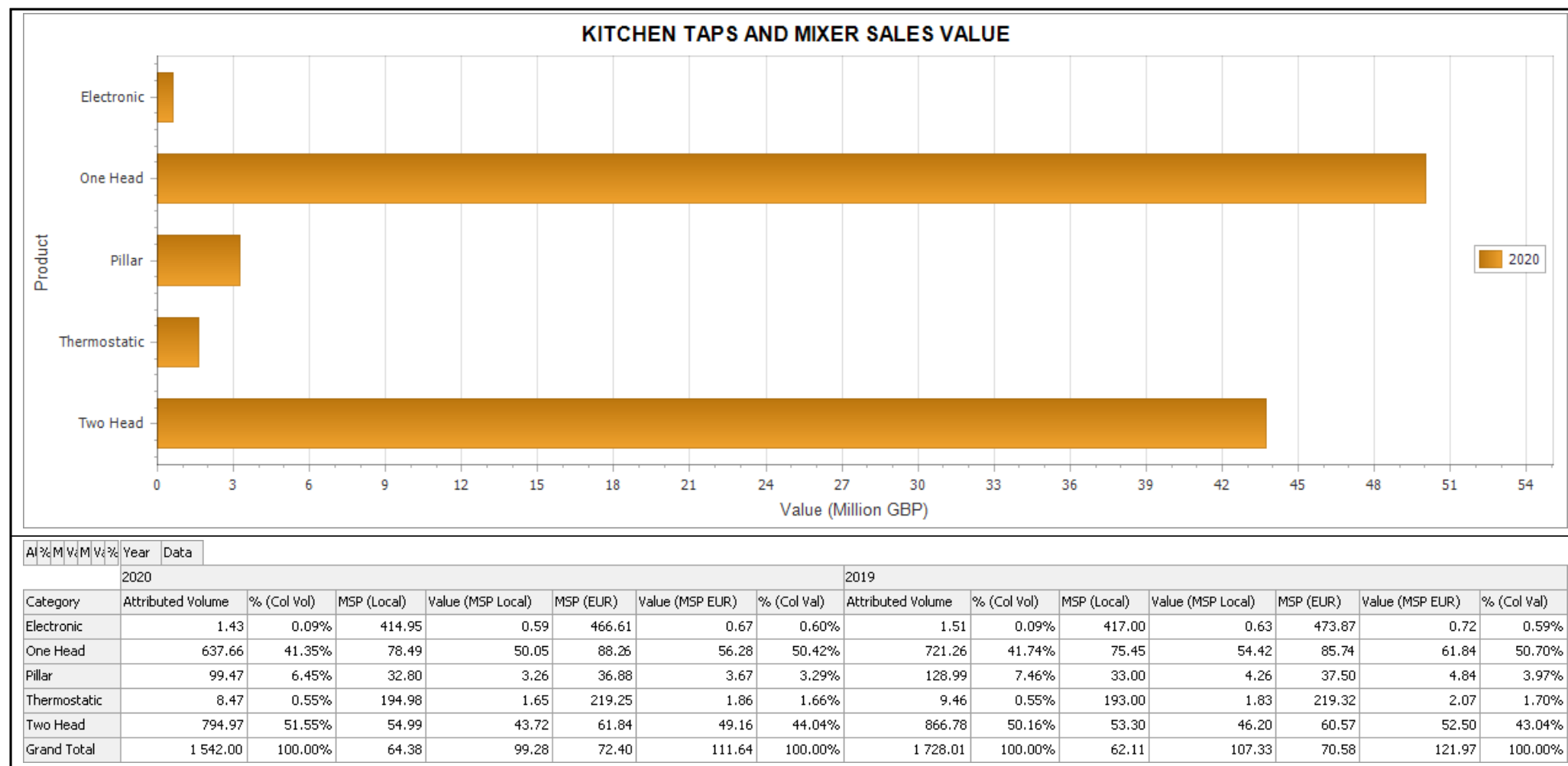
UK - SUMMARY OF TRENDS IN THE KITCHEN TAP AND MIXER MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

9.3.1 Prices and Market Values : Kitchen Taps & Mixers

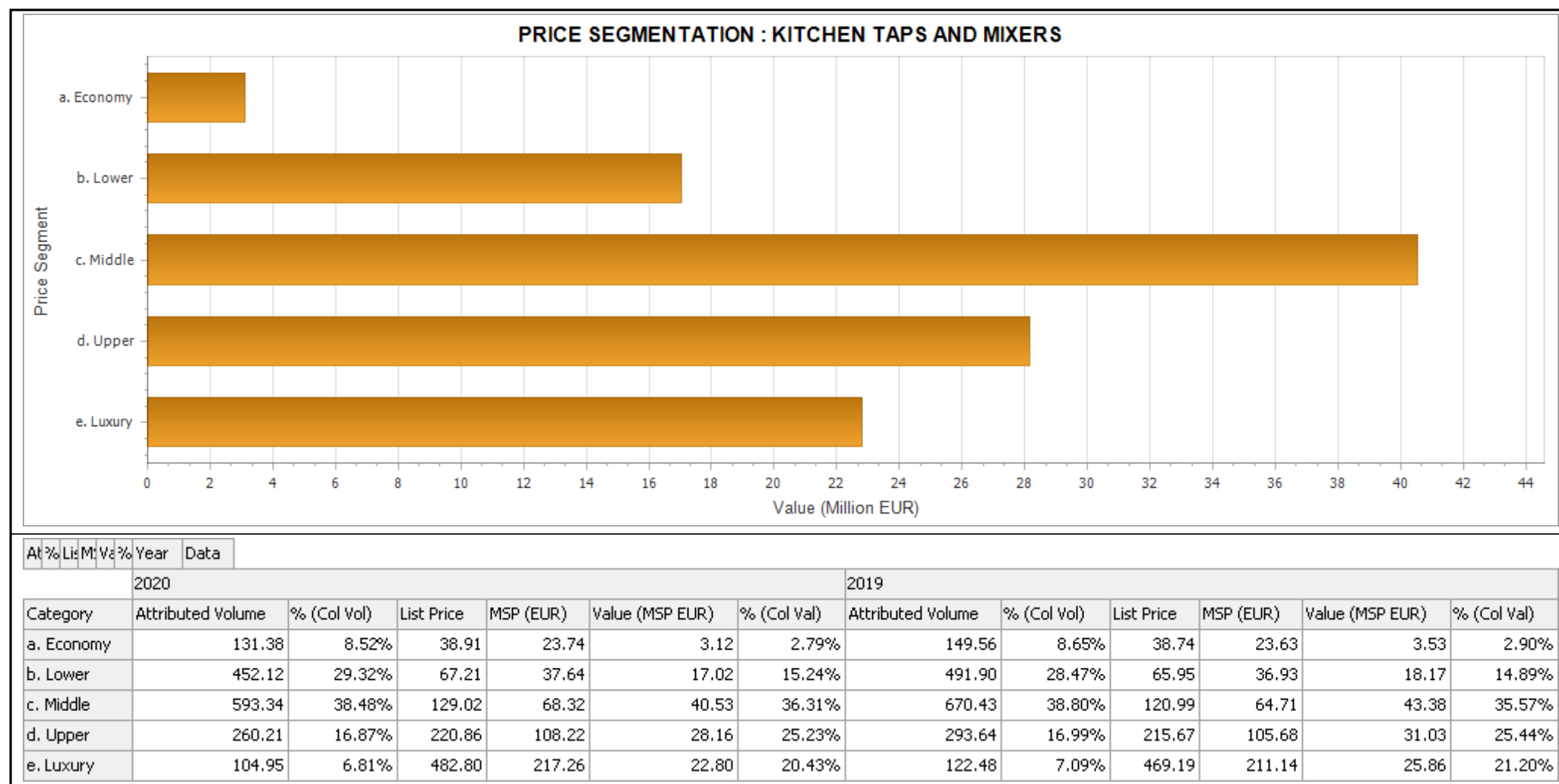
UK - ESTIMATED VALUES OF THE KITCHEN TAP AND MIXER MARKET



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in GBP. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price)

9.3.2 Price Segmentation : Kitchen Taps & Mixers

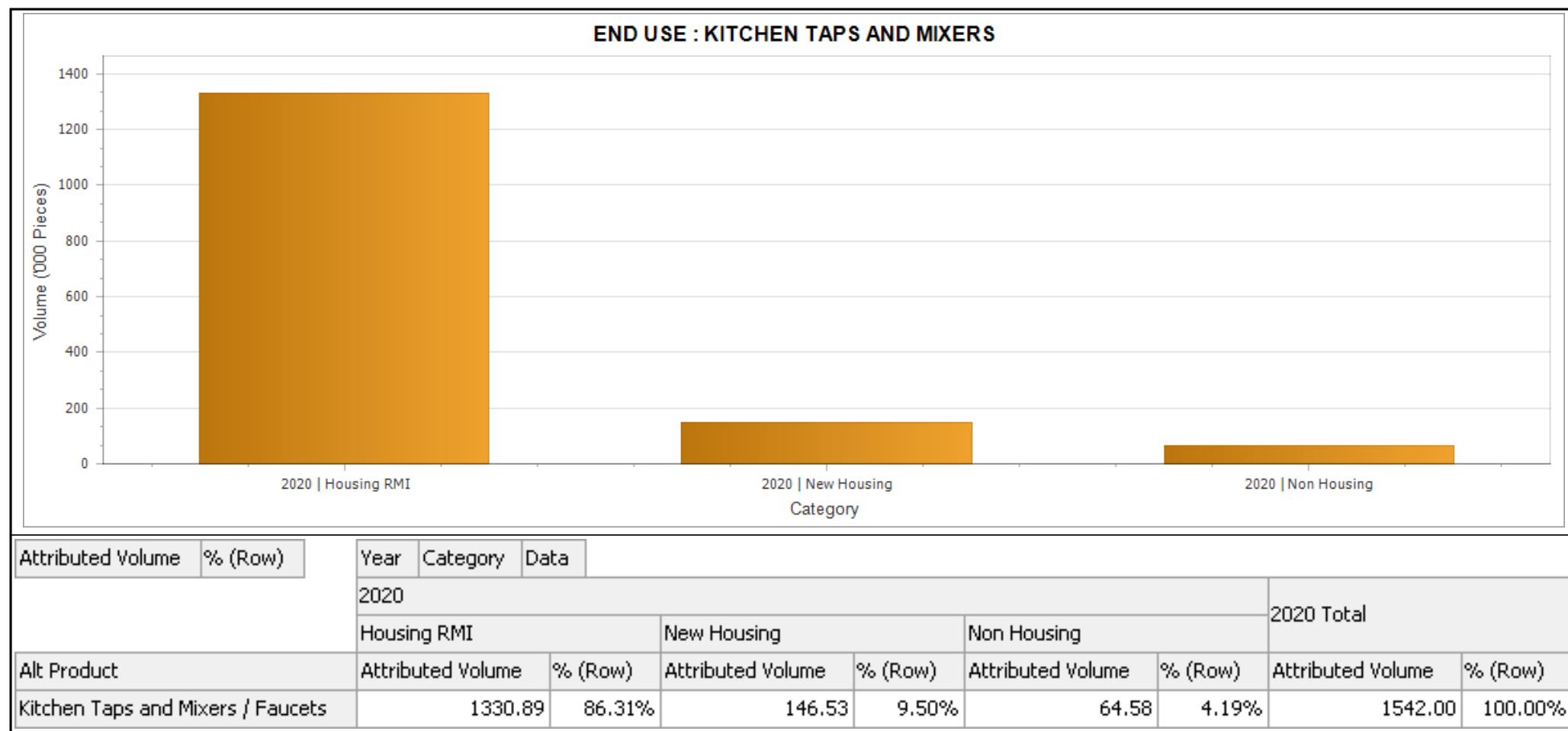
UK - ESTIMATED PRICE SEGMENTATION FOR KITCHEN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€35, Lower €35-€50, Middle €50-€70, Upper €70-€110 and Luxury >€110

9.4.1 End Use : Base Year

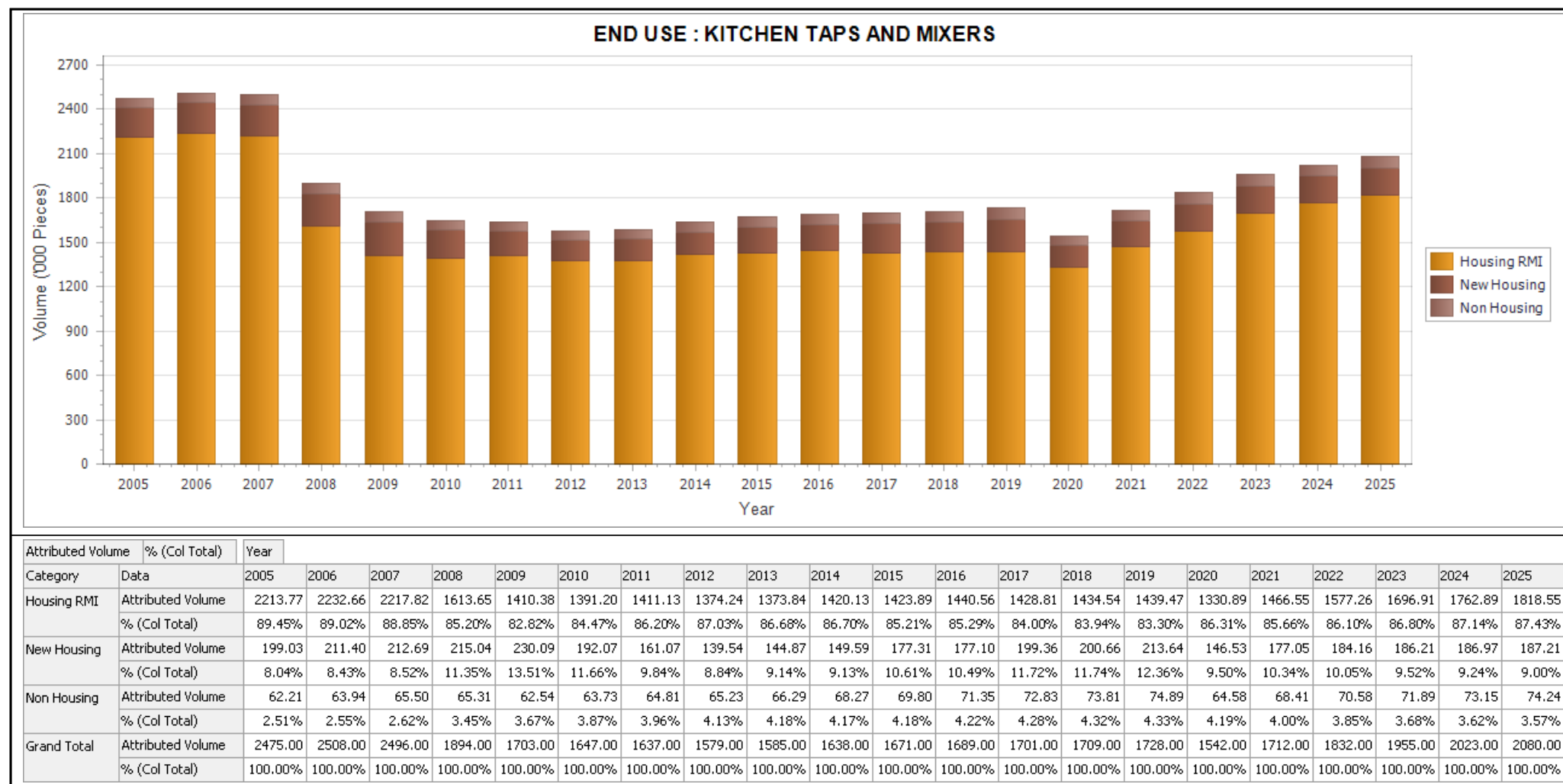
UK - SALES OF KITCHEN TAPS & MIXERS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

9.4.2 End Use : Historical and Forecasts

UK - SALES OF KITCHEN TAPS AND MIXERS BY END USE SEGMENT ('000 PIECES)

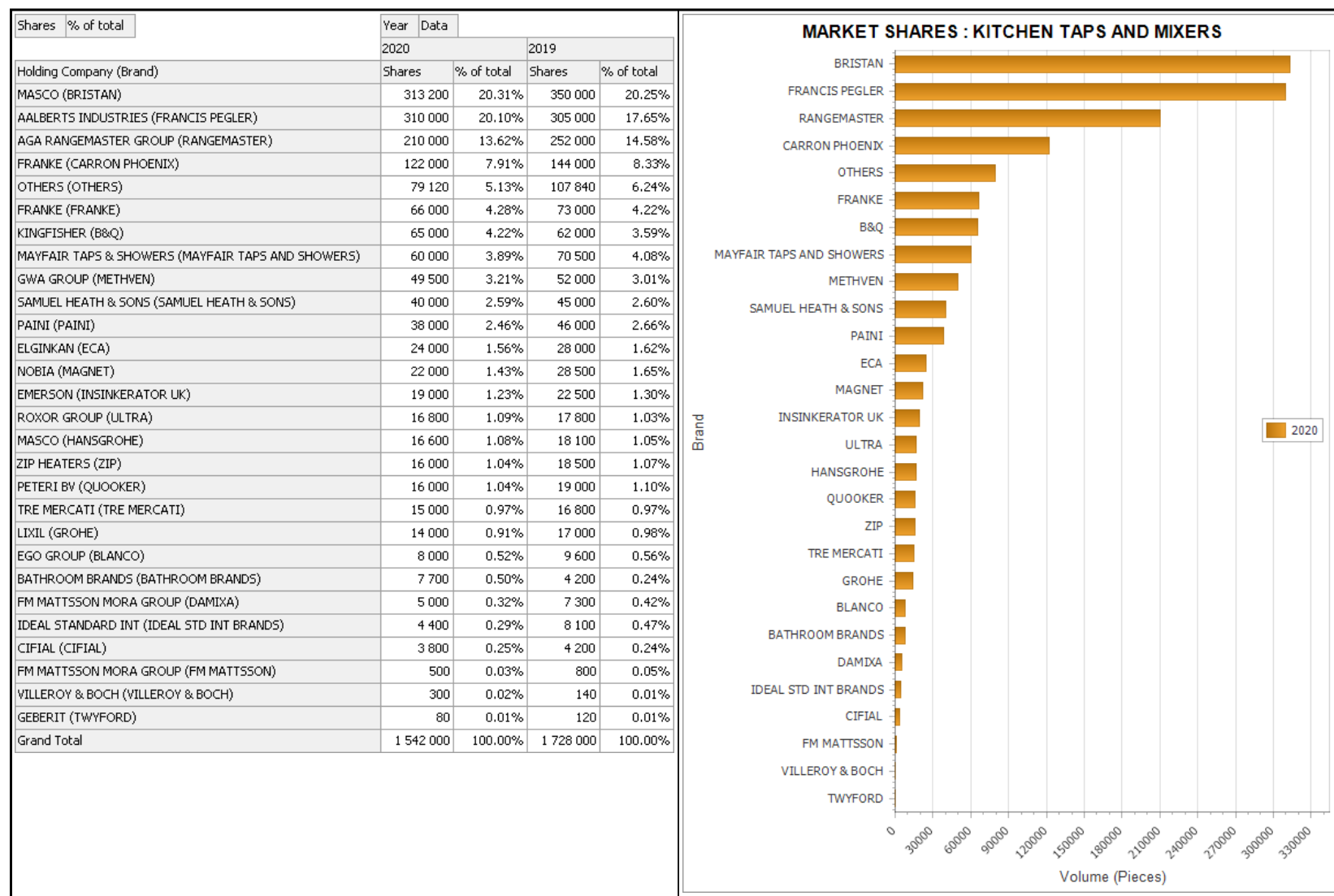


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

9.5

Market Shares : Kitchen Taps & Mixers

UK - ESTIMATED MARKET SHARES FOR KITCHEN TAPS AND MIXERS



Source: BRG based on industry interviews.

9.6.1 Route to Market: Kitchen Taps & Mixers / Faucets
UK - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2020

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	33.4%
	Wholesalers / Merchants
	33.4%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	11.1%	5.5%	20.8%	10.0%	17.9%	11.5%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	16.6%		30.8%		29.4%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
16.7%	2.5%	0.6%	2.8%	5.7%
Installers				
28.2%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	3.7%	15.9%	27.9%	23.5%	24.7%	0.0%	0.2%	0.1%	0.1%	0.2%	3.5%
	Residential						Non-Residential					
	95.8%						4.2%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	9.5%			86.3%			2.9%			1.3%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	7.1%		2.4%	6.0%		80.3%	2.2%		0.7%	0.8%		0.4%

9.6.2 Route to Market: Kitchen Taps & Mixers / Faucets
UK - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2025

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	33.0%
	Wholesalers / Merchants
	33.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	11.6%	6.2%	20.5%	9.8%	18.2%	11.7%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	17.8%		30.3%		29.9%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
16.8%	2.2%	0.7%	2.7%	5.7%
Installers				
28.0%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	3.0%	17.0%	27.5%	23.9%	25.1%	0.0%	0.1%	0.1%	0.1%	0.3%	3.0%
	Residential						Non-Residential					
	96.4%						3.6%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	9.0%			87.4%			2.5%			1.1%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	6.8%		2.3%	6.1%		81.3%	1.9%		0.6%	0.7%		0.4%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

9.6.3 Route to Market - Consolidated View : Kitchen Taps and Mixers / Faucets

UK - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS / FAUCETS : 2020

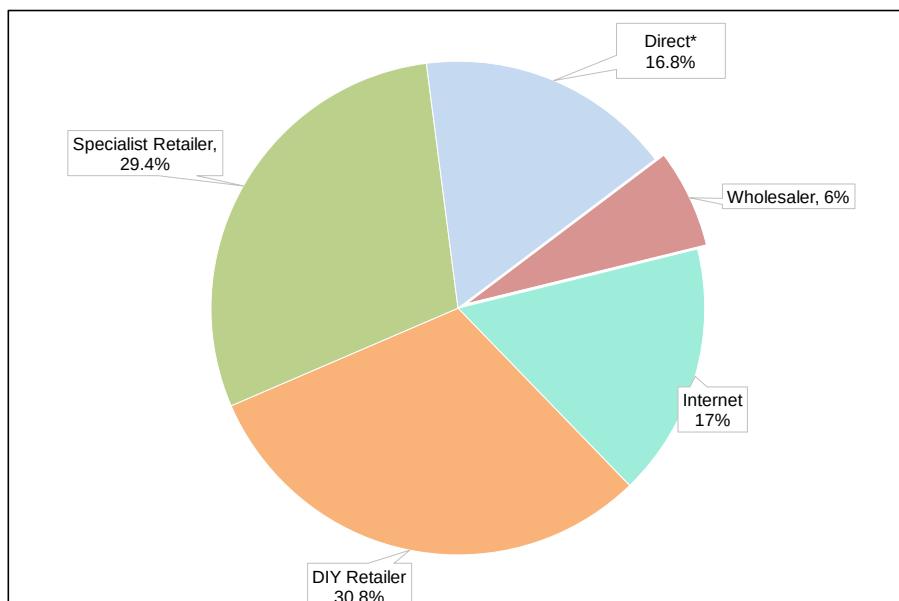
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
6.4%	16.6%	30.8%	29.4%	16.8%	13.2%	3.0%	82.6%	1.1%
100%					16.2%		83.8%	

9.6.4 Route to Market - Consolidated View : Kitchen Taps and Mixers / Faucets

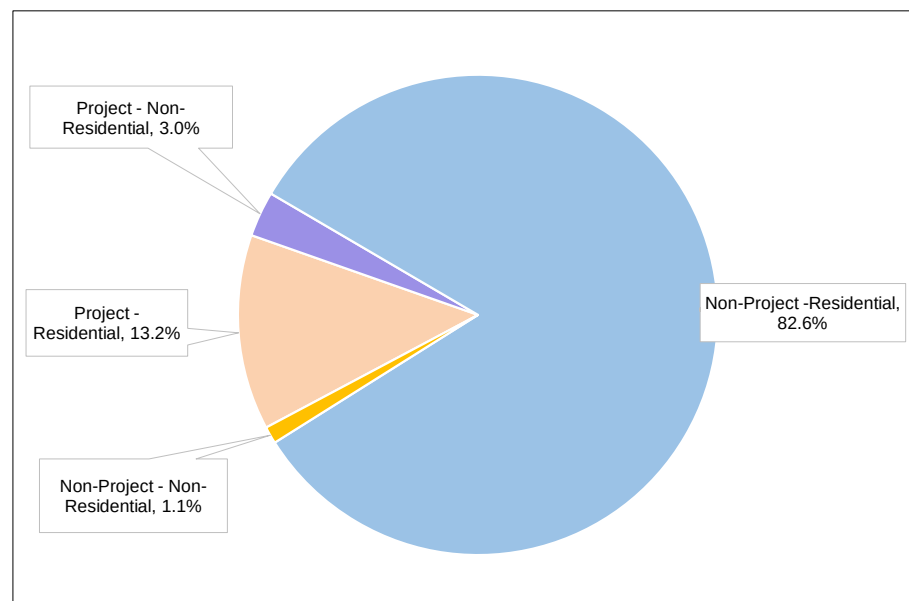
UK - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS / FAUCETS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
5.3%	17.8%	30.3%	29.9%	16.8%	12.9%	2.6%	83.6%	1.0%
100%					15.5%		84.5%	

UK - SALES OF KITCHEN TAPS AND MIXERS / FAUCETS BY DISTRIBUTION CHANNEL: 2020



UK - SALES OF KITCHEN TAPS AND MIXERS / FAUCETS BY POINT OF DECISION AND END-USE SECTOR: 2020



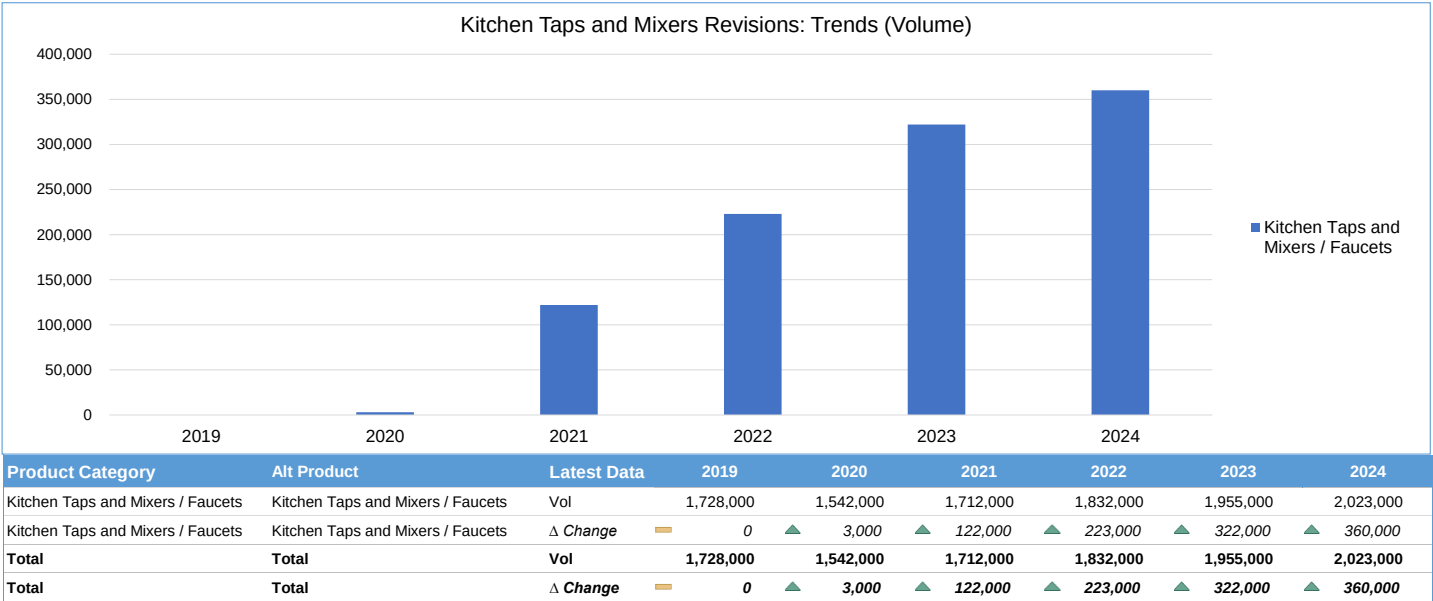
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

9.7 Revisions in the UK Kitchen Taps and Mixers Market (April 2021)

UK - REVISIONS IN THE UK KITCHEN TAPS AND MIXERS MARKET

Data Comparison: October 2020



No revisions have been made to historical volumes and values for this market.